Isle of Man
COUNTERING FINANCIAL CRIME
An all-Island approach

Isle of Man National Risk Assessment

Legal Persons and Arrangements

APRIL 2026

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In this assessment…

PURPOSE

This is the Isle of Man's first standalone Legal Persons and Arrangements National Risk Assessment, forming part of a suite of National Risk Assessments under the Financial Crime Strategy 2024–2026. It identifies money laundering and terrorist financing risks linked to legal persons and arrangements, evaluates vulnerabilities, and recommends actions to strengthen controls.

KEY CONTEXT

- The Isle of Man as an international finance centre: Ranked 51st on the Global Financial Centres Index (Sept 2025). Sectors include Banking, Insurance, Investment, Trust and Corporate Service Providers, and Professional Firms (e.g. lawyers and accountants).
- Customer Base: Predominantly non-resident, money laundering exposure mainly from foreign predicate offences.
- Methodology: World Bank framework; FATF guidance; extensive data from Isle of Man-regulated trust and corporate service providers, regulators, and law enforcement.

OVERALL RISK RATINGS

- Money Laundering Threat: **High**
- Terrorist Financing Threat: **Medium Low**
- National Vulnerability: **ML** – **Medium High; TF** – **Medium**

WHY IT MATTERS

- Legal Persons and Arrangements feature in **14.5%** of SARs, but account for **9.4%** of the total customer base of the Island (natural and non-natural persons combined).
- **36.7%** of Mutual Legal Assistance requests involve Legal Persons and Arrangements.
- **45.7%** of all Registrable Beneficial Owners have a country of residence outside of the Isle of Man.
- Complex, multi-jurisdictional structures are a notable primary risk driver.

LEGAL PERSONS AND ARRANGEMENTS – SCALE

- 1931 Act Companies: **37.7%** of overall total; **71.8%** of Registrable Beneficial Owners resident in IOM.
- 2006 Act Companies: **24.5%** of overall total; **76.6%** Registrable Beneficial Owners resident overseas.
- Trusts: **26.4%** of overall total; 10,596 trusts, all managed/administered by TCSPs.
- Foreign Legal Persons: **9.1%** of overall total; significant cross-border exposure.

- Other entities (Foundations, limited liability companies (LLCs), Limited Partnerships): Small in number (**2.3%** of the overall total of Legal Persons and Arrangements) therefore carry limited risk.

KEY THREATS

- Money Laundering: Placement and layering of illicit funds via Legal Persons and Arrangements; possible abuse of complex structures, shell/sham companies, trusts, and nominee arrangements; emerging risks: AI-driven obfuscation, digital currencies.
- Terrorist Financing: Lower risk but includes shell/front companies and trade-based methods; IOM as a possible transit jurisdiction for overseas terrorist financing flows.

TYPOLOGIES

- Multi-jurisdictional splitting of entities/assets and complex structures.
- Foreign ownership/control via shell companies.
- Use of trusts to potentially obscure beneficial ownership.
- Fake identification during entity formation.

MITIGATING MEASURES

- Beneficial Ownership Act 2017: Central database live since July 2017; Nominated Officer required for all entities subject to the Act; TCSPs act as Nominated Officer for **54.8%** of companies; verification checks: **100%** of non-TCSP submissions and **25%** of TCSP submissions sampled.
- Regulation & Supervision: TCSPs subject to comprehensive AML/CFT regulation and proactive FSA oversight; civil penalties introduced for BOA breaches (2022); £65,000 issued in 2024.
- International Cooperation: Exchange of Notes with UK; EOIR, FATCA, and CRS frameworks in place.
- Domestic Coordination: Strong interagency collaboration; Public-Private Partnership initiatives.

RECOMMENDED ACTIONS

- Enhance understanding of complex structures through additional typologies and possible future data collection.
- Consider bespoke NRA on complex structures.
- Review scope of BOA for foreign-registered companies.
- Update Registrable Beneficial Ownership definition (≥**25%**) and guidance on 'nature of interest'.
- Strengthen penalties for late filings and improve Companies Registry systems.

ARTIFICIAL INTELLIGENCE

Artificial intelligence is an emerging risk multiplier for LPAs. Criminals are using AI to create synthetic identities and complex structures, while regulators and industry must leverage AI-driven analytics to strengthen beneficial ownership transparency and resilience.

SUMMARY

The Isle of Man remains a well-regulated international finance centre, but its exposure to foreign predicate offences and seemingly complex structures requires ongoing vigilance, robust beneficial ownership transparency, and continued proactive collaboration between government, regulators, and industry.

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Contents

Ministerial Introduction 7

Executive Summary 8

1.Introduction 24

1.1 Overview 24

1.2 Legal Persons and Arrangement Entity Types and Their Materiality to the IOM 25

1.3 Legal, Supervisory and Law Enforcement Framework and Risk Understanding 26

1.4 Methodology and Data 32

1.5 Acknowledgements 33

2. National Threats 34

2.1 Introduction 35

2.2 Law Enforcement Data 38

2.3 Perceptions and Open Sources 45

2.4 Typologies 59

2.5 National Threats Summary 63

3. Mitigating Measures and National Vulnerability 65

3.1 Introduction 66

3.2 Attractiveness for Non-Resident Incorporation 66

3.3 Strength of Mitigation Measures 76

4. Domestic Legal Persons **102**

4.1 1931 Act Companies 104

4.2 2006 Act Companies 117

4.3 Foundations Registered Under the Foundations Act 2011 124

4.4 Limited Liability Companies Act 1996 Companies 130

4.5 Limited Partnerships With Legal Personality 135

4.6 Industrial and Building Societies 140

4.7 Credit Union 141

4.8 Summary: Domestic Legal Persons 141

5. Foreign Legal Persons **144**

5.1 Introduction to Foreign Legal Persons 145

5.2 Foreign-Registered Companies 156

5.3 Foreign Companies – IOM Tax Resident 159

5.4 Foreign Companies 162

5.5 Summary: Foreign Legal Persons 165

6. Domestic and Foreign Legal Arrangements **167**

6.1 Introduction 168

6.2 Scale 171

6.3 Use of Trusts 172

6.4 Threats and Mitigants 178

7. Limited Partnerships Without Legal Personality and General Partnerships **184**

8. Collective Investment Schemes 187

9. The Impact of Artificial Intelligence on Legal Persons and Arrangements 190

9.1 Introduction 191

9.2 AI-driven risks for LPAs 191

9.3 Emerging typologies relevant to the IOM 192

9.4 Opportunities for AI to strengthen mitigation 193

9.5 Assessment of threats, vulnerabilities, and impact 193

10. Appendices 194

Appendix 1: Summary of Legal Entity and Beneficial Ownership and Basic Information 195

Appendix 2: Summarised Registrable Beneficial Ownership Process 196

Appendix 3: Relevant Key Legislation 198

Appendix 4: Agencies and Industry Bodies Engaged 199

Appendix 5: Hypothetical Structures 200

Appendix 6: Equity Holding Companies and Subsidiaries 207

Appendix 7: Jurisdictions Where Countermeasures are Required and Those That May Pose a Higher Risk 209

Appendix 8: Summary Analysis of Key Cross-Border Jurisdictions 210

Appendix 9: Summary Analysis of Key Threats, Vulnerabilities and Risks for LPAs as Identified by Jersey, Guernsey and Gibraltar 221

Appendix 10: Glossary and Abbreviations 224

Endnotes 228

Ministerial Introduction

Minister for Justice and Home Affairs
Hon Jane Poole-Wilson MHK

Within our Island Plan,[1] we lay the foundations to make the Isle of Man a more attractive and prosperous place to live and work, which in turn will sustain and grow productive businesses, services, and society.

In support of our strategy, we prioritise a strong and diverse economy, of which a key pillar is our Isle of Man Financial Crime Strategy.[2]

We are committed to combatting all financial crime and upholding international standards. The Financial Action Task Force calls on jurisdictions to identify, assess, and understand Money Laundering and Terrorist Financing risks they face and to act to mitigate those risks effectively.

Whilst our Island is a comparatively safe place, we will make every effort to ensure money launderers and terrorist financiers cannot use our status as an international finance centre to aid their criminal activities. This is our first standalone Legal Persons and Arrangements National Risk Assessment. This NRA forms part of a wider suite of NRAs that the Island is currently undertaking. This NRA goes into significant detail on the threats, vulnerabilities, and controls that exist, as well as analysing each of the Legal Persons and Arrangements offered by the Island as an IFC. This NRA acts as a single reference source for those seeking to know about the risk factors.

This document will assist industry and competent authorities and help demonstrate our ongoing compliance with international regulations. There will be outreach to industry in support of the publication of this document to help you understand and apply the key learnings.

As a responsible jurisdiction, our message is clear: we will not tolerate those who seek to commit crime either on or through our Island.

As we take an all-Island approach to tackling all types of financial crime, I wish to express my gratitude to everyone who has supported the development of our first standalone Legal Persons and Arrangements NRA, in particular the Trust and Corporate Service Providers sector who have generously supported this work with their time, expertise, and data. ■

> We are committed to combatting all financial crime and upholding international standards."

Executive summary

The Isle of Man (IOM) is an established international financial centre (IFC) with sectors including Banking, Insurance, Investment, Trust and Corporate Service Providers (TCSPs), and professional firms. The Island[3] is home to a number of global financial services firms, ranking 51st on the Global Financial Centres Index[4] published in September 2025.

Like other IFCs, the IOM's customer base is predominantly non-resident. Although there is a risk of money laundering (ML) from the proceeds of domestic predicates, the IOM's predominantly non-resident customer base means that criminal property at risk of being laundered in the IOM is likely to have originated from foreign predicate offending. The Government's Financial Crime Strategy 2024–2026[5] and the strategy and policies of law enforcement, the regulators, and relevant bodies are structured and resourced with this in mind. Further insight into the IOM is provided in "A Profile of the Isle of Man 2025".[6]

ISLE OF MAN'S RISK UNDERSTANDING

The IOM's understanding of risk has been enhanced over recent years by the Government, agencies, regulators, and industry working closely together. This has collectively increased their understanding of the risks from money laundering and terrorist financing (TF). This has been supported by the publication of National Risk Assessments (NRAs), which have been used to allocate resources to prevent ML/TF. In 2015, an ML/TF NRA was published, followed by an update in 2020. This Legal Persons and Arrangements (LPA) NRA is just one of a suite of publications available on the IOM Government website[7] which detail the Island's financial crime prevention strategy, Risk Appetite Statements, and NRAs. **Figure 1-7** in **Chapter 1** shows the relation between these key national documents and the link to the overall Government: "Our Island Plan."
The overall objectives of the LPA NRA are to:

- enhance the understanding of ML and TF risk from LPAs
- provide industry, agencies, and regulators with a specific LPA-focused NRA
- provide a current outline of the LPA risks that national policies and activities seek to address
- identify any gaps and recommend actions (which will be added to the National Action Plan) to close these gaps.

As part of this LPA NRA, consideration was given to the risks in the following jurisdictions which have similar risk profiles or where there are interdependencies: Jersey and Guernsey (see Appendix 9), as the other two Crown Dependencies (CDs) and having a number of shared businesses and customers in common with the IOM; Gibraltar, as another IFC with close links to the Crown Dependencies; and the United Kingdom (UK), as the largest trading partner and key for many parts of the LPA NRA. Other jurisdictions which are IFCs were also considered, such as the United States (US), Spain, the Virgin Islands (British) (BVI), and the Cayman Islands.

The IOM Financial Crime Strategy 2024–2026[8] states in strategic objective two the Government's aim to "use a risk-based approach to identify risk, coordinate appropriate actions, and apply resources to ensure identified risk is addressed and mitigated." The Anti-Money Laundering and Countering the Financing of Terrorism (AML/CFT) Policy Office within the Government co-ordinates the NRA work. World Bank methodology was previously used for the 2015 and 2020 ML/TF NRAs and has been used again to provide consistency with previously published NRAs. Whilst this LPA NRA primarily focuses on ML risks, it also covers TF, which will enable the overlay on the TF NRA[9] to be undertaken, as detailed in the TF NRA recommended actions. Proliferation Financing (PF) is not covered in this NRA; a separate PF NRA will be published as part of the suite of NRAs. Over 14 months, a variety of working groups have met. In addition to those with law enforcement agencies (LEAs), other agencies, regulators, and Government, there has been extensive input from industry, particularly the TCSP sector. Via the Association of Corporate Service Providers (ACSP),[10] numerous › workshops and meetings have been held, and their input, guidance, and support has been critical to the production of this LPA NRA. In addition, the TCSP sector provided extensive data in early 2025 (referenced in this document as the "TCSP 2025 LPA Return") on their customer base. This data is used throughout this document on an aggregated, anonymised basis. The IOM Financial Services Authority (FSA) holds the underlying data supplied by each TCSP. In addition, data from the FSA, Companies Registry, LEAs, and the Income Tax Division (ITD) provides this NRA with a rich source of data to call upon. Support was also provided via the Legal, Accountancy/Tax, and Banking sectors. In collaboration with industry and based on the extensive data available (see **Chapter 1.4**), the IOM is able to demonstrate its understanding of the ML and TF risks from legal persons and arrangements.

LEGAL PERSONS AND ARRANGEMENT ENTITY TYPES AND THEIR MATERIALITY TO THE IOM

The IOM supports a number of legal persons and arrangements, which have a variety of characteristics, as explained in Chapters **4, 5**, and **6**. As summarised in **Figure 1-4** in **Chapter 1**, the most frequently used entities, which together account for **97.7%** of all LPAs, are:

- 1931 Act companies (**37.7%** of total[11]), primarily used by local trading companies, with **71.8%** of registrable beneficial owners (RBO) with the IOM as their country of residence
- 2006 Act companies (**24.5%** of total), which can only be incorporated by licensed IOM Registered Agents (which must be regulated by the FSA for Class 4 activity); **76.6%** of RBOs have an overseas (non-IOM) country of residence
- foreign legal persons (**9.1%** of total), comprising all foreign companies linked to the IOM; The majority of foreign legal persons will be linked with a TCSP or other party that is subject to the AML/CFT framework.
- trusts (**26.4%** of total); those managed and administered by the TCSP sector are a mixture of domestic and foreign trusts

NATIONAL THREATS

Threat from LPAs	Risk Assessment
National Money Laundering Threat Assessment	High
National Terrorist Financing Threat Assessment	Medium Low

The IOM faces a **High** ML threat and a **Medium Low** TF threat from LPAs. This assessment considers enforcement data, typologies, and expert input. ML continues to present the higher risk to the IOM set against an increasing threat landscape since the publication of the last ML/TF NRA in 2020. As an IFC, the bulk of the IOM's customer base consists of non-residents, both in terms of the number of clients as well as value of transactions. As a result, the majority of activities leading to funds being held in the jurisdiction occur outside of the IOM. Therefore, if funds are linked to criminal activity, the underlying predicate offence is most likely to have occurred outside of the Island. The IOM's primary ML risk lies in placement and layering of criminal proceeds.

The Island's LPA customer base is predominantly non-resident. There is always the risk that both the beneficial ownership and/or control of the legal persons or arrangements (which may combine, for example, trusts, shell companies, sham companies, and nominee arrangements) and the true purpose of the scheme (if an ML/TF purpose) will be obscured or concealed behind a complex or opaque multi-jurisdictional structure of LPAs.

Professionals (such as lawyers, accountants, and TCSPs) who may play some role in setting up or administering such structures, whether on the IOM or in another jurisdiction, may wittingly or unwittingly assist in that structure's operation for a criminal › purpose. They may be professional enablers who know or suspect that the property concerned is criminal property, or they may be used unwittingly if they do not discern what is the true purpose of the scheme. Some jurisdictions used in such multi-jurisdictional structures may have weaker supervision and regulation than others and the client may not have been properly understood and vetted. The rise of rapid electronic transfers, digital banking, and artificial intelligence (AI)-driven obfuscation techniques adds complexity to detection.

TF threats remain significantly lower than ML but are not negligible. Financial Action Task Force (FATF) publications highlight abuse of shell companies, front entities, and trade-based methods. The IOM's domestic TF threat is **Low**; however, its role as a potential transit jurisdiction for funds linked to overseas terrorism creates potential exposure.

Analysis of Suspicious Activity Reports (SARs) over the last five years shows that LPAs feature in **14.5%** of reports, compared to their **9.4%** share of the overall customer base of the Island (natural and non-natural persons combined). Mutual Legal Assistance (MLA) requests further confirm the cross-border nature of threats, with **36.7%** of incoming MLAs linked to LPAs. Criminal investigations increasingly involve complex multi-jurisdictional structures and there have been prosecutions of company directors and professional firms for offences ranging from value-added tax (VAT) fraud to Ponzi schemes. Civil penalties imposed by the FSA reveal recurring compliance failures in a small number of firms, such as inadequate beneficial ownership checks resulting in beneficial ownership register obligations not always being met and poor risk assessments of seemingly complex structures.

Jurisdictional analysis shows significant links to the UK, Ireland, and the US, with additional exposure to the higher-risk jurisdiction of the BVI. Trusts and companies administered by TCSPs often hold assets overseas, including real estate in the UK and Spain. Approximately **45.7%** of RBOs reside outside the IOM, amplifying oversight challenges.

If we take a vertical structure as referring to a combination of LPAs in the same jurisdiction and a horizontal structure to refer to a combination wherein the LPAs are spread across more than one jurisdiction, then complex structures, especially horizontal, multi-jurisdictional arrangements, pose heightened risks. While such structures can be legitimate for a range of reasons, including asset protection or tax planning, they can be exploited for ML. The IOM's Customs and Immigration Division (C&I) undertook an analysis of complexity of legal structures based on data from Financial Intelligence Unit (FIU) Intelligence Reports relating to sanctions. This provided an insight into a number of complex structures that often hold assets such as property, yachts, and aircraft. Working with the TCSPs, the structure diagrams were reviewed to reveal two common trends: trusts were commonly seen within the complex structures, often at the top of the structure; and the supervised entities knew the customers well and held the required documentation. Potential vulnerabilities include limited-service offerings (e.g., Registered Office, Registered Agent only); multiple directorships without adequate oversight, including those that sit outside of the regulated TCSP sector; and resistance by clients to regularly updating tax advice. The increasing use of AI by criminals and the potential misuse of digital currencies further complicate the threat landscape.

Documented typologies include:

- multi-jurisdictional splitting of entities and assets
- foreign ownership/control via shell companies
- use of trusts or foundations to obscure beneficial ownership
- fake identification during entity formation

SUMMARY OF THREAT LANDSCAPE

The IOM's ML threat is primarily external, driven by the laundering of the proceeds of foreign predicate offences and complex cross-border structures if they are not properly understood. While TF risks are significantly lower, potential vulnerabilities do exist. The effectiveness of mitigation in many cases depends on robust supervision of TCSPs by the FSA, enhanced data systems for beneficial ownership, and continued collaboration between regulators, law enforcement, and industry. Professional firms remain a critical line of defence but also a potential point of failure if controls are inadequate. ›

MITIGATING MEASURES AND NATIONAL VULNERABILITIES

Threat from National Vulnerabilities	ML Risk Assessment	TF Risk Assessment
Attractiveness for Non-Resident Incorporation	High	
Strength of Mitigating Measures to Prevent ML/TF	Medium	Medium High
National Vulnerability to ML/TF	Medium High	Medium

Overall, the national vulnerability to ML from legal persons and arrangements to the IOM is rated as **Medium High**. The TF vulnerability is rated as **Medium**.

The jurisdiction's attractiveness for non-resident incorporation (ANRI) is high, driven by the large and influential TCSP sector, experienced base of professional advisers, zero corporate tax on many activities, and strong political and economic stability. This score is anticipated for a jurisdiction that is an IFC.

The strength of mitigating measures is aimed at determining the strength of existing controls against abuse of legal structures in the IOM; this is rated as **Medium** for ML and **Medium High** for TF.

MULTI-PRONGED APPROACH TO BENEFICIAL OWNERSHIP

The IOM has a multi-pronged approach to beneficial ownership, with controls undertaken by Companies Registry; FSA customer due diligence (CDD) requirements imposed by law; FSA inspections; law enforcement powers; ITD controls; Obliged Entity access; Nominated Officer duties; and TCSP policies and procedures for onboarding and record keeping, also required by law.

Beneficial ownership information is held in a number of locations and readily available to law enforcement. **Figure A**, which is a simplified version of the fuller schematic in **Appendix 1**, shows where law enforcement can access this information, as well as the materiality for each entity type. Where information is not held on the central Beneficial Ownership database owned by Companies Registry, it is held by ITD or the TCSP (or another relevant person that has the entity as its customer, such as a bank).

The Beneficial Ownership Act 2017 (BOA) places IOM corporate and legal entities under the same legislation regarding RBO. It created a central database for the recording of RBO of legal persons. The central database went live in July 2017. The BOA requires each legal entity to which the Act applies to appoint a Nominated Officer who is a natural person ordinarily resident in the IOM. Where the legal entity is in receipt of corporate services comprising Class 4 regulated activity provided by a person licensed by the FSA, that person may undertake the responsibilities of the Nominated Officer, and in practice, this will typically be a TCSP. Overall, TCSPs are the Nominated Officer for **54.8%** of all companies to which the Act applies (see **Figure B**). ›

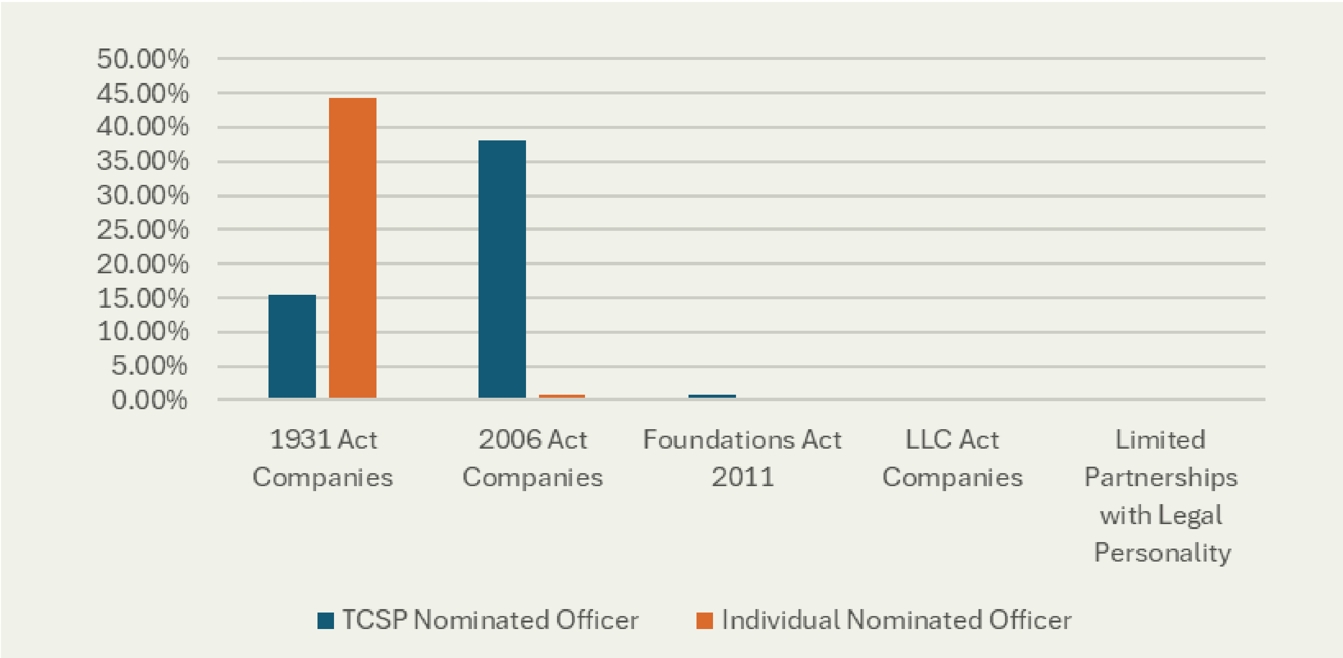
> The jurisdiction's attractiveness for non-resident incorporation (ANRI) is high, driven by the large and influential TCSP sector, experienced base of professional advisers, zero corporate tax on many activities, and strong political and economic stability."

Figure A: Locations of Where Registrable Beneficial Ownership Information Is Available to Law Enforcement

Control	Domestic Legal Persons							Foreign Legal Persons			Legal Arrangements	Partnerships	
	1931 Act Companies	2006 Act Companies	Foundations Act 2011	LLC Act Companies	Limited Partnerships with Legal Personality	Industrial & Building Societies	Credit Union	Foreign-Registered Companies	Foreign Companies-IOM tax resident	Foreign Companies	Trusts	Limited Partnerships without Legal Personality	General Partnerships
Number of entities as at 31/12/2024	15143	9831	211	91	107	6	1	484	847	2332	10596	89	404
Materiality: % of total	37.72%	24.49%	0.53%	0.23%	0.27%	0.01%	0.00%	1.21%	2.11%	5.81%	26.40%	0.22%	1.01%
IOM Beneficial Ownership Database	✔	✔	✔	✔	✔	×	×	×	×	×	×	×	×
Beneficial Ownership details with Income Tax Division	partial	partial	partial	partial	partial	partial	partial	✔	✔	×	partial	partial	✔
TCSP - hold where they administer client	held for clients	✔	✔	held for clients	✔	held for clients	held for clients	✔	✔	✔	✔	held for clients	held for clients

Source: Companies Registry and Income Tax Division

Figure B: Comparison of TCSP vs Individual Nominated Officers, as a Percentage of the Total to Which the Beneficial Ownership Act 2017 Applies



Source: Companies Registry

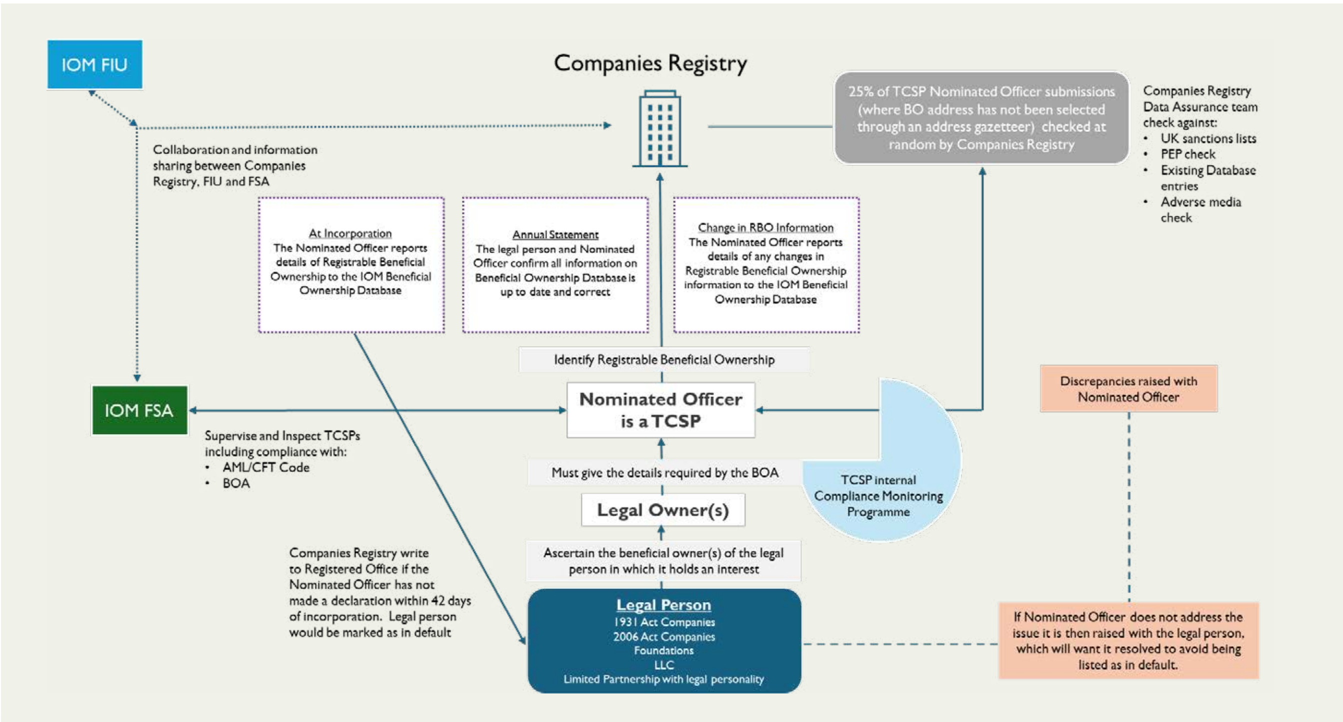
Mitigation measures are strong in many areas. The BOA established the central database, supported by verification mechanisms and civil penalties for non-compliance. Reporting is in place at incorporation, when there is a change, and annually. Companies Registry undertake the verification checks[12] on RBO information, looking for inconsistencies, and queries are raised if appropriate. **100%** of non-TCSP-submitted RBO is validated; **25%** of TCSP-submitted RBO, randomly selected, is validated. Queries are raised with the Nominated Officer, who is asked to take action. The onus is put on the Nominated Officer. ›

Certain persons (including an Obliged Entity[13]) are required to notify Companies Registry within one week if they know or suspect any entries on the Beneficial Ownership database to be materially incorrect or do not correspond with its own records. It is an offence if the person does not notify Companies Registry.

The FSA has oversight responsibilities to ensure that the BOA is complied with and that the Nominated Officer or TCSP complies with their obligations under the Act. It is a criminal offence not to comply with the Act. The Beneficial Ownership (Civil Penalties) Regulations 2022 added civil penalties to the existing criminal sanctions regime. It established fixed penalties of £1,000 or £5,000, depending on the nature of the offence. The FSA is responsible for overseeing compliance and imposing penalties. Civil penalties under this regime have been imposed since 2024.

Figure C shows a high-level summary of the process and controls in cases where the Nominated Officer is a TCSP. Appendix 2 has the process for cases where the Nominated Officer is a TCSP or an Individual.

Figure C: Registrable Beneficial Ownership Process Where the Nominated Officer is a Regulated (Class 4) TCSP



Source: FSA and Companies Registry

A number of agency bodies have access to the database for RBO information (see **Chapter 3.3.4**). If it falls outside, then the authorities have the power to request the information from the Nominated Officer.

The IOM provides online access to its Companies Registry basic company information. Beneficial ownership information is available to the Competent Authorities and (since 31 December 2024, enabled by the December 2024 BOA amendment) to obliged entities on request for the purpose of carrying out its function in respect of customer due diligence with the AML/CFT Code 2019 and the Gambling (AML/CFT) Code 2019. ›

RBO is not held centrally on the IOM Database of Beneficial Ownership for all legal person and legal arrangement types, such as foreign legal persons (see Chapter 5) and trusts (see Chapter 6). This risk is mitigated by licensed TCSPs holding beneficial ownership information, which is supplied to LEAs when requested. In addition, for approximately **15.5%** of companies, no RBO is held with Companies Registry. The relatively large percentage of TCSP-administered companies listed without any RBO(s) **(21.6%)** may be indicative of the presence of a discretionary trust in the structure above an IOM legal entity.

Figures 4-6a and **4-6b** in **Chapter 4** show the level of overseas RBO by legal person type and also overall for the IOM to provide context, noting that 1931 Act Companies and 2006 Act Companies account for the overwhelming majority of overseas RBO.

The FSA has an extensive range of outreach activities regarding beneficial ownership over the last 2 years (see **Chapter 3.2.7**).

OTHER MITIGATING MEASURES

The concept of a Nominee Director does not appear in IOM law. Where a TCSP provides a director(s) for a client company as part of its service offering to the customer, such directors are subject to the same common law duties as any other director; they must not restrict their powers to exercise their judgement independently.

While bearer shares are prohibited and all directors have a clear fiduciary duty, nominee shareholder arrangements outside regulated business remain a residual risk.

Since the publication of the last ML/TF NRA in 2020, Companies Registry has received additional resources and enhanced its controls, including identity verification and risk-based company assessments.

TCSPs play a pivotal role and are subject to comprehensive AML/CFT regulation and proactive supervision by the FSA, which employs data-driven tools and conducts regular inspections. The TCSP sector in the IOM continues to strengthen its controls to mitigate many of the inherent risks associated with its international and domestic activities. It is also engaging effectively with the authorities via a number of channels, including a TCSP-specific Financial Crime Partnership (FCP) group. The sector has been particularly supportive and involved in the production of the current suite of NRAs. However, vigilance remains crucial.

Ongoing global trends, such as the growth in cross-border business, development and evolution of digital payment methods, and the expansion of organised crime typologies, require the sector and authorities to continually adapt their risk management strategies and operational resilience.

Domestic interagency cooperation is highly effective, aided by the jurisdiction's small size and formalised forums such as the AML Group and public–private partnership initiatives. International information exchange mechanisms, including the exchange of notes with the UK and participation in Foreign Account Tax Compliance Act (FATCA)/Common Reporting Standard (CRS) frameworks, function well and support transparency. A summary of the AML/CFT framework is summarised in **Figure 1-5** in **Chapter 1.**

DOMESTIC LEGAL PERSONS

1931 Act companies

There are two separate but co-existing companies law regimes that are in place which account for the overwhelming majority (**98.4%**) of domestic legal persons: Companies Acts 1931–2004 (collectively referred to as the "1931 Act") and the Companies Act 2006. Both allow companies limited by shares, guarantees, or unlimited liability. 1931 Act companies require at least two individual directors, a company secretary, and a resident Nominated Officer under the BOA. Corporate directors are prohibited. Companies must maintain statutory records at a physical Registered Office on the Island. Incorporation is relatively quick and cost-effective, reducing the need for "shelf" companies. The Companies (Transfer of Domicile) Act 1998 permits foreign companies to redomicile to the IOM, preserving their legal identity. Most inbound transfers originate from BVI, Jersey, Guernsey, and Gibraltar. While this offers continuity benefits, it introduces potential risk where companies migrate from jurisdictions with weaker AML regimes. The IOM also acts as an origin jurisdiction for companies moving abroad.

As of December 2024, there were 15,143 registered 1931 Act companies, mostly private limited by shares. TCSPs administer approximately **27%** of these entities. Ownership changes and complex structures are possible but typically require professional advisers. These companies are widely used for local trading, while TCSP-managed entities often hold overseas assets such as real estate and investment portfolios, which could potentially be attractive for money laundering. ›

Companies Registry collects beneficial ownership data under the BOA. **28.2%** of RBOs are overseas, with the UK being the largest foreign jurisdiction. Only **2.9%** of RBOs are in higher-risk jurisdictions, indicating a low exposure. TCSP involvement significantly mitigates risk through their AML/CFT obligations, but **10.9%** of overseas RBOs have individual (non-TCSP) Nominated Officers, which may increase vulnerability.

Law enforcement data shows low incidence of 1931 Act companies in ML/TF cases, with only **0.4%** of SARs specifically referencing them. Cross-border risk is limited as most activities occur in the IOM or the UK. However, **22.1%** of foreign Politically Exposed Persons (PEPs) identified by TCSPs are linked to these companies, mainly from the UK, Saudi Arabia, and the United Arab Emirates (UAE). TCSP oversight (and FSA supervision of TCSP sector) and verification checks by Companies Registry act as key mitigants.

The overall ML risk rating is **Medium**, and the TF risk rating is **Medium Low**.

2006 Act companies

The 2006 Companies Act introduced more simplified corporate vehicles requiring incorporation through regulated TCSPs holding a Class 4 licence with the FSA. These companies must appoint a resident Nominated Officer and a Registered Agent, ensuring compliance with the BOA and AML/CFT obligations. As of December 2024, there were 9,831 registered companies, making them the second-most common legal person in the jurisdiction. While formation is relatively straightforward, the sector shows significant cross-border exposure, with **76.6%** of RBOs overseas and **9.2%** in higher-risk jurisdictions, including Monaco and Nigeria. Common uses include equity holding, real estate, and investment portfolios, often within complex multi-jurisdictional structures, which add governance and layering risks. Law enforcement data indicates low SAR incidence (**3%** specifically referencing a 2006 Act company) but higher MLA involvement (**13.6%**), suggesting potential attractiveness for cross-border laundering despite limited prosecutions. Foreign PEP (FPEP) exposure is comparatively significant, with **50.8%** of foreign PEPs recorded by TCSPs in the 2025 LPA Return linked to 2006 Act companies. Overall, reliance on TCSP oversight mitigates many risks but concentrates systemic risk if TCSP compliance weakens. The overall ML risk rating is **Medium**, and the TF risk rating is **Medium Low**.

Foundations

Foundations registered under the Foundations Act 2011 are distinct legal entities with separate personality, introduced in 2012. They lack shareholders and operate through a Council to pursue specific objects: charitable, private, or commercial. Establishment requires a Registered Agent (a TCSP), who ensures AML/CFT compliance and beneficial ownership reporting. As of December 2024, 211 Foundations were registered (constituting **0.53%** of all legal persons), with formation costs and processes similar to 1931 Act and 2006 Act companies. Foundations are often used for wealth preservation, philanthropy, or as Special Purpose Vehicles (SPV), offering transparency and legal personality compared to trusts. Risk factors include overseas beneficial ownership (**47.1%**, mainly in Ireland and the UK) and structural complexity, but these are mitigated by TCSP oversight and regulatory obligations. Law enforcement data shows minimal ML/TF typologies (**1%** SARs specifically reference a Foundation, no prosecutions), and cross-border exposure is low. Overall, Foundations present a **Medium Low** risk for both money laundering and terrorist financing.

Limited liability companies

Limited liability companies under the Limited Liability Companies Act 1996 are separate legal entities offering limited liability and tax transparency, making them attractive for holding companies, joint ventures, asset protection, estate planning, and SPVs. As of December 2024, only 91 LLCs were registered (**0.23%** of all legal persons), but nearly **45%** of their RBOs are overseas, with **6.1%** in higher-risk jurisdictions. While law enforcement data shows low direct involvement in ML/TF cases, LLCs are specifically referenced in **4%** of SARs – disproportionate given their small number, indicating potential occasional misuse in cross-border structures and high-value asset holdings. Reliance on TCSPs for compliance is significant, as over half of LLCs have TCSP involvement. Overall, LLCs present a **Medium Low** risk for both money laundering and terrorist financing.

Limited partnerships with legal personality

Limited Partnerships with Legal Personality under the Partnership Act 1909 numbered 107 as of December 2024 (constituting **0.27%** of all legal persons); they offer operational autonomy, such as owning assets and contracting, while maintaining tax transparency. They are primarily used for investment structures, asset holding, and joint ventures. Although they have a small domestic footprint, they exhibit international exposure, with ›

92.3% of RBOs based overseas, mainly in the UK and Ireland. Risk factors include cross-border ownership and concentration in high-value assets, but law enforcement data shows minimal involvement in ML/TF cases, and SARs specifically referencing partnerships[14] average only **1%**. Formation is straightforward, costs are comparable to other entities, and beneficial ownership information is regulated under the BOA. Overall, the ML and TF risk ratings are assessed as **Medium Low**, reflecting low materiality but moderate cross-border risk.

Industrial and building societies

Governed primarily by the Industrial and Building Societies Acts of 1892, these societies are permitted to engage in specified industries and trades but cannot operate as banks. They are not subject to the BOA, meaning beneficial ownership details and Nominated Officers are not required. The structure is rarely used, with the last incorporation in 2016 (Manx Credit Union, later re-registered under the Credit Union Act). As of December 2024, only six societies exist, representing **0.01%** of legal persons and arrangements, and are publicly listed. Due to their limited number and local profile, they pose a **low** risk for both ML and TF.

FOREIGN LEGAL PERSONS

The IOM as an IFC commonly deals with foreign legal persons which are linked to TCSPs. Three main categories are:

1. foreign-registered companies – Incorporated abroad but registered under the Foreign Companies Act 2014 when they establish a place of business, or own land, in the IOM
2. foreign companies – IOM Tax Resident, incorporated abroad but centrally managed and controlled from the IOM
3. foreign companies – neither registered nor tax resident, but administered by IOM TCSPs[15]

The scale of foreign legal persons are:

- foreign-registered companies: 484 (numbers have been declining since 2020)
- foreign companies – IOM Tax Resident: 847
- foreign companies: 2,332 (**63.7%** of foreign legal persons)

A number of the key vulnerabilities in this area are: potentially opaque ownership as they sit outside the BOA, although TCSPs must hold the beneficial ownership data; and cross-border exposure (by jurisdiction of principal activity) concentrated in the UK (**22.6%**), USA (**14%**), and BVI (**7.5%**). Mitigants to the risks include: TCSP oversight, Economic Substance rules for tax-resident entities, and international cooperation.

Inherently, foreign legal persons carry an additional cross-border threat to the IOM. Across the three foreign legal person types, there is exposure to 22 List B jurisdictions (see Appendix 7) but no List A exposure. Potential imported risks from top 5 jurisdictions (the UK, the US, Spain, the BVI, and the Cayman Islands) include:

- misuse of legal entities and complex structures
- professional enablers facilitating laundering
- real estate and luxury assets as laundering channels

TCSPs are critical for risk mitigation.

All three types are rated **Medium High** for their ML risk and **Medium Low** for TF risk.

DOMESTIC AND FOREIGN LEGAL ARRANGEMENTS

Trusts separate the legal ownership of a variety of assets from the right to use and benefit from those assets. As stated by the FATF, they are widely used for asset protection, succession planning, tax optimisation, and privacy. IOM trust law is based on common law principles, supplemented by local statutes such as the Trustee Act 1961 and Trusts Act 1995. Trusts are not separate legal entities; trustees hold legal title and manage assets under the trust deed.

The FSA regulates the provision of trust services, requiring a Class 5 licence. AML/CFT obligations apply under the Proceeds of Crime Act 2008 and related Codes, including requirements for unregulated trustees. Beneficial ownership information must be collected for all parties (settlor, trustees, beneficiaries, protector, and any controlling persons). There is no central trust register; information is sourced by LEAs from TCSPs and other intermediaries.

The scale and use of trusts are:

- **10,596** trusts are managed by TCSPs.

- Common uses include life insurance wrappers, pensions, family wealth structuring, charitable purposes, and cross-border transactions. ›

- Assets are mainly life policies (**48.7%**) and securities (**33.2%**). Most assets (**73%**) and governing jurisdictions (**58%**) are IOM-based, followed by the UK.
- Discretionary trusts dominate (**41%** of trusts, holding **78.5%** of assets).
- Private trust companies (PTCs) are more niche (**3.2%** of trusts); they may be used by high-net-worth families for control and governance.

The risks and threats are:

- There is a medium incidence of trusts in ML cases (**14%** of SARs specifically mention trusts); no TF cases.
- Cross-border exposure exists, with some parties and distributions linked to higher-risk (List B) jurisdictions.
- Revocable trusts (**4.8%**) pose a higher risk due to potential abuse; discretionary trusts also present vulnerabilities.
- Complex multi-layered structures and lack of central registration increase transparency challenges.

Overall, trusts are rated **Medium High** for ML and **Medium Low** for TF.

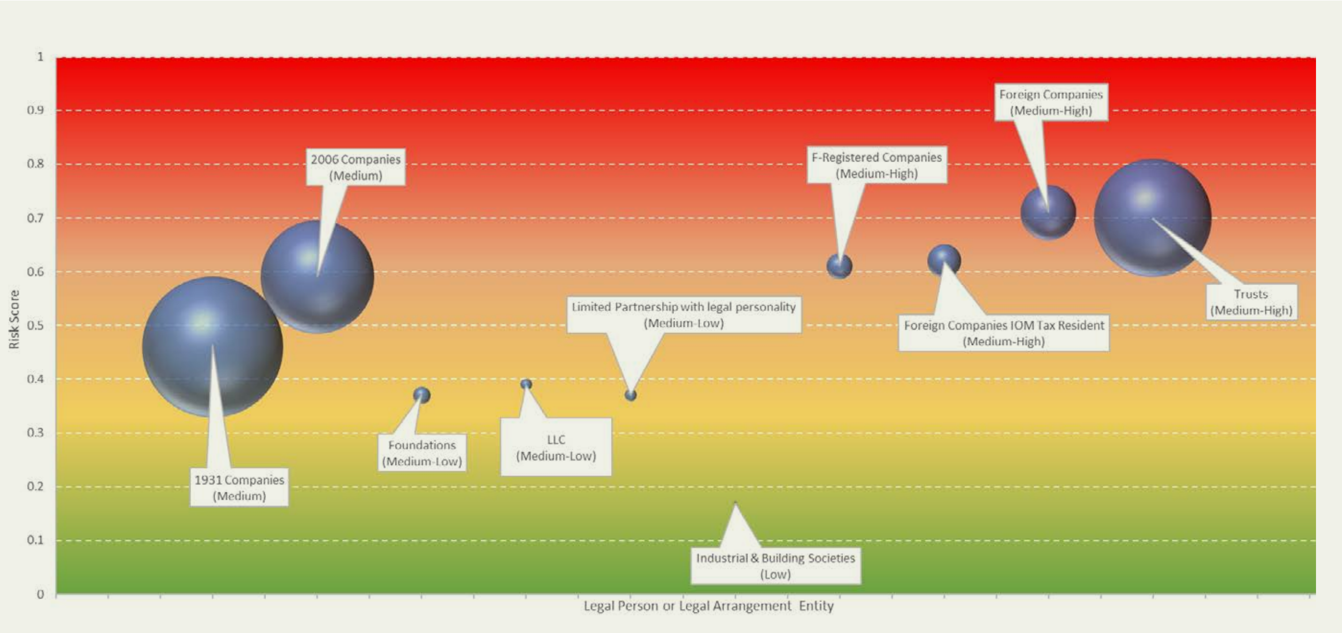
Limited partnerships without legal personality and general partnerships

Both limited partnership without legal personality and general partnerships are governed by the Partnership Act 1909 and are not separate legal entities. Assets and liabilities are held by partners directly. Limited partnerships require registration and must have at least one general partner with unlimited liability and one or more limited partners. General partnerships involve shared liability and management.

In accordance with the methodology designed by the World Bank, the entities were assessed and each entity given a risk score (with the exception of Manx Credit Union, limited partnerships without legal personality and general partnerships) (see **Figure D** for the overall ML risk scores by entity). **Figure E** shows the ML and TF scores in table format, in addition to several key entity-level metrics. The number of each entity type is represented by the size of the circle in **Figure D**, the largest being 1931 Act companies. ›

IOM trust law is based on common law principles, supplemented by local statutes such as the Trustee Act 1961 and Trusts Act 1995."

Figure D: LPA Overall Entity ML Risk Scores



Source: World Bank Tools

Figure E: Overall ML and TF Entity Type Scores, In Addition to Entity Level Key Metrics

	Domestic Legal Persons							Foreign Legal Persons			Legal Arrangements	Partnerships	
	1931 Act Companies	2006 Act Companies	Foundations Act 2011	LLC Act Companies	Limited Partnerships with Legal Personality	Industrial & Building Societies	Credit Union	Foreign-Registered Companies	Foreign Companies- IOM tax resident	Foreign Companies	Trusts	Limited Partnerships without Legal Personality	General Partnerships
Number of entities as at 31/12/2024	15,143	9,831	211	91	107	6	1	484	847	2,332	10,596	89	404
Materiality: % of total	37.7%	24.5%	0.5%	0.2%	0.3%	0.0%	0.0%	1.2%	2.1%	5.8%	26.4%	0.2%	1.0%
Beneficial Ownership by Country of Residence: Overseas (non-IOM). Percentage For Each Entity Type	28.2%	76.6%	47.1%	44.7%	92.3%			56.4%					
Beneficial Ownership by Country of Residence: Overseas (non-IOM). Percentage of the Total Population	38.2%	57.2%	1.3%	0.4%	1.0%			1.9%					
FIU SARs data: where entity specifically recorded	0.4%	3.0%	1.0%	4.0%	1.0%	-	-	-	-	-	14.0%	see Ltd P'ship	-
Inward MLAs data: where entity specifically recorded	7.0%	13.6%	1.0%	-	-	-	-		9.5%		5.5%	-	-
Level of Principal Activity Exposure to List A & B Countries (or Trust parties by Nationality)	2.2%	2.8%	0.8%	-	3.6%	-	-	12.6%	18.2%	9.0%	11.9%		
ML Rating	Medium	Medium	Medium Low	Medium Low	Medium Low	Low		Medium High	Medium High	Medium High	Medium High		
TF Rating	Medium Low	Medium Low	Medium Low	Medium Low	Medium Low	Low		Medium Low	Medium Low	Medium Low	Medium Low		

Source: Source: Companies Registry, Income Tax Division, and TCSP2025 LPA Return

Both this LPA NRA and the recently published TF NRA[16] used World Bank methodology and tools for the analysis. **Figure F** shows the comparison of scores for threat and vulnerability in both risk assessments.

Figure F: Comparison of TF Threat and Vulnerability Scores

Risk Assessment	Category	Rating
LPA NRA – TF Score	Threat	Medium Low
LPA NRA – TF Score	Vulnerability	Medium
TF NRA	Threat	Medium Low
TF NRA	Vulnerability	Medium

Source: World Bank Tools

ARTIFICIAL INTELLIGENCE AND LPAS

AI is emerging as both an enabler of financial crime and a tool for stronger compliance. Criminals are increasingly using AI to create synthetic identities, manipulate documents, and design complex, multi-jurisdictional structures that obscure beneficial ownership. These techniques amplify existing ML risks linked to foreign predicate offences and cross-border arrangements. At the same time, AI offers opportunities for regulators and industry to enhance detection through advanced analytics, deepfake screening, and structure risk scoring.

CONCLUSION

The global financial crime threat landscape continues to evolve and intensify, driven by increasing cross-border activity, technological advancements, and the growing sophistication of organised and transnational criminal networks. This trend is not unique to the IOM; rather, it reflects a broader international challenge faced by all IFCs. While the Island benefits from strong political and economic stability and a well-developed regulatory framework, its position as a global financial hub means it remains exposed to external risks, particularly those linked to foreign predicate offences and complex, multi-jurisdictional structures if they are not properly understood. These dynamics underscore the need for ongoing vigilance and adaptive strategies to maintain resilience against ML/TF threats.

Both law enforcement agencies and the TCSP sector consistently identify complex, multi-layered structures spanning multiple jurisdictions as carrying heightened risk. Such structures, if not properly understood and managed appropriately, can be exploited to obscure beneficial ownership, facilitate layering, and move illicit funds across borders. However, these risks are significantly mitigated when structures are properly understood, and when professional advisers ensure that governance and tax positions are reviewed periodically and remain compliant with applicable laws. Enhanced transparency, robust due diligence, and proactive engagement between authorities and industry are essential to reducing vulnerabilities associated with these arrangements. TCSPs play a pivotal role in the IOM's financial ecosystem and are central to mitigating many of the risks identified in this assessment. Their responsibilities under the BOA, combined with comprehensive AML/CFT obligations and proactive supervision by the FSA, make them a critical line of defence against misuse of legal persons and arrangements. The effectiveness of these controls depends on the strength of TCSP compliance frameworks, including customer due diligence, ongoing monitoring, and risk-based approaches to complex structures. The engagement of most of those in the TCSP sector in producing this NRA and their willingness to share data demonstrates their commitment to safeguarding the jurisdiction. Looking ahead, maintaining a robust and adaptive risk management framework will require sustained collaboration between government, regulators, law enforcement, and industry. Continued investment in systems, data analytics, and interagency cooperation will be vital to address emerging typologies and technological developments, such as AI-driven obfuscation and digital assets. The IOM's strategy must remain dynamic, informed by international standards and best practices, and supported by strong governance within the TCSP sector in particular. By reinforcing these measures, the Island can preserve its reputation as a well-regulated IFC while effectively managing the increasing complexity of global financial crime risks. ›

RECOMMENDED ACTIONS

This LPA NRA identifies a number of areas where work could enhance the controls and help further mitigate the threats identified. **Figure 1-7** in Chapter 1 shows the relationship between key national documents and how they link to the overall Our Island Plan, with the substantive actions from the NRAs being added to the National Action Plan,[17] which will then be published. The areas for potential improvement have been aligned with the four strategic aims from the National Financial Crime Strategy, summarised below, which support the overall mission of 'an all-Island approach to tackling financial crime'.

Public sector and industry work together to achieve a common goal of meeting international standards.

Complex Structures: Typologies (Chapter 2.3.2.1)

For both authorities and industry, the understanding of complex structures is good but still developing. To further enhance the understanding, there should be the publication by the FIU of additional typologies. (Examples have been published in the FIU's "Online Gambling: Red Flags for ML, TF and PF" document.[18])

Complex Structures: NRA (Chapter 2.3.2.1)

Consideration to be given to the writing of a bespoke National Risk Assessment with analysis of complex structures with an IOM connection.

Complex Structures: Enhanced Data (Chapter 2.3.2.1)

Any future data outreach requests to the TCSP sector should look at seeking further detail on complex structures (where available) so that a deeper understanding of all jurisdictions and asset types and locations is captured in the national data. The TCSP 2025 LPA Return did not seek details of every entity within all structures, which would have provided greater granularity on the ultimate asset, activity, and jurisdiction.

Affiliates: Typology (Chapter 2.4)

It is recommended that the FIU add a typology (or several) relating to affiliates in a future typology publication.

Limited Services Offered by TCSPs: Registered Office, Registered Agent Service (Chapter 2.3.2.6)

Limited services provision is widely regarded as posing a potentially higher inherent risk of ML/TF. The Financial Crime Partnership TCSP group[19] have listed each limited service, the risk, and possible mitigation which may decrease the risk. It is recommended that the group publish a "hints and tips" paper including case studies, which will be shared from the FCP group with the ACSP.

Unlicensed Individuals Offering Multiple Directorships (Chapter 2.3.2.5)

There is a risk of unlicensed individuals offering multiple directorship services (beyond any applicable exemption or exclusion). The FSA continually monitors the perimeter for unlicensed TCSP activity. Companies Registry have recently started to monitor the perimeter and will raise a SAR with the FIU if required or advise the FSA if they suspect unlicensed TCSP activity is taking place. **Figure 2-17** shows the number of companies registered per unique address. It is recommended that further work is undertaken by the FSA and Companies Registry to review this data for any possible outliers where non-TCSP addresses have multiple registered companies.

›

1931 Act Companies Not Administered by a TCSP (Chapter 4.1.4)

Recognising that most (**73%**) 1931 Act companies are not administered by a TCSP, it is recommended that the authorities may wish to explore whether additional information could be obtained for these entities to support future risk analysis. This would enable further analysis on potential threats related to: common directors; multiple companies using the same Registered Office address; any form of administration by another professional under an applicable exemption/exclusion to licensing.

Non-TCSP Trustees (Chapter 6.4)

In addition to those involved in TCSPs, certain other parties may be permitted to act as trustee by way of business, utilising applicable exemption(s) from licensing provided in the Financial Services (Exemptions) Regulations 2011 – for example, 'de-minimis activities'. These parties are still obliged to comply with the Code,[20] and if they are registered as a Designated Non-Financial Business or Profession (DNFBP), they would be routinely supervised by the FSA in respect of AML/CFT. However, an action is recommended to continue to monitor those specified persons utilising such exemptions not subject to routine supervision by the FSA.

High-Risk Entities Not Managed by a TCSP (Chapter 3.3.3)

The FSA has undertaken a risk rating process on all legal entities on the Companies Registry, based on the beneficial ownership information that has been declared, and identified a very small number (c. **0.3%**) of all legal persons[21] that potentially pose a high risk but which are not managed by a TCSP. The FSA should continue developing a strategy for how it might review/inspect a proportion of these cases in respect of compliance with the requirements of the BOA.

Actions are informed and driven by best practice and standards, both domestically and internationally.

Methodical Tagging of Entity Types by Agencies (Chapter 1.4)

Across a number of the agencies, the methodical tagging of entity-types is incomplete in historical datasets; therefore, it is recommended that agencies look at how they can enhance the data going forward. This will allow LPA-specific key performance indicators (KPIs) to be enhanced and reported through governance.
The FIU will also look at how their database(s) might be enhanced (**Chapter 2.2.1**) to provide more granular detail on SARs.

Foreign Legal Persons Administered by TCSPs (Chapter 5.1)

It is recommended that further analysis and possible consultation is undertaken on foreign legal persons which are administered by TCSPs in the IOM. Where central management and control is exercised in the IOM, such companies are considered to be tax resident and may also qualify as having "sufficient links" for the purposes of FATF Recommendation 24.[22] In the case of the latter, ITD will already hold similar information to that required under the BOA. This analysis could consider whether there is a "sufficient link" and, if so, how tax and Recommendation 24 requirements might be aligned/streamlined to avoid double reporting. If further sufficient links elsewhere are identified from this analysis, then these categories will also be analysed further.
For foreign-registered companies, Companies Registry are considering further analysis and a possible consultation to see if some categories or all of the companies should be added to the BOA, noting that ITD will already hold similar information to that required under the BOA.

Proposed Updating of the RBO Definition and Natures of Interest (Chapter 3.2.7)
It is recommended that the definition of RBO under Section 3 of the BOA be amended by secondary legislation to ensure greater alignment with the FATF requirements. This, including further consultation, will take place in 2026: The amendment will restrict the percentage threshold relevant to the direct or indirect ownership of a legal entity through shares to a maximum of **25%**. The guidance will be revised to provide more clarity regarding the application of the percentage threshold and more generally how beneficial ownership must be determined.

The Island is an active participant in the global fight against financial crime.

Annual Returns Late Filing Penalties (Chapter 3.3.1)
Companies Registry have the power to apply penalties if annual returns are filed late.[23] Currently, the fines are £100 if late by 1–3 months and £250 if more than 3 months. It is recommended that these fines are reviewed to ensure they are sufficiently dissuasive. Consideration should also be given to late filing fees in respect of submissions required under the BOA.

Nominee Shareholders (Chapter 3.3.9.3)
The recommendation is to consider an update to the Companies Act 1931 and the Companies Act 2006 to require a person acting as a nominee shareholder, doing so other than by way of business, to give notice to the company and to the Companies Registry of the nominee status and the identity of the nominator. Companies Registry will hold that information as a matter of public record.

All stakeholders have the resources they need to effectively identify and respond to ML/TF/PF threats.

System Enhancements at Companies Registry (Chapter 3.3.1)
Companies Registry have invested over recent years in enhancing their people and systems; however, it is recommended that analysis is undertaken on the existing systems and if enhancements could be made which would further improve the controls applied by Companies Registry.

Review of Multiple Directorships in the TCSP sector (Chapter 2.3.2.5)
The number of controlled function role holders with client appointments in the TCSP sector was reviewed. For company directorships, **13.4%** have 101 to 200 and **7.8%** have more than 200. For trusteeships, **24.8%** have 101 to 200 and **3.9%** have more than 200. Further analysis should be considered in conjunction with the TCSP sector to better understand how firms monitor the number of roles an individual holds, in what capacity, and their ability to perform the roles when multiple positions are held in a professional capacity.

HOW INDUSTRY SHOULD USE THIS LPA NRA

Businesses in the regulated sector are obliged to undertake and maintain a Business Risk Assessment (BRA) which must have regard to any relevant findings of the most recent NRA relating to the Island. Therefore, industry must be able to show how they have considered and mitigated the relevant risks identified in this NRA. Given a number of NRAs are being published over the course of a few months, it is acceptable to consider each NRA as it is published but update the overall BRA at its next formal review date. Consideration should also be given to the Customer Risk Assessment (CRA) and Technology Risk Assessment and if these require updating. ■

1. Introduction

1.1 Overview

The IOM is an established IFC with sectors including Banking, Insurance, Investment, TCSPs, and professional firms (e.g. lawyers and accountants). The Island is home to a number of global financial services firms, ranking 51st on the Global Financial Centres Index[24] published in September 2025.

Like other IFCs, the IOM's customer base is predominantly non-resident. **Figure 1-1** shows the top 10 country distribution by percentage for non-natural persons and Ultimate Beneficial Owners (UBOs) in 2024 and **Figure 1-2** shows the top 10 jurisdictions for cumulative inflows and outflows for the period 2020 to 2024 in relation to activity in the Banking sector. Therefore, activities that result in funds being linked to the Island will take place largely outside of the jurisdiction. As a result, the Island's exposure to money laundering is often derived from foreign predicate offences. The Government's Financial Crime Strategy 2024–2026[25] and the strategy and policies of law enforcement, the regulators and relevant bodies are structured and resourced with this in mind. Further insight into the IOM is provided in "A Profile of the Isle of Man 2025"[26]. ›

Figure 1-1: Top 10 Jurisdictional Exposure for Non-Natural Persons and Ultimate Beneficial Owners 2024

Non-Natural Persons	
Country	**%**
United Kingdom	40.57%
Isle of Man	36.72%
Germany	3.95%
Malta	3.14%
Gibraltar	2.79%
Jersey	1.46%
British Virgin Islands	1.37%
Sweden	1.31%
Cayman Islands	0.98%
United Arab Emirates	0.83%
Sum of the Top 10	**93.12%**

Ultimate Beneficial Owners	
Country	**%**
United Kingdom	53.42%
Isle of Man	18.98%
Guernsey	3.00%
Malta	2.28%
Gibraltar	2.21%
South Africa	2.05%
Jersey	1.84%
Ireland	1.29%
United Arab Emirates	1.27%
United States of America	1.17%
Sum of the top 10	**87.51%**

Source: FSA

Figure 1-2: Top 15 Jurisdictions for Inflows and Outflows 2020–2024 in the Banking Sector

Top 15 Inflows 2020/4	
Name	**%**
UK	50.5%
USA	12.2%
Germany	10.2%
Isle of Man	4.5%
Jersey	3.1%
Switzerland	1.9%
France	1.5%
South Africa	1.4%
Luxembourg	1.4%
Ireland	1.3%
Mauritius	1.1%
Guernsey	0.9%
Hong Kong, China	0.8%
Netherlands	0.7%
Malta	0.6%

Top 15 Outflows 2020/4	
Name	**%**
UK	46.5%
USA	12.4%
Germany	11.3%
Isle of Man	4.6%
Switzerland	3.1%
Jersey	2.8%
South Africa	1.6%
India	1.3%
Singapore	1.3%
United Arab Emirates	0.9%
Belgium	0.9%
Luxembourg	0.8%
Ireland	0.8%
Australia	0.8%
Hong Kong, China	0.8%

Source: FSA

The IOM has a diverse economy, with company income representing the largest share, **63.4%**, of GDP in 2022/23. Personal income contributes a further **32.3%.** The Island supports a workforce of over 36,000 people and maintains a low unemployment rate of approximately **0.7%.** There are no restrictions on property ownership for either residents or non-residents.

The Island offers robust legal and fiduciary services, modern infrastructure, and a skilled workforce. Its reputation as a well-regulated and trusted international business centre is further enhanced by its proximity to the City of London, a major global financial hub. The IOM's business model provides international enterprises with political and economic stability, low taxation, and reliable digital infrastructure. It benefits from a comprehensive legal framework, strong international compliance, and access to an efficient judicial system. The Life Insurance sector remains the leading financial industry, serving a global client base, while iGaming is a significant non-financial sector.

The IOM operates a transparent and responsible tax regime. It has a long-standing commitment to meeting international standards set by organisations such as the FATF and the Organisation for Economic Co-operation and Development (OECD). The Island is recognised by both the International Monetary Fund and OECD for its adherence to global transparency and information-sharing obligations.

The IOM maintains close historical, cultural, and economic ties with the UK. As a result, trade with the UK continues to play a central role in the Island's economic model.

Analysis of data at a jurisdictional level shows that the IOM has a low exposure to higher-risk countries;[27] the main sectoral exposure is from Banking and Insurance relating to a small number of licenceholders established in the IOM for many years. The number of PEPs is also low (less than **1%** of the total customers), mainly related to Banking and a smaller number to TCSPs. The 2024 datasets classified South Africa as higher-risk; now that South Africa is removed from the list of jurisdictions under increased monitoring, the figures will decrease. ›

Figure 1-3: Why Customers Choose the IOM

The IOM attracts international business interest due to a combination of geographic, regulatory, skilled workforce, and economic factors. Its location between the United Kingdom and the Republic of Ireland facilitates cross-border commercial activity, particularly for firms with multi-jurisdictional operations. Historical and economic ties with the North West of England and London further support business connectivity.

Government policy has played a role over many years in shaping a business-oriented environment, with streamlined company registration processes and a stable legal framework. The Island's tax regime, featuring a **0%** corporate tax rate for most sectors and a **10%** rate for Banking and Retail, remains a factor for cross-border investors.

The IOM hosts a skilled workforce with expertise in both financial and designated business sectors. The presence of internationally active service providers contributes to the Island's profile. The Island's cost base and access to UK and Irish professionals enhance its competitiveness.

A number of firms, including TCSPs, are part of wider international groups, some of which pass business to their IOM offices for their expertise, access to a network of professionals, and competitive cost base. Clients often have a number of professional advisers, including lawyers and accountants, in several jurisdictions; the IOM is one part of that overall picture.

Long-standing relationships with markets such as the UK, USA, Europe, and South Africa have supported client retention, often developed over decades, and have created established business corridors. New customers are usually introduced by overseas offices of the IOM firm or via other professionals; it is unusual for a customer to approach a firm without an introduction and an unannounced 'walk-in' is often treated as a 'red flag'.[28]

Customers may have relationships with more than one jurisdiction and their structures may also be multi-jurisdictional. Ultra-high-net-worth customers can have connections across jurisdictions to spread their risk and protect their assets from the risk of only having one jurisdiction; this is a common risk-hedging strategy. The IOM can be one of these jurisdictions in the customer's portfolio.

Government policy has played a role over many years in shaping a business-oriented environment, with streamlined company registration processes and a stable legal framework. The Island's tax regime, featuring a **0%** corporate tax rate for most sectors and a **10%** rate for Banking and Retail, remains a factor for cross-border investors."

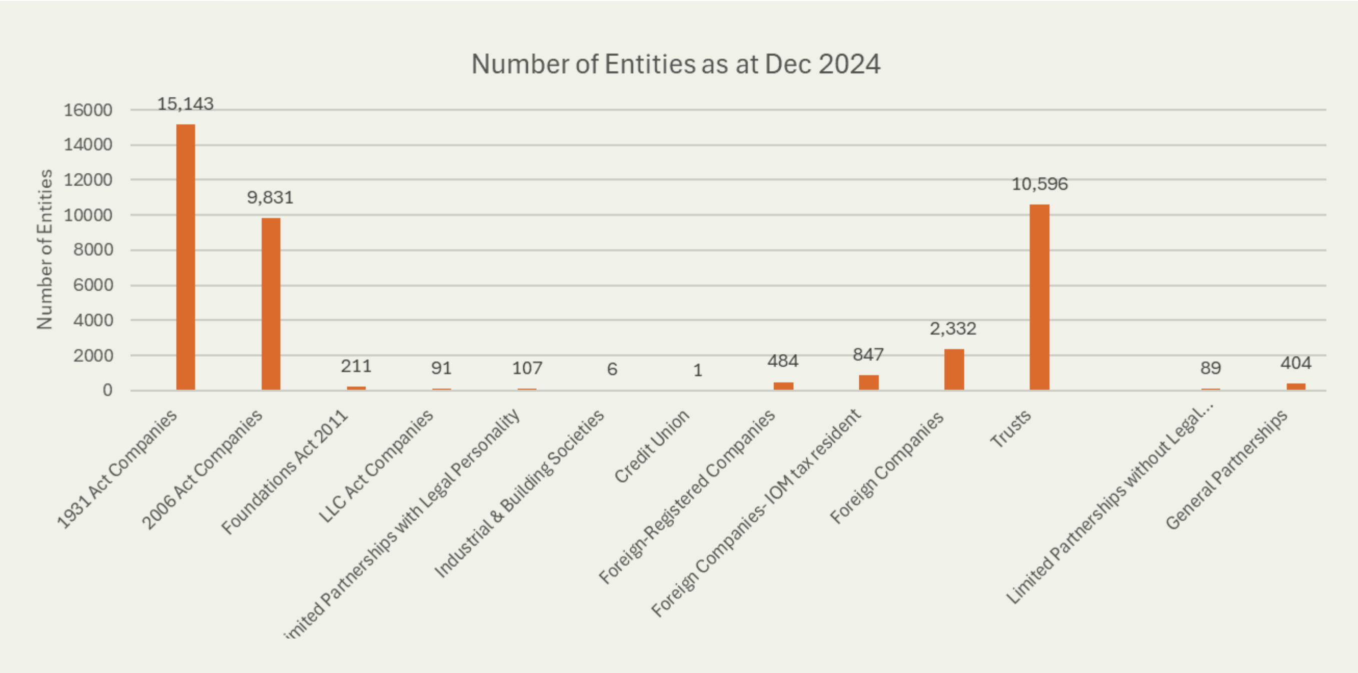
1.2 Legal persons and arrangement entity types and their materiality to the IOM

The IOM infrastructure supports a number of LPAs, which have a variety of characteristics, as explained in **Chapters 4, 5**, and **6**. As displayed in **Figure 1-4**, the most frequently used entities are:

- 1931 Act Companies (**37.7%** of total) – primarily used by local trading companies with **71.8%** of RBO[29] with the IOM as their country of residence
- 2006 Act companies (**24.5%** of total) – only licensed IOM Registered Agents can incorporate a 2006 Act Company. **76.6%** of RBOs have an overseas (non-IOM) country of residence.
- foreign legal persons (**9.1%** of total) – comprising all foreign companies linked to the IOM. The majority of foreign legal persons will be linked with a TCSP or other party that is subject to the AML/CFT framework.
- Trusts (**26.4%** of total) – the trusts managed and administered by the TCSP sector are a mixture of domestic and foreign trusts.

IOM trust law is based on common law principles, supplemented and enhanced by legislation which, for the most part, mirrors its English equivalents. A Manx[30] trust is not a legal entity; all the business of the trust is carried on by and in the name of the trustees. ›

Figure 1-4: Number of Legal Persons and Arrangements in the IOM



Sources: Companies Registry, Income Tax Division, TCSP 2025 LPA Return, FSA AML/CFT 2024 Return

The BOA places a number of the IOM legal persons under the same legislation regarding beneficial ownership. It created a central database for the recording of RBO of legal persons. The central database went live in July 2017. RBOs are located across 148 jurisdictions, which supports the position of the IOM as an IFC with substantial cross-border business. The most common reported jurisdictions for RBO are: the IOM (**54.3%**); UK (**15.0%**); and UAE (**1.9%**).

SCOPE

The following legal persons and arrangements are within scope of this NRA:

Domestic Legal Persons

- 1931 Act companies
- 2006 Act companies
- LLC Act companies
- Limited partnerships with legal personality
- Foundations Act foundations
- Industrial and Building Societies

Foreign Legal Persons

- Foreign-registered companies
- Foreign companies (IOM tax resident)
- Foreign companies

Domestic and Foreign Legal Arrangements

- IOM and non-IOM trusts[31]

The following are discussed but not analysed using World Bank methodology:

- Credit Unions: there is only one
- Limited Partnerships without legal personality are governed by the Partnership Act 1909. The partnership cannot own assets or incur liabilities in its own name, and assets/liabilities are held directly by the partners. The partnership is not a separate legal entity.
- General Partnerships are also governed by the Partnership Act 1909 and involve two or more individuals conducting business together with a view to profit. They are not separate legal entities and partners share liability and management responsibilities.

The following are out of scope:

- Sole Proprietorships, which is simply a legal term for an individual who is conducting business;
- Business Name, where the Registration of Business Names Act 1918 applies to individuals/partnerships/companies operating under a name other than their own legal name;
- Political Parties, under the Representation of the People Act 1995;
- Those Incorporated by Statute, wherein a company is created and governed by specific legislation passed by the Isle of Man's parliament, Tynwald, with the IOM Law Society being an example

Other legal entity types referenced in FATF documents, such as Anstalt or Waqf, are not relevant as they do not exist in the IOM.

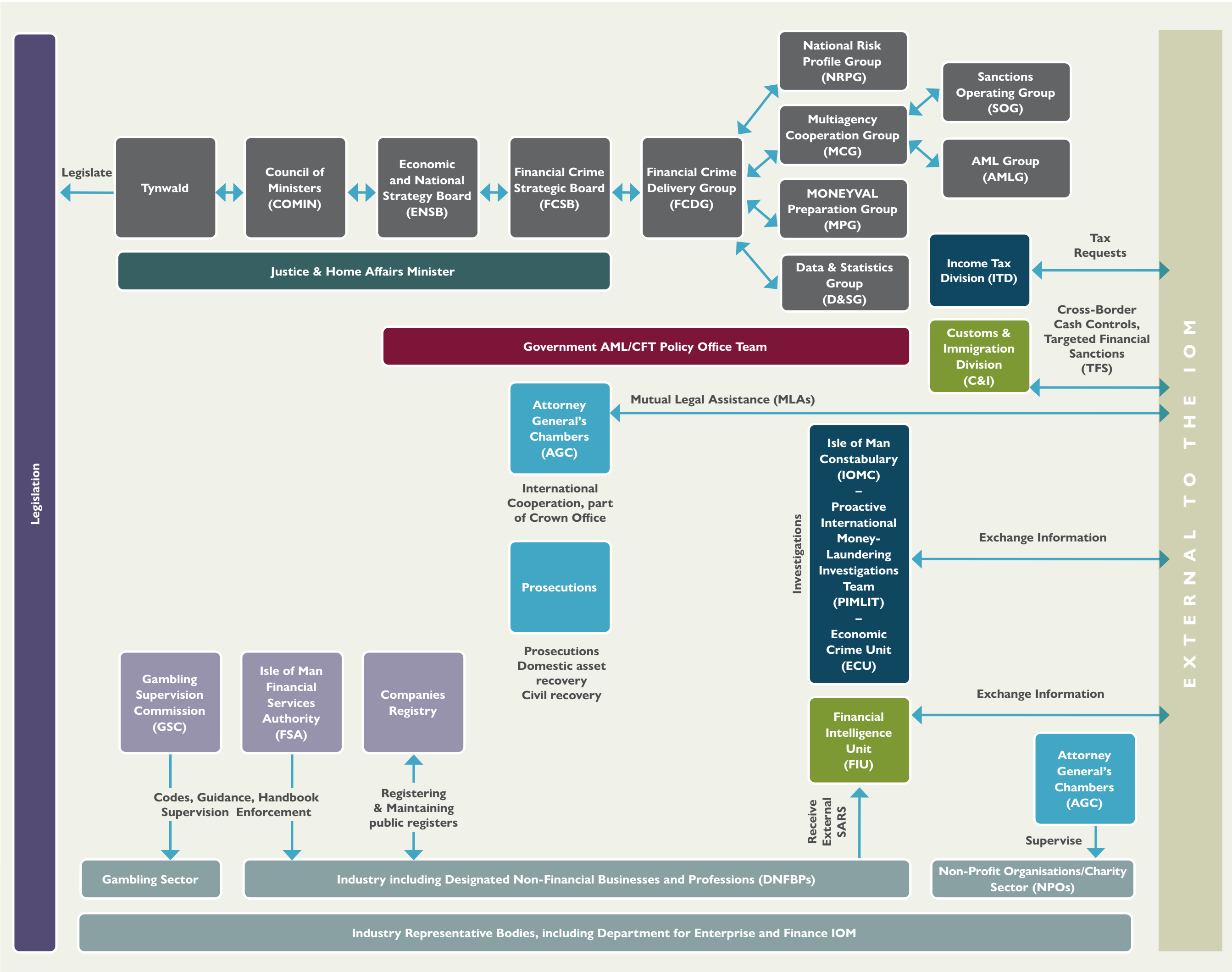
From data provided by the TCSP sector on the legal persons and arrangements that they administer or manage, the principal activities of these are primarily asset-holding vehicles with assets across multiple jurisdictions, with the most significant being the IOM, UK, Republic of Ireland, and the US.

1.3 Legal, supervisory, and law enforcement framework and risk understanding

Legal structures such as companies, trusts, and partnerships are essential for legitimate commerce but can be exploited for illicit purposes. Features such as separate legal personality, access to the financial system, and concealment of beneficial ownership make these entities attractive for laundering the proceeds of crime. Shell companies, nominee arrangements, and complex ownership chains are commonly used to obscure the identity of true owners, especially in jurisdictions with weak transparency frameworks. Without robust beneficial ownership disclosure › systems, legal structures pose significant ML/TF risks. Jurisdictions face compounded risks due to the multi-jurisdictional nature of ML/TF schemes. Criminal networks often split entity formation, asset ownership, and banking across multiple jurisdictions to evade detection. This "multi-jurisdictional splitting" makes it difficult for any single authority to trace illicit flows. There are both "exported" risks (domestic entities misused abroad) and "imported" risks (foreign entities operating domestically), hence the need for international cooperation and information exchange. Vulnerabilities can be exacerbated when jurisdictions lack effective mechanisms to access and verify beneficial ownership data, especially for foreign entities.

To prevent being abused, the IOM has a number of laws, policies, and agencies that are designed to mitigate the risk. A high-level summary of these agencies is provided in **Figure 1-5**. ›

Figure 1-5: Summary of the IOM AML/CFT/CPF Framework



Source: DHA

As well as legislation relating to the individual entity types (see **Chapters 4**, **5**, and **6**), a number of the key laws protecting the Island are detailed in **Appendix 1** of the "A Profile of the Isle of Man 2025" document and in **Appendix 3** of this document. The FSA issues licences under the Financial Services Act 2008; **Figure 1-6** shows the numbers over the last 5 years (2021–25) by activity class type, noting that some licenceholders have more than one class of licence. **Figure 1-6** also shows the registrations under the Designated Businesses (Registration and Oversight) Act 2015 for the same period of time. Some designated businesses have more than one type of registered activity.

TCSP SECTOR

The TCSP sector is particularly important for legal persons and arrangements. Corporate Service Providers have been regulated and supervised in the IOM since October 2000 and Trust Service Providers since July 2005. Unlike in many other jurisdictions, regulation is not limited to compliance only with AML/CFT legislation, extending to prudential matters and conduct of business. The FSA also supervises the sector on a risk-based approach for AML/CFT compliance. TCSPs have Class 4 and/or Class 5 licences, as these allow (as detailed by the FSA[32]):

CLASS 4

A licence to carry on the Class 4 regulated activity of Corporate Services permits a business operating in or from exclusions) to:

- provide services with respect to the formation, sale, transfer, or disposal of companies;
- provide Registered Offices or accommodation address facilities for a company;
- act as a "Registered Agent";
- act as an officer of a company;
- act as a nominee shareholder/member of a company;
- provide administration services to a company; or
- provide similar services to the above in respect of a partnership.

CLASS 5

A licence to carry on the Class 5 regulated activity of Trust Services permits a business operating in or from the Isle of Man (within certain criteria and with specified exclusions) to:

- act as trustee in relation to an express trust;
- provide trust administration services in relation to an express trust;
- act as a trust corporation;
- act as a protector in relation to an express trust; or
- act as an enforcer in relation to a purpose trust.

The IOM TCSP sector is mature. There has been consolidation over time, with larger TCSPs buying up smaller firms to grow business. A number of TCSPs are parts of wider international groups and some TCSPs have expanded into other jurisdictions. TCSPs range in size from small businesses in common ownership with lawyers and accountants to large international businesses. Private equity involvement in TCSPs has added further dynamism to the sector. TCSPs are economically significant by way of staff employed, number of clients, and assets under administration, and the TCSP sector accounts for **3.0%** of national income[33] in 2023–24. This compares to Insurance, the largest sector of the IOM economy, at **16.9%**, and iGaming (Online Gambling and the non-regulated supporting businesses), which contributes **14.2%.** In 2024, TCSP assets under administration totalled £67 billion.

TCSPs are important gatekeepers[34] to the financial system. TCSPs are engaged in the formation and ongoing management of legal persons and legal arrangements, often accompanied by provision of Registered Office, nominee shareholders, and directorships (to private clients). The companies and trusts that are administered have control of assets, investments, and bank accounts. Some TCSPs also offer accounting and tax services. Several life insurance companies also hold a TCSP licence, allowing them to wrap life insurance policies in trusts. Target clients are high-net-worth individuals, corporate, and institutional clients, but the client base also includes some mass affluent and average income individuals. The client profiles of prospective clients (traditional market) are changing – e.g., wealth derived from virtual assets and social influencing. The TCSP sector administers **64.5%** of all legal persons on the Island. ›

The IOM's TCSPs provide essential support for the operation and growth of businesses by providing a range of services, including the formation, administration, and management of legal entities such as companies, trusts, and foundations. TCSPs have a crucial role in attracting international business and also act as 'gatekeepers' preventing misuse of legal entities for ML and TF.

The recently published TCSP Risk Assessment[35] provides further insight into the sector. This risk assessment states:

"The TCSP sector continues to present one of the highest levels of ML risks owing to its international customer base, complex (or seemingly complex) multi-jurisdictional structures, exposure to high-risk customers (including foreign PEPs), involvement of introducers, and known typologies involving ML, fraud, and tax evasion. The risks reflect a persistent and, in some areas, increasing threat landscape. The higher risk rating is a reflection of the threats facing the sector and is not due to a reduction in sectoral controls, which are generally good." ›

Figure 1-6: Licences and Registrations, 2021 to 2025

Activity	Number of Permissions as at 31 March				
	2025	2024	2023	2022	2021
Class 1 (1) Deposit Taking	10	10	10	10	11
Class 1 (2) Restricted Deposit Taking	1	1	1	1	1
Class 1 (3) Bank Representative Office	1	1	1	1	1
Class 2 - Investment Business	36	35	36	39	39
Class 3 - Services to Collective Investment Schemes	30	33	31	34	38
Class 4 - Corporate Services	98	107	115	122	126
Class 5 - Trust Services	75	83	88	94	96
Class 6 - Crowdfunding Platforms	0	0	0	0	0
Class 7 - Management or Administration Services	8	9	8	8	8
Class 8 Money - Transmission Services	6	5	4	7	5
Class 9 - Credit Unions	1	1	1	1	1

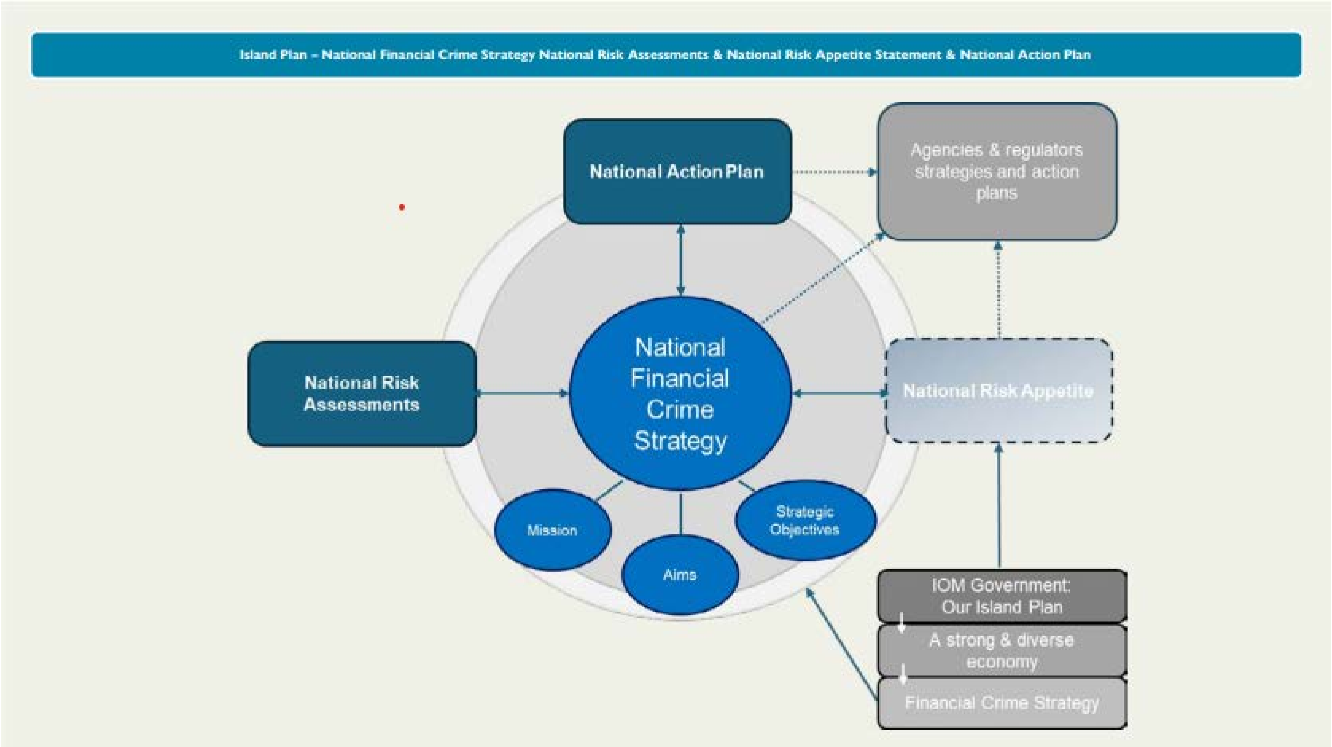
Activity	Number of Permissions as at 31 March				
	2025	2024	2023	2022	2021
Estate Agent	17	20	23	26	28
External Accountant	169	165	166	167	160
Financial Guarantees	0	1	1	1	1
Financial Leasing	3	4	4	5	5
High Value Goods	0	0	1	1	1
Legal Professional	37	37	39	39	38
Lender	34	37	42	49	53
Payroll Agent	77	76	75	76	65
Safe Custody	4	5	5	5	9
Specific Non-Profit Organisation	5	4	4	4	2
Tax Adviser	103	105	109	109	102
Virtual Asset Service Provider	21	24	19	19	16

Source: FSA[36]

IOM'S RISK UNDERSTANDING

The IOM's understanding of risk has been enhanced over recent years by the Government, agencies, regulators, and industry working closely together. This has collectively increased their understanding of the risks from ML and TF. This has been supported by the publication of NRAs, which have been used to allocate resources to prevent ML/TF. In 2015, an ML/TF NRA was published, followed by an update in 2020. This LPA NRA is just one of a suite of NRAs available on the IOM Government website[37] which detail the Island's financial crime strategy, risk appetite statements, and NRAs. **Figure 1-7** shows the relation between these key national documents and the link to the Government's overall Island Plan.

Figure 1-7: Relation between Key National Documents



Source: IOM Government

FATF Recommendation 1 requires countries to identify, assess, and understand their ML/TF risks, applying a risk-based approach to mitigate these risks effectively. This includes designating an authority or mechanism to coordinate further actions in assessing risks and deploying resources with the aim of ensuring that those risks are mitigated effectively.

The overall objectives of the LPA NRA are to:

- enhance the understanding of ML and TF risk from LPAs;
- provide industry, agencies, and regulators with a specific LPA-focused NRA;
- provide a current outline of the LPA risks that national policies and activities seek to address; and
- identify any gaps and recommend actions to close.

As part of this LPA NRA, consideration was given to the risks in other jurisdictions with similar risk profiles or where there are interdependencies. Jersey and Guernsey were considered as they are the other two Crown Dependencies and there are a number of shared businesses and customers across the three jurisdictions. The UK was considered as the largest trading partner and key › for many parts of the LPA NRA. Other jurisdictions where there was exposure through the entity/asset/beneficial owner were considered, including several countries and IFCs such as the USA, Spain, the BVI and the Cayman Islands.

1.4 Methodology and data

Strategic Objective 2 of the IOM Financial Crime Strategy 2024–2026[38] is to: "Use a risk-based approach to identify risk, coordinate appropriate actions, and apply resources to ensure identified risk is addressed and mitigated." The AML/CFT Policy Office within the Government co-ordinates the NRA work. World Bank methodology was used for the 2015 and 2020 ML/TF NRAs. It has been used to provide consistency with previously published NRAs.

METHODOLOGY

The World Bank's methodology for assessing money laundering and terrorist financing risks associated with legal persons and arrangements is structured into a four-step process. The first step involves mapping all legal structures that can be formed or registered under national laws, including companies, trusts, partnerships, and foundations. This mapping exercise collects data on registration requirements, beneficial ownership disclosure, nominee arrangements, and bearer shares.

The second step is a comprehensive threat assessment which combines quantitative enforcement data (e.g., SARs, prosecutions, MLA requests) with qualitative analysis of typologies and expert perceptions. This includes identifying common abuse patterns such as multi-jurisdictional splitting, use of nominee directors, and shell companies. Jurisdictions are encouraged to analyse both domestic and foreign legal structures that pose ML/TF threats.

Step three focuses on entity-level risk assessment, evaluating specific types of legal structures for their vulnerability to ML/TF abuse. This includes indicators such as ease of formation, attractiveness to non-residents, quality of beneficial ownership information, and exposure to high-risk sectors or jurisdictions. The final step is a national vulnerability assessment which combines two dimensions: the jurisdiction's attractiveness for non-resident incorporation (ANRI score) and the strength of its mitigation measures. The ANRI score evaluates factors like political stability, tax attractiveness, and secrecy provisions, while mitigation strength is assessed through indicators such as beneficial ownership transparency, regulation of TCSPs, and effectiveness of international cooperation. Together, these steps provide a holistic framework for jurisdictions to understand and address ML/TF risks linked to legal persons and arrangements. To support the World Bank methodology, a number of FATF publications were used to provide further insight, including:

- Guidance on Beneficial Ownership of Legal Persons[39] published March 2023;
- Guidance on Beneficial Ownership and Transparency of Legal Arrangements,[40] published March 2024; and
- Money Laundering National Risk Assessment Toolkit – Annexes A-C,[41] published August 2025.

SCOPE

Whilst this LPA NRA primarily focuses on ML risks, it also covers TF[42] which will enable the overlay on the TF NRA[43] to be undertaken, as detailed in the TF NRA recommended actions. Proliferation Financing is not covered in this NRA. A separate PF NRA will be published as part of the suite of NRAs.

DATA

Within the IOM Financial Crime Strategy 2024–2026, Strategic Objective 6 is to: "Fully understand the immediate, emerging, and ongoing threats posed by financial crime using a broad spectrum of metrics, data, and statistics and conducting strategic analysis."

To support this LPA NRA, a number of data sources were utilised, including:

- Companies Registry: basic information on companies and RBO;
- FSA: annual AML/CFT return 2024 from industry; financial flow data supplied quarterly by the Banks; enforcement data;
- Gambling Supervision Commission (GSC): enforcement data; ›

- Income Tax Division: basic information on companies and beneficial ownership;
- Government: country lists A, B, and others (data was used from the lists published 3 July 2025);
- International Co-operation: MLA requests (incoming and outgoing);
- Proactive International Money Laundering Investigation Team (PIMLIT): investigation data;
- Financial Intelligence Unit: SAR data;
- Prosecutions: prosecutions and convictions data;
- Financial Crime and Asset Recovery Unit: asset recovery data;
- TCSP sector: LPA data return received in 2025.

Where sensitive data has been used, it has been aggregated to allow inclusion in this report, displayed as percentages rather than actuals or removed from the final published version of this report.

LIMITATIONS

In the FATF Plenary of 22–24 October 2025[44], a number of countries, including South Africa and Nigeria, were removed from the list of jurisdictions under increased monitoring. As a result, the IOM updated its published country lists[45] and removed both of these countries from List B(i), although Nigeria remains on the B(ii) list for TF. Where this change is significant to the data or risk profile, a footnote or comment has been added to provide an update.

Since 2017, TCSPs have been required to prepare and submit more data to the FSA. This data is used by the FSA to help assess ML/TF risks and can also be useful to TCSPs to aid their own business understanding and risk assessment. A number of specific areas are identified in the report where further data would be helpful in the future, in particular in relation to assets managed by TCSPs and the extent of use of complex structures.

The FSA should continue to work with the TCSP sector to ensure the data it receives is of good scope, quality, and accuracy. If required, the FSA should provide further guidance where reporting inconsistencies and anomalies are observed.

Across a number of the agencies, the methodical tagging of entity-types is incomplete in historical datasets; therefore, it is recommended that agencies look at how they can enhance going forward. This will allow LPA-specific KPIs to be enhanced and reported through governance.

1.5 Acknowledgements

The World Bank methodology relies upon the support and input of subject matter experts. Expert discussions validate and help to raise the main threats, vulnerabilities, and risks in the IOM. The completion of this NRA involved extensive input from these experts from competent authorities, regulators, the IOM Financial Crime Partnership's TCSP group, and industry bodies, listed in **Appendix 4**. Their support is greatly valued. Our appreciation is also extended to the World Bank for the use of their methodology, accompanying tools, and guidance material.

In particular, the TCSP sector has provided considerable support in the production of this NRA. They provided extensive data[46] on the legal persons and arrangements that they administer and support. This represented over **98%** of all LPAs within the TCSP sector. In addition, they provided considerable time in many workshops and meetings. ■

CHAPTER 2

National Threats

2. National threats

2.1 Introduction

Overall, the ML threat from LPAs to the IOM is rated as high.
The TF threat is rated as **Medium Low**. See **Figure 2-1**.

Figure 2-1: Overall National Threat Assessment from Legal Persons and Arrangements to the IOM

Threat from LPAs	Risk Assessment
National Money Laundering Threat Assessment	High
National Terrorist Financing Threat Assessment	Medium Low

WORLD BANK TOOL

The World Bank tool seeks to complete a qualitative analysis of the threats faced by the Island by considering the nature of the ML and TF abuse of LPAs as evidenced by the 2020–24 data from the law enforcement agencies. Where data was sparse, additional data was sought from the regulators, other similar jurisdictions, and learnings from IOM cases which occurred prior to 2020.

Data identifying where LPAs were implicated in cases was not always readily available from the databases of the agencies. It is recommended that systems be enhanced to allow the data to be more easily extracted by each legal entity type.

Figure 2-2 shows the network diagram for the analysis undertaken for the threat assessment; in addition, analysis was undertaken on the nature of abuse, cases, and typologies.

ML RISKS

ML continues to present the highest risk to the IOM, set against an increasing threat landscape since the publication of the last ML/TF NRA in 2020. As an IFC, the bulk of the IOM's customer base consists of non-residents, both in terms of the number of clients as well as value of transactions. As a result, the majority of activities leading to funds being held in the jurisdiction occur outside of the IOM. Therefore, if funds are linked to criminal activity, the underlying predicate offence is most likely to have occurred outside of the Island. The IOM's primary ML risk lies in placement and layering of criminal proceeds. The emergence of rapid electronic money transfers, digital banking, and increasingly sophisticated techniques for obscuring transactions have significantly evolved traditional ML stages. Typologies that have been identified as presenting significant ML risks to the IOM demonstrate a number of these features.

The IOM continues to attract a broad spectrum of overseas clients, owing to a combination of strategic location, regulatory robustness, and commercial appeal. However, anecdotal feedback indicates that, whilst organic growth from existing clients and referrals is steady, TCSPs are needing to work harder to attract new business from the broader market. There is the potential for some TCSPs to increase their risk tolerance in pursuit of revenue › or look further afield for business. Recently, TCSPs have also contributed towards driving innovation, particularly with Finance Isle of Man, which actively supports new ideas and emerging business models. As a consequence, a number of TCSPs are now specialising in offering corporate services relating to newer lines of business, such as to iGaming entities. The "National Risk Appetite Statement on eGaming and Financial Crime: Activities, Risk Appetite and Mitigation"[47] and the FIU document "Online Gambling: Red Flags and Typologies for Money Laundering, Terrorist Financing, and Proliferation Financing," published in May 2025[48] clearly set out the threats and the actions that industry supporting this sector should take. The FIU document states:

"Establishing sham business relationships between different criminally controlled corporate entities can legitimise the movement of large sums of money across international borders."

"OCGs[49] can obscure the beneficial ownership of these entities using complex trust and corporate structures, proxies and nominee directors, and layers of ownership which span multiple jurisdictions (particularly jurisdictions which offer greater financial secrecy). Wealthy criminals can further disguise their ownership of assets by exploiting citizenship through investment schemes to obtain second (or 'golden') passports under different names."

"The layers of complexity and obfuscation that OCGs introduce into these transnational corporate structures can make the task of client due diligence very challenging. OCGs will go to extensive lengths to obscure the business structure and ultimate beneficial ownership of these criminal enterprises."

The adoption of AI in financial systems provides enhanced security but also introduces tools that can assist criminals in obscuring the origins of illicit funds. It is possible that fast-developing AI-driven tactics could outpace the ability of authorities to detect and prevent financial crime.

Overall, the domestic threat is less significant than the threat of ML from cross-border and foreign predicate offences.

TF RISKS

The FATF report "Comprehensive Update on Terrorist Financing Risks," published in July 2025,[50] considers the methods of abuse of LPAs. The report states:

"Delegations reported primarily the use of shell companies, the creation of structure of enterprises in multiple jurisdictions and investment on multilayer schemes on big and small business for TF purposes."

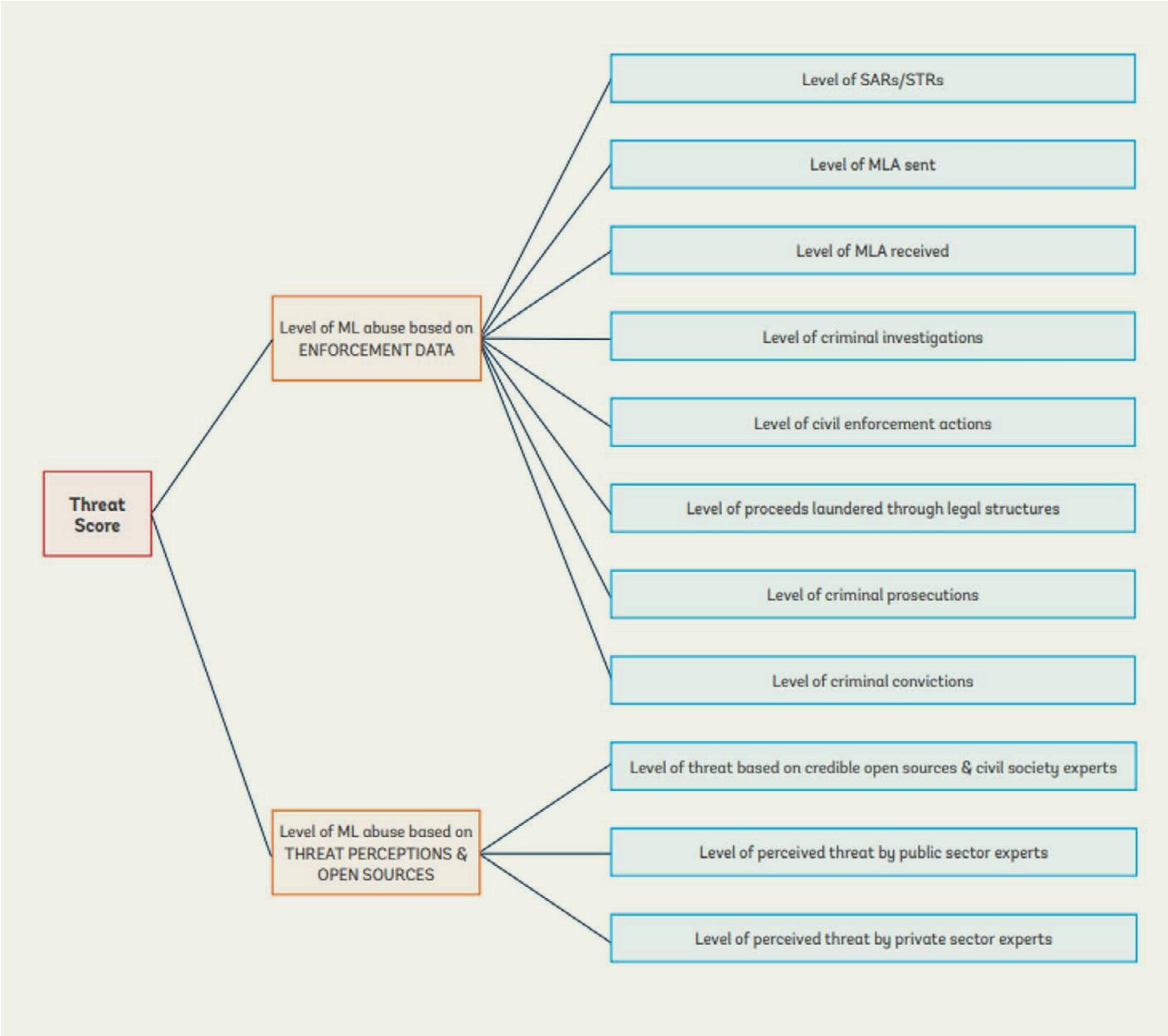
It highlights the risk from:

- the use of front and shell companies;
- the abuse of non-profit organisations;
- trade-based TF, value-moving method based on transferring in-kind goods and on dishonest billing; and
- other in-kind methods, such as real estate.

As detailed in the TF NRA,[51] overall, the domestic (internal) threat of TF is very low, while the flow-through (transit) threat is greater. ›

The layers of complexity and obfuscation that OCGs introduce into these transnational corporate structures can make the task of client due diligence very challenging. OCGs will go to extensive lengths to obscure the business structure and ultimate beneficial ownership of these criminal enterprises"

Figure 2-2: Network Diagram for Threat Assessment



Source: World Bank

2.2 Law enforcement data

2.2.1 Financial Intelligence Unit

The IOM Financial Intelligence Unit is responsible for receiving, gathering, analysing, and disseminating financial intelligence both locally and internationally. A SAR might be submitted on a legal entity or structure, but it might equally be submitted relating to concerns regarding an individual associated with an LPA.

For the period 2020 to 2024 inclusive, the FIU analysed the SARs relating to LPAs, noting that the SAR database did not allow for easy extraction of this data, resulting in manual reviews being required. The FIU will also look at how the database might be enhanced.

Figure 2-3 shows the levels of involvement of LPAs in SARs received by the FIU. The filing of a SAR represents that a suspicion has arisen, but it does not demonstrate that ML/TF has actually taken place.

Over the five-year period, an average of **14.5%** of SARs involved subjects that were LPAs.[52] In context, data from the 2022–2024 FSA AML/CFT returns indicates that LPAs averaged **9.4%** of the total customer base of the Island (natural and non-natural persons combined). This suggests that LPAs are significantly represented in SARs, which is consistent with the IOM's profile as an IFC where cross-border structures are commonly incorporated and administered.

Figure 2-3: SAR Data for Legal Persons and Arrangements

Year	2020	2021	2022	2023	2024
Total Disclosures	2370	2733	3387	2764	1795
Number where any subject is a Legal Person or Arrangement	385	308	416	395	384
Percentage where any subject is a Legal Person or Arrangement	16.2%	11.3%	12.3%	14.3%	21.4%

Source: FIU

In addition, the FIU have various powers including:

Section 15: power under the Beneficial Ownership Act 2017 that allows the FIU to request beneficial ownership information. It is unique compared to the FIU's other powers, as the provided information can be used evidentially when shared with law enforcement. The drop in numbers is primarily due to the improvements in the Beneficial Ownership Database, allowing the FIU to seek the required information directly (see **Chapter 3.3.4**) from the Database.

Section 18: power under the FIU Act that allows the FIU to compel the regulated sector to provide information to assist with its functions. The use of Section 18 is often favoured over **Section 15** given its flexibility and the requirement mostly for the information to be on an intelligence basis only. In addition, the FIU are often requesting more than just UBO information at the time.

The issuing of notices via Themis[53] for **Section 15** and **18** requests started in 2021; therefore, the only full years for which data is available is 2022–2024 (see **Figure 2-4**). ›

Figure 2-4: FIU Section 15 and 18 Requests

Year	2022	2023	2024
Section 15 Requests	3	0	0
Section 15 Requests to TCSPs	31	25	14

Source: AGC

Since 2020, the IOM has navigated significant global challenges, including the COVID-19 pandemic and geopolitical shifts such as the Russian Federation–Ukraine conflict. The FIU assessed the impact of COVID-19 on ML and concluded risks remained **Low** but highlighted the need for ongoing vigilance, especially given media links to UK investigations involving IOM entities. In response to international sanctions, the FIU led multi-agency reviews of exposure to the Russian Federation, Belarus, and Kazakhstan, with additional actions taken by other agencies to deregister aircraft owned by sanctioned persons and to strengthen the legal framework for sanctions compliance. In August 2023, the FIU introduced an additional feature to Themis to allow the provision of standardised feedback to Money Laundering Reporting Officers on submitted disclosures.

The FIU have issued typology reports which include the use of LPAs, including the recently published "Environmental Crime Typologies and Red Flags".[54]

2.2.2 *International cooperation*

The Chambers of HM Attorney General (AGC) serves as the central authority for MLAs in the IOM. A team within the AGC Crown Office is responsible for managing all incoming and outgoing requests for MLA relating to criminal investigations and prosecutions, as well as providing MLA in international non-conviction-based confiscation investigations and proceedings.

Figure 2-5 shows the incoming MLA ML requests from other jurisdictions relating to LPAs. There have been no incoming MLA requests during this period of time related to TF. There have been minimal outgoing requests over this period of time relating to LPAs. The largest number of incoming MLAs over this five-year period is for 2006 Act companies. LPA-related MLAs account for **36.7%** of the total number of MLAs received by the AGC. Using the same comparison as for SARs in **Chapter 2.2.1**, it can be seen that there is a higher proportion of MLAs that are related to LPAs. ›

Figure 2-5: Number of Mutual Legal Assistance Requests from Other Jurisdictions

Year		2020	2021	2022	2023	2024	Total	% of total MLAs
Legal Arrangements	Discretionary Trust	1	1	3	1	2	8	4.0%
	Unknown Trust type	1	0	0	0	2	3	1.5%
Legal Person	1931 Act	4	0	4	3	3	14	7.0%
	2006 Act	6	1	0	5	15	27	13.6%
	Entity Registered Outside of the IOM	8	5	2	1	3	19	9.5%
	Foundations	0	1	0	0	1	2	1.0%
Total		20	8	9	10	26	73	36.7%
Annual Percentage		48.8%	23.5%	29.0%	22.7%	53.1%		

The AGC manages the process for the IOM for any assets held by LPAs (as they do for individuals) that are restrained/frozen/confiscated/recovered in response to MLA requests. The majority of requests are for obtaining evidence, and it is more common for assets to be restrained which are held in a suspect/subject's name. Since 2020, there have been two cases with requests for restraint of assets related to LPAs:

- In response to a request for MLA from an African country relating to a criminal investigation, the Attorney General applied for a restraint order restraining the suspect and any companies owned and/or controlled by them from in any way dealing with assets. The order specified an IOM-registered 2006 Act company which was known to own four properties. The criminal investigation into corruption, fraud, and money laundering is ongoing.
- In response to a request for MLA from a European country relating to a criminal investigation, the AG applied for a restraint order restraining the suspect and a company of which he was the majority shareholder from in any way dealing with assets. The company was an IOM-registered 2006 Act company known to hold bank accounts in the IOM and own other movable assets. The suspect had been charged with forgery, fraud, and money laundering. ›

Most recorded ML offences (**81%**) are domestic, commonly predicated by drug offending, although less than **50%** of the proceeds are related to drugs. Internationally, the most common predicate offence is fraud, with investigations being complex, having much higher values and much greater economic and international impact."

2.2.3 Criminal investigations

The IOM Constabulary (IOMC) investigates a wide variety of financial crime. There are two teams that specialise in these investigations:

The Economic Crime Unit is responsible where the financial crime is domestic or the ML is linked to a domestic predicate offence.

The Proactive International Money Laundering Investigation Team was created through additional IOMC funding provided in 2022 as a result of the 2020 ML/TF NRA. The Team's remit is to progress international ML/TF investigations and realise intelligence developed from the FIU into evidence and pursue viable cases. PIMLIT investigates complex, multi-jurisdictional cases of money laundering in which fraud is frequently the primary motive – though other offences are also involved, including those of a transnational nature, some (but not all) of which are concerned with South East Asian-based transnational crime gangs and which have been highlighted in the media.

Most recorded ML offences (**81%**) are domestic, commonly predicated by drug offending, although less than **50%** of the proceeds are related to drugs. Internationally, the most common predicate offence is fraud, with investigations being complex, having much higher values and much greater economic and international impact.

As at November 2025, the majority of cases currently under investigation by PIMLIT involve a legal person or legal arrangement.

A number of PIMLIT's current investigations are used in the typologies section of this NRA, **Chapter 2.4**.

2.2.4 Criminal prosecutions and convictions

Within the Prosecution Division, there is a dedicated Financial Crime and Asset Recovery Unit (FCARU). Prosecution are split into a general team and the FCARU, which helps to increase specialism. FCARU was established in 2024 and expanded to include domestic civil asset recovery with effect from 1 January 2026, and is a ring-fenced resource. FCARU is structured to allow for procurement of specialist services, such as advice from a King's Counsel or to bring in other counsel when required, as some prosecutions (particularly TF-related) will be highly complex and lengthy.

The IOM has not previously completed an LPA NRA; therefore, the prosecution cases that have been considered extend beyond the 2020–2024 timeframe that has been used for much of the other data. There have been a number of prosecutions and convictions which have included:

- Corporate Service Providers;
- directors of IOM companies;
- professional firms;
- theft from IOM companies;
- use of a trust to launder money;
- use of an IOM company to run a Ponzi scheme;
- value-added tax frauds;
- false identification;
- drug dealers being the beneficial owner of an IOM company; and
- sham companies.

A brief description of each case is provided, and a reference to public information on the case:

- Baines, 2008[55]: convicted on ML and false accounting via a trust, as a result of a 'pump and dump' scheme. Sentenced to 6 years. ›

- Daroch and Dirom, 2014[56]: ran a CSP, committed fraud, and used an IOM company where the CSP was an authorised signatory. Sentenced from 2 to 9 years.
- Fitzpatrick, 2016[57]: an accountant who duped companies using a pseudonym. Received a custodial sentence.
- Carter, 2017[58]: contracting through her company offering bookkeeping services, stole money. Sentenced to 20 months.
- McCarthy, 2018[59]: stole from a TCSP. Sentenced to 3 years and 4 months.
- Hodgson and McGrath, 2018[60]: stole from a company where they were authorised signatories. Sentenced to 20 months.
- Sheldon, 2018[61]: committed fraud against a French company and attempted to establish a corporate facility using misleading information. Sentenced to 3 years and 2 months.
- Deighton, 2019[62]: an accountant who used his company to take money from victims. He operated a Ponzi scheme. Sentenced to 4 years and 9 months.
- Moore and Moore, 2021[63]: £4.6 million VAT evasion in their capacity as directors of two development companies. Sentenced from 3 years and 6 months to 7 years.
- Kissack, 2021[64]: evasion of VAT via a company where he was the director and majority shareholder. Sentenced to 22 months.
- Carroll, 2022[65]: used fake identification to apply for a licence to produce cannabis. Sentenced to 4 years.
- Duggua, 2023[66]: evaded more than £1.1 million in VAT by creating fake invoices across 3 companies under his umbrella company. Sentenced to 3 years and 7 months.
- Megson, 2023[67]: committed a number of offences in her capacity as a director of an IOM company. Sentenced to 30 months.
- McHarrie, 2024[68]: an OCG case where a number of people were also convicted for laundering money through his company. He put criminal cash through 17 bank accounts linked to him or companies of which he was the beneficial owner. Sentenced to 21 years and 9 months.
- Beecroft, 2025[69]: committed fraud on a property he held under a holding company where he was a director. Sentenced to 4 years 6 months.
- Joon, 2025[70]: a key figure in an OCG that targeted the IOM immigration system through fraudulent visa schemes. Involved a sham company in the IOM used to deceive vulnerable individuals for human trafficking/modern slavery. Sentenced to 3 years and 5 months, followed by deportation once released.

2.2.5 FSA enforcement action, civil penalties, and director disqualifications

The FSA has published a guidance note on Discretionary Civil Penalties under the Financial Services Act 2008 and the Insurance Act 2008,[71] last updated December 2022. The Anti-Money Laundering and Countering the Financing of Terrorism (Civil Penalties) Regulations 2019[72] detail the civil penalties in Section 5, with a guidance note[73] also issued. The Financial Services Act 2008 (and related legislation) provides the FSA with a broad spectrum of statutory powers[74] and responsibilities. These actions include:

- alteration of conditions of existing licences/registrations;
- revocation or suspension of a licence/registrations;
- declaration of persons unfit to be directors, controllers, key persons, or 'controlled function' holders;
- prohibitions;
- warning notices;
- public statements;
- directions; and
- civil penalties.

As referenced above, the FSA, where appropriate, has the power to prohibit individuals from some or all roles within the financial services industry. These are put in place by both the FSA[75] and GSC.[76] The following have been instigated since 2017 and are current prohibitions (as at November 2025):

- 11 prohibitions by the FSA;
- 2 prohibitions by the GSC. ›

Disqualification of officers, including Directors, via the Company Officers (Disqualification) Act 2009[77] is a further tool that enables the FSA, where appropriate, to prohibit individuals from acting as a director on Isle of Man companies. As of November 2025, there have been 14 disqualifications of individuals by the FSA. A disqualification might be wider than just directors from the financial services industry.

Published AML/CFT Civil Penalties (of which there are 21 in total), where a legal person and arrangement, a TCSP, or other professional firms are involved, detail a number of shortcomings, which across the cases included the following:

- failed to adequately identify the beneficial owner;
- failure to establish if a customer was, or subsequently became, a PEP or foreign PEP;
- a TCSP having issues of non-compliance with the Rule Book;
- licenceholders with a historically higher risk appetite, which are naturally required to be able to demonstrate the highest standards of governance, risk, and compliance frameworks, and a culture that pervades high ethical and moral standards to the conduct of business and compliance with the regulatory framework.
- failure to fully understand the use of the complex structures within its business relationships and failure to risk assess these structures accordingly;
- provision of corporate services pursuant to its Class 4 permissions to Client A without operating an appropriate risk management framework and methodology.

The FSA also issues penalties for contraventions of the BOA.

2.2.6 Income Tax Division

As shown in **Figure 1-5**, the Income Tax Division also plays a key part in the overall framework to prevent ML/TF in the IOM. As explained in **Chapter 3.2.8**, the ITD receives information from Companies Registry when a company is formed. In addition, the ITD holds (unverified) beneficial ownership information for foreign-registered companies and foreign companies that are IOM tax resident.

The ITD takes enforcement action against companies for non-filing. In the five-year period, the ITD have taken prosecution action against 106 companies (see **Figure 2-6**).

Figure 2-6: ITD Prosecution of Companies

Year	2020	2021	2022	2023	2024	Total
Total	20	18	24	19	25	106

Source: ITD

Prior to prosecution action, the ITD will issue a late return penalty (£250) when a return is overdue and a second late return penalty (£500) when the return remains outstanding six months after the initial due date (see **Figure 2-7**). ›

Figure 2-7: ITD Late Return Penalties

Year	Late Return Penalty 1 £250	Late Return Penalty 2 £500
2020	2,804	1,296
2021	3,007	1,406
2022	2,617	1,344
2023	2,546	948
2024	686	Data not available

Source: ITD

2.2.7 Companies Registry

Companies Registry is not a regulatory body, although powers to make enquiries to establish the accuracy of information provided to the Registry exist and are utilised. The power to make enquiries was introduced to the corporate acts in 2018 and extended to the BOA in 2021.

The ultimate sanction available to the Registry is to strike the entity off the register (see **Figure 2-8**). The reasons for which the Registry can commence strike off are set by the respective acts and include:

- failure to file an annual return within six months after the company's return date;
- abandoning the Registered Office address;
- failure to comply with its obligations under BOA;
- where notice is received from the Assessor of Income Tax (ITD), failure of substance requirements; and
- failure to have a Registered Agent (2006 Act).

Strike-off action by the Registry can be (and often is) halted due to objections from the Collector or Assessor where outstanding VAT or income tax matters, respectively, apply. ›

Figure 2-8: Annual Companies Struck Off by Companies Registry Against Defaulting Companies

Strike off	2020	2021	2022	2023	2024
1931	363	264	252	278	276
2006	242	225	164	236	152
LLC	5	7	5	4	3
LP	3	8	4	1	0

Source: Companies Registry

2.3 Perceptions and open sources

2.3.1 Credible open sources

Due to the inherently concealed nature of criminal activity, enforcement data seldom provides a complete or representative picture of money laundering involving legal structures within a jurisdiction, even where enforcement frameworks and mitigation measures are robust. One of the key methodological challenges in such assessments is the limited reliability of SARs as indicators of actual threat levels. A low volume of SARs may suggest minimal criminal activity, but it could equally reflect weak detection mechanisms or underreporting. This ambiguity also applies, albeit to a lesser extent, to other enforcement metrics, such as MLA requests, criminal investigations, prosecutions, convictions, civil enforcement actions, and disciplinary measures against professionals.

To address this limitation, the World Bank methodology for threat assessment incorporates a complementary indicator based on credible open-source intelligence and expert insights from both public and private sectors. While inherently more subjective, this indicator serves as a "common sense" check on enforcement data: does the available data reasonably reflect the true scale of abuse involving legal structures, or does it merely highlight gaps in detection and enforcement?

Consequently, a number of open-source documents were reviewed and considered, as well as input from experts who have worked with other jurisdictions and IFCs.

Whilst not all the open-source documents referenced the IOM, they were considered if they mentioned typologies that the IOM as an IFC might face as a potential threat. The documents included:

- "Behind the Corporate Veil," OECD, published 2001[78]
    - Whilst this was published as far back as 2001, it referenced the IOM in the context of: nominee directors and corporate directors and how they can be used to conceal the identity of the beneficial owner; and in two of the case studies – i) where an IOM company was used as part of a structure in a profit skimming and capital flight example; and ii) an Irish company using addresses in several IFCs including the IOM.
- "The Puppet Masters, Stolen Asset Recovery Initiative," The World Bank and the United Nations Office on Drugs and Crime, published October 2011[79]
    - This document references some of the largest TCSPs being headquartered in several countries, including the IOM, and details information that was required historically for a company or trust to be formed.
- "Concealment of Beneficial Ownership," FATF, published July 2018[80]
    - The IOM is not referenced but case studies are provided relating to:
        - Gibraltar: The scheme involved two regulated TCSPs acting as nominee shareholders. The directors had also been provided by the TCSP but resigned less than four years after incorporation. The underlying client had also been a director.
        - Gibraltar: The scheme used nominee shareholders (licensed TCSPs). Corporate director used for one director, company secretary for both, as well as provision of Registered Office facilities.
        - Guernsey: A TCSP provider administered a corporate structure which received approximately £32 million over five years. The purported legitimate business was futures dealing. Prior to Guernsey TCSP's involvement, it was administered by a Cayman Islands company. ›

- Guernsey: Persons A and B were married residents of Guernsey and purported to be TCSPs but were unregistered. It was identified that the client was operating a "boiler room" fraud. Investigations suggested that Person A was providing nominee directors for the shell companies used by the client in execution of his fraud.

- Jersey: Established a trust structure with underlying companies using a Jersey-based financial service provider.

- "Loophole Masters: How Enablers Facilitate Illicit Financial Flows From Africa," Transparency International, published December 2023[81]
    - The report looks at the role of intermediaries in helping illicit financial flows out of Africa. It states that the most common jurisdiction of registration based on individual enablers involvement in a case is the British Virgin Islands (17), followed by Switzerland (12) and the United Kingdom (11). In the BVI and the UK, lawyers and law firms accounted for the majority of times an enabler was involved in a case (14 and 7), while in Switzerland, it was TCSPs (7). The IOM was referenced in one case with a tax advisory TCSP.
- "Risks of Illicit Financial Flows in Africa," Transparency International, published April 2024[82]
    - Whilst the IOM is not referenced, the Island does have a substantial customer base in South Africa, and to a lesser extent Nigeria and Kenya.
- "UK Companies House Strategic Intelligence Assessment," UK Companies House, October 2024[83]
    - The IOM has close links with the UK. This report highlights the risks from professional enablers: "It is almost certain that the use of professional enablers facilitates abuse of Companies House processes […] This ranges from failure to apply due diligence, to negligence, to complicit activity by regulated professionals […] It is highly likely that limited company structures within the UK are widely used to facilitate many types of serious and organised criminality. Work is ongoing to fully understand the scale of the issue." UK Companies House differs significantly from the IOM Companies Registry, which is much smaller and very closely linked with the FSA (see **Appendix 2** for how Companies Registry and the FSA work closely together on beneficial ownership). Consequently, this could potentially import risk into the IOM.
- "Opacity in Real Estate Ownership Index," Transparency International, published March 2025[84]
    - The report states that, "despite international standards and collective commitments, the world's biggest economies and some key financial hubs remain far too open to corrupt people and other criminals laundering and enjoying their ill-gotten gains through real estate." It includes jurisdictions where the IOM has clients.
- "Asset Beneficial Ownership – Enforcing Wealth Tax & Other Positive Spillover Effects," Tax Justice Network, published March 2025[85]
    - The report covers a number of areas, including the secrecy strategies: secretive assets, offshore ownership, indirect ownership, partial ownership, lack of "ownership," and their combination into complex ownership structures.
- "UK National Risk Assessment of Money Laundering and Terrorist Financing 2025," HM Treasury, published July 2025[86,87]
    - The UK NRA highlighted a number of threats, some covered elsewhere in this NRA. Specifically, the IOM was referenced: "Isle of Man and Jersey companies have also featured in complex business structures alongside the Overseas Territories and other overseas jurisdictions. These often involved the movement of funds linked to suspected corruption, drug trafficking, fraud, and tax evasion, as well as to hold UK property."
- International Consortium of Investigative Journalists, various articles.[88] ›

Figure 2-9: Case Study Example[89] - TCSP

A trust company had been providing services to a client since 2005. In 2007, source of wealth and source of funds enquiries were made with the client following a purchase of a multi-million-pound property. Following a leak of documents which subsequently appeared on the International Consortium of Investigative Journalists website, the institution initiated a review of the client's activities and circumstances and became suspicious that the source of funds for the property transaction may have been corruption offences. The trust company disclosed this to the FIU in a SAR.

Source: FIU

2.3.2 Perceived threat by public and private sector experts

A number of the threats from the credible open sources (**Chapter 2.3.1**) were also raised by the public and private sector experts.

2.3.2.1 Complex structures, particularly when not fully understood by relevant persons, pose a heightened risk

The IOM ML/TF NRA[90] published in January 2020 noted in the Executive Summary the risk from complex corporate structures:

"The types of services provided in the IOM, although fairly generic in nature, may be used to conceal the proceeds of crime or to conceal or disguise the origins of those proceeds, through international transfers of funds and the use of complex corporate structures."

In the FSA-issued TCSP Sector Guidance[91], published March 2022, complex structures are referenced as risk factors specific to the TCSP sector. The guidance states that risk factors may include:

"The use of complex networks of legal arrangements and/or nomineeships and/or legal persons, where there is no apparent rationale for the complexity or it appears that the complexity of the arrangement may be intended to conceal the ownership or control arrangements from the TCSP or other parties.

The use of complex structures that go across a number of different jurisdictions, with no apparent legitimate commercial rationale as such structures could be used to hide the identity of individuals involved."

Complex and multi-layered structures can be entirely legitimate and are used by many sectors and industries for reasons such as:

- **Asset protection and risk management:**
  One reason might be to shield assets from business risks. By placing assets in separate legal entities, such as trusts or holding companies, owners can isolate liabilities. For example, a parent company may own subsidiaries in different sectors to prevent financial or legal issues in one from affecting the others, and trusts can protect personal assets from creditors or lawsuits, especially in professions with high litigation risk (e.g., medicine or law). ›

- **Estate and succession planning:**
  Trusts and layered entities are used to assist intergenerational wealth transfer. These structures allow: control over how and when beneficiaries receive assets; protection of family wealth from mismanagement or external claims; and flexibility in managing assets across jurisdictions with differing inheritance laws.

- **Tax planning and efficiency:**
  Legitimate tax planning is a recognised business strategy. Multi-jurisdictional structures can: optimise tax liabilities by leveraging treaties and incentives; avoid double taxation through strategic placement of entities; align with international tax compliance frameworks like the OECD's Base Erosion and Profit Shifting (BEPS) guidelines; and be subject to international tax compliance transparency reporting measures like the OECD's CRS and/or FATCA.

- **Operational efficiency and investment structuring:**
  Global businesses often require complex structures to manage operations across borders. These may include: holding companies to centralise control and streamline decision-making; SPVs for isolating financial risk in large projects; or joint ventures and partnerships tailored to local legal and market conditions.

- **Privacy and confidentiality:**
  In some jurisdictions, trusts and layered entities offer privacy for legitimate reasons, such as: protecting sensitive business strategies from competitors; safeguarding personal financial information from public scrutiny, especially in unsafe parts of the world; or ensuring confidentiality in philanthropic donations.

They will often include: parent holding companies; subsidiaries in different jurisdictions; trusts or foundations; or SPVs.

Most legal systems recognise the rights of individuals and businesses to structure their affairs as they see fit, provided they comply with local laws. This principle allows for the creation of diverse legal vehicles, even if they are not native to a particular jurisdiction. For example, a company in one country may be owned by a trust in another, and that trust may be managed by a foundation in a third. Such arrangements are legal and often necessary for international operations.

During TCSP workshops held with industry, the sector explained how they perceived the risk to be greater from 'horizontal' structures, which span multiple other jurisdictions (formation, location of asset holding, and intermediaries) and involve potentially several TCSPs (including the IOM), rather than 'vertical' structures in the IOM, where one IOM TCSP has sight of every element in the structure. An example of a typical, but hypothetical, vertical and a horizontal structure is provided in **Appendix 5**.

The IOM Law Society noted that they had seen cases where IOM law firms had questioned both the design of a structure and the reasoning for the use of the IOM. The TCSP sector also identified obfuscation or a reluctance for beneficial owners documenting their structures properly as a risk indicator.

However, there is well documented evidence to show how complex structures can be used to assist money laundering. The Tax Justice Network's "Complex Ownership Structures: Addressing the Risks for Beneficial Ownership Transparency," published in February 2022[92], states:

"Complexity in the ownership and control structure of a legal vehicle may become an important factor indicating potential abuse. Individuals may hide behind complex legal vehicles to engage in corruption, money laundering or tax evasion. Complexity may also result in disguising the true operations and functions of entities within a multinational group in order to engage in tax abuse or other abuses."

In the UK ML/TF NRA published in July 2025, the report highlights that:

"Despite these changes, there remain several continuing risks facing the UK; the risk of money laundering through UK companies remains high. As noted by the NCA [National Crime Agency],[93] this can occur through UK-based regional OCGs [organised crime groups] using front companies and cash-intensive businesses, as well as through high-end cross-border criminals using UK companies in complex structures to launder tens of millions of GBP."

Whilst there have been no recent IOM prosecutions of cross-border money laundering through complex, multi-jurisdictional LPAs, current investigations would indicate that it is deemed to be a threat to the IOM. The workshops with the TCSP sector, Legal sector, and Accountants/Tax sector highlighted › industry's awareness of the risks and possible red flags. They had experience of dealing with these structures and understanding the purpose behind the complexity. The combination of controls that the firms have in place and professional experience and expertise resulted in these sectors generally having a good understanding of when red flags occurred.

Structures containing legal persons can be set up under trusts. A trust cannot hold shares in its own name; rather, they are held by trustees on behalf of the trust. If the trust is discretionary, with no person guaranteed to benefit except at the discretion of the trustees, and the settlor retains no powers to revoke the trust, the trustees will, in most cases, be recorded on the Beneficial Ownership Database as controllers of the underlying legal person because the trustees are the shareholders. If the trustees are a TCSP, it will be the natural person shareholders of the TCSP. For trusts, the TCSP is obliged to identify and conduct customer due diligence or enhanced CDD on the settlor and persons in receipt of a benefit by virtue of Paragraph 12 of the AML/CFT Code 2019. If the trust is a financial institution (FI), or has a financial account maintained by a financial institution there may also be reporting that is required under FATCA and/or the CRS. There are, therefore, differences in approach across varying pieces of statute as to who will be considered a beneficial owner for the function of that legislation. It may be that the Beneficial Ownership Database lists the shareholders of a TSCP as beneficial owners of a client entity by control, whilst the TCSP itself, for the purpose of compliance with the AML/CFT Code 2019, considers the settlor of a trust to be the beneficial owner. Likewise, if there is reporting under FATCA and/or the CRS, the beneficial owners as declared to ITD (or a foreign tax jurisdiction if reporting occurs there) may differ from what is recorded as a registrable beneficial owner on the Beneficial Ownership Database. **Figure A6-1** in **Appendix 6** shows the principal activity for legal persons as provided in the TCSP 2025 LPA Return. The majority are for asset-holding purposes and there is a limited appetite across the sector for trading companies.

For both authorities and industry, the understanding of complex structures is good but still developing.

To further enhance the understanding, the actions recommend the publication by the FIU of further typologies (examples have been published in the FIU "Online Gambling: Red Flags for ML, TF and PF" document)[94] and consideration of additional national risk assessment analysis of complex structures with an IOM connection. In addition, any future data outreach requests to the TCSP sector should look at seeking further detail on these structures so that a deeper understanding of all jurisdictions and asset types and locations is captured in the national data. The TCSP 2025 LPA Return did not seek details of every entity within all structures, which would have provided greater granularity on the ultimate asset, activity, and jurisdiction.

Figure 2-10: Sanctions Data Analysis by Customs & Immigration

Customs & Immigration undertook an analysis of complexity of legal structures based on data from FIU Intelligence Reports relating to sanctions. This provided an insight into a number of complex structures that often hold assets such as property, yachts, and aircraft. Working with the TCSPs, the structure diagrams were reviewed and a number of the common trends were:

- Trusts were commonly seen within the complex structures, often at the top of the structure.
- The supervised entities knew the customers well and held the required documentation.

All those analysed were Russian Federation-sanctioned persons/entities (under UK autonomous sanctions) and the intermediary jurisdictions frequently included: the BVI, the Cayman Islands, Cyprus, Guernsey, Luxembourg, Switzerland, and the UAE.

2.3.2.2 Cross-border

OVERVIEW

The IOM's role as an IFC means it is inherently exposed to cross-border money laundering risks, especially through:

- Banking and Investment services offered to non-residents;
- TCSPs managing structures for overseas clients;
- Insurance and Fund Management sectors with global reach; and
- payment service providers, fintech, foreign exchange services, and digital currencies such as stablecoins.

These services may be exploited by foreign actors to layer and integrate illicit funds. As stated in the IOM 2020 ML/TF NRA[95]:

"The IOM is an international finance centre; the main threats to the IOM arise from international ML where the proceeds are derived from foreign predicate offences, using the wide range of financial and non-financial services available. The types of services provided in the IOM, although generic in nature, are nevertheless attractive to criminals and may be used to conceal the proceeds of crime or as part of a process to disguise the origins of those proceeds through international transfers of funds and the use of complex corporate structures."

The IOM allows for flexible incorporation and ownership arrangements, which, while legal, could potentially be misused to obscure beneficial ownership and facilitate multi-jurisdictional laundering schemes, generally mitigated by the involvement of a TCSP:

- Shell companies and layered entities may be used to disguise the origin of funds.
- TCSPs could be vulnerable when servicing clients from high-risk jurisdictions.

In the IOM Chief Constable's Annual Report for 2024/25[96], he states:

"Investigations over the last year have doubled, increasing to ten active International Money Laundering cases under investigation, where the predicate criminal activity occurs outside the Isle of Man, but with large scale proceeds migrating into the Island's financial system."

The UK 2025 ML/TF NRA[97] refers to overseas companies:

"Overseas companies identified in law enforcement investigations are frequently part of complex arrangements involving numerous shell companies and trusts across multiple jurisdictions, including the UK, with long, complex chains of transactions. Companies identified in UK law enforcement cases are frequently incorporated in countries with close ties to the UK, including some of the UK's Overseas Territories and Crown Dependencies, other global financial centres like Hong Kong, [China], and European jurisdictions including Malta and Cyprus. The use of these complex arrangements is often associated with high value overseas predicate offences, including corruption and fraud, where funds are routed through varying combinations of transit and end points making it difficult to isolate any one single jurisdiction. The UK is frequently not the sole 'end destination' for these criminal funds."

The IOM has recently published documents regarding cross-border threats, which could potentially impact on legal persons and arrangements on the Island:

- The National Statement on eGaming and Financial Crime[98], published May 2025, stated:

"Given the information that is publicly available concerning typologies and threats, the Isle of Man currently has limited appetite for business in the iGaming sector where there is ownership and/or control from East or Southeast Asia." ›

Investigations over the last year have doubled, increasing to ten active International Money Laundering cases under investigation."

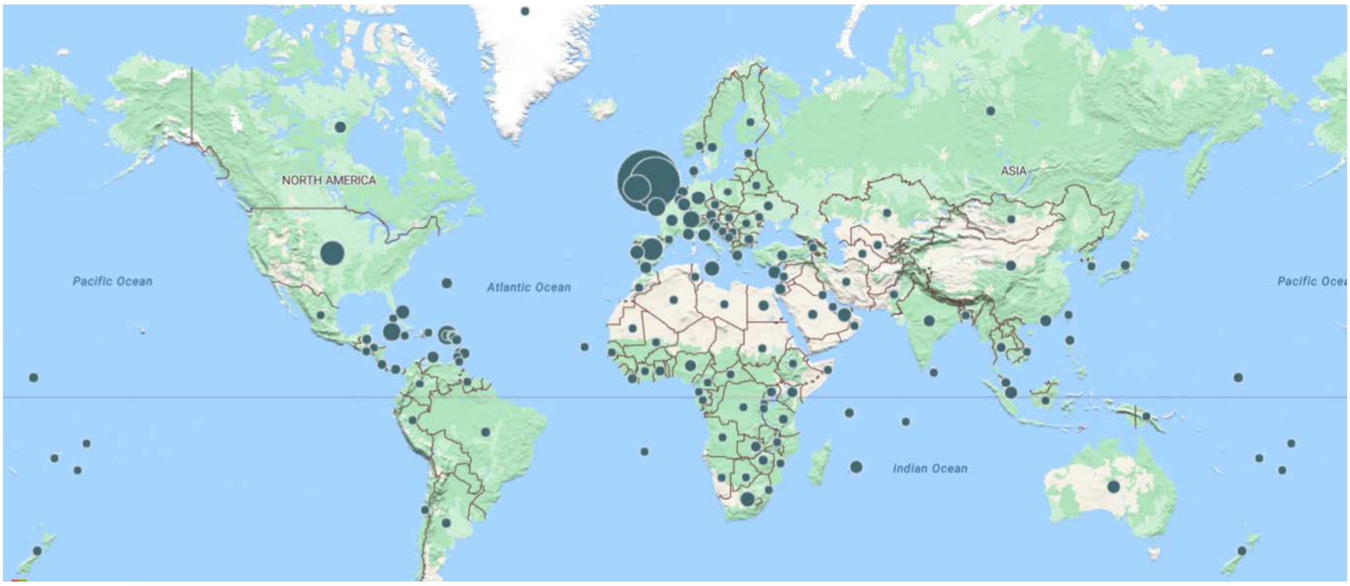
- Immigration fraud risk or exploitation of workers[99] is a relatively recently emerging threat for the IOM, often facilitated through UK micro-companies but also from further afield.

The Gambling Sectoral Risk Assessment[100] focuses on the threats from eGaming,including cross-border threats; it also considers emerging threats from activities ancillary to online gambling where relevant to the sector's exposure.

Jurisdictional exposure, legal persons

The TCSP sector has provided cross-border exposure data in both the TCSP 2025 LPA Return and the 2024 FSA AML/CFT annual return. **Figure 2-11** provides an overview of the country risk exposure for the principal activity of each legal person reported by the TCSP sector. The number of entities in each jurisdiction is represented by the comparative size of the circle.

Figure 2-11: Companies' Principal Activity by Jurisdiction for Legal Persons Managed/Administered by IOM TCSPs



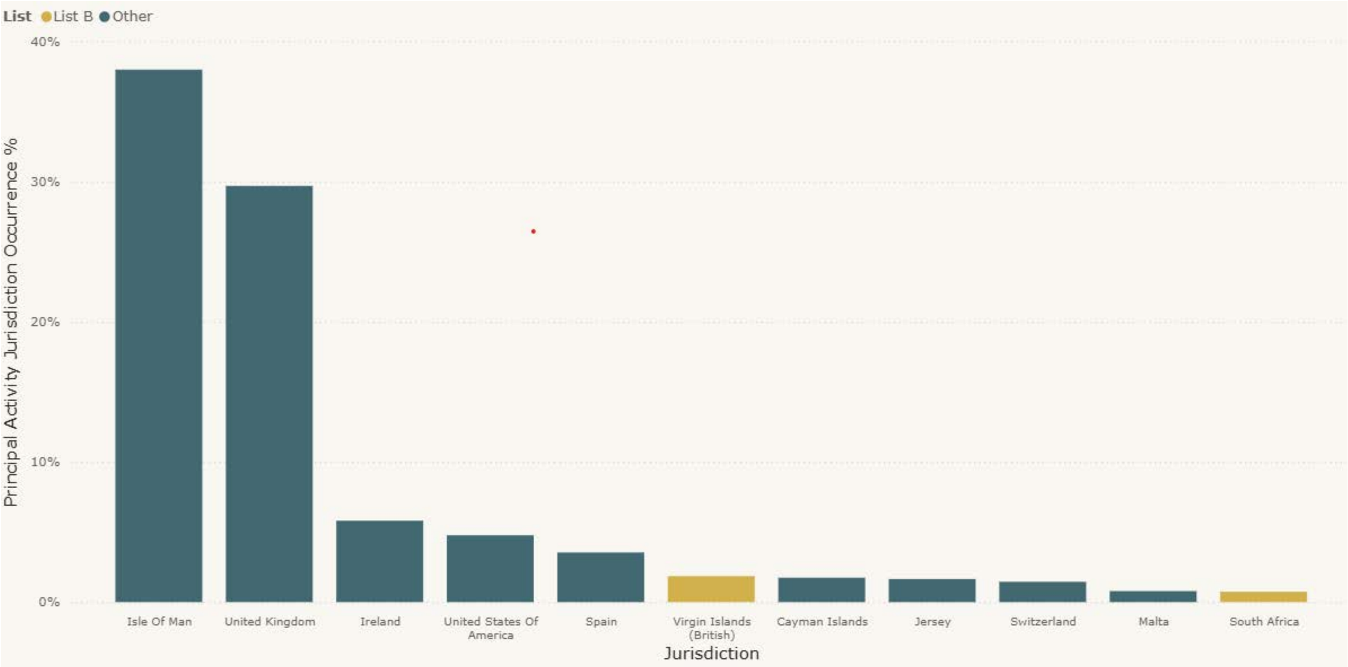
Source: TCSP 2025 LPA Return

An analysis of the Principal Activity for all companies by jurisdiction (see **Figure 2-12**) (comparing with the Country Lists, see **Appendix 7**), showed that after the IOM, the top countries were the UK (**29.0%**), Ireland (**5.7%**), and the US (**4.7%**).

Further detail is provided in the respective chapter for each legal persons and arrangements entity type. In addition, an overview of geographic risk for jurisdictions where countermeasures are required is included in the 2026 ML NRA.[101]

The highest country risk is within the List A countries. There are no legal persons with a principal activity in a List A country. List B countries have a country risk which is lower than List A countries but higher than for other countries and jurisdictions. The BVI (**1.8%**) and South Africa[102] (**0.7%**) were both B(i) countries at the time the data was provided. (South Africa has since been removed.) Further analysis of the UK, US, Spain, BVI, and the Cayman Islands is covered in **Chapter 5** ("Foreign Legal Persons") and **Appendix 8.** ›

Figure 2-12: Top Jurisdictions by Principal Activity for Legal Persons Managed/Administered by IOM TCSPs



Source: TCSP 2025 LPA Return

Companies Registry holds details of the nationality and country of residence for RBOs. **45.7%** of all RBOs have a country of residence outside of the IOM. **5.12%** have a List B country of residence, with the highest being: Monaco (**1.78%**); South Africa (**1.15%**); and Nigeria (**0.56%**). For all other countries, the top three are: the UK (**15.0%**); Ireland (**6.1%**); and the UAE (**2.2%**).

FURTHER UNDERSTANDING WHERE THERE ARE EQUITY HOLDING COMPANIES AND SUBSIDIARIES

To obtain a deeper understanding of the structures within which the companies sat, the TCSP sector in the 2025 LPA Return also provided further details where the activity was categorised as "Equity Holding Companies".[103] **Figure A6-1** in **Appendix 6** provides further detail. This shows that there is a similar mix and proportion of activities between the principal company and the equity holding company.

Analysis was also undertaken of the jurisdictional exposure for Equity Holding Companies and also where there were subsidiaries; these are shown in **Figure A6-2** in **Appendix 6**. The jurisdictional exposure is broadly consistent between these three entities. Therefore, throughout this document, the analysis has been based on the company, and further analysis of the equity holding company and/or subsidiary has not been included to avoid unnecessarily complicating the analysis with additional data and Figures.

Jurisdictional exposure, legal arrangements

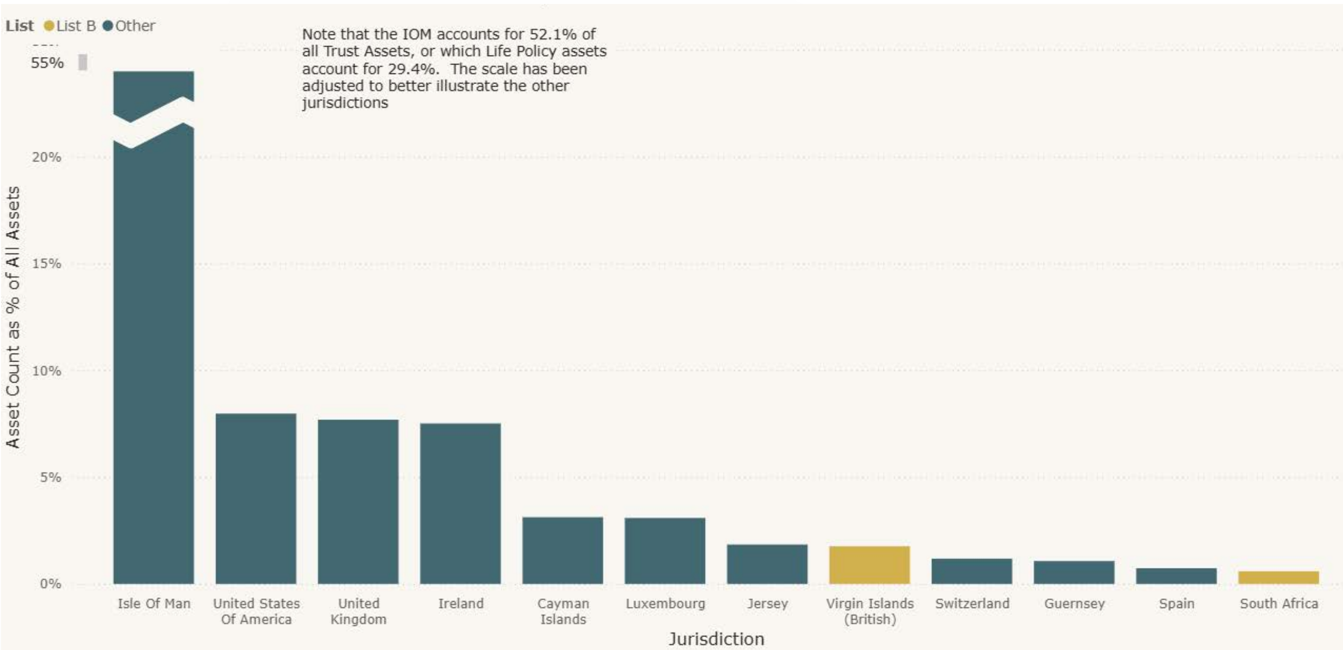
Using the TCSP-supplied data, an analysis of Assets for all trusts by jurisdiction showed that the IOM was the location with the largest proportion of assets (**52.1%**), which was expected as a trust often sits at the top of a structure; the US, UK, and Ireland are substantially lower, at **8%**, **7.7%**, and **7.5%** respectively.

The greatest exposure to List B countries (there was no List A exposure) was to the BVI (**1.8%**) and South Africa (**0.6%**) (see **Figures 2-13** and **2-14**). ›

Figure 2-13: Trusts' Assets by Jurisdiction

Source: TCSP 2025 LPA Return

Figure 2-14: Top Jurisdictions by Assets for Trusts



Source: TCSP 2025 LPA Return

2.3.2.3 Overseas property

There have been concerns regarding ML/TF risks through the real estate sector for many years, with an FATF report published in June 2007.[104] The UK 2025 ML/TF NRA[105] stated: "In the period 2010 to 2021, overseas ownership of UK property nearly trebled, sitting at **0.7%** of all UK properties."

Therefore, analysis was undertaken on the TCSP 2025 LPA Return to better understand the exposure and to which jurisdictions for overseas residential and commercial real estate.

Figure 2-15 shows the total figures, by number of entities, as reported by the TCSP sector. In total, for companies and trusts, the percentage of entities with exposure to real estate outside of the IOM was **15.5%**. By comparison, **0.9%** had exposure to IOM property.

The largest jurisdictional exposure is to the UK (**10.0%**), followed by Spain (**1.5%**) and Ireland (**0.6%**). The risk exposure to higher-risk jurisdictions (List B) is negligible and restricted to the BVI.

Figure 2-15: IOM Entities Exposure to Overseas Real Estate

		Activity	Persons + legal arrangements) number	UK	Spain	Ireland	Portugal	USA
Legal Persons	Primarily overseas	Holding commercial real estate non-IOM	7.3%	4.6%	1.4%	0.2%	0.2%	
		Holding residential real estate non-IOM	6.0%	4.1%	0.1%	0.2%		0.2%
		Real estate	1.1%	0.6%		0.0%		
		Sub total	14.4%	9.2%	1.5%	0.5%	0.2%	0.2%
	Primarily IOM	Holding residential real estate non-IOM	0.5%					
		Holding commercial real estate non-IOM	0.4%					
Trust		Real estate	1.1%	0.7%		0.1%		0.0%
Total			**15.5%**	**10.0%**	**1.5%**	**0.6%**	**0.2%**	**0.2%**

Source: TCSP 2025 LPA Return

2.3.2.4 Tax advice

If a structure is set up in the IOM, then there is potentially tax advice required in regard to:

- the beneficial owner and/or shareholder relating to their jurisdiction of residency;
- the legal person or arrangement for any jurisdiction(s) of residence for that entity or jurisdiction(s) they operate in/derive income from; and
- the IOM structure.

Therefore, the structured advice may originate from outside of the IOM. The TCSP sector advise that the advice usually comes from one of a small number of larger, global firms.

Tax advice is not received with every customer request; it depends upon the client's requirements. The TCSP sector will stress to their client, if appropriate, that advice should be sought at the outset, as the cost of subsequently changing a structure could be far higher than the cost of initial tax advice. If a copy of the professional tax advice is provided to the TCSP, it may be used as part of the process to assess the risk of the structure. ›

A degree of reliance is placed on the tax advice received, which is used as guidance only, unless it has been specifically addressed to the TCSP.

Tax laws and rules are updated by each jurisdiction from time to time. Therefore, it is necessary for a TCSP's client to pay for regular reviews of the original tax advice to ensure that it is still current and the structure does not need to be updated. Potentially, there is tension between the TCSP who is requesting updated tax advice and the end client who has to pay for the advice but does not want to incur this expense. However, reluctance to pay for refreshed tax advice would generally be considered as a red flag and ultimately could result in the relationship being terminated if it were not forthcoming.

Anecdotally, the sector advised that the number of tax-driven structures required by clients was decreasing.

2.3.2.5 Multiple directorships

The UK 2025 M /TF NRA states[106]: *"Directors associated with an implausibly large number of companies continue to be considered higher risk."* In the IOM, there is no statutory cap on the number of directorships that a person can hold. The FSA issued guidance[107] on Directorships and Trusteeships which states:

"Having more posts as client vehicle director and trustee means having less time available for each post. However skilled an individual may be, at some point they would no longer be able to adequately discharge their responsibilities. Eventually an otherwise competent person can cease to be competent as a result of being overstretched. This would be to the detriment of securing an appropriate degree of protection for the customers of persons carrying on a regulated activity, and in some cases to the detriment of underlying investors.

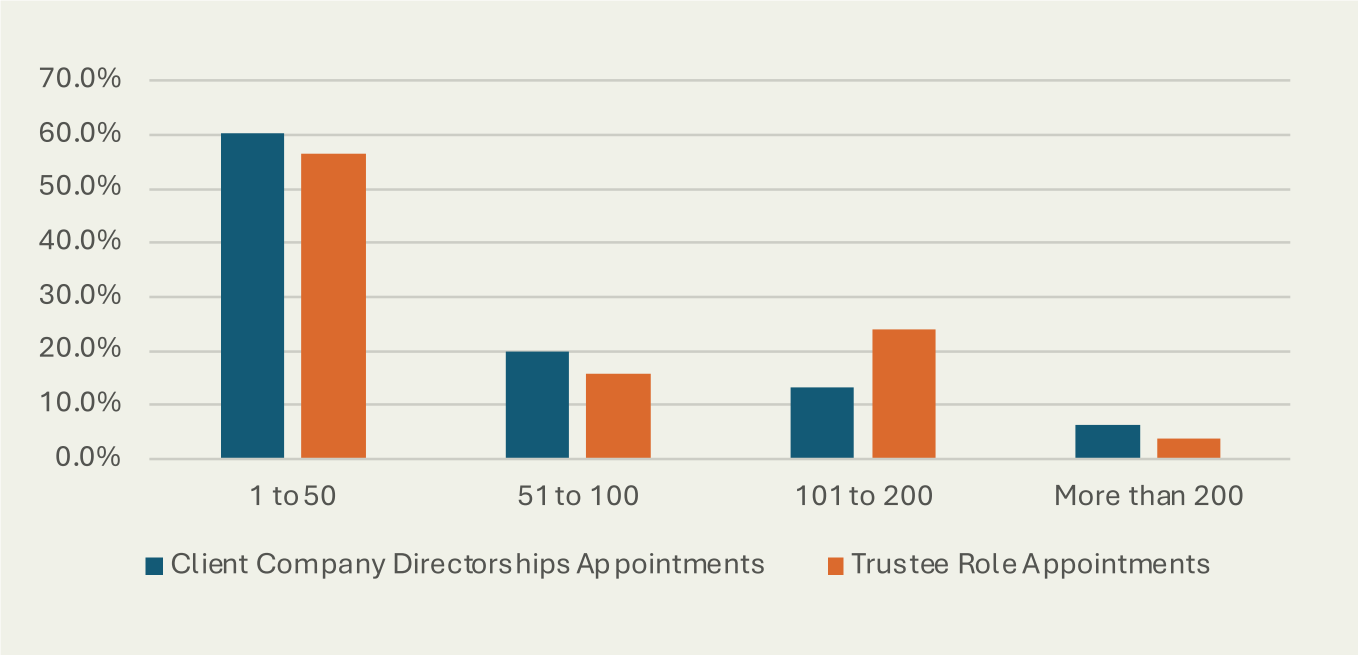
Licenceholders should monitor the directorship and trusteeship responsibilities of their staff and be able to satisfy themselves that staff have enough time to properly discharge all their responsibilities; whether these are as directors or trustees of client vehicles, or as directors or managers of the licenceholder itself."

The FSA monitors the numbers by the annual Fiduciary Returns from the TCSPs. These are categorised into four bands for the number of controlled function role holders with the following number of client appointments: 1 to 50; 51 to 100; 101 to 200; more than 200. This data also includes appointments through Corporate Directors and Corporate Trustees[108], which represent **52%** of the overall total and are assumed to account for the higher categories.

As shown in **Figure 2-16**, for company directorships, **13.4%** have 101 to 200 and **6.3%** have more than 200. For trusteeships, **24.1%** have 101 to 200 and **3.7%** have more than 200. Further analysis should be considered in conjunction with the TCSP sector to better understand how firms monitor the number of roles an individual holds, in what capacity, and their ability to perform the roles when multiple positions are held. ›

Licenceholders should monitor the directorship and trusteeship responsibilities of their staff and be able to satisfy themselves that staff have enough time to properly discharge all their responsibilities."

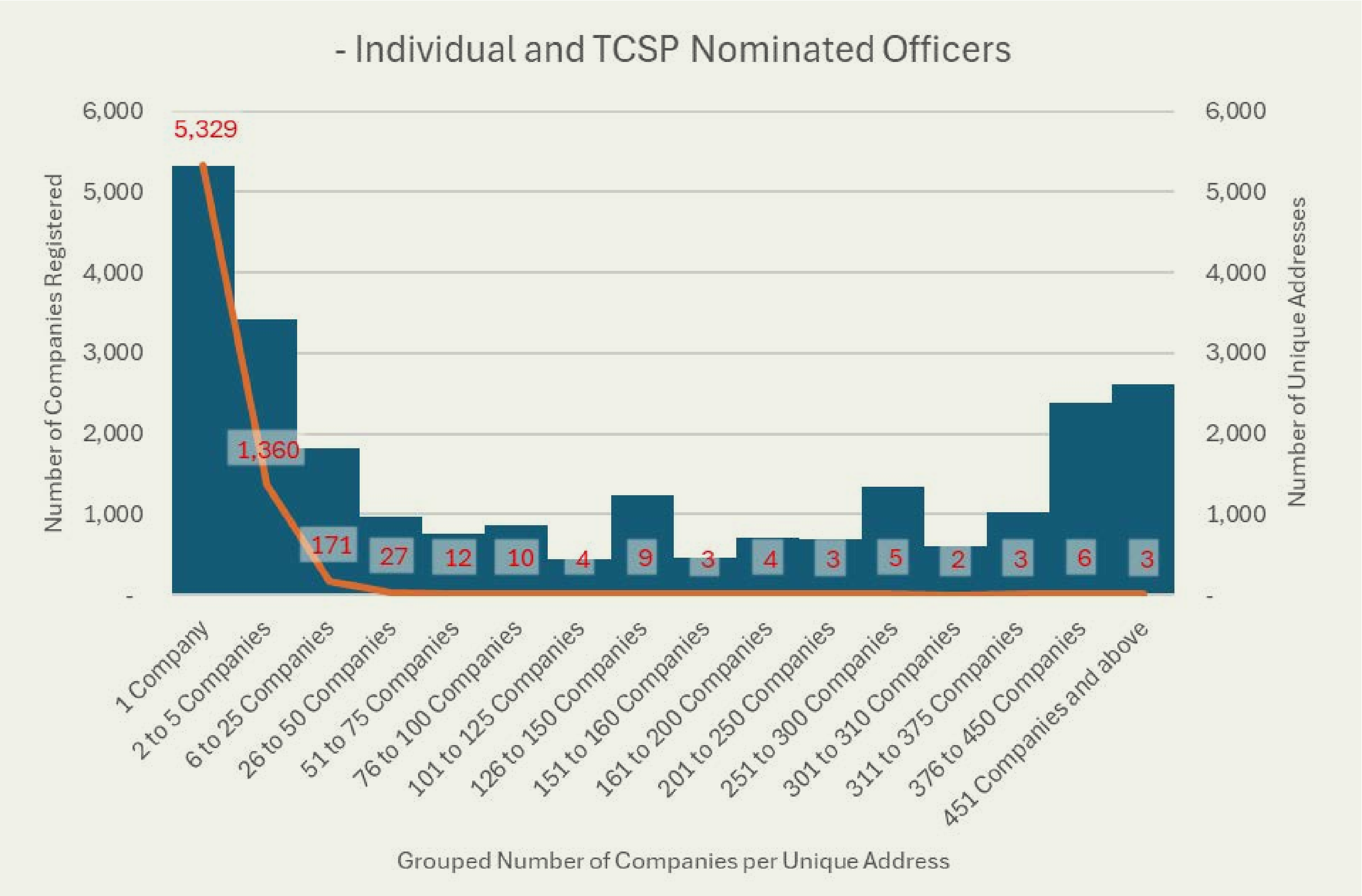
Figure 2-16: Percentage of Controlled Function Role Holders with Client Appointments by Bandings, 2024



Source: FSA Annual Fiduciary Return 2024 from TCSPs

There is also a risk of unlicensed individuals offering multiple directorship services (beyond any applicable exemption or exclusion). The FSA continually monitors the perimeter for unlicensed TCSP activity. Companies Registry have recently started to monitor the perimeter and will raise a SAR with the FIU if required,or advise the FSA if they suspect unlicensed TCSP activity is taking place. **Figure 2-17** shows the data for the count of all companies registered per unique address[109]. There are 5,329 addresses that only have one company registered at the address, whilst there are a number of TCSPs which have multiple companies registered at their addresses. It is recommended that further work is undertaken by the FSA and Companies Registry to review this data for any possible outliers, where non-TCSP addresses have multiple registered companies. ›

Figure 2-17: Number of Companies Registered per Unique Address



Source: Companies Registry

2.3.2.6 Registered Office and Registered Agent service by TCSPs

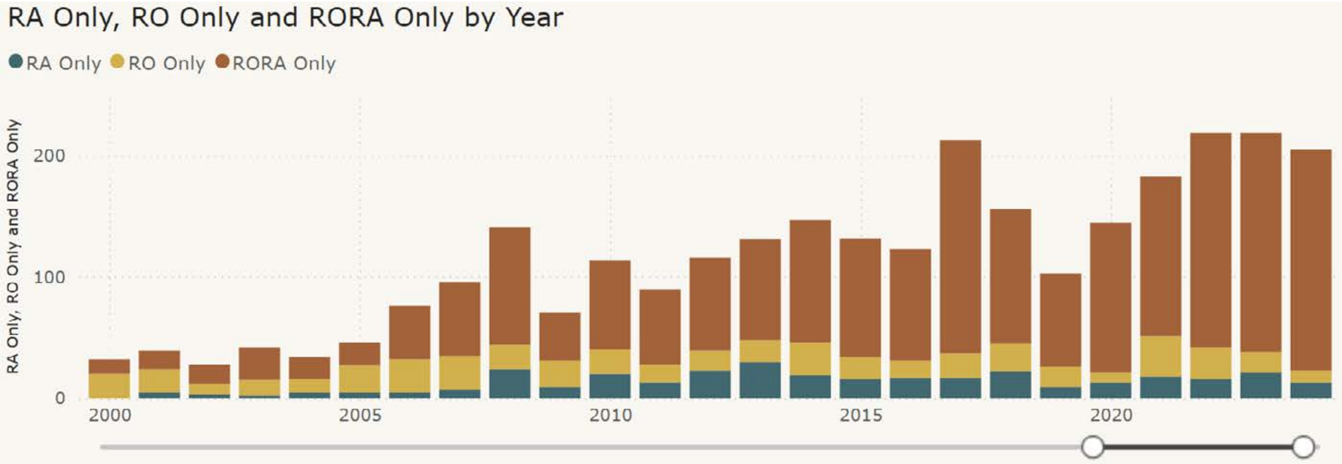
Registered Office and Registered Agent functions are detailed in **Chapter 3.2.7** and regarded as one of a number of offerings of limited services from the TCSP to the end client.

Limited services provision is widely regarded as posing a potentially higher inherent risk of ML/TF. The Financial Crime Partnership TCSP group[110] has listed each limited service, the risk, and possible mitigation which may decrease the risk. It is recommended that the group publish a "hints and tips" paper including case studies, which will be shared from the FCP group with the ACSP.

Whilst limited services provision can be provided to certain companies by TCSPs, the TCSP itself must be regulated for the full range of TCSP services and is prohibited (which is strictly enforced by the FSA) from just offering limited services such as Registered Office.

2006 Act companies are the most common entities to make use of the Registered Agent and/or Registered Office service with a TCSP. 1931 Act companies do not require a Registered Agent and therefore the only service required is the Registered Office service (see **Figure 2-18**). ›

Figure 2-18: Registered Office, Registered Agent Provided by TCSPs



Incorporation Type	RA Only %	RO Only %	RORA Only %
1931 Act Companies	0.0%	3.2%	0.5%
2006 Act Companies	1.9%	1.2%	12.8%
Foreign Registered Companies	0.0%	0.1%	0.0%
Foreign Companies	0.2%	0.0%	0.2%
Foreign Companies - IOM tax resident			0.0%
Foundations Act Companies	0.0%	0.0%	0.3%
Limited Partnership		0.2%	0.1%
LLC Act Companies	0.0%	0.1%	0.1%
Total	**2.2%**	**4.9%**	**14.0%**

Source: TCSP 2025 LPA Return

2.3.2.7 Professional enablers and gatekeepers

The UK Law Society worked with the UK National Economic Crime Centre (NECC) to agree a definition for professional enablers[111]:

"A professional enabler is an individual or organisation that is providing professional services that enable criminality. Their behaviour is deliberate, reckless, improper, dishonest and/or negligent through a failure to meet their professional and regulatory obligations."

The UK 2025 ML/TF NRA highlights the threats from professional enablers[112]. It states:

"Criminal funds generated in the UK are also moved cross-border via both UK and non-UK corporate structures. Moving funds across borders is more likely to involve a network of companies which are often set up and run by complicit professional enablers. Structures are set up in the UK, in intermediary jurisdictions, and in the destination jurisdictions to receive the funds." ›

As referenced in **Chapter 2.3.1**, the UK Companies House Strategic Intelligence Assessment highlighted how: "this ranges from failure to apply due diligence to negligence, to complicit activity by regulated professionals."[113] Therefore, most jurisdictions face a threat if there are weaknesses with the professionals who advise, create, or administer structures on behalf of clients. It is noted that the sectors which have a key role in advising, structuring, or administering LPAs in the IOM are licensed/registered by the FSA (see **Figure 1-6**).

During industry workshops, the risk appetite of firms within specific sectors was raised. Across the Island, different firms have different risk appetites set by their respective boards. Some firms have a higher risk appetite than the average for the sector, and they have the additional challenge of ensuring that they manage and mitigate the enhanced risk profile within their firm.

Professional gatekeepers/introducers/intermediaries/TCSPs will be vulnerable if:

- they are not regulated in their jurisdiction or have limited regulation in place;
- there are weak controls, insufficient resources, or insufficient knowledge and experience;
- the client is never met face-to-face;
- insufficient questions are asked to properly understand the client and their activity; or
- they are wittingly or unwittingly instructed by transnational or UK organised crime gangs.

A number of criminal prosecutions and convictions include professional firms abusing their position (see **Chapter 2.2.4**). The threat is mitigated as many of these firms are supervised by the FSA.

2.4 Typologies

Law enforcement agencies supported the analysis of typologies that had been evidenced or might occur in the IOM. Consideration was given to those in the World Bank methodology as well as additional typologies, noting that the activities and products that are commonly used for legitimate business purposes can also be used for illegal activities.

It should be noted that all the cases relate to money laundering and there were no cases with a terrorist financing element to them.

MULTI-JURISDICTIONAL SPLITTING

Multi-jurisdictional splitting is defined in the World Bank typology as: Networks of legal structures that split entity formation, asset ownership/administration, location of professional intermediaries, and location of bank account across different countries in order to prevent detection of illicit activity and to evade regulations. As an IFC with a significant professional intermediary sector, this is a relevant typology to the IOM. The IOM Chief Constable's Report 2024/25 states: ›

"Criminal investigations also have parallel restraint and forfeiture investigations conducted by PIMLIT and the International Cooperation and Asset Recovery Team (ICART) investigating assets for recovery from predicate criminality. These cases are complex and include, multi-jurisdictional structuring to layer funds, the use of shell companies and other financial products to hide and obfuscate criminal proceeds from law enforcement."

Recent cases of this type have included:

- an investigation related to a complex network of trusts and companies in various IFCs, including the IOM;
- an investigation case where the subject is suspected of facilitating money laundering through complex structures and companies in the IOM and other jurisdictions;
- incoming MLA relating to a 2006 Act company managed by a TCSP, where the company owned an aircraft – concerns regarding possible cross-border evasion of tax; and
- criminal property suspected to be derived from a complex multi-jurisdictional fraud.

Legal entity/arrangement types involved in such cases were 1931 Act companies, 2006 Act companies, and trusts.

FOREIGN OWNERSHIP/CONTROL BY SHELL COMPANIES

Foreign ownership/control by shell companies is defined in the World Bank typology as: Cross-border ownership/control structures of domestic legal structures that are owned or controlled by foreign-registered legal structures. Ownership is held by legal structures, rather than by foreign natural persons. The IOM does have LPAs with foreign ownership and experience of the use of shell companies (see the Chief Constable's comment above). The level of overseas RBO for five legal person types is noted in **Figure 2-19**.

Figure 2-19: Percentage of Overseas Registrable Beneficial Ownership by Legal Person

Legal Entity Type	1931 Act	2006 Act	Foundations Act	LLC Act	Limited partnerships with legal personality
Percentage of overseas (non-IOM) RBO	28.2%	76.6%	47.1%	44.7%	92.3%
Legal entity as a percentage of total overseas RBOs	38.2%	57.2%	1.3%	0.4%	1.0%

Source: Companies Registry

Recent cases of this type have included:

- Shell companies have been involved through the BVI; Seychelles; China; Hong Kong, China; Singapore; and East Africa.
- International investigations have been conducted into suspected money laundering involving international companies. Entities (not necessarily administered in the IOM) were set up in IFCs including the IOM as property holding companies for top-end properties in London, Dubai, and other high-end locations. In addition, the companies were used to buy expensive IOM properties (via a TCSP-managed entity). As referenced in the UK 2025 ML/TF NRA, direct sale by developers is out of scope of the regulations and there is an emerging threat from multiple properties being purchased off-plan.
- MLA requests were received relating to the transfer of value from an IOM-registered 2006 Act company to a foreign PEP. Wirecard AG's collapse in 2020 revealed a €3.5 billion fraud involving a network of entities. Among the jurisdictions reported was the IOM. Some of the entities used, with offshore registration and layered ownership, reflect characteristics commonly associated with shell companies used to obscure financial flows ›

- The IOM Anti-Bribery and Corruption Strategy 2022–2027[114] considers the threats from LPAs, including shell companies.

All legal entity/arrangement types were involved in these cases.

Figure 2-20: Case Study Example: Trusts

An IOM-based TCSP was approached to set up and administer several trusts for family members of the president of another jurisdiction. Open-source research revealed that the president was alleged to be linked to kleptocracy and stated he was engaged in a number of money laundering schemes using offshore companies/ trusts. The IOM-based TCSP declined the business, suspecting the assets of the trust would have likely been generated illegally. The IOM-based TCSP submitted a SAR to the FIU.

Source: FIU

ANOMALOUS, COMPLEX OWNERSHIP/ CONTROL STRUCTURES

Anomalous, complex ownership/control structures are defined in the World Bank typology as: *Anomalous, complex, and opaque chains of ownership/control structures that involve many intermediate layers with shares often registered in the name of other legal structures. This can include circular ownership structures and fragmented ownership structures.*[115]

Recent cases of this type have included:

- suspected facilitation of money laundering through complex structures using trusts and companies;
- incoming MLA prompted by information on the use of an IOM company and IOM trust to potentially evade tax; and
- a public statement and civil penalty by the FSA relating to a firm holding Class 3, 4, and 5 regulated activities[116] – this included
  "had not been fully understanding the use of the complex structures within its business relationships and had not risk assessed these structures accordingly".

Legal entity/arrangement types involved in cases were 1931 Act companies, 2006 Act companies, and trusts. ›

Figure 2-21: Typology Example: Complex Network of Trusts and Companies

A request for assistance was received from a foreign jurisdiction in relation to an investigation into a complex structure of legal arrangements and entities spanning multiple international financial centres. The case involved suspected money laundering linked to serious predicate offences, including corruption and breaches of international sanctions. These offences had not occurred in the jurisdictions where the entities were registered. The investigation identified several companies registered in the jurisdiction which were suspected to have been used to facilitate the movement of funds. One such company was also linked to the leasing of an aircraft. All of these entities had been incorporated and most dissolved more than two decades prior to the commencement of the investigation.

Additionally, a local service provider had acted in the capacity as a nominee shareholder for a foreign company central to the asset tracing efforts.

Source: AGC

USE OF TRUSTS OR FOUNDATIONS IN OWNERSHIP/CONTROL STRUCTURES

This is defined in the World Bank typology as: *Legal structures that are owned by trusts or foundations that provide for the separation of legal ownership from beneficial ownership, and often have low transparency of ownership/control. Recent cases of this type have included:*

- an investigation related to a complex network of trusts and companies in various IFCs, including the IOM;

- suspected facilitation of money laundering through
- complex structures using trusts and companies;

- potential sanctions evasion;

- an Organised Crime and Corruption Reporting Project case on the family of the President of Azerbaijan and the use of an IOM trust (affiliate) – it is recommended that the FIU add a typology(or several) relating to affiliates in a future typology publication.

The legal arrangement type involved in these cases was trusts.

Figure 2-22: Case Study Example: Trust

A regulated TCSP in the Isle of Man acted as the trustee of a trust formed in the United Kingdom. The trust owned **100%** of the shares of a company that holds the deed to property in the United Kingdom. The company received rental income from the property ultimately owned by the trust. Mrs Brown, the settlor/beneficiary, received regular distributions from the trust as the rental income is accrued. The TCSP as the trustee took tax advice when the 10th anniversary of the trust passed. Inheritance tax is charged on the net value of any relevant trust property every ten years in the United Kingdom. Mrs Brown disputed the fact that inheritance tax was payable and took steps to remove the trustee. The TCSP submitted a SAR to the FIU suspecting that Mrs Brown was attempting to evade paying inheritance tax and hiding this by removing them as the trustee.

Source: FIU

USE OF NOMINEE DIRECTORS/NOMINEE SHAREHOLDERS/“FRONTMEN”

This is defined in the World Bank typology as: *Nominee directors or nominee shareholders can be used to conceal the identity of the beneficial owner of a company or asset (circumventing due diligence, AML controls, or sanctions), as well as to conceal illicit wealth (by concealing beneficiary of income), overcoming jurisdictional controls on company ownership (e.g., those requiring citizens to be directors), and circumvent directorship or shareholder bans imposed due to misconduct. A “front man” or “straw man” will purport to be the beneficial owner of a legal structure to hide the identity of the actual beneficial owner.*

Recent cases of this type have included:

- An IOM resident was presenting a UK national as UBO of his companies and there were suspicions of tax evasion.

- Any legal person could be impacted by these cases.

USE OF FAKE IDS FOR FORMATION/REGISTRATION

This is defined in the World Bank typology as: *Providing fake identification documents during the formation process of a legal structure or at the opening of a corporate bank account to evade due diligence and ML controls.* ›

Recent cases of this type have included:

- Companies Registry question the presentation of a golden passport[117], which was subsequently satisfactorily resolved. It should be noted that the use of a golden passport will be a red flag and enhanced CDD will be requested, and if sufficient comfort cannot be obtained, then the client will be declined/ off boarded.
- During investigations, law enforcement see examples of fake identification, including the use of IOM driving licences used overseas as due diligence.
- AI and deepfakes are becoming more frequent in investigation cases.

All legal entity types were involved in these cases.

SANCTIONS EVASION

Since the last ML/TF NRA was published in 2020, there has been a significant global increase in the use of targeted financial sanctions and restrictions on the supply of goods and technologies against countries, including the Russian Federation and Belarus, in relation to cybercrime and human rights abuses. The IOM implements sanctions in line with those imposed in the UK, which has seen a large increase in the number of persons subject to asset freezes, particularly in relation to the Russian Federation regime.

The use of professional services to construct complex corporate structures to disguise beneficial ownership and hide assets to evade sanctions is a known global threat.
Techniques used include:

- the use of complex corporate structures, using shell companies, trusts, nominee directors, and moving assets to jurisdictions that may have weaker AML/CFT controls;
- registering companies, assets, and trusts in the name of relatives of proxies and/or seemingly reducing the level of ownership in corporate structures by selling shares to family members, trusted proxies, or business associates;
- using connections with money laundering networks or organised crime groups (OCGs) to obscure beneficial ownership;

2.5 National threats summary

The threat analysis undertaken for this NRA identifies a range of ML and TF threats associated with LPAs. While some of these threats and typologies were highlighted in previous assessments, others have become more pronounced due to the evolving global financial crime landscape. The analysis confirms that the domestic threat is comparatively low; however, the IOM faces significant exposure to cross-border risks, particularly those linked to foreign predicate offences. This reflects the Island's position as an IFC with a client base that is predominantly non-resident and can be engaged in complex, multi-jurisdictional structures.

Complex ownership structures, especially those that span multiple jurisdictions, pose a heightened risk. "Horizontal" structures involving several jurisdictions and intermediaries are particularly challenging as they can obscure beneficial ownership and create opacity that frustrates detection efforts. While vertical structures administered by a single TCSP in the IOM are generally easier to monitor. The Island's role in global networks means that its entities may sit deep within chains of transactions, far removed from the original criminality. This distance makes it harder for local service providers to identify links to illicit activity.

Cross-border exposure is a defining characteristic of the Island's risk profile. Many entities incorporated in the IOM have foreign beneficial owners and hold assets overseas. This complexity increases oversight challenges and demands robust due diligence by TCSPs and other supervised entities. The analysis also highlights vulnerabilities associated with limited-service offerings, such as Registered Office or Registered Agent services, which inherently carry higher risk. ›

Professional firms, including TCSPs, lawyers, and accountants, play a critical role in mitigating these risks by understanding and implementing their obligations under the Island's legal framework. However, weaknesses in controls, insufficient questioning of clients, and varying risk appetites across firms can create vulnerabilities. The misuse of LPAs by OCGs and transnational networks remains a significant threat, particularly where structures are designed to evade sanctions or exploit gaps in beneficial ownership transparency.

The choice of legal person or legal arrangement by a customer or their professional advisers does not, in isolation, exert a significant influence on the overall risk profile of a structure. While certain LPAs are more prevalent and may exhibit higher inherent risk scores, the relative differences in risk across entity types are not sufficiently pronounced to be considered determinative. The LPAs are vehicles for marshalling the interests of real investors and controlling real assets. Those investors, controllers, and assets, and the associated individual, sectoral, and geographic risks, are more significant factors than the types of entity that happen to be used.

As evidenced throughout this NRA, other factors play a more substantial role in shaping the risk landscape. These include the nature of the end client (e.g., whether they are a PEP), the jurisdictions involved (multi-jurisdictional splitting), the type and value of assets held, the degree of cross-border complexity within the structure, and all the IOM-based professional firms properly understanding the structure and their end client. The threats are invariably mitigated by the fact that the vast proportion of LPAs with a cross-border link are administered by an FSA licenceholder who is supervised by the FSA for its compliance with the AML/CFT framework.

Impact for the Isle of Man

The findings underpin the need for continued vigilance and proactive measures to safeguard the Island's reputation as a well-regulated IFC. The IOM's exposure to foreign predicate offences means that its primary ML risk lies in the placement and layering of illicit funds rather than domestic criminality. This requires sustained investment in regulatory oversight, potentially enhanced data collection on beneficial ownership, and deeper analysis of complex structures. Continued close collaboration between authorities and industry is essential to maintain a strong understanding of emerging typologies and to ensure that risk mitigation strategies keep pace with global developments.

The Island must also recognise that its attractiveness as a financial centre depends on maintaining high standards of governance and compliance. By strengthening its AML/CFT framework and demonstrating robust enforcement, the IOM can continue to position itself as a jurisdiction of choice for legitimate business while effectively managing the risks posed by legal persons and arrangements. ■

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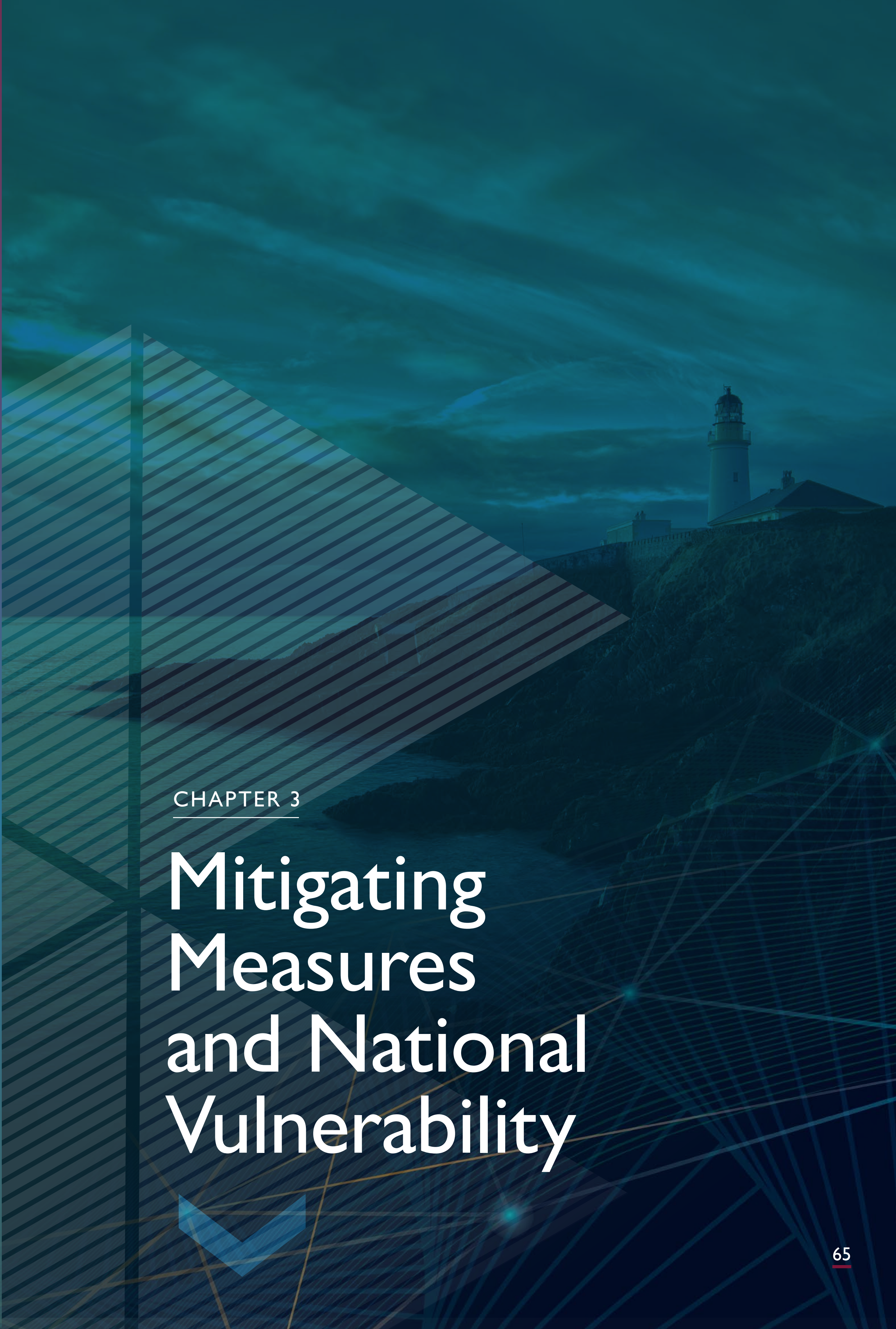


CHAPTER 3

Mitigating Measures and National Vulnerability

3. Mitigating measures and national vulnerability

3.1 Introduction

Overall, the national vulnerability to ML from legal persons and arrangements to the IOM is rated as **Medium High**. The TF vulnerability is rated as **Medium** (see Figure 3-1).

Figure 3-1: Overall National Vulnerability Assessment from Legal Persons and Arrangements to the IOM

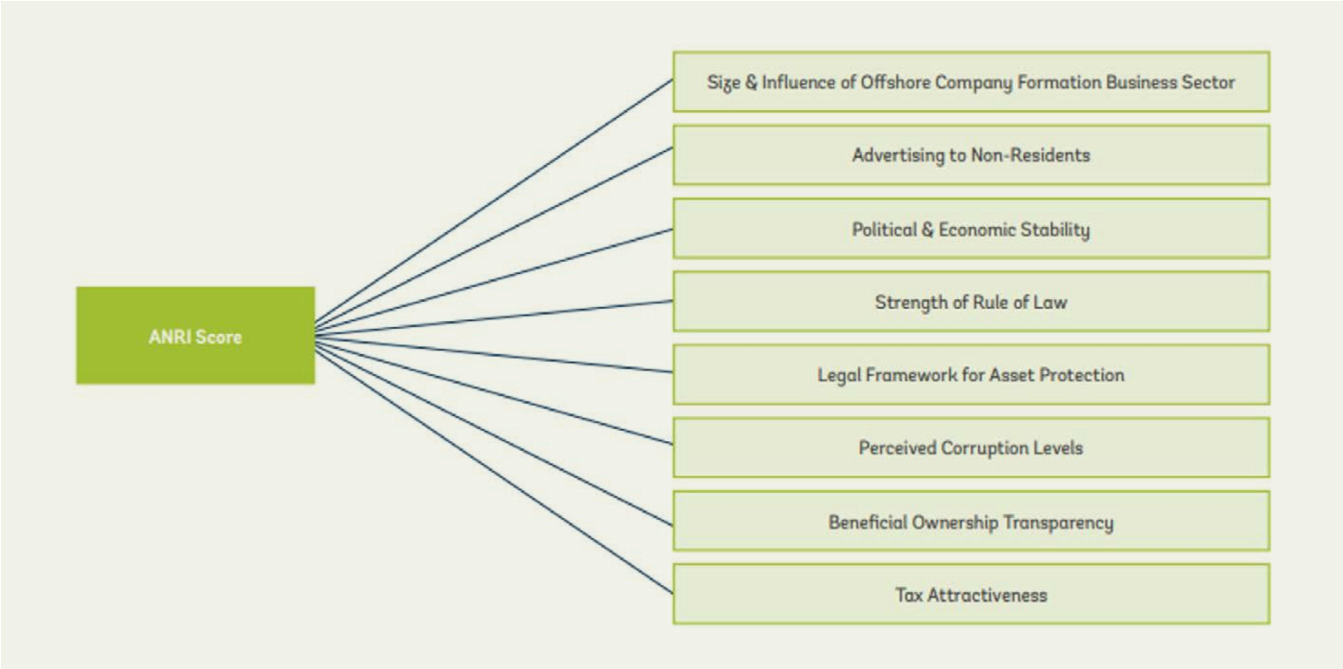
Threat from LPAs	ML Risk Assessment	TF Risk Assessment
Attractiveness for Non-Resident Incorporation	High	
Strength of Mitigating Measures to Prevent ML/TF	Medium	Medium High
National Vulnerability to ML/TF	Medium High	Medium

This step of the assessment, conducted at the national level, aims to evaluate the jurisdiction's vulnerability to ML/TF through legal structures, review existing safeguards, identify weaknesses in the beneficial ownership framework, and determine where additional protections are most needed, while ensuring legitimate business activities are not unduly burdened. It assesses the attractiveness of the IOM to abuse of its legal structures and how effectively the IOM combats ML/TF abuse of legal structures.

3.2 Attractiveness for non-resident incorporation

The ANRI score is a measure of a jurisdiction's general attractiveness as a formation or incorporation centre for non-residents, considering different types of legal structures: companies, partnerships, foundations, trusts, and others. This score incorporates features related to a jurisdiction's current scale of activities and advertising of its trust and company formation sector. It also includes features related to a jurisdiction's general legal, institutional, economic, regulatory, and political frameworks that impact its attractiveness for the provision of company formation services (and related professional services) to non-resident individuals and non-resident legal entities. The network diagram in the World Bank methodology used for the ANRI analysis and score is in **Figure 3-2.** ›

Figure 3-2: Network Diagram for the Attractiveness for Non-Resident Incorporation



Source: World Bank

3.2.1 Size and influence of the offshore company formation sector

The size and influence of the business sector for formation of LPAs is considered to be very high. The 2024 AML/CFT annual return submitted by the TCSP sector reported the following number of customers:

- number of companies administered by TCSPs: 17,047;
- number of trusts administered by TCSPs: 10,596.

The ACSP is the active industry body. The sector is also supported by the Department for Enterprise (DfE). In the 2023/24 IOM National Income report,[118] the CSP sector contributed £172 million to the IOM, representing **3.0%** of the overall national income.

As an IFC, the IOM has a large, well-developed network of professional service providers (TCSPs, law firms, accounting firms, banks) with a large foreign client base (see **Figure 1-1**). Companies incorporated in the IOM can take advantage of zero corporate tax on most activities, provided they do not engage in local banking or derive income from land and property in the IOM[119]. ›

3.2.2 Advertising to non-residents

IOM businesses advertise to non-IOM residents, offering a range of products, services, and expertise from across the sectors. Generally, they do not exclusively promote company formation services. DfE and Finance IOM[120] support the sectors by promoting the wider services of the IOM as an IFC.

The IOM offers a number of visas[121] for people starting/running businesses. It does not offer "golden visas" nor does it offer any programs which offer residence or citizenship by investment.

Globally, countries and jurisdictions are searching for growth to create the economic conditions to allow further funding of their public services; the IOM is no different. The Island Plan[122] states:

"To achieve this vision we aim to make the Island a more attractive place to live and work, which in turn will sustain and grow productive businesses and services. Combined, this will provide more diverse and sustainable public finances that support the best possible public services and quality of life for all of our Island residents."

3.2.3 Political and economic stability

The IOM is politically and economically stable. It is one of the Crown Dependencies (along with Guernsey, and Jersey) (see the "Profile of the Isle of Man" document[123] for further information). The IOM is not part of the UK but has its own parliament (Tynwald), government, and judiciary.[124] Tynwald is considered the world's oldest continuously existing parliament, dating back over 1,000 years. The IOM has maintained consistent governance, with no history of violent political upheaval.[125] The IOM adheres to global standards in areas such as financial regulation, human rights, and international cooperation, reinforcing its commitment to peaceful governance.[126]

MOODY'S CREDIT RATING FOR THE IOM (AA3 STABLE), DECEMBER 2025, STATES[127]:

"The Isle of Man's credit profile is supported by its high wealth levels, strong institutions, prudent fiscal policies, very low direct debt and substantial reserves. Strong linkages between the IOM and the United Kingdom (Aa3 stable) fortify the IOM's institutional strength, but also leave its credit profile exposed to changes in the UK's creditworthiness. The contingent liability risks to the government's balance sheet from the large banking system are mitigated by substantial foreign ownership and the sector's robust capitalization."

3.2.4 Strength of the rule of law

The IOM follows English common law principles. The IOM Courts handle complex commercial disputes, including contractual disagreements and ownership claims. The IOM has a well-established legal and administrative framework for company formation and administration services catering to non-resident clients.

The IOM has established a robust legal framework to prevent the misuse of LPAs. This framework relies heavily on licensed/registered professionals and individuals who are required to implement AML/CFT controls, along with registries that hold key ownership and control information. These obligations are set out in a range of legislation, including the Financial Services Act 2008 (including other similar supervisory legislation) and its associated regulations and orders, the 2019 AML/CFT Code, the 2018 AML/CFT Code for Unregistered Trustees, various Companies Acts, and the Beneficial Ownership Act 2017, all of which empower regulatory gatekeepers to supervise and enforce compliance. ›

3.2.5 Legal framework for asset protection

The Island's legal system is based on common law principles, providing secure asset ownership rights and legal recourse for disputes. The Trusts Act 1995 protects assets from foreign court rulings, ensuring strong legal safeguards. The Proceeds of Crime Act 2008 (POCA) is the primary legislation governing confiscation, forfeiture, and civil recovery of assets linked to criminal activity.

The IOM does not levy capital gains, inheritance/estate or wealth taxes; trusts are subject to IOM income tax rules as applicable.

3.2.6 Perceived corruption levels

The main legislation that covers bribery and corruption in the IOM is the Bribery Act 2013. The Bribery Act makes it an offence to give or receive a bribe, bribe a foreign public official, or fail to prevent bribery. There is also a duty under the Bribery Act for certain individuals to report bribery. The AGC is the state prosecutor in the IOM, including for crimes involving bribery or corruption.

The general level of integrity and the operating environment in the IOM is considered to be of a good standard. The IOM is not considered to have significant issues regarding corruption/bribery of officials. There has been one recent example in which an IOM-based defendant was acquitted of his involvement in the bribery of a Ugandan official.[128]

SARs relating to bribery have been submitted mainly by financial institutions and TCSPs.

Alongside a number of smaller jurisdictions, the IOM is not scored within Transparency International's Corruption Perceptions Index.

3.2.7 Beneficial ownership transparency

The BOA places IOM corporate and legal entities under the same legislation regarding RBO. It created a central database for the recording of RBO of legal persons. The central database went live July 2017.

APPOINTMENT OF A NOMINATED OFFICER

The BOA requires each legal entity to which the Act applies to appoint a Nominated Officer. The Nominated Officer must be (as per Section 6(2) of the BOA):

a) a natural person who is resident in the Island; or

b) the holder of a licence issued under Section 7 of the Financial Services Act 2008 which permits the holder to carry on the regulated activity (within the meaning of Section 3(1) of that Act) of providing corporate services.

Details of the Nominated Officer must be notified by the company to Companies Registry within 21 days of appointment, and any subsequent change of officer or change in details must also be disclosed within 21 days of the date of the change.

The following are not captured by the BOA:

- legal persons incorporated outside the IOM (Foreign companies – see **Chapter 5**);
- legal persons listed on specified stock/investment exchanges;
- a collective investment scheme (CIS), as defined in Section 1 of the Collective Investment Scheme Act 2008, which is, i) an authorised scheme, ii) an international scheme, or iii) an exempt scheme (see **Chapter 8**);
- limited partnerships without legal personality (see Chapter 7); associations.

For foreign-registered companies (see **Chapter 5.2**), Companies Registry are considering further analysis and a possible consultation to see if some categories or all of the companies should be added to the BOA, noting that ITD › will already hold similar information to that required under the BOA.

A summary is provided in **Appendix 1**.

DUTIES OF A NOMINATED OFFICER

The Nominated Officer is responsible for determining whether the legal entity they represent has any RBO.[129] In line with Section 20(1) of the Act, this involves taking all reasonable steps, based on information provided by the legal owners of any interest in the legal entity, to identify any individuals who meet the registrable threshold of holding more than **25%** ownership or control. If such individuals are identified, their details must be submitted to Companies Registry via the Beneficial Ownership Database within the required timeframes, as set out in Sections 20(3) and 20(5) of the Act. Where no RBO is evident through shareholding, the Nominated Officer must assess whether control is exercised through other means before submitting a confirmation statement[130]. Reasonable steps must include issuing a written notice to a legal owner, as required, if the Nominated Officer believes a legal owner has not met their obligations. Failure to take all reasonable steps to determine RBO constitutes an offence under Section 20(8) of the Act.

BENEFICIAL OWNER DISCREPANCY REPORTING BY NOMINATED OFFICER

At incorporation

Under Section 9 of the BOA, the legal owners are required to give the Nominated Officer notice as to whom the beneficial owners are, of the legal owners' interest, and the nature and extent of their interest in the legal entity. This must be accompanied by information from a reliable and independent source which verifies the same (such as share registers, trust deeds, or corporate structures). Under Section 9(3)(a), the legal owners must do so as soon as reasonably practicable, but in any event within 21 days of incorporation. Under Sections 20(6) and (7), upon receipt by the Nominated Officer, where the beneficial ownership information is registrable, the Nominated Officer must submit that information onto the Beneficial Ownership Database within 21 days (of receipt).

Where there is a change

The legal owners have 21 days to give notice of a change in beneficial ownership information to the Nominated Officer (runs from date learnt, or had reasonable cause to believe, that the change had occurred). The Nominated Officer must then decide whether that change is registrable; if so, they have 21 days to update the central database (which runs from the date they received the information).

Annual statement to the Central Registry

The legal entity and the Nominated Officer must submit an annual statement to the Central Registry confirming that they have both complied with their respective obligations under the BOA. Each statement is to be submitted under Section 42 of the Act and must be made by the date on which the legal entity is due to submit its annual return. Companies Registry also performs a review post-incorporation, particularly for non-TCSP submissions, to verify if the legal ownership matches the beneficial ownership details. Non-TCSP-submitted companies are predominantly non-corporate shareholders; therefore, Companies Registry will write to the company to question if the information on the shareholder does not align with the beneficial ownership submission.

REGISTERED OFFICE

The Registered Office is the official address of a company in the IOM. It serves as the legal location where statutory documents are kept (e.g., the register of directors, members, and charges), legal notices and correspondence from regulators or courts are delivered, and the company is considered to be domiciled for legal purposes. Every company must have a Registered Office in the IOM. It must be a physical address. The address is publicly available on the Companies Registry. It may be an office of a TCSP or law firm (where operating under a relevant exclusion) which must comply with the AML/CFT Code.

A note issued by the FSA, "Perimeter Guidance – Provision of Registered Office," published in September 2025[131], states:

"The purpose of this guidance is to assist companies and individuals in determining whether their activities may fall within the regulatory perimeter under the Financial Services Act 2008 specifically, under Class 4 of the Regulated Activities Order 2011."

REGISTERED AGENT

Under the AML/CFT Code, any TCSP licensed to carry on Class 4 regulated activity, including acting as a Registered Agent, must comply with all AML/CFT requirements. As part of these obligations, a Registered Agent is required to: (i) identify the › beneficial owner(s) and take reasonable measures to verify the identity of any beneficial owner of the customer, using relevant information obtained from a reliable, independent source; and (ii) hold records of the same.

BENEFICIAL OWNERSHIP ACT

The BOA defines a RBO as someone who owns or controls (including via other means) more than **25%** of the beneficial ownership of a legal entity to which the Act applies. Therefore, there are instances whereby no one owns more than **25%,** yet someone/some people are controlling the entity, (e.g., directors). Legal owners are required to provide the Nominated Officer with the required details of each beneficial owner (whether they hold above or below **25%** of the total interest). The competent authorities and LEAs do have powers to obtain this information from a Nominated Officer.

Companies Registry does not have a RBO listed for:

- **21.6%** of companies with a TCSP Nominated Officer;
- **7.6%** of companies with an individual (non-TCSP) Nominated Officer.

The relatively large percentage of TCSP-administered companies listed without any RBO(s) may be indicative of the presence of a discretionary trust in the structure above an IOM legal entity. Notably, as per the FSA-issued Beneficial Ownership Act 2017 Guidance (December 2024), where a trust company (as trustee of a discretionary trust) acts as the legal owner of an interest in an entity to which the BOA applies, the shareholders of that trust company should be considered as the beneficial owners of the underlying entity, according to their apportioned interest in the trust company, with the nature of interest "Control as Corporate Trustee". Where the trust company has more than four natural person shareholders, their interest in the underlying legal entity will be below the registrable threshold, resulting in no registrable beneficial owners being declared on the Database. A number of IOM TCSPs (including those larger firms which are members of international groups) are ultimately owned by 1) private equity or 2) publicly listed companies, thus 1) causing their own shareholding (and beneficial ownership) to be so dispersed as to have no RBO, or 2) being exempt from the remit of the BOA, if listed on a recognised stock exchange.

Definition of beneficial owner

The definition of "beneficial owner" is set out at Section 4(1) of the Act and provides that "beneficial owner" means: *"a natural person who ultimately owns or controls a legal entity to which the Act applies, in whole or in part, through direct or indirect ownership or control of shares or voting rights or other ownership interest in that entity, or who exercises control via other means, and "beneficial ownership" is to be construed accordingly."*

The definition is broad and seeks to capture all individuals who hold any definable interest through whatever means in the legal entity concerned or who are able to exercise control over the entity concerned. It is essential that all beneficial owners are identified and their beneficial ownership interest and/or right to exercise control of a legal entity is verified at the outset so that those individuals who are RBOs can be determined and their required details submitted to the Companies Registry accurately and within the prescribed timeframes.

Definition of legal owner

The term "legal owner" is defined in section 3 of the Act as meaning:

"a natural or legal person who directly owns or controls shares or voting rights or other ownership interest in that entity or who exercises direct control via other means whether or not that person is also the beneficial owner of that interest"

This includes corporate shareholders and nominee shareholders holding shares on behalf of others. There are instances whereby a person may be the legal owner of an entity but not the beneficial owner. Legal ownership must also be considered in terms of the control that a legal owner may be able to exercise.

Control via other means

"Control via other means" refers to any individual who does not hold more than **25%** of the shares, an ownership interest, or voting rights, but still exercises significant control or influence over the legal entity. Situations may occur whereby control may not be easily identified or demonstrated through established methods, such as voting via shares. Legal owners, therefore, must consider circumstances where control may be exercised via other means, as they are still required to ascertain the beneficial owner of the legal owner's interest, which includes control, and to provide to the Nominated Officer information from a reliable and independent source which verifies the required details. ›

Duties of the relevant person: Fully understood

"Relevant Persons" are defined in Section 30(2) of the BOA as:

a) a legal entity to which this Act applies;
b) a nominated officer;
c) a legal owner;
d) a beneficial owner;
e) an intermediate owner; or
f) a registrable beneficial owner.

In order to identify the beneficial owners of a legal entity, it is essential that the structure of the legal entity is fully understood and beneficial ownership is traced through any number of persons or arrangements of any description (see **Section 4(3)**).

For the purposes of ascertaining the beneficial ownership of a legal entity and whether those beneficial owners are registrable, the legal owner(s) and Nominated Officer play a significant and important role.

Obligations under the Beneficial Ownership Act: Legal entities

Legal entities must have a Nominated Officer (as per **Sections 6(1) and (2)**). The legal entity must give notice of the appointment or a change to Companies Registry within prescribed time limits. The legal entity must keep a record of certain information regarding the Nominated Officer, as well as the Nominated Officer's written consent to the appointment. A relevant legal entity which accesses the Beneficial Ownership Database and which knows or suspects any entry on the database in relation to that legal entity is materially incorrect must notify the Companies Registry within one week of identifying the potential discrepancy (as per **Section 42**).

Obligations under the Beneficial Ownership Act: Legal owners of the relevant legal entity

A legal owner must ascertain the beneficial owner(s) of the legal entity in which it holds an interest. In many instances, the legal owner(s) may be the beneficial owner(s) of the legal entity themselves (as per **Section 9(1)**).

Within 21 days of the incorporation of the legal entity and/or the date of any notice (request for information) received from the Nominated Officer, the legal owners must give notice to the Nominated Officer of the details required by the Act in respect of each beneficial owner of the legal owner's interest. Legal owners have 14 days to make representations to the legal entity if a notice is received from the legal entity under **Section 14(3)** querying either a lack of information or the accuracy of information provided in relation to beneficial ownership.

Obligations under the Beneficial Ownership Act: Beneficial owners and intermediate owners

Beneficial owners (and intermediate owners, should there be any) must assist legal owners to ascertain the beneficial owner of the legal owner's interest in the legal entity and notify the legal owner of any changes to the beneficial ownership of that interest.

Beneficial owners have 14 days to make representations to the legal entity if a notice is received from the legal entity querying a lack of information or accuracy of information in relation to beneficial ownership. Beneficial owners may consent for the Nominated Officer to voluntarily submit their information to the Companies Registry even if their interest is below the threshold for compulsory registration.

Obligations under the Beneficial Ownership Act: Nominated Officers

Section 13 details that Nominated Officers must ensure that the required details for all beneficial owners and the information which verifies those details are maintained and preserved for the required time period so that they are available for disclosure when necessary. The information must be preserved for a minimum of 5 years from the end of the period to which the information relates, or if later, 5 years from the completion of any investigation carried out under the Act or any other enactment. The required details (and the information from a reliable and independent source which verifies the required details) must be preserved on either the Island or on a server which is permanently accessible from the Island. This requirement remains even if the legal entity is wound up, dissolved, struck off, removed from a register, or otherwise ceases to exist.

The required details for all beneficial owners (whether they are required to be included in the Database or not) are: ›

a) in respect of a beneficial owner –

- their name;
- their usual residential address;
- a service address, where it differs from the residential address;
- their nationality;
- their date of birth;
- the date on which they acquired an interest in the legal entity; and
- the nature and extent (expressed as a percentage) of their interest in the legal entity;

b) in certain cases where the class of beneficiaries is of such a size that it is not reasonably practicable to identify each beneficial owner, details sufficient to identify and describe the class of persons who are beneficial owners must be obtained.

If a Nominated Officer is of the opinion that a legal owner has failed to comply with Sections 9 or 12 of the Act, or has made a statement which is false, deceptive, or misleading in a material particular, the Nominated Officer must give notice to the legal entity of this opinion.

The Nominated Officer must disclose, in accordance with any notice issued by a competent authority under Section 15(3) of the Act, any information held in respect of the beneficial ownership of the legal entity specified or referred to in the notice. In the case of information relating to an RBO, this information must be provided within 7 days. Information relating to any non-RBO must be disclosed within 21 days. Disclosed information may be used by the recipient as evidence in criminal, civil, and regulatory proceedings.

For the purposes of the database, the Nominated Officers must take all reasonable steps necessary to identify any RBO(s) and submit details of each to the database. Nominated Officers should seek information from the legal entity and the legal owners to establish all relevant legal and beneficial owners, and obtain the details required in Section 11 of the Act. Where the legal entity has no RBO, a formal statement confirming that fact must be submitted to the Companies Registry.

A Nominated Officer must submit a statement of compliance to Companies Registry annually, which confirms that:

- they have complied with their obligations under the Act;
- the required details in respect of any RBOs have been submitted to Companies Registry; and
- all information entered on the database in relation to the legal entity is up to date and correct.

Obligations under the Beneficial Ownership Act: Any third party authorised by a legal entity to access beneficial ownership information

Under Section 26A, a person who is authorised to access the database must notify Companies Registry within one week if they know or suspect that any entry on the database is materially incorrect.

Potential revisions

Since the Beneficial Ownership Act 2017 came into force, international standards have evolved. Recommendation 24, relating to the transparency and beneficial ownership of legal persons, requires adequate, accurate, and up-to-date information on the beneficial ownership of legal persons to be held by a public authority or body – for example, a company registry. FATF updated this recommendation in March 2022 to strengthen the requirements around the transparency of the ownership of legal persons. Specifically, the recommendation was amended to require that any threshold used to determine the registrability of beneficial owners on such a registry or database should not exceed a maximum of **25%.**

It is recommended that the definition of RBO under Section 3 of the BOA be amended by secondary legislation to ensure greater alignment with the FATF requirements. This, including further consultation, will take place in 2026: This will mean that the percentage threshold relevant to the direct or indirect ownership of a legal entity through shares will not exceed a maximum of **25%**.

The guidance will be revised to provide more clarity regarding the application of the percentage threshold and more generally how beneficial ownership must be determined.

FSA responsibilities

The FSA has oversight responsibilities to ensure the BOA is complied with and the Nominated Officer (which may be a TCSP) complies with their obligations under the BOA. It is a criminal offence not to comply with the Act. Guidance[132] › is published by the FSA in order to assist firms with their obligations under the BOA.

The FSA has the power to issue civil penalties. Penalties have been issued against TCSP Nominated Officers for offences relating to submission of incorrect/non-submission of correct information to the Beneficial Ownership Database. All the civil penalties have been issued based on findings from onsite inspections by the FSA.

Competent authorities

The Competent Authorities have access to the database for RBO information. If it falls outside, then the Competent Authorities have the power to request the information from the Nominated Officer.

The Exchange of Notes[133] (EON) between the UK Government and the IOM Government in respect of the sharing of beneficial ownership information is available (see **Chapter 3.3.6**).

TRAINING AND OUTREACH

The FSA have a beneficial ownership social media outreach programme to industry, called "Beneficial Ownership Tuesdays". This takes the form of short-form videos posted on a fortnightly basis to LinkedIn. The FSA have approximately 4,400 followers on LinkedIn.[134] Each instalment provides quick tips and reminders about the requirements of the BOA. Each video is accompanied by a brief explanatory text. The videos enable the FSA to respond to trends or findings observed during its oversight.

In March 2024, the FSA commenced publication of its twice-yearly industry newsletter, "AML Focus". Four instalments have been published to date. Each edition has contained an article on the topic of beneficial ownership. The newsletter allows the FSA the space to present topical news items on beneficial ownership. Topics have included:

- a new Nature of Interest category added to the Database;
- a new Beneficial Ownership Guidance, reflective of the inspection findings to date;
- the launch of the Beneficial Ownership (Obliged Entities Access) Order 2024;
- forthcoming consultation on the definition of an RBO; and
- where civil penalties for beneficial ownership non-compliance have been issued in the preceding half of the year, a brief memo is included within the newsletter to announce such, on a no-names basis.

Since December 2022, the FSA has published 7 press releases on topical beneficial ownership matters to its website.

In 2023, the FSA published a 30-minute webinar[135] on beneficial ownership to its website to assist persons in compliance with their obligations.

In 2023, the FSA reached out to local organisations/publications with a wide reach in order to promote compliance with the BOA among non-TCSP-administered entities.

TRUSTS

There is no register of trusts/beneficiaries of trusts in the IOM. Information on beneficial owners, including trusts, is available to regulators and law enforcement authorities via TCSPs upon request. The TCSP cannot inform the trustees of this request, as this may alert the relevant trust, leading to "tipping off" (a criminal offence under POCA and subject to regulatory sanction were this to happen).

Acting as a trustee by way of business is a regulated activity as defined by the Financial Services Act 2008 (and associated Orders), and therefore, the operation of many trusts sits within the TCSP sector. Advocates and other professionals may, and do, act as trustees, often for will trusts or those for beneficiaries with physical or mental capacity issues, and, where the trusteeship is incidental to their primary service provision, utilising a relevant exemption or exclusion where applicable. Where acting under an exemption, these parties are still obliged to comply with the AML/CFT Code but are not routinely supervised for compliance with the same (FSA supervisory powers remain applicable); where an exclusion exists, this is deemed not to be regulated activity and is therefore not subject to AML/CFT Code obligations nor supervision. This approach has been deemed acceptable on the Island following a ML/TF risk assessment of each exemption or exclusion. Those not acting by way of business as trustee are obliged to comply with the ›

AML/CFT (Unregulated Domestic Trustees) Code 2018 where the definition of 'unregulated trustee' is met.

The FSA will continue to monitor the perimeter to identify any limited use of non-professional trustees acting by way of business and will complete further outreach to raise awareness/understanding of their obligations and to develop a better understanding of the risks posed by trusts administered outside of the regulated sector.

3.2.8 Tax attractiveness

Income tax and National Insurance are the two significant direct levies in the IOM. National Insurance classes and rates are structured in a similar way to the UK system. Income tax revenues and National Insurance revenues in the IOM for 2024/25 were £388.5 million and £279.8 million respectively. The IOM Treasury publishes its tax strategy, the most recent being the 2024–26 Tax Strategy.[136]

IOM income tax applies to all persons – i.e., both corporates and non-corporates; there is no separate system of corporation tax. The IOM has no capital gains tax, inheritance or estate tax, wealth tax, stamp duty, or stamp duty land tax. The Island's income tax rules are completely separate from those of the UK, as the power to legislate on income tax matters lies with Tynwald, the IOM's parliament.

IOM-incorporated companies and foreign companies which are managed and controlled in the IOM are resident for income tax purposes and are liable to income tax on their worldwide income. Non-resident companies are liable to income tax on their IOM source income.

The IOM has a standard **0%** rate of corporate income tax which applies to almost all sources of income, with the exception of the following:

- income from Manx land and property (**20%**); and
- banking business and large retail businesses (**10%**).

For fiscal years commencing on or after 1 January 2025, groups in scope of Pillar 2 Global Minimum Tax (large multinational enterprise groups with annual revenue of €750 million or more in the Consolidated Financial Statements of the Ultimate Parent Entity, which should therefore include any "Fortune" 500 companies) are taxed at a minimum effective tax rate of **15%** on their IOM profits as a result of the introduction of Domestic Top-up Tax[137], which is a new tax separate from (and in addition to) income tax.

All IOM-incorporated companies are registered with the Companies Registry when they are formed. At the same time, they are also automatically registered with the Income Tax Division through a direct feed (an Application Programming Interface between the two computer databases) from the IOM Companies Register to TaxLive (the IOM's main tax system and database). A Tax Reference Number (the same as a taxpayer identification number) is generated and assigned immediately to the company as part of this process.

The Assessor of Income Tax has a comprehensive legal tax framework of inspection and information powers to deter and detect non-compliance with the Income Tax Acts. The Assessor's staff carries out a wide range of enquiries each year, reviewing and challenging the tax returns of all types of taxpayers.

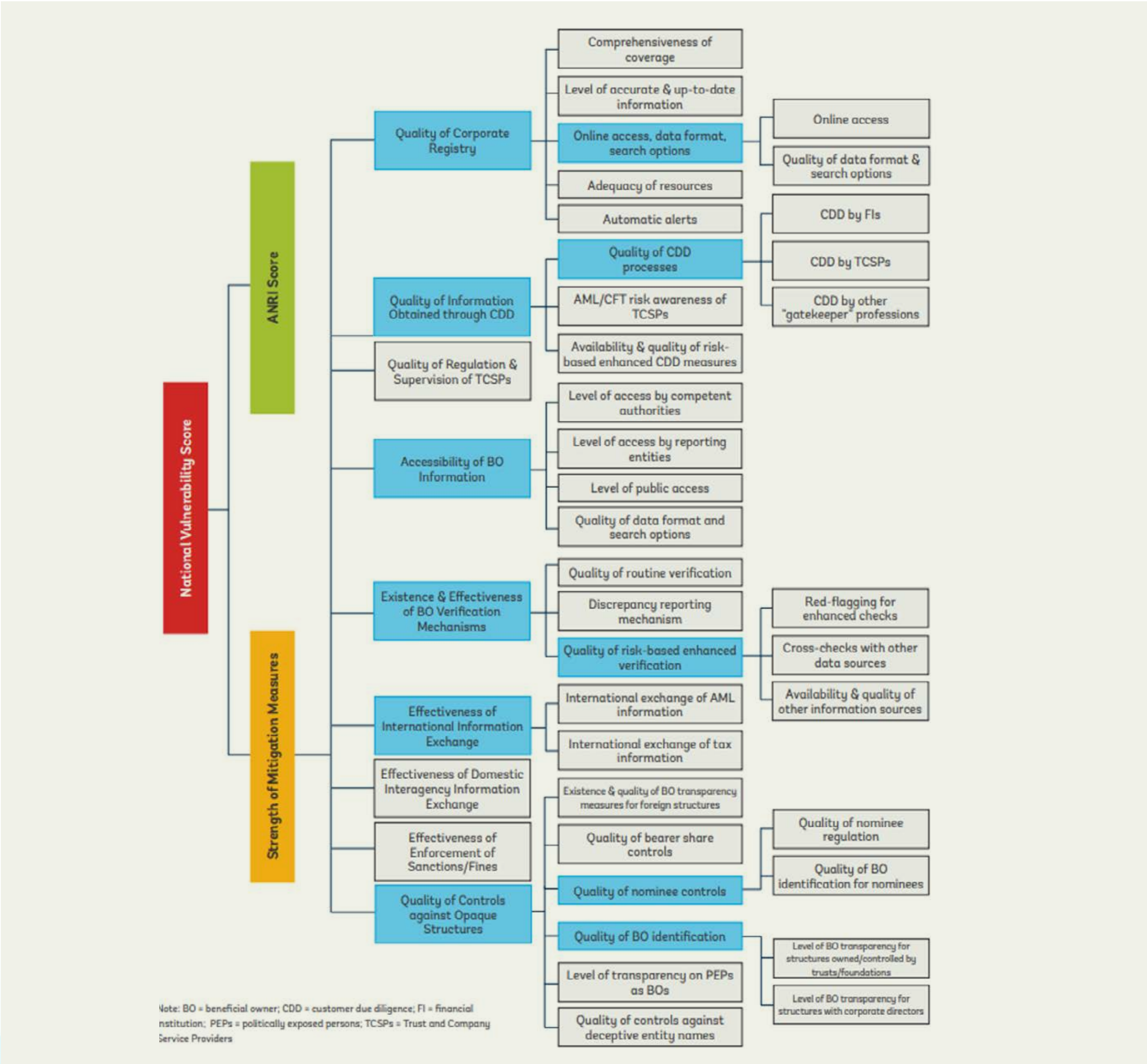
The Income Tax Division's risk approach to returns and accounts examination utilises systems as well as staff resources – e.g., system-based risk criteria and electronic "flags" where information or intelligence has been identified from third party sources.[138]

The fraudulent evasion of income tax is an offence that, on conviction on information, carries a custodial sentence of up to seven years, a fine, or both. On summary conviction, a person may be issued a fine of up to £10,000 and/or six months imprisonment. Like most tax authorities, the use of civil measures (sanctions of up to a **100%** penalty of tax lost for negligence and **200%** for fraud) coupled with prosecution action in relation to the non-submission of returns or accounts is more common in terms of tackling non-compliance. In the last three tax years, as a result of investigations into omitted/under-declared income (not including technical enquires that also resulted in further tax being due), £4.1 million in additional tax (income tax and National Insurance) and associated penalties and interest were charged. ›

3.3 Strength of mitigation measures

This step in the World Bank methodology is aimed at determining the strength of existing mitigation measures against abuse of legal structures in the IOM. In contrast, the ANRI score (**Chapter 3.2**) captures factors impacting the attractiveness of the jurisdiction for potential risk factors, which may increase a jurisdiction's inherent vulnerability to such risks. In the methodology, the score for strength of mitigation measures is combined with the ANRI score to give the national vulnerability score (**Chapter 3.1**). The network diagram is in **Figure 3-3**.

Figure 3-3: Network Diagram for the Assessment of National Vulnerability



Source: World Bank

3.3.1 Quality of corporate registry

The Central Registry is within the IOM Government's Department for Enterprise and comprises:

- the Civil Registry, which is responsible for registering life events such as births, deaths, marriages, and civil partnerships;
- the Companies Registry – see below;
- the Deeds Registry, which records and stores deeds and other important life events;
- the Land Registry, which records interests in land, property, and details of ownership;
- Legal Practitioners;
- the Probate Registry – the Central Registry is responsible for the safekeeping of probate records;
- the Public Record Office, which preserves the records of the IOM Government and other IOM public bodies that are of historical and cultural influence; and
- Trade Unions.

Companies Registry is a central part of the IOM's defence against ML/TF/PF. As a result of previous ML/TF NRAs, a number of enhancements have been made to the Island's overall framework. The IOM Government also allocated additional funding for resources to a number of agencies, including Companies Registry, which appointed a Data Assurance Officer, enabling a more proactive approach to data validation. Companies Registry have invested over recent years in enhancing their people and systems; however, it is recommended that analysis is undertaken on the existing systems and whether enhancements could be made which would further improve the controls applied by Companies Registry.

The Registry is not a regulatory body, although powers to make enquiries to establish the accuracy of information provided to the Registry exist and are utilised. The power to make enquiries was introduced to the corporate acts in 2018 and extended to the BOA in 2021.

Companies Registry is operationally responsible for registering, and thereafter maintaining, public registers for legal entities established in the IOM, foreign companies with a substantive link to the IOM, and limited partnerships (without legal personality). The following are required to register with the Companies Registry:

- **legal persons**
  - Isle of Man entities incorporated under the Isle of Man Companies Acts 1931 to 2004;
  - Isle of Man entities incorporated under the Isle of Man Companies Act 2006;
  - limited liability companies registered under the LLC Act 1996;
  - foundations registered under the Foundations Act 2011;
  - Industrial Societies registered under the Industrial and Building Societies Acts 1892 to 1979;
  - credit unions registered under the Credit Unions Act 1993;
  - non-Isle of Man-incorporated entities registered on the Foreign Companies Registry (F-Registered Companies – Foreign Companies Act 2014); and
  - limited partnerships with legal personality under the Partnership Act 1909
- **legal arrangements**
  - limited partnerships without legal personality under the Partnership Act 1909
  - Business names under the Registration of Business Names Acts 1918 and 1954 are not legal persons. They have no legal personality, which would fall to the owner(s) of the business names. The register is a declaration of business being carried out under a name that is different to the name(s) of the owners of the business name, whether natural or legal persons. ›

The following are not required to register with the Central Registry:

- trusts (however, the FATF standard does not require a jurisdiction to implement a register of trusts);
- general partnerships, which do not have a public register unless they use a business name other than the partners' legal names, in which case they need to register under the Registration of Business Names Act 1918;
- foreign companies, which are IOM tax resident by virtue of management and control; and
- foreign companies that do not fall into either F-Registered or IOM tax resident categories.

For most legal persons, the following information is initially gathered:

a) the name and number of the Company;
b) proof of incorporation;
c) legal form and status;
d) Registered Office address;
e) basic regulating powers; and
f) a list of directors/secretaries.

Figure 3-4: Basic Information Held by Companies Registry

LEGAL PERSONS: BASIC INFORMATION HELD BY CENTRAL REGISTRY							
	Name	Proof of Inc	Legal form and status	Office Address	Basic Regulating powers	Managers/ Directors	Unique Identifier
1931 Act Company	Y	Y	Y	Y	Y	Y	Y
2006 Act Company	Y	Y	Y	Y	Y	Y	Y
LLC	Y	Y	Y	Y	Y	Y	Y
Foundation	Y	Y	Y	Y	Y	Y	Y
Partnership (w/ legal personality	Y	Y	Y	Y	N	Y	Y
F-reg Company	Y	N	N	Y	N	Y	Y

Source: Companies Registry

Office, director, or secretary (including a change in the details of an existing office/officer) within one month of its occurrence. Whilst the Companies Registry is not liable for the accuracy of the information submitted, Section 25 of the BOA provides the Companies Registry with a discretionary power to make such enquiries as it considers appropriate in the circumstances to establish the accuracy of any beneficial ownership information submitted to it. Further, it has the power to amend the › information (remove, correct, or annotate) if it considers it to be false, inaccurate, or misleading in any way.

Companies Registry reject approximately **10 –15%** of notifications for inaccuracies.

Companies Registry have the power to apply penalties if annual returns are filed late[139]. Currently, the fines are £100 if late by 1–3 months and £250 if more than 3 months. It is recommended that these fines are reviewed to ensure they are sufficiently dissuasive. It is also recommended that Companies Registry consider the late filing fees in respect of submissions required under the BOA.

The IOM provides online access to its Companies Registry, allowing users to search for and retrieve company-related information as well as beneficial ownership information. From 31 December 2024, obliged entities have been able to request access to the IOM Beneficial Ownership Database for the purpose of carrying out its function in respect of customer due diligence with the AML/CFT Code 2019 and the Gambling (AML/CFT) Code 2019.

3.3.2 Quality of information obtained through customer due diligence

CDD BY FINANCIAL INSTITUTIONS AND TCSPS

The AML/CFT Code 2019 Part 4 covers CDD[140], as does the Gambling AML/CFT Code 2019[141]. The IOM FSA AML/CFT Handbook covers CDD in **Section 3**[142]. The IOM GSC AML/CFT Guidance covers CDD. From the FSA AML/CFT 2024 returns, across all sectors, the responses for those who undertook and carried out the collection of CDD were:

- **87%** undertook the work by the firm;
- **4%** outsourced to a Group function; and
- **9%** outsourced to a third party.

From the same returns, for the TCSP sector specifically:

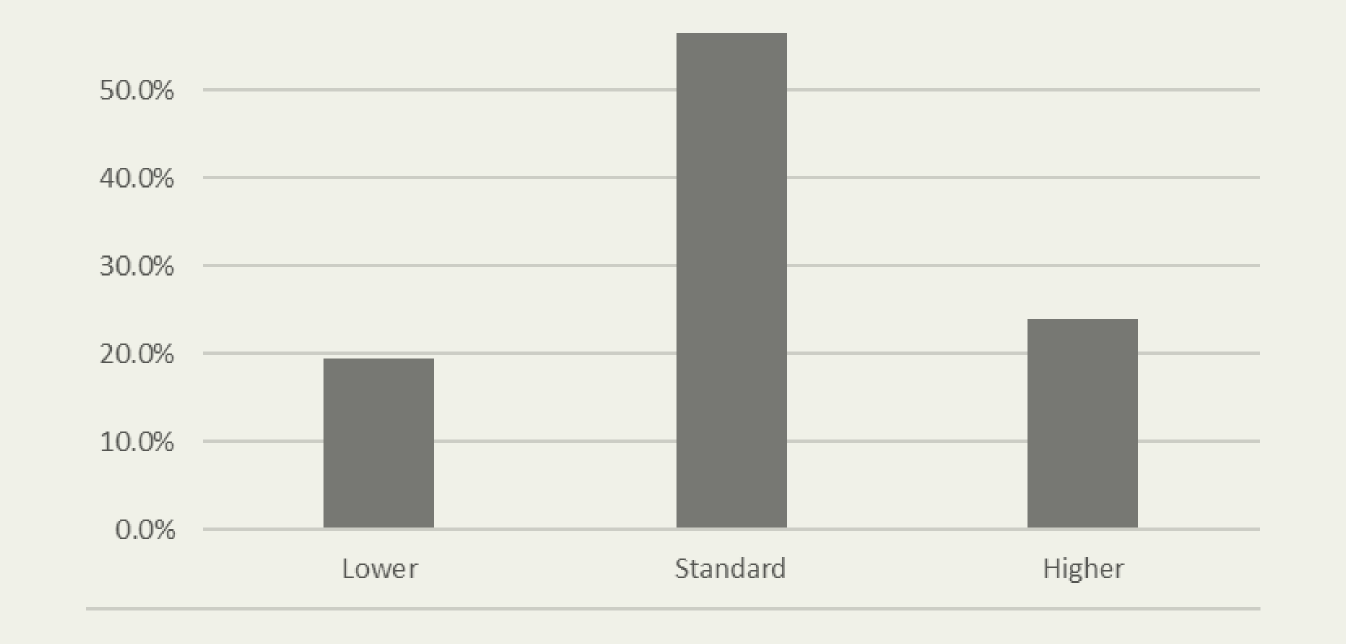
- **93%** undertook the work by the firm;
- **7%** outsourced to a Group function; and
- **0%** outsourced to a third party.

Not all business is accepted or retained. The AML/CFT 2024 returns provide details on the number declined for ML/TF/PF/sanctions reasons or are terminated, as well as number of SARs if appropriate. The overwhelming majority of those declined or terminated are for ML reasons.

In the AML/CFT 2024 returns, the TCSP sector details the risk ratings allocated to its customer base. At the TCSP workshops, the sector stated that the Customer Risk Assessment tool was much more influenced by factors such as country and activity, rather than the legal entity type chosen by the client. **Figure 3-5** shows the risk ratings across the sector, with **24%** being rated as higher-risk.

Part of the process for the sector is to ensure a good understanding of the source of wealth (where applicable), source of funds for their customers, and rationale for the relationship, which may be a part of a larger, more complex overall structure. In addition, the relationship may not be local, and therefore a non-face-to-face relationship, potentially introduced by a third party. There are specific requirements of the Code that are applicable in this scenario. ›

Figure 3-5: TCSP Sector Customer Overall Risk Rating, 2024



Source: FSA AML/CFT 2024 Return

The FSA Inspections review the appropriateness and quality of CDD held by TCSPs, as well as financial institutions and other designated businesses including "gatekeeper" professional sectors. Identified "findings" are recorded against the AML/CFT Code paragraphs. The most relevant ones for CDD are:

- 8: "new business relationships" (undertaking CDD at outset of relationship);
- 10: "continuing business relationships" (ongoing CDD, e.g. when CDD requirements change over the years and firms must update records);
- 12: "beneficial ownership and control" (identifying and taking reasonable measures to verify natural and non-natural persons in relationship with a non-natural person);
- 15: "enhanced CDD".

The majority of the findings recorded by the FSA identified from Inspections in 2022–4 were related to findings concerned with enhanced CDD and new business relationships.

BENEFICIAL OWNERSHIP REQUIREMENTS UNDER THE AML/CFT CODE

Separate to the FSA's mandate in relation to supervising entities in relation to the BOA, under the IOM AML/CFT Code, the FSA requires registered and supervised entities to collect and verify UBO information as part of CDD obligations.

Registered and supervised entities must obtain and take reasonable measures (on a risk-based approach) to verify the following UBO information before establishing a business relationship or conducting an occasional transaction:

- full legal name;
- date of birth;
- nationality;
- residential address;
- nature of ownership/control; and
- source of wealth (where applicable) and source of funds.

UBO identity must be verified using reliable, independent source documents. Entities must conduct ongoing monitoring to ensure UBO information remains accurate and up-to-date, › and enhanced due diligence (EDD) is required for high-risk customers, including foreign PEPs.

Records of UBO identification and verification must be retained for at least 5 years after the end of the business relationship and must be readily retrievable.

From 31 December 2024, obliged entities (e.g., banks, TCSPs, legal professionals) may request access to the IOM Database of RBO for the purpose of fulfilling their AML/CFT obligations under Part 4 of the Code.

GROUP OF INTERNATIONAL FINANCE CENTRE SUPERVISORS

The First Round Mutual Evaluation Report[143] of the IOM, adopted 12th January 2024, from the Group of International Finance Centre Supervisors (GIFCS), reported on the standard of regulation of TCSPs, which included CDD practices. 9 out of 10 areas were rated "compliant" and 1 area "largely compliant". GIFCS noted:

"Typically, a client or customer list is obtained by the IOMFSA from the TCSP and a sample of files is put together for review on-site to test and assess CDD, EDD, and screening of customers."

AML/CFT RISK UNDERSTANDING AND TRAINING OF TCSPS

Inspections of TCSPs in the period 2022–4 only had 1 finding related to failings in staff training. The FSA has also received positive feedback in relation to the training[144] and outreach provided in this area.

COMPANIES REGISTRY

In October 2023, Companies Registry introduced basic CDD requirements for non-TCSP applications to incorporate under the 1931 Act. The CDD requirements were introduced subsequent to two unconnected instances of possible address fraud occurring during spring/summer 2023. In both cases Companies Registry commenced an investigation which resulted in the two companies being struck off the register as those associated with the respective companies were unable to provide updated and verified information.

Since October 2023, Companies Registry verifies the identity and address information for all natural persons listed in the application as an officer, subscriber, or the presenter of the application, together with information that verifies the Registered Office address and that the proper authority to use the stated address as the Registered Office exists.

COMPANIES REGISTRY, COMPANY RISK ASSESSMENT

The risks identified form the basis of a Company Risk Assessment (CoRA); these have been undertaken for all non-TCSP submitted applications to incorporate under the 1931 Act since 1st July 2025. Companies Registry, through its Companies and Beneficial Ownership User Group, worked with the TCSP sector through Q3 and Q4 2025 to establish a process for the expansion of such risk assessment for all incorporated entities, including those submitted by licensed entities. The expanded CoRA was introduced on 5th January 2026. Companies Registry will be undertaking a project to risk assess all entities on the register (approximately 24,000 entities) over an estimated six years. Companies Registry works closely with the FSA, the regulatory body for licensed entities. Companies Registry mitigates its risks for licensed entities through its relationship with the FSA, which has supervisory oversight and can impose sanctions for breaches of the AML/CFT and beneficial ownership legislation.

The CoRA conducted by Companies Registry identifies a number of risks including:

- type of entity;
- activity;
- location of activity;
- location of officers;
- location of owner/beneficial owner;
- PEPs;
- commercially exposed persons (CEPs);[145]
- address of Registered Office;
- whom is requesting incorporation (e.g. licence holder);
- sanctions check; and
- links to existing entities.

Once the risks have been identified, they are rated using a risk matrix for guidance. Those completing the reviews may override the rating from the matrix and in all cases must detail their reasons for the risk rating allocated. Instances where the matrix rating may be overridden will be a result of additional information identified during the process – for example, a › pattern of failing to meet filing obligations for existing companies on the register. Any occasion where the rating is overridden will be reviewed by a senior officer.

Completed CoRAs are subject to a sample review by a Data Assurance Quality Lead (DAQL). Where the risk rating is **Medium High** or higher, EDD must be undertaken by Companies Registry. A meeting of a Risk Committee must be called to agree and approve any entities with a higher risk rating. The Risk Committee consists of the DAQL and other senior Companies Registry management.

The Foreign Companies Act 2014 details the requirements for foreign legal persons. All such companies that own land and/or carry on – or is held out as carrying on – business from an established place of business from the Island must register on the Foreign Companies Register. Other foreign companies with sufficient interests in the Island (as defined in the Act) may also register separate to the requirements of the Act.

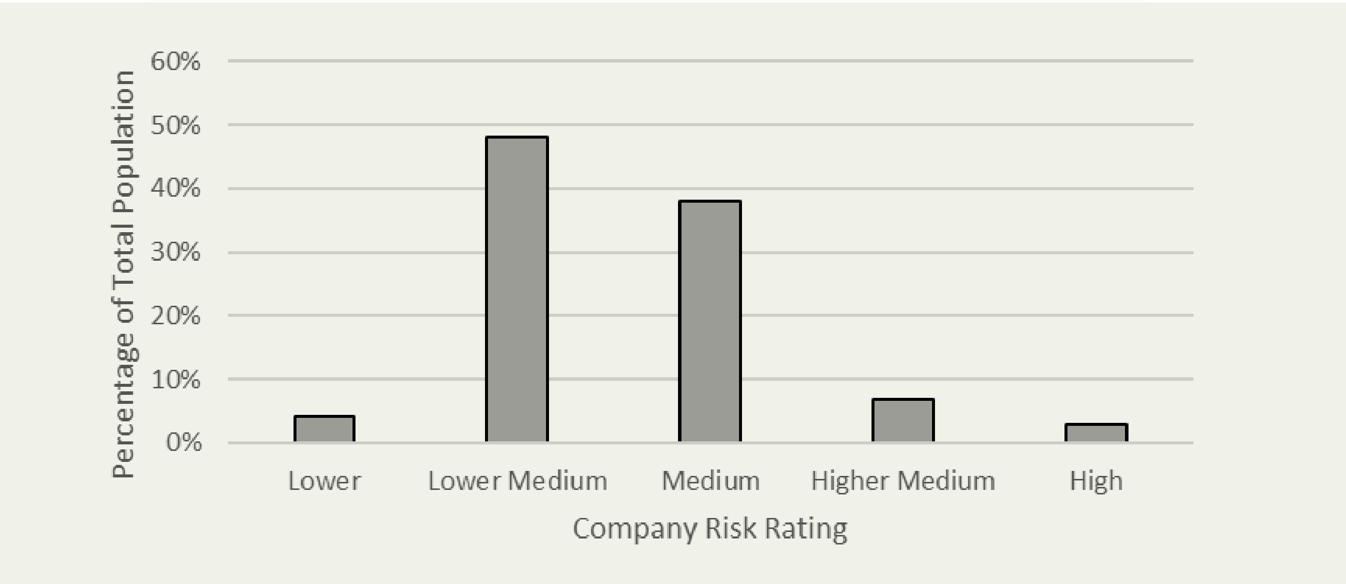
HOW THE COMPANIES REGISTRY CORA IS USED TO MANAGE RISK

The CoRA is used to identify the specific risks an entity presents. The CoRA is weighted to ensure that the final risk rating reflects higher risks and threats to the Registry and the Island. When completing the form, any mitigation measures to be implemented will be detailed on the form. Where an entity has been rated as **Medium High** or higher, EDD must be undertaken and the risk rating reassessed if necessary. Higher-risk-rated entities must be approved by the Risk Committee. The Risk Committee may impose any further mitigation measures it deems necessary. Such mitigation measures might include:

- increased monitoring;
- regular investigation work;
- regular EDD;
- monitoring of the companies' activities through its website,
- social media, third-party checks, etc;
- monitoring of the officers' activity through its website, social
- media, third party checks, etc.;
- other measures as deemed necessary.

Figure 3-6 shows the distribution of risk ratings awarded to the companies that were incorporated in the period from 1st July 2025 to 31st December 2025 (H2 2025); TCSP-administered companies will be included in the risk assessment process from the start of 2026. Therefore, the data in **Figure 3-6** exclusively covers 1931 Act companies and the resultant overall risk profile is skewed towards local IOM companies. ›

Figure 3-6: Companies Registry Company Risk Assessments



Source: Companies Registry

Ongoing monitoring is conducted on all entities based on the assessed risk rating. In addition, an entity must be reviewed following a trigger event. Trigger events include:

- breaches to company legislation (other than standard late filing);
- change of beneficial owner or legal owner;
- in the case of unlicensed entities, changes to officers /Registered Office;
- change of purpose;
- anyone appearing on the Sanctions list (this will be subject to a regular system sanctions checking facility when introduced; such upgrade is a high priority);
- changes to PEP status of individuals (this is subject to a regular system checking facility; such upgrade is a high priority);
- any issues from an external identity verification of a beneficial owner;
- potential relevant adverse publicity identified by Companies Registry, either directly or through a referral from an external source;
- any other developments viewed as significant by the DAQL.

Companies Registry has an Investigation Team to undertake investigation work on entities on the Register. Such work includes thematic reviews and intelligence-led reviews of entities on the register. Intelligence-led reviews might be undertaken following known new risks identified by government agencies. Thematic reviews might be undertaken in specific sectors where Companies Registry has identified specific problems or in higher-risk sectors.

The purpose of the review is to ensure that all information on the register is accurate and up-to-date. The review, however, might identify other issues, including potential criminality, that will be reported to the FIU and/or followed up through the Enforcement team.

The Enforcement team works closely with all Companies Registry teams, the AGC, and the FSA. The team prepares cases for referral for prosecution where there have been breaches of the legislation.

3.3.3 Quality of regulation and supervision of TCSPs

The TCSP sector in the IOM has made progress in strengthening its controls and mitigating many of the inherent risks associated with its international and domestic activities. It is also engaging effectively with the authorities via a number of channels, including a TCSP-specific Financial Crime Partnership group. However, vigilance remains crucial. Ongoing global trends, such as the growth in cross-border business, development and evolution of digital payment methods, and the expansion of organised crime typologies, require the sector and authorities to continually adapt their risk management strategies and operational resilience.

REGULATIONS AND SUPERVISION

TCSPs and other intermediaries[146] involved in forming or administering legal entities are typically covered by AML regulations (AML/CFT Code 2019) with CDD requirements and an obligation to report suspicious transactions. TCSPs are supervised by the FSA. CSPs have been regulated and supervised since October 2000 and TSPs since July 2005. Regulation extends beyond AML/CFT to also include prudential and conduct requirements. The FSA supervises the TCSP sector on a risk-based approach (see **Chapter 1.3** for further details on Class 4 and 5 services).

In 2024, the FSA adopted STRIX AML, a data-led risk assessment technology tool that automates the collection and analysis of AML/CFT data, including UBO information, in order to risk assess its supervised entities –specifically, requesting the total number of UBOs resident in each jurisdiction for all customers who are non-natural persons (e.g., LPAs). ›

FSA INSPECTIONS

The FSA undertakes regular inspections across the TCSP sector in accordance with its published Supervisory Methodology, which includes its Inspections Methodology[147] There is published Inspections Guidance which provides an overview of how firms are selected for an inspection and what they can expect during the process.

Figure 3-7a shows the number and type of AML inspections of TCSPs during the 5-year period 2020–2024. During this period, there have also been 327 questionnaires issued to firms that have been AML-related. In addition, the FSA undertook Beneficial Ownership Inspections (see **Figure 3-7b**; covered further in **Chapter 3.3.8**). ›

Figure 3-7a: AML Inspections of TCSPs 2020–2024

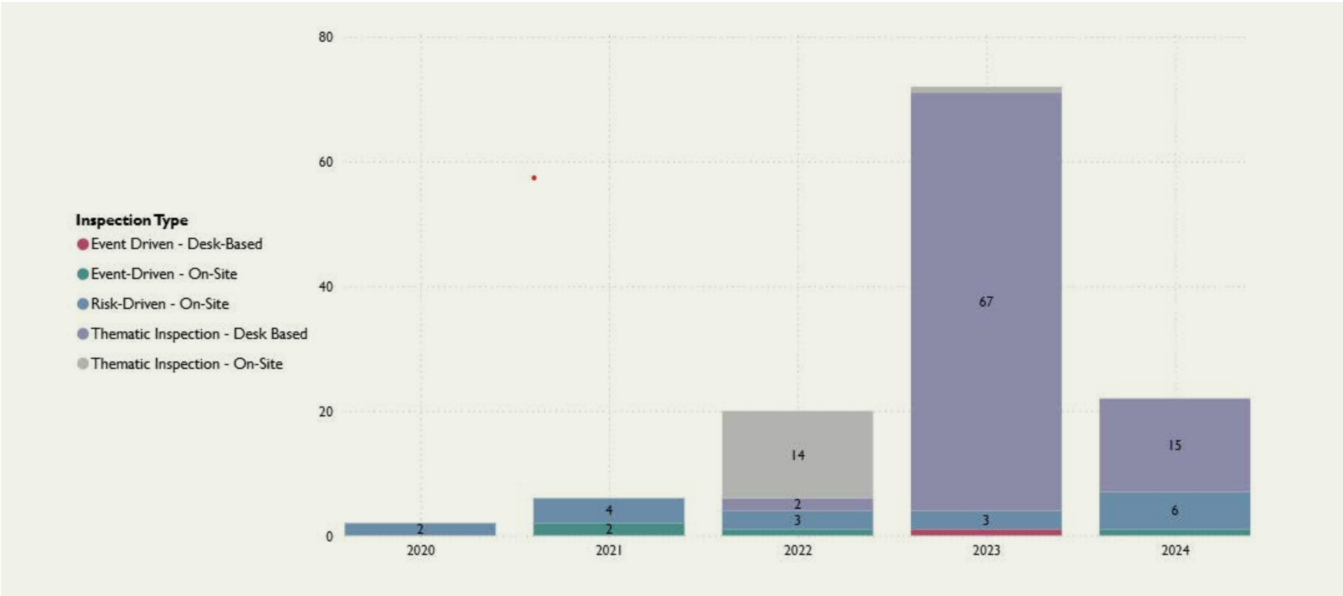
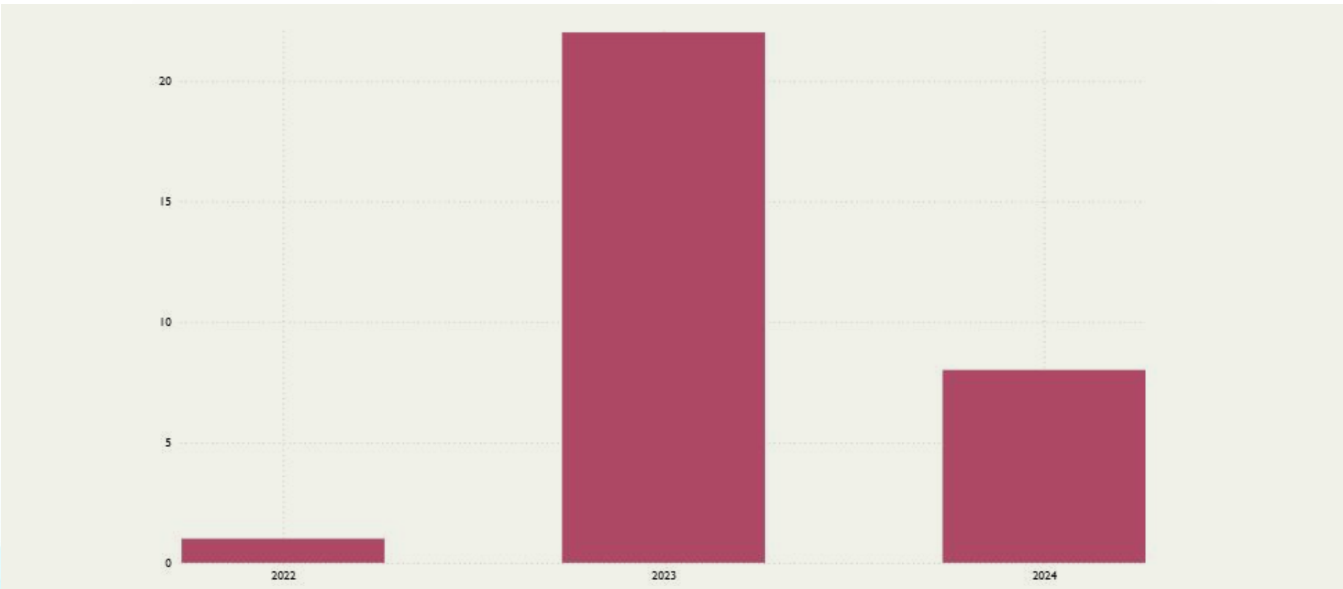


Figure 3-7b: FSA Beneficial Ownership Inspections 2022–2024

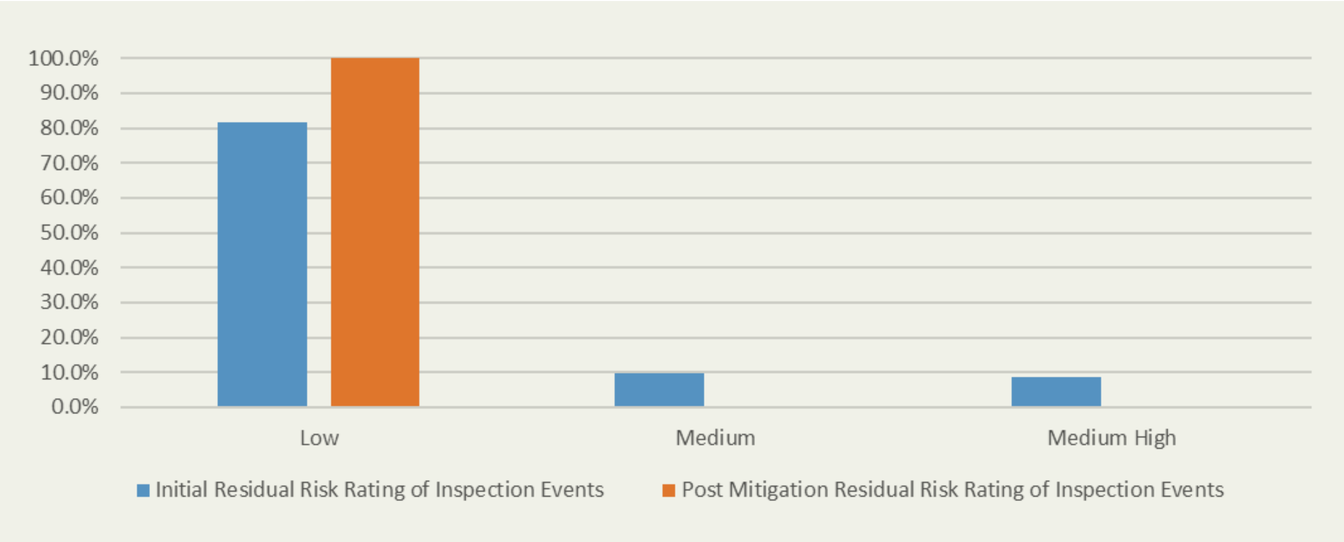


Source: FSA AML/CFT 2024 Returns

The effectiveness of FSA inspection activity can be measured by reviewing the initial residual risk rating of findings identified during inspections, followed by the post-mitigation residual risk rating of those inspection findings, as per **Figure 3-8**. These were for the following inspection topics:

- BO - Legal Owner - Contravention of Section 9(3) - Required details to the nominated officer;
- BO - Nominated officer - Contravention of Section 20(1) - Reasonable steps;
- BO - Nominated Officer - Contravention of Section 20(3) - Submit information to the Department;
- BO - Nominated Officer - Contravention of Section 20(3) - Timeframes;
- BO - Nominated Officer - Incorrect person recorded on the Database;
- BO - Nominated Officer - Nature of interest incorrect;
- BO - Nominated Officer - Percentage of interest incorrect;
- BO - Nominated Officer - Typographical or other errors in the submission of the required details.

Figure 3-8: FSA Initial and Post-Mitigation Residual Risk Rating of Inspection Findings



Source: FSA

INSPECTIONS BY THE FSA TO ASSESS CDD FOR LEGAL PERSONS AND ARRANGEMENTS

The FSA undertakes inspections to evaluate compliance with the AML/CFT Code 2019. Selected relevant persons are notified in advance, typically 6–8 weeks prior to the scheduled on-site inspection, although shorter notice may be given where necessary.

During an inspection, a variety of LPAs are reviewed by the inspection team. When making the selection, the FSA inspection team:

- consider a spread of risk-rated customers;
- cover ML/TF/PF risk areas by considering exposure to certain jurisdictions, activities, as well as non-profit organisations; ›

- seek to review a spread of the firm's customer base, including different types of LPAs;
- consider the profile of PEPs, assets, activities, jurisdictions, the age of the relationship, and other factors.

Customer file selection is in keeping with the FSA's supervision methodology in adopting a risk-based approach to supervision.

For TCSPs (Class 4 and 5), the FSA reviewed 93 files relating to customer relationships (i.e., LPAs) in 2023 and 272 files in 2024. The FSA may examine records, accounts, documents, and transaction records to assess compliance with the relevant legislation.

Following the inspection, a draft report is issued to the relevant person outlining any identified contraventions and highlighting to which customer they apply where appropriate. A two-week period is typically provided for the entity to respond to any factual inaccuracies. After considering any feedback, the FSA will issue a final report. Entities are expected to address any deficiencies within a specified timeframe and may be subject to follow-up inspections to ensure compliance has been achieved. Non-compliant entities may be subject to a variety of measures to resolve any issues; the action would be determined through the FSA's internal governance processes. These include but are not limited to[148]:

- an enhanced programme of remediation;
- civil penalties;
- reinspection later;
- enhanced supervision;
- directions to require or prohibit certain actions – e.g., ceasing new business relationships or appointing a third-party entity to assist with the operation of the entity in some manner; or
- referral to the AGC for the initiation of criminal proceedings.

INSPECTIONS BY THE FSA TO ASSESS COMPLIANCE WITH THE BENEFICIAL OWNERSHIP ACT

Inspections conducted under the BOA follow a similar process to that described above. During beneficial ownership inspections, the FSA may examine records, accounts, and documentation to verify the accuracy and adequacy of information submitted regarding beneficial ownership and control. This assessment determines whether the entity meets the requirements set out in the BOA.

The FSA may inspect a number of "relevant persons," as defined in Section 30(2) of the Act. In recent years, the FSA has focused resource on conducting inspections of Nominated Officers, particularly those TCSPs acting as Nominated Officers.

Following the inspection, a draft report is usually issued to the relevant person outlining any identified contraventions. A two-week period is typically provided for the entity to respond to any factual inaccuracies. After considering any feedback, the FSA will issue a final report. Entities are expected to address any deficiencies within a specified timeframe (for example, within 21 days of the issuance of the final report) and may be subject to follow-up inspections to ensure compliance has been achieved.

Relevant persons found to be non-compliant may be subject to a variety of measures to resolve any issues; the action would be determined through the FSA's internal governance processes. These include but are not limited to[149]:

- an enhanced remediation;
- civil penalties;
- reinspection later; or
- referral to the AGC for the initiation of criminal proceedings.

The FSA typically selects approximately 30 legal entities for which a Nominated Officer acts to comprise the sample of entities to be reviewed on the inspection. When determining which legal entities to review, the FSA ensures to cover a wide variety, ›

- considering the following factors:
- legal entity type;
- the natures and percentages of interest of any RBOs;
- the residence and nationality of any RBO (including dual nationality and higher-risk jurisdictions);
- the "principal trade" (activity) undertaken by the entity as, and if, declared to Companies Registry;
- intelligence disseminated to the FSA; and
- legal entities declared to have no RBO.

The FSA reviewed the beneficial ownership of 867 legal entities on inspections since October 2022[150]. The breakdown by legal entity type is shown in **Figure 3-9**, compared with the overall number of legal entities (see **Figure 1-4**). The numbers are in line with the ML/ TF risks given that 2006 Act and 1931 Act companies are the entities reviewed the most. ›

Figure 3-9: Beneficial Ownership Inspection by the FSA by Legal Entity Type

Legal Entity Type Inpected	Total Number Inspected	Overall Number of Recorded Entities (as at 31/12/2024)
1931 Act Company Private Ltd by Guarantee, with Share Capital	5	61
1931 Act Company Private Ltd by Guarantee, without Share Capital	6	339
1931 Act Company Private Ltd by Shares	292	14,558
1931 Act Company Private Unlimited	7	89
2006 Act Company Limited by guarantee	4	39
2006 Act Company Limited by shares	485	9,082
2006 Act Company Limited by shares and guarantee	2	18
2006 Act Company Protected Cell Company Limited by shares	5	71
2006 Act Company Unlimited with shares	12	621
Foundation - Charitable	2	211
Foundation - Non Charitable	28	
Foundation - Both	1	
Limited Liability Company	8	91
Limited Partnership (with Legal Personality)	9	107
Limited Partnership (without Legal Personality)	1	89

Source: FSA

In addition to inspections of TCSPs, the FSA also inspect the banks. Since 2022, the FSA have completed 15 inspections of banks, and each has included consideration of beneficial ownership where appropriate.

FSA RISK RATING PROCESS

To enable the risk-based approach for engagement, the FSA have undertaken a risk rating process on all legal entities on the Companies Registry[151] based on the beneficial ownership information that has been declared, and identified a very small number (c. **0.3%**) of all legal persons[152] that are potentially rated as high-risk but which are not managed by a TCSP. The FSA should continue developing a strategy for how this may drive proactive, rather than reactive, risk-based oversight inspections of non-TCSP-administered entities under the BOA.

TCSP – BUSINESS RISK ASSESSMENT THEMATIC REPORT PHASES 1 AND 2

In July 2023, the FSA published a phase 1 TCSP Thematic Report[153] on Business Risk Assessments, followed by a phase 2 inspections report published in January 2024. In the Executive Summary for phase 2, it states:

"The Authority has completed a thematic project involving TCSPs on the Island. The Authority initially gathered data and information on Class 4 (Corporate Services) and Class 5 (Trust Services) licenceholders, concluding a thematic project would be valuable to further connect and work with the sector. This has allowed and enabled the Authority to gather further data, assisting in risk assessing the firms and sector, as well as building knowledge and findings to be fed back into the Handbook, the sector specific guidance and the NRA."

ENFORCEMENT

The FSA has an Enforcement Division, which has published its Enforcement Decision-Making Process (EDMP) document[154] (issued August 2025), which describes the decision-making process the FSA follows when the board exercises the FSA's statutory powers. It is only the significant enforcement sanction decisions which are subject to the EDMP.

The Financial Services (Civil Penalties) Regulations 2015 came into effect August 2015, the Anti-Money Laundering and Countering the Financing of Terrorism (Civil Penalties) Regulations 2019 came into effect in 2019, and the Beneficial Ownership (Civil Penalties) Regulations 2022 came into operation in 2022. The FSA publishes[155] where discretionary civil penalties have been issued and any accompanying public statement provides key findings and learning points.

TRAINING AND OUTREACH

As referenced in **Chapter 3.2.7**, the FSA has a programme of industry outreach which includes regular LinkedIn posts, including "AML Wednesday," where a variety of key topical messages are shared. In addition to regular news messages, there are webinars,[156] publications[157], and videos[158]. Following inspections taking place, feedback is provided to industry as a whole, usually through a webinar and/or thematic report covering the specific topic.

3.3.4 Accessibility of BO information

ACCESS BY COMPETENT AUTHORITIES

Sections 3(1) and 15(3) of the BOA allow access to the database by the Competent Authorities. These are defined as: FIU; AG; Assessor of Income Tax (ITD); FSA; Chief Constable; Collector of Customs and Excise. Access is for purposes such as:

Preventing, detecting, investigating or prosecuting criminal offences

Regulatory enforcement and financial crime prevention

Subject to initial authorisation by Companies Registry, the Beneficial Ownership Database is accessible electronically. Only designated individuals (currently 158 in total) within the Competent Authorities have access to the database. An audit log is in place. The Competent Authorities can extract information on an individual or extract a bulk download according to a variety of search parameters. ›

ACCESS BY OBLIGED ENTITIES

Following an amendment to the BOA in December 2024, obliged entities are able to access the Beneficial Ownership Database upon request, for a fee, for the purposes of carrying out its functions in respect of Part 4 of the AML/CFT Code 2019 (CDD and ongoing monitoring) and Part 4 of the Gambling (AML/CFT) Code 2019. Once registered, the request for beneficial ownership information takes 48 hours to process. Companies Registry keep a record of requests made under this section of the Act. Requests can be, and are, rejected – for example, if a request is received from a person who is not an obliged entity within the meaning given in Section 26(2A) of the Act.

PUBLIC ACCESS

The Companies Registry and the Beneficial Ownership Database are separate registers. The general public do not have access to the Beneficial Ownership Database. However, there is a public search function on the Companies Register for searches by entity name or number, giving access to basic information on legal entities.

The IOM Government has published a commitment in December 2023 to exploring access to the Beneficial Ownership Database for "those media and civil society organisations who can demonstrate a legitimate interest in accessing the information in order to combat financial crime."[159]

The data on the Beneficial Ownership Database is held in a standardised, machine-readable format. It is searchable by a number of variables and it is possible to search for, and extract, a combination of information.

WIDER USAGE OF COMPANIES REGISTRY SYSTEM

The Companies Registry system is also accessible to all users on the IOM Government network, which allows for company searches. Companies Registry are observing an increase in usage of this functionality by Government agencies and departments.

3.3.5 Existence and effectiveness of beneficial ownership verification mechanisms

QUALITY OF ROUTINE VERIFICATION

Companies Registry undertake the verification checks on RBO information which is submitted, looking for inconsistencies, and queries are raised if appropriate.

- **100%** of non-TCSP-submitted RBO is validated where the RBO's address has not been selected through an address gazetteer.[160]

- **25%** (randomly selected) of TCSP-submitted RBO is validated where the RBO's address has not been selected through an address gazetteer.

Queries are raised with the Nominated Officer, who is asked to take action. The onus is put on the Nominated Officer.

Certain persons (including an obliged entity) are required to notify Companies Registry within one week if they know or suspect any entries on the Beneficial Ownership Database to be materially incorrect or do not correspond with its own records. It is an offence if the person does not notify Companies Registry.

In 2024, Companies Registry introduced a third-party identity verification solution. This enhancement provided:

- automated requests for third-party verification upon the submission of a new RBO (by a natural person Nominated Officer), on the occurrence of an update to an existing RBO, or upon the next annual statement of compliance being made;

- the ability for Companies Registry to trigger ad hoc third-party verification requests;

- controls around country of residence or nationality to override the automated triggers for third-party verification requests, in order to enable a risk-based approach for residents or nationals of high-risk jurisdictions. ›

QUALITY OF RISK-BASED ENHANCED VERIFICATION

The beneficial ownership information is cross-checked against the UK sanctions lists. There is a team within Companies Registry who make checks of the beneficial ownership details that have been submitted against existing entries in the Register to ensure it is consistent with information already held and to undertake open-source checks in some higher-risk cases, obtaining copies of Identification Document and Verification.

The Central Registry (see **Chapter 3.3.1** on Quality of Corporate Registry) has a number of individual registries; however, they are not interconnected and there is not an "only once" principle.

POWERS TO MAKE ENQUIRIES

Companies Registry, while not being liable for the accuracy of information submitted to it under the BOA or each Act to which the BOA applies, does have powers to make enquiries in order to establish the accuracy of any information submitted for inclusion in the database or on any of the applicable registers:

- BOA, Section 25;
- 1931 Act, Section 285B;
- 2006 Act, Section 206A;
- Foundations Act 2011, Section 50A;
- LLC Act 1996, Section 11E;
- Partnership Act 1909, Section 56A.

CIVIL PENALTIES

The Beneficial Ownership (Civil Penalties) Regulations 2022 added civil penalties to the existing criminal sanctions regime. It established fixed penalties of £1,000 or £5,000, depending on the nature of the offence. The FSA is responsible for overseeing compliance and imposing penalties. A number of civil penalties under this regime have been imposed since 2024, totalling £65,000.

3.3.6 Effectiveness of international information exchange

EXCHANGE OF NOTES

In April 2016 the EON came into force between the IOM and UK in respect of sharing of beneficial ownership information.[161] The UK Home Office Statutory review of the implementation of the EON on beneficial ownership between the UK, CDs, and Overseas Territories, published June 2019[162], concluded:

"The Exchange of Notes Arrangements have proven highly valuable to UK law enforcement agencies. The Arrangements have increased in effectiveness since their introduction as initial administrative challenges and misunderstandings have been resolved."

FIU INTERNATIONAL EXCHANGES

The FIU report on EON requests and other channels for International Information Exchange, which include:

- EON requests which are evidential information;International
- Anti-Corruption Coordination Centre requests;
- Financial Crime Information Network requests;
- Egmont Group member requests – of these requests from the Egmont Group, the greatest suspected predicate offence for inbound and outbound was fraud; the top jurisdiction for inbound and outbound was the United Kingdom.

INTERNATIONAL EXCHANGE OF TAX INFORMATION

The IOM operates a responsible tax system and has a long-standing policy of compliance with international standards as they are promulgated by bodies such as the FATF and the OECD. The Isle of Man has a wide network of international tax agreements that provide for various forms of exchange of information for tax purposes and has been a party to the OECD/Council of Europe Convention on Mutual Administrative Assistance in Tax Matters since March 2014.

These agreements ensure compliance with international tax standards and promote transparency. The IOM Government provides a detailed list of these agreements, including their operational status and effectiveness.[163] The international tax › agreements provide for the exchange of information on request (EOIR).[164]

The Isle of Man is an active participant in the OECD's Global Forum on Transparency and Exchange of Information for Tax Purposes ("the Global Forum").

Under the international standard for the exchange of information on request, the Isle of Man's Income Tax Division processes requests for information from other jurisdiction's tax administrations, including the UK's HM Revenue and Customs, in respect of both criminal and civil tax investigations. Details of these requests are confidential in accordance with the tax agreements under which the data is exchanged. Of 520 international cooperation requests (2020–2024), 62 were criminal matters.

The IOM also automatically exchanges information under FATCA and CRS[165]. The IOM signed an agreement with the US to improve tax compliance and implement FATCA in 2013, and it became an early adopter of CRS in 2014, completing its first exchanges of financial account information in 2015 (FATCA) and 2017 (CRS). These frameworks ensure international tax transparency and the automatic exchange of financial account data.

Additionally, the IOM is committed to other international tax cooperation through mechanisms such as the BEPS Inclusive Framework[166]. The BEPS framework is focused on measures aimed at preventing multinational companies from avoiding tax by shifting profits to other jurisdictions, and includes the automatic exchange of information in line with country-by-country reporting rules and the spontaneous exchange of potentially relevant information, including those in respect of certain tax rulings (ETR).

Finally, from 2027, the Isle of Man will also automatically exchange tax information with respect to crypto-assets under the OECD's new Crypto-Asset Reporting Framework.

PROTECTION FROM LIABILITY

The International Co-Operation (Protection from Liability) Act 2021[167] made provisions for protection from liability against claims for damages, costs, and consequential loss in cases where a public authority provides assistance pursuant to a request made by a relevant authority of a country or territory outside the Island and for connected purposes.

3.3.7 Effectiveness of domestic inter-agency information exchange

Although there is strict application by FIs of the common law duty of confidentiality in respect of customer information, it is overridden by various statutory provisions, including POCA, the Anti-Terrorism and Crime Act 2003, and others.

The framework for inter-agency cooperation serves as a factor for mitigating potential ML/TF risk.

The small size of the jurisdiction may be an advantage. There is prompt communication between authorities themselves and between the authorities and the private sector. Close collaboration across the jurisdiction is formalised in a number of forums:

- the AML Group, consisting of the Police, FIU, AGC, FSA, GSC, and other agencies where required (such as C&/ and the ITD), meets fortnightly to discuss intelligence on specific cases and then act upon it.
- There is a team from PIMLIT – the Case Development Unit – co-located but entirely separate in the FIU, who meet the FIU weekly. The Police receive good intelligence from the FIU, so it was decided that it would be more efficient, as the resources in PIMLIT were increased, for a small number of people to be in the FIU, although firewalls are in place. This has helped ensure that agencies work together in line with operational priorities and identified national risks.
- The Joint Tasking and Coordination Group coordinates and prioritises the national response to specific cases, enhancing overall cooperation between the law enforcement agencies.

The FIU has also been instrumental in the establishment of the IOM's public–private partnership (PPP), the Isle of Man Financial Crime Partnership (IOMFCP). The IOMFCP works together with the private sector to improve the IOM's capacity at an operational and strategic level. PPPs are considered internationally to be the future of financial intelligence-sharing. ›

The IOMFCP has already begun developing relationships with other jurisdictions' PPPs. Strong links have already been established with the UK's Joint Money Laundering Intelligence Taskforce, the PPPs of Jersey, Guernsey, and Gibraltar, as well as the Europol Financial Intelligence Public Private Partnership. The IOMFCP Banking and TCSP Operational Groups as well as an eGaming Risk Group have been formed and are working effectively.

3.3.8 Effectiveness of enforcement of sanctions/fines

Fines or sanctions exist for failure to file the required RBO information, or failure to correct data discrepancies. The FSA published a Guidance document in December 2024[168], including tables of BOA offences, which states:

"Failure to meet obligations may be an offence under the Act. As the competent authority responsible for assessing compliance with the Act, the Authority has the powers to submit reports to the Attorney General on offences that may have been committed or may impose civil penalties on any relevant legal entity and/or relevant person where an offence has occurred. The Beneficial Ownership (Civil Penalty) Regulations 2022 ("the Regulations") specify the circumstances when the Authority may impose a discretionary civil penalty on a relevant person for contravening the Act in lieu of criminal proceedings. The penalties levied in the Regulations apply to each occurrence of a contravention of the Act. The below tables set out the different offences specific to the Act and outlines the potential convictions in a criminal court."

The FSA has published general figures around non-compliance in its quarterly newsletters to industry. The combination of fines plus a prison sentence (criminal offence) for more serious offences (knowingly or recklessly) appear to be proportionate and dissuasive.

Where an offence is committed by a legal entity (for example, a TCSP Nominated Officer), Registered Agents (and other officers of a legal entity) may also be liable for offences , as per Section 35 of the Act, if it can be proved that they authorised, permitted, participated in, or failed to take all reasonable steps to prevent the commission of an offence under that Act.

The FSA takes a risk-based approach to its oversight responsibilities under the BOA.[169]

Between 2022 and 2024, the FSA undertook 31 inspections of Nominated Officers (the relevant persons responsible for submitting RBO information to the Beneficial Ownership Database), 30 of which were CSP Nominated Officers. This included a review of 788 entities where a TCSP is the Nominated Officer and 13 entities where an individual is the Nominated Officer, totalling a review of the beneficial ownership of 801 IOM entities during the period. These inspections resulted in the issuance of beneficial ownership civil penalties to 3 TCSP Nominated Officers, amounting to £65,000 (at £5,000 per offence). The data also provides a breakdown of the number and nature of contraventions identified as a consequence of these inspections. To summarise:

- 2022: 30 entities were reviewed, 11 issues identified[170], including 0 contraventions of the Beneficial Ownership Act;
- 2023: 573 entities were reviewed, 240 issues identified, including 42 contraventions of the Beneficial Ownership Act;
- 2024: 198 entities were reviewed, 120 issues identified, including 10 contraventions of the Beneficial Ownership Act.

Where the FSA identifies that an offence may have been committed, it may make a report specifying its inspection findings for consideration by the AG.

The FSA is risk-based in its approach to formulating the schedule of relevant persons to inspect under the BOA. It also has the capability to react and conduct inspections and other engagement where appropriate on a risk-reactive basis – for example, in response to intelligence received from a variety of sources, including the Companies Registry or LEAs. Throughout 2023 and 2024, the FSA undertook 5 risk-reactive beneficial ownership inspections (4 of which were of TCSP Nominated Officers). In 2025, the FSA has conducted 2 intelligence-led, › event-driven beneficial ownership inspections (1 being a TCSP Nominated Officer and the other being a natural person Nominated Officer), in addition to two risk-based scheduled inspections of TCSP Nominated Officers. ›

Figure 3-10: Beneficial Ownership Inspections by the FSA

Year	TCSP Nominated Officer	Number of Entities Reviewed on Beneficial Ownership Inspections	Individual Nominated Officer	Number of Entities Reviewed on Beneficial Ownership Inspections
2022	1	30	0	0
2023	21	560	1	13
2024	8	198	0	0

Source: FSA

3.3.9 Quality of controls against opaque structures

3.3.9.1 Existence and quality of beneficial ownership transparency measures for foreign structures

Figure 3-11: Foreign Legal Persons Summary

Control	Detail	Foreign Legal Persons		
		Foreign-Registered Companies	Foreign Companies-IOM tax resident	Foreign Companies
Number of entities as at 31/12/2024		484	847	2332
Materiality: % of total		1.21%	2.11%	5.81%
	source for data on number of entities	*Company Registry*	*ITD*	*TCSP LPA return*
Beneficial Ownership Act 2017 Applies		×	×	×
IOM Income Tax Division Capture Unverified UBO Details		✔	✔	×
Registered Office	The registered office is the official address of a company in the Isle of Man	✔ ①	×	×
Registered Agent	A registered agent is a licensed person or firm appointed by a company to handle its statutory compliance and filings	×	×	×
Nominated Officer	For those to which the BOA 2017 applies, they must have a nominated officer (either a natural person resident in the island or a licensed TCSP).	×	×	×
	TCSP Nominated Officer			
	Individual Nominated Officer			
Basic Information held by Companies Registry	The name & number of the company	✔	×	×
	Proof of incorporation	×	×	×
	Legal form and status	×	×	×
	Registered office address	✔ ①	×	×
	Basic regulatory powers	×	×	×
	List of directors/ secretaries	×	×	×
Basic Information held by ITD	Name	✔	✔	×
	Address	✔	✔	×
	Date of Birth	✔	✔	×
	Jurisdiction of Tax Residence	✔	✔	×
Beneficial Ownership information collected and reported by ITD for CRS for each AccountHolder of IOM Entities that are Reporting Financial Institutions - this is <u>not all entities</u> (this includes many c7,500 <u>but not all</u> Trusts managed by TCSPs)	Name	✔	✔	×
	Address	✔	✔	×
	Jurisdiction(s) of tax residence	✔	✔	×
	Taxpayer Identification Number	✔	✔	×
	Date of Birth	✔	✔	×
	Place of Birth	✔	✔	×
	Account balance or value	✔	✔	×
	Income or proceeds paid or credited to the Trust	✔	✔	×
	IOM Beneficial Ownership Database	×	×	×
	Beneficial Ownership details with Income Tax Division	✔	✔	×
	TCSP - hold where they administer client	✔	✔	✔

① or jurisdiction of incorporation

Figure 3-11, an extract from **Appendix 1**, shows the position regarding beneficial ownership and basic information for foreign legal persons. Companies Registry do not hold beneficial ownership information on any foreign companies as they are not subject to the BOA.

All foreign-registered companies (**1.21%** of the total) and foreign companies – which are IOM tax-resident **(2.11%** of the total) must provide beneficial ownership information to the ITD, although this is unverified as it is collated for tax purposes rather than to meet AML requirements[171]. LEAs can access this information, though in practice, they usually go directly to the TCSP for the verified information.

All foreign companies (**5.81%** of the total) are subject to the formation and disclosure requirements of their jurisdiction of incorporation.

The beneficial ownership requirements of the AML/CFT Code must be applied to IOM and non-IOM LPAs where they are customers of relevant persons (e.g., TCSPs) in the IOM.

Therefore, in accordance with Section 12(2) of the AML/CFT Code[172], verified beneficial ownership information is held by the TCSPs that administer them and can be accessed by the competent authorities:

"12(2) A relevant person must, in the case of any customer –

(a) which is not a natural person –

(i) identify who is the beneficial owner of the customer, through any number of persons or arrangements of any description; and

(ii) subject to paragraphs 11(4), 11(5), 16(2) and 18(2) take reasonable measures to verify the identity of any beneficial owner of the customer, using reliable, independent source documents, data or information"

Agreements with other jurisdictions for expedited exchange of beneficial ownership information outside of the MLA processes would be:

Exchanges of Notes, providing evidential information (see **Chapter 3.3.6**); or the Egmont Group, for intelligence purposes.

3.3.9.2 Quality of bearer share controls

New bearer shares are prohibited under the 1931 Act company regime (Section 71). Bearer shares are not, and have never been, allowed under the 2006 Act company regime (Section 30).

The 1931 Act was amended by the Companies (Prohibition of Bearer Shares) Act 2011[173], which required companies with bearer shares in issue to convert them into registered shares (i.e., shares in respect of which a person is entered in the register of members as the holder of the shares). No new bearer shares can be issued. The sole legacy case (a 1931 Act company) is in liquidation and under AGC oversight.

The IOM AML/CFT Handbook states:

"3.3.7 Bearer shares many jurisdictions, including the Isle of Man, have prohibited or immobilised bearer shares due to the associated AML/CFT/CPF risks. However, certain jurisdictions may still allow these to be used; therefore, relevant persons must take particular care to record the details of bearer shares received or delivered other than through a recognised clearing or safe custody system, including the source and destination.

To reduce the opportunity for bearer shares to be used to obscure information on beneficial ownership, the Authority expects all relevant persons to immobilise bearer shares and take them into safe custody. Should a prospective, or existing, customer refuse to allow the immobilisation of the bearer shares, the relevant person should not proceed any further with the business relationship and must consider making an internal disclosure."

In the TCSP 2025 LPA Return, there were no bearer shares recorded. ›

3.3.9.3 Quality of nominee controls

FATF INTERPRETATIVE NOTE TO RECOMMENDATION (INR) 24, UPDATED JUNE 2025[174]

The INR details the measures for nominee directors[175] and nominee shareholders[176]:

"13. Countries should take measures to prevent and mitigate the risk of the misuse of nominee shareholding and nominee directors, by applying one or more of the following mechanisms:

(a) requiring nominee shareholders and directors to disclose their nominee status and the identity of their nominator to the company and to any relevant registry, and for this information to be included in the relevant register, and for the information to be obtained, held or recorded by the public authority or body or the alternative mechanism referred to in paragraph 7. Nominee status should be included in public information;

(b) requiring nominee shareholders and directors to be licensed, for their nominee status and the identity of their nominator to be obtained, held or recorded by the public authority or body or alternative mechanism referred to in paragraph 7 and for them to maintain information identifying their nominator and the natural person on whose behalf the nominee is ultimately acting, and make this information available to the competent authorities upon request; or

(c) enforcing a prohibition of the use of nominee shareholders or nominee directors."

The concept of a nominee director does not appear in IOM law. Where a TCSP provides a director(s) for a client company as part of its service offering to the customer[177], such directors are subject to the same common law duties as any other director; they must not restrict their powers to exercise their judgement independently.

TCSP DIRECTORS

Quality of BO identification

Generally, a person (TCSP) providing (by way of business) directors for a client company must be licensed by the FSA. Schedule 1, Class 4 (Corporate Services) to the Regulated Activities Order 2011 states that the following are regulated activities requiring a Class 4 licence:

a) acting as a director;
b) arranging for another person to act as a director; or
c) arranging for another person to act as an alternate director of a company.

With regards to term 'nominee directors' in the context of the TCSP sector, where a TCSP provides a director(s) for a client company as part of its service offering to the customer, that director is not classified as a nominee director. Such directors are subject to the same common law duties as any other director; they must not restrict their powers to exercise their judgement independently. The FSA's published Guidance on the Responsibilities and Duties of Directors Under the Laws of the Isle of Man[178] states in **Section 1.6**:

"The concept of a "nominee" director does not exist in law. Every director has an equal duty of responsibility to the company. A director who neglects that responsibility in the interests of, or on the orders of, a principal will be guilty of a breach of duty. Directors should not allow others to unduly influence them in a way as to undermine the exercise of their powers, in good faith, in the best interests of the company. Any attempted "string-pulling" by other directors, shareholders, beneficial owners or other third parties, should be firmly resisted by directors. The directors must make their own decisions, after receiving appropriate professional advice if necessary. They must not simply "rubber stamp" decisions made by others."

In **Section 5.4**, it states:
"A director must always remember that he may be held accountable for losses if he has not complied with his statutory and fiduciary duties or failed to exercise the requisite duty *of care, diligence and skill and that there is no such entity as a "nominee" director when it comes to liability*."

Where a natural person provides more than 10 directorships by way of business, they are required to be licensed by the FSA as a professional officer under[179] Class 4 (Corporate Services) unless › an exemption applies. Under the Financial Services (Exemptions) Regulations 2011, the provision of director services by an individual by way of business is subject to a de minimis threshold, so that where an individual holds 10 or fewer appointments as a director, the person is not required to hold a financial services licence with Class 4 permissions. However, the obligations of the AML/CFT Code still apply, but as the person is exempt from licensing, they are not supervised for compliance with the same. Other exemptions to licensing exist (such a domestic services and entrepreneurial activities).

Legislation

A "nominee director" entity is not recognised in any IOM legislation. There is a single concept of a "director" (of a company) in IOM law, and all directors are fixed with the same duties (e.g., fiduciary duties) towards the company. In Manx law, the duties of directors are a matter of common law; they are not codified as in the UK Companies Act 2006. Those duties are set out in the FSA Guidance, in particular **Section 2.3.3**: "Independence – A director must not agree to restrict his power to exercise an independent judgement."

Under the Company Officers (Disqualification) Act 2009[180] (CODA), a person acting as a director[181] of an IOM company is required to exercise their judgement independently and without restriction. Therefore, if a director was considered to be unfit by, for example, breaching their duty to act independently (i.e., acting as a pure nominee director) CODA could be used to disqualify them from acting as a company officer. Schedule 1 of CODA sets out matters applicable in all cases, which includes at paragraph 1: "Any misfeasance or breach of any fiduciary or other duty by P in relation to the company."

The BOA is clear that a nominee director/shareholder cannot be the beneficial owner, a role defined under Section 3 of the Act as:

"a natural person who ultimately owns or controls a legal entity to which this Act applies, in whole or in part, through direct or indirect ownership or control of shares or voting rights or other ownership interest in that entity, or who exercises control via other means, and "beneficial ownership" is to be construed accordingly. Beneficial ownership may be traced through any number of persons or arrangements of any description."

There are provisions for corporate/director liability in respect of offences under IOM legislation, including the following Acts:

- the Sanctions Act 2024;
- the Fraud Act 2017;
- the Bribery Act 2013;
- the Proceeds of Crime Act 2008; and
- the Theft Act 1981.

Both TCSPs and the FSA have processes and procedures to ensure directors do not behave as nominee directors, nor can be perceived to exist, including but not limited to:

- IOM FSA Fitness & Propriety requirements;[182]
- the requirement of corporate directors to hold suitable qualifications;
- the conflicts register;
- inspections by the FSA that will look at governance within a company;
- board minutes showing consideration of decisions and evidenced; and
- colleagues within a TCSP covering work for each other who are corporate directors – e.g., during holidays or sickness – further indicating this is part of a service provision to a customer rather than acting as a nominee director.

The FSA-issued Directorship Guidance 2015[183] outlines expectations:

"Competence. It is the FSA's expectation that client vehicle directors and trustees will:

- Have the necessary knowledge to understand their responsibilities in relation to the vehicle in question;
- Act with skill care and diligence, appropriately and independently in the best interests of the vehicle;
- Have up to date and accurate information concerning the vehicle's business, governance and financial position; ›

- Have relevant experience in respect of their responsibilities; and

- Be able to allocate sufficient time to the vehicle to discharge their responsibilities effectively"

NOMINEE SHAREHOLDERS

Quality of BO identification

Acting as a nominee shareholder, or arranging for another person to act as a nominee shareholder, of a company or as a limited partner of a limited partnership with legal personality by way of business (i.e., a TCSP) is a regulated activity for which a Class 4 licence is required from the FSA. Licence-holders providing such a service are required, under the Financial Services Rule Book 2016[184], Section 6.65, to:

"(a) ensure that in all such cases a written nominee agreement or such other trust instrument as maybe appropriate exists; and (b) retain a copy of the agreement or instrument in its records."

Unlike the provision of directorships, there is no de minimis level before licensing is required. Only licensed CSPs and certain exempted persons can provide nominee shareholding services.

Quality of regulation

The Beneficial Ownership Act states that:

- *"A nominee shareholder of a legal entity (to which the Beneficial Ownership Act applies) must ascertain who the beneficial owner is of their interest in that entity.*

- *Having ascertained who the beneficial owner is, the nominee must provide the company's nominated officer with that information (and subsequently if there is a change in that information).*

- *The nominated officer must then maintain that information so that he can disclose the beneficial ownership of the legal entity at any time.*

- *Further, where beneficial ownership is RBO the nominated officer must submit that information to the Companies Registry for inclusion on the IOM Database of Beneficial Ownership*

- *RBO means a beneficial owner who owns or controls more than 25% of the beneficial ownership of a legal entity to which the Act applies and RBO is to be construed accordingly."*

Under **Section 41** ("Offences and Penalties") of the Financial Services Act 2008[185], it is an offence for a person to provide nominee shareholder services by way of business without a licence, the maximum penalty being a fine or up to 2 years in custody (or both).

Whilst the majority of nominee shareholder arrangements are undertaken by TCSPs as a business service, there may be situations that would fall outside of their activity and consequently not be licensed by the FSA (i.e., nominee shareholding arrangements which are not by way of business), nor would these be covered by either of the alternative methods as recommended in INR 24 Section 13. As a result, Companies Registry are putting forward a recommendation for these situations to comply with INR 24. The recommendation is to update the Companies Act 1931 and the Companies Act 2006 to require a person acting as a nominee shareholder, doing so other than by way of business, to give notice to the company and to the Companies Registry of:

- the nominee status; and

- the identity of the nominator.

Companies Registry will hold that information as a matter of public record.

3.3.9.4 Quality of beneficial ownership identification

LEVEL OF BO TRANSPARENCY FOR STRUCTURES OWNED/CONTROLLED BY TRUSTS OR FOUNDATIONS

The AML/CFT Code requires that the identity of all customers is established and reasonable measures are taken to verify the identity. The FSA AML/CFT Handbook outlines in 3.4.5.1 (Code 12(3)) what CDD is required for legal arrangements, including the beneficiaries, protector, enforcer, settlor, and any other natural person exercising ultimate control. This applies whether the arrangement is established in the IOM or elsewhere. Paragraph 12(4) of the Code provides detail for foundations, › which includes the Council members, beneficiaries, founder, and any other natural person exercising ultimate effective control. This applies if registered in the IOM or elsewhere.

The Island does not have a central register of trusts. However, basic and beneficial ownership information may be sourced by competent authorities from service providers (FIs and DNFBPs).

Under the Financial Services Act 2008[186], Insurance Act 2008, Designated Businesses (Registration and Oversight) Act 2015, and Financial Intelligence Unit Act, competent authorities have the power to obtain information from a wide range of persons (natural and legal).

The Financial Services Act 2008, Insurance Act 2008, and Designated Businesses (Registration and Oversight) Act 2015 allow the FSA to request or require information from any person (regulated/registered or otherwise), and those who are FIs or DNFBPs are required to comply.

Under Section 18 of the Financial Intelligence Unit Act, the FIU may request information from any person who has provided it with information or whom the FIU believes has information that is relevant to information that it holds; this information can be obtained within any time period specified by the FIU.

If the information is required by an overseas authority (including law enforcement), Article 14 of the Proceeds of Crime (External Investigations) Order 2011 grants the same power for law enforcement to obtain any material for that overseas body.

LEVEL OF BO TRANSPARENCY FOR STRUCTURES WITH CORPORATE DIRECTORS

Only 2006 Act companies are permitted to utilise Corporate Directors. The Corporate Director must be an FSA-licensed Class 4 licence-holder (or a wholly-owned subsidiary of the same), and those acting as directors of Corporate Directors are deemed 'controlled function holders' by the FSA and must be notified to the FSA. The Class 4 licence-holder must satisfy itself of the fitness and propriety of individual officers acting in such capacity, and the FSA has its full suite of powers to refuse those individuals if needed. 2006 Act companies with Corporate Directors are no different to 2006 Act companies with natural person directors with regards to the registrability of beneficial owners on the Database.

The FSA, on inspections carried out under the Financial Services Act 2008, reviewed 1,371 customer files from TCSPs in 2020–24 (noting that the COVID-19 pandemic impacted a number of inspections in 2020 and 2021). All will have been reviewed for compliance with CDD and beneficial ownership requirements (within the meaning given under the AML/CFT Code 2019) where relevant and findings provided back to the supervised entity.

3.3.9.5 Level of transparency on PEPs as beneficial owners

Currently, there is no requirement to disclose PEPs, foreign or otherwise, on the Companies Registry Beneficial Ownership Database.

Work is ongoing to update the policies and procedures for onboarding and ongoing monitoring to check whether a beneficial owner is a PEP and then risk-rate the entity accordingly.

Relevant persons identifying PEPs as part of their CDD processes

Relevant persons are obliged by the AML/CFT Code to identify where there is a PEP associated with their customers and take certain steps to identify, verify the identity of, and monitor such persons in an enhanced manner due to the potential additional ML/TF (and corruption) risk posed. The Code distinguishes between domestic and foreign PEPs and contains clear definitions of each. Due to the increased risk profile of these customers, the FSA has conducted some focused thematic inspection work in this area. The Foreign PEP Thematic Report issued by the FSA[187] in May 2023 states:

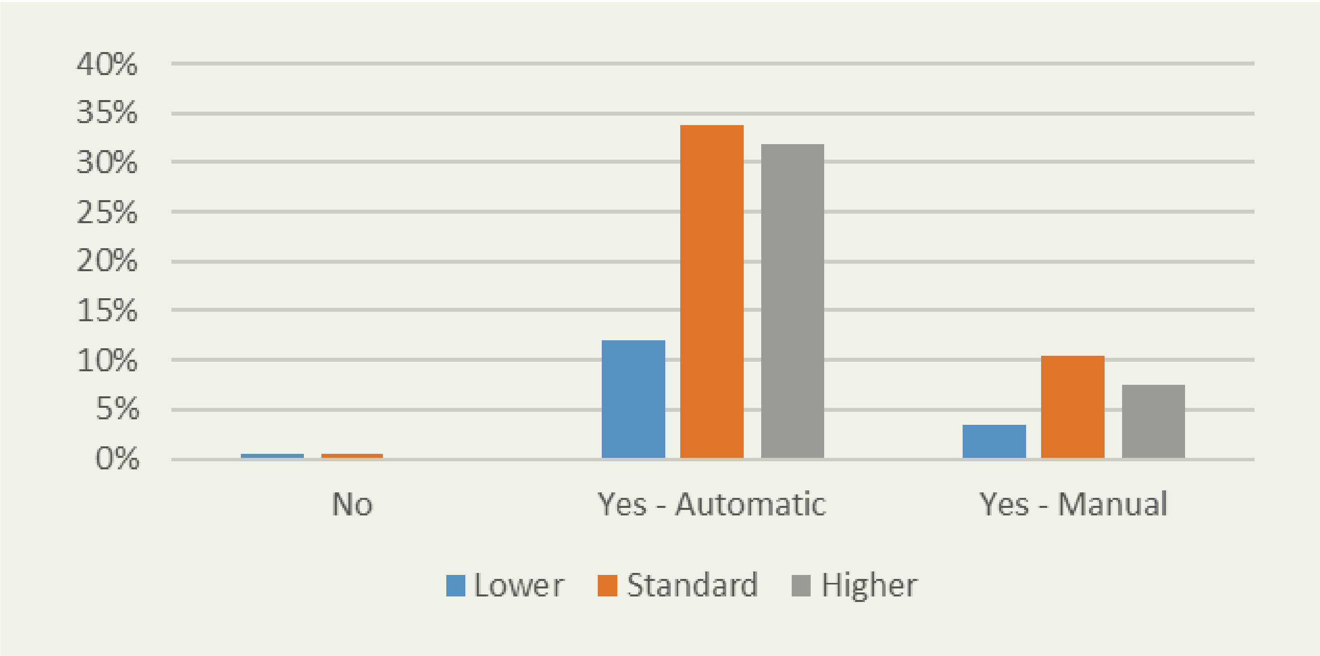
"Almost all of the firms inspected have further work to do in order to meet the requirements of the Code, and to be able to demonstrate an effective compliance regime which successfully attempts to prevent ML/FT. In some cases the necessary remedial action is relatively small in scale and can be completed quickly by the firm. In other instances, the gaps and weaknesses that have been identified mean that significant remedial action will be required in order to correct past ›

failings and to ensure that firms have robust policies, procedures and processes going forward. In a number of cases where the identified contraventions were both material and significant, the case has been or will be considered (as applicable) by the Authority's Enforcement Division, in addition to remedial actions being undertaken."

The result of the foreign PEP thematic was the issuing of some civil penalties where appropriate. There will be a follow-up to this thematic exercise in due course.

In the FSA's 2024 AML/CFT returns, the TCSP sector confirms that it carries out screening for PEP status for the beneficial owners of its customers. Figure 3-12 shows the breakdown of automated and manual screening processes, according to customer risk rating.

Figure 3-12: TCSP Sector Screening for PEPs: Beneficial Owners



Source: FSA 2024 AML/CFT Return

Firms subject to the AML/CFT Code are required to undertake monitoring and testing of compliance with the requirements of the Code, which may take the form of a Compliance Monitoring Plan (CMP). The CMP may check that screening is undertaken where required. On certain inspections, or as part of inspection remediation, the FSA will review the CMPs. Firms will report to their Boards if there are gaps in compliance with the framework and also must advise the FSA if a material breach is identified as a breach.[188] ›

The TCSP sector provided information in the TCSP 2025 LPA Return regarding foreign PEPs who exercised control with their customers. **8.3%** of customers had a foreign PEP:

- **53%** were exercising indirect control as a controller of an entity higher up the ownership structure;
- **33%** were exercising direct control through ownership interests greater than **10%**;
- **10%** were a significant person, such as a company director; and
- **4%** were categorised as "Other."

3.3.9.6 Quality of controls against deceptive entity names

In the IOM, several laws and regulatory mechanisms are in place to prevent the use of deceptive or misleading names for companies, businesses, and other legal structures.

Key legislation and regulations:

- The Company and Business Names (Restricted Words and Phrases) Regulations 2013 lists specific words and phrases that are restricted in company names, especially those that imply regulated financial services. Use of these words requires prior approval from FSA.
- The Financial Services Act 2008 makes it a criminal offense to "hold out" – that is, to imply through a name or branding that a company provides regulated financial services without proper authorisation.
- The Designated Businesses (Registration and Oversight) Act 2015, similar to the Financial Services Act 2008, prohibits businesses from implying they offer designated services (like accounting or legal advice) unless registered or exempt.

How names are reviewed:

- The Companies Registry refers proposed names to the FSA if they include restricted terms or suggest regulated activity. The FSA evaluates whether the name accurately reflects the intended business or could mislead the public. If a name is deemed deceptive, the FSA can object and the Companies Registry may reject the application.

Examples of problematic names:

- A company calling itself "XYZ Bank Ltd." without a deposit-taking licence would be considered misleading. Names like "XYZ Investments Ltd." may be rejected unless clarified (e.g., "XYZ Investment Holdings Ltd.") to avoid implying regulated investment services.

Companies Registry has clear, published rules.[189] ›

The FSA evaluates whether the name accurately reflects the intended business or could mislead the public. If a name is deemed deceptive, the FSA can object and the Companies Registry may reject the application."

CHAPTER 4

Domestic Legal Persons

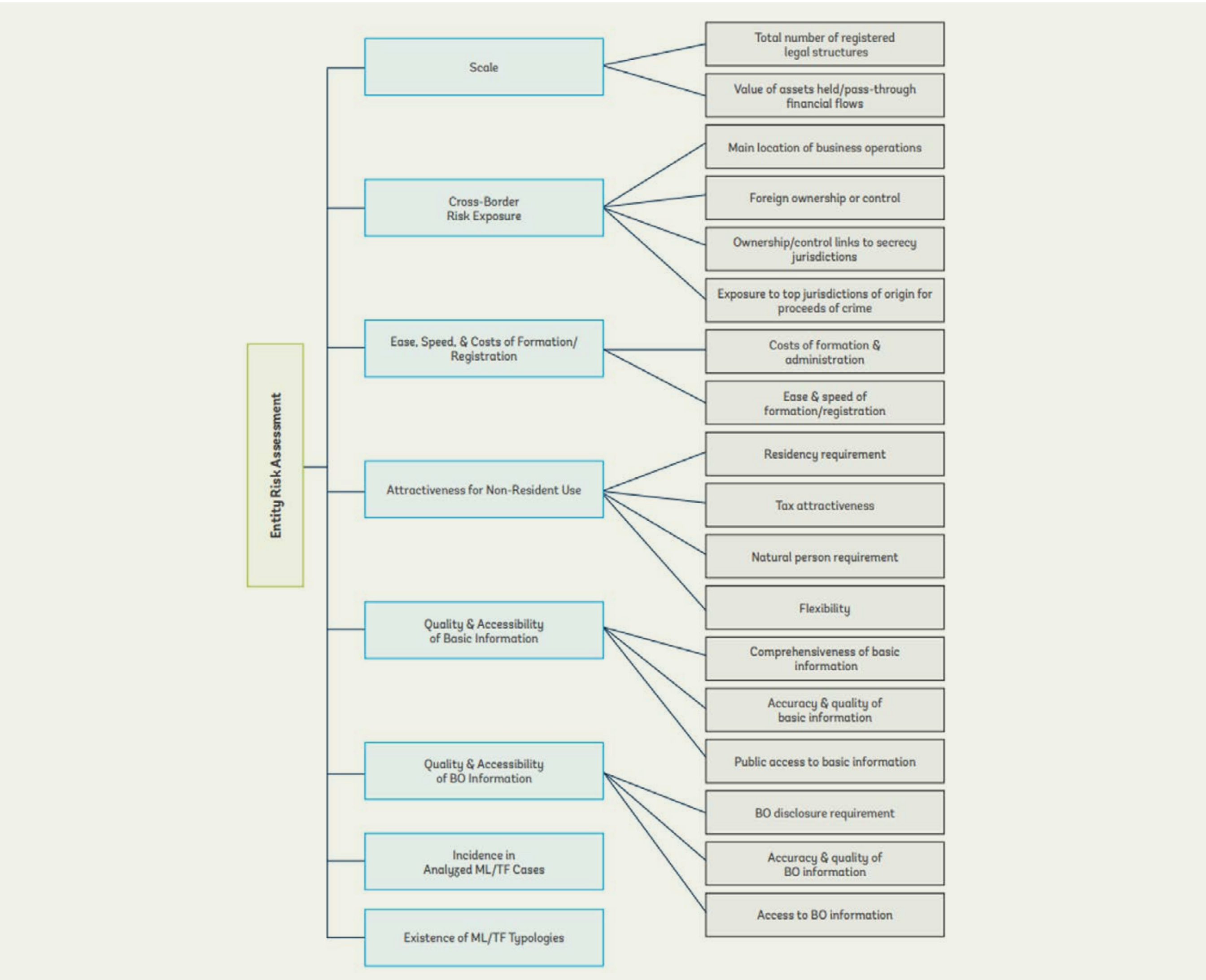
4. Domestic legal persons

As explained in Chapter 1.2, legal persons and arrangements are considered in three categories:

- domestic legal persons (**Chapter 4**);
- foreign legal persons (**Chapter 5**); and
- domestic and foreign legal arrangements (**Chapter 6**).

Each legal entity type within the scope of this NRA is consideredusing the appropriate entity risk assessment as described in the World Bank Legal Persons and Arrangements ML Risk Assessment Tool[190.] published June 2022. **Figure 4-1** shows the entity risk assessment which was used for domestic legal structures. ›

Figure 4-1: Full Network Diagram for Entity Risk Assessments of Domestic Legal Structures



Source: World Bank

4.1 1931 Act companies

4.1.1 Introduction

COMPARISON BETWEEN 1931 AND 2006 ACT COMPANIES

There are two separate but co-existing companies law regimes that are in place which account for the overwhelming majority (**98.4%**) of domestic legal persons:

- Companies Acts 1931–2004 (collectively referred to as the "1931 Act"; the English Companies Act 1929 was the foundation for the 1931 Act); and
- the Companies Act 2006.

Both Acts provide for companies which are limited by shares, guarantees, shares and guarantees, as well as unlimited companies. Decisions regarding companies in English law are routinely cited in IOM courts. **Figure 4-2** shows a comparison of a number of the key features of a 1931 Act company compared to a company formed under the Companies Act 2006. It is permitted for companies to transform from 1931 Act companies to 2006 Act companies and vice versa. ›

Figure 4-2: Comparison of a Number of Key Features of a 1931 Act Company Compared with a 2006 Act Company

Requirement	1931	2006
May be incorporated as limited (by shares/ guarantee/hybrid) or unlimited (with or without shares)	yes	yes
Memorandum & Articles required	yes	yes
Memorandum & Articles and changes must be filed with Companies Registry	yes	yes
Only TCSP licensed with FSA may apply to incorporate		yes
Required to prepare financial statements	yes	no*
Must have a registered office in IOM	yes	yes
Must have a registered agent in the IOM which must be licensed (class 4) with the FSA		yes
Company Secretary	Is required which can be a corporate entity for a private company or an individual for a public company	
Number of directors who can execute a deed	2 (including the Company Secretary)	1
Minimum no. of directors	2 directors who must be individuals, can not be corporate directors	1 director, can be a corporate director licensed by the FSA
Removal of director(s)	Requires a special resolution and physical meeting must be held. Must be filed at the Companies Registry	By resolution of the directors if permitted, or by a written resolution of at least 75% of shareholders
Must keep minutes of meetings of directors and members	yes	yes
Tax rate, provided income does not come from banking or land in the IOM	0%	0%

* but a member or director may ask that they are prepared
Section 80(1) Companies Act 2006:
(1) A company shall keep reliable accounting records.
(4) maintained for not less than 6 years
(4A) kept at the office of the Registered Agent or
(4B) If kept elsewhere then provided to the Registered Agent (b) at intervals not exceeding 12 months

Source: Companies Registry

1931 ACT COMPANY REQUIREMENTS

As detailed in the Companies Registry website[191]:

"All companies incorporated under the Companies Act 1931 are designated as either public companies or private companies. A public limited company may offer its shares or debentures for sale to the general public and must, on an annual basis, deliver audited accounts to the Companies Registry. A private company may not offer shares or debentures to the public and, unless it is a subsidiary of a public company incorporated in the Isle of Man, it is not required to deliver audited accounts to the Companies Registry on an annual basis."

Companies Registry have published a series of Practice Notes[192] to support those wanting to set up and those running 1931 Act companies.

Every company must have at least two directors, who must be individuals, and at least one company secretary. Corporate directors are not permitted for 1931 Act companies. There is no restriction on where the directors may reside; however, if more than **50%** reside outside the Island, there may be tax implications. A Registered Agent is not required.

These companies must also have a Nominated Officer who is ordinarily resident on the Island in order to comply with the requirements of the BOA. Once incorporated, the company, through its Nominated Officer, must take steps to meet its obligations under the BOA and ensure that all RBO information is submitted to the IOM Beneficial Ownership Database within the required 42-day timeframe.

The Companies Act 1982 Section 3A(4) formalised the requirement for accounting information to be presented in adherence to generally accepted accounting principles or practice.

REGISTERED OFFICE

The Registered Office address of a company must be a physical address in the Island to which all communications and notices may be addressed. However, it must be more than just a postal address. There are a number of requirements throughout the Companies Acts 1931–2004 requiring company statutory records to be maintained at its Registered Office address, for example:

- a copy of the memorandum and articles of association (Section 12 of the Act);
- a copy of every instrument creating a charge requiring registration (Section 87);
- the register of charges (Section 88);
- the register of members (Section 96);
- the minute books (which are available for inspection by any member) (Section 120);
- the register of directors (Section 143); and
- the accounting records (Section 1 of the Companies Act 1982).

EASE AND SPEED OF FORMATION AND REGISTRATION

The formal formation and registration with Companies Registry, once all the paperwork and due diligence is completed[193], is typically a quick process. Local companies may find the end-to-end process quicker than for overseas companies requiring the services of a TCSP, as their requirements and paperwork may be more straightforward.

At workshops held with representatives from the TCSP sector, they thought that the speed of incorporation with Companies Registry reduced the likelihood and appeal of establishing a 'shelf'[194] company.

FSA AML/CFT HANDBOOK REQUIREMENTS

As is the case for all legal entity types, TCSPs must align their Customer Risk Assessments, CDD, and enhanced CDD measures with the AML/CFT Code and Handbook, which includes details regarding the treatment of PEPs, CEPs, and jurisdiction lists (as published by the Department of Home Affairs)[195]. This helps mitigate risks when the company is administered/managed by a TCSP. ›

4.1.1.1 Continuance of companies

The IOM offers a statutory mechanism for the continuance of foreign companies under the Companies (Transfer of Domicile) Act 1998. This legislation enables entities incorporated outside the IOM to transfer their domicile and continue as IOM companies, subject to compliance with prescribed legal and regulatory requirements. The process preserves the legal identity of the company, ensuring continuity of its corporate history, assets, liabilities, and contractual obligations, while bringing it under the jurisdiction of IOM law.

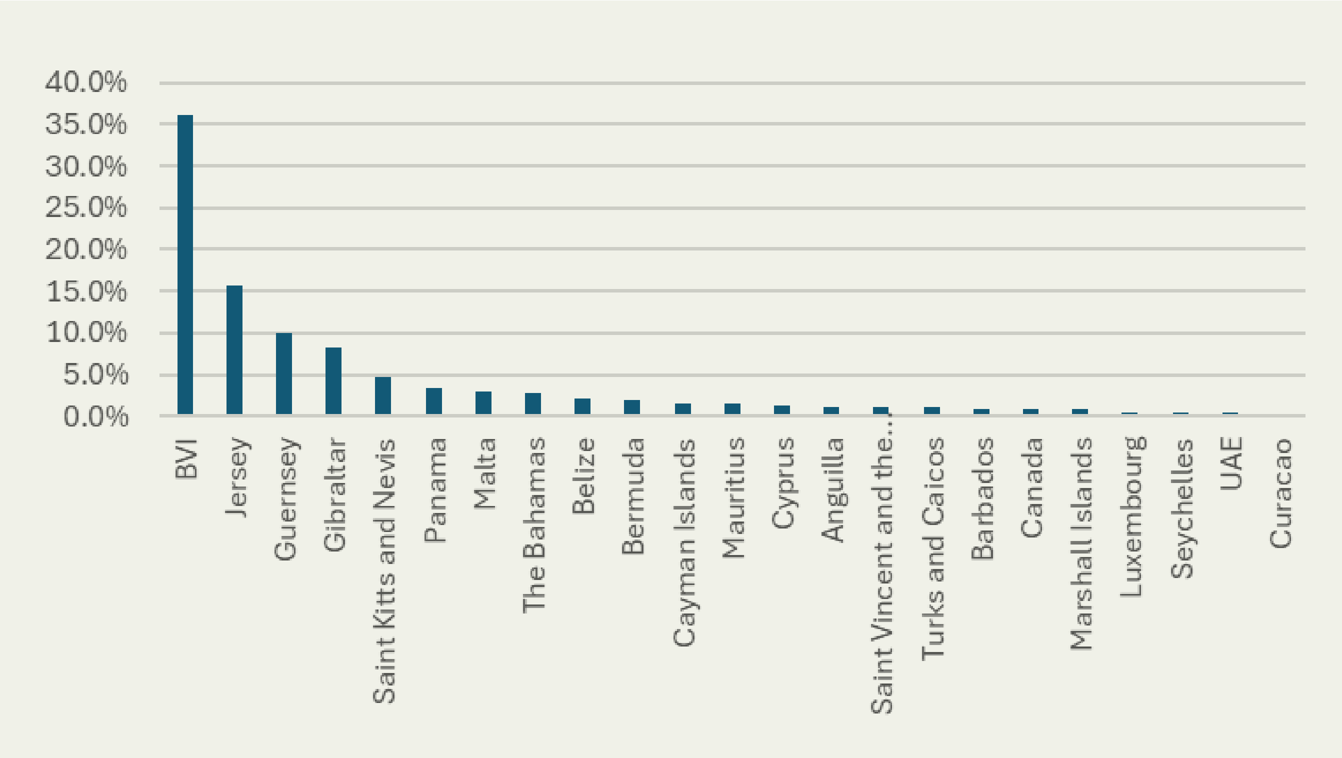
Eligibility for continuance is contingent upon the laws of the originating jurisdiction permitting discontinuance and the applicant company satisfying solvency criteria and not being subject to insolvency or analogous proceedings.

Re-domiciliation of a company can be a lengthy process, dependent upon legal opinion on a case-by-case basis. IOM companies can re-domicile to another jurisdiction, usually only after clearance from the relevant authorities; this is primarily driven by economic substance or changes in tax advice (see **Chapter 2.3.2.4**).

Figure 4-3 shows the re-domicile from other jurisdictions to the IOM. The largest are for the BVI (**36.1%**), followed by Jersey (**15.6%**), Guernsey (**10.0%**), and Gibraltar (**8.4%**). A potential risk exists where companies are re-domiciled from jurisdictions with weaker AML regimes (List A and B jurisdictions), as it introduces a channel for transferring possible opaque structures into the IOM.

The IOM also serves as a jurisdiction of origin for companies seeking continuance into other territories. According to the Jersey Legal Persons and Arrangements National Risk Assessment (2023), **11%** of all companies that migrated into Jersey between 2018 and 2022 were originally incorporated in the IOM. ›

Figure 4-3: Redomicile of Companies From Other Jurisdictions to the IOM, Q4 2019 to Q4 2025



Source: Companies Registry

4.1.2 Scale

1931 Act companies are the most used of all LPAs in the IOM. At the end of December 2024, there were 15,143 companies registered with the Companies Registry. The majority (14,558) were private limited by shares (see **Figure 4-4** for a breakdown of all the types of 1931 Act companies). There are also 42 protected cell companies (PCCs) (see **Chapter 4.1.3.1** for further analysis) and 0 incorporated cell companies (ICCs) (see **Chapter 4.1.3.2** for further information). There are a small number of public limited companies.

The TCSP sector administers approximately **27%** of these companies on behalf of clients.

Figure 4-4: 1931 Act Companies – Detailed Breakdown by Type

1931 Act Companies	Total Number of Entities
Company - Private Limited by Shares - 1931 Act	14,558
Company - Private Limited by Guarantee and not having a Share Capital - 1931 Act	339
Company - Private Limited by Guarantee and having a Share Capital - 1931 Act	61
Company - Private Unlimited Company - 1931 Act	89
Company - Public Limited by Shares - 1931 Act	35
Company - Public Limited by Guarantee and not having a Share Capital - 1931 Act	14
Company - Public Limited by Guarantee and having a Share Capital - 1931 Act	5
Company - Public Unlimited Company - 1931 Act	0
Company - Protected Cell Company (Private Limited by Shares) - 1931 Act	36
Company - Protected Cell Company (Public Limited by Shares) - 1931 Act	0
Company - Incorporated Cell Company (Public Limited by Shares) - 1931 Act	0
Total	**15,143**

Source: Companies Registry

The number of new 1931 Act companies registered with the Companies Registry has been consistent over the last 5 years, even during the COVID-19 period. The number of newly registered entities is in **Figure 4-5**. ›

Figure 4-5: Number of Newly Registered Companies with Companies Registry, 2020 to 2024

Entity Type	2020	2021	2022	2023	2024
1931 Act Companies	836	836	789	847	851
2006 Act Companies	717	883	864	704	730
Limited Liability Company - LLC Act 1996	9	3	1	3	2
Limited Partnership with Legal Personality - Partnership Act 1909	7	18	15	17	6
Foundations - Foundations Act 2011	23	17	27	20	11
Foreign-Registered Companies - Foreign Companies Act 2014	71	52	41	28	32
Foreign Companies - IOM tax resident by virtue of management & control	298	229	125	72	62

Source: Companies Registry and ITD

EASE OF OWNERSHIP AND BENEFICIARY CHANGES, AND FORMATION OF COMPLEX STRUCTURES

In the IOM, ownership of legal persons can be changed relatively easily. This is most likely to take place via a TCSP or lawyer, to transfer the shares to the new owner. The Companies Registry must be updated with key information, including any new RBO. Beneficiaries of a trust can also be changed, again with the need for a professional to support the process. This would require the settlor to be able to issue a new letter of wishes, or the power to add or remove beneficiaries would be retained by the settlor or given to protectors/enforcers.

Complex structures could be set up; however, professional advisers would be required for legal/tax/structuring advice as well as setting up the actual structure so that it achieves the desired outcomes. It is likely that this would be a costly process.

4.1.3 Use of 1931 Act companies

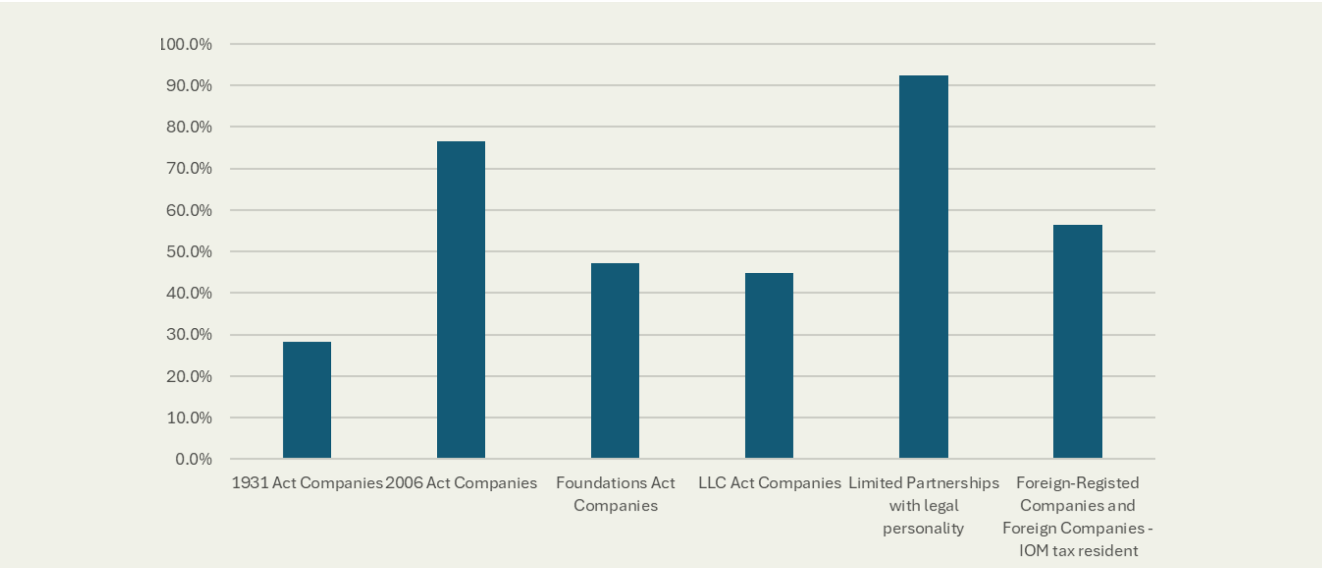
BENEFICIAL OWNERSHIP

As detailed in **Chapter 3.2.7,** Companies Registry receives information on beneficial ownership of all the companies to which the BOA applies, including 1931 Act companies. In addition, the ITD receives beneficial ownership information for foreign-registered companies and foreign companies that are IOM tax-resident. **Figures 4-6a** and **4-6b** show the level of overseas RBO by legal person type and overall for the IOM to provide context, noting that 1931 Act companies and 2006 Act companies account for the overwhelming majority of overseas RBO.

28.2% of RBOs for 1931 Act companies are based outside of the IOM. As shown in **Figure 4-7**, which provides the top 10 overseas locations of RBOs for 1931 Act companies, **15.0%** are based in the UK. The next largest jurisdiction exposure is to Ireland, with **2.2%**. The only jurisdiction in the top 10 for which additional countermeasures are required (see **Appendix 7**) is Monaco (**1.6%**), which is on List B(i).

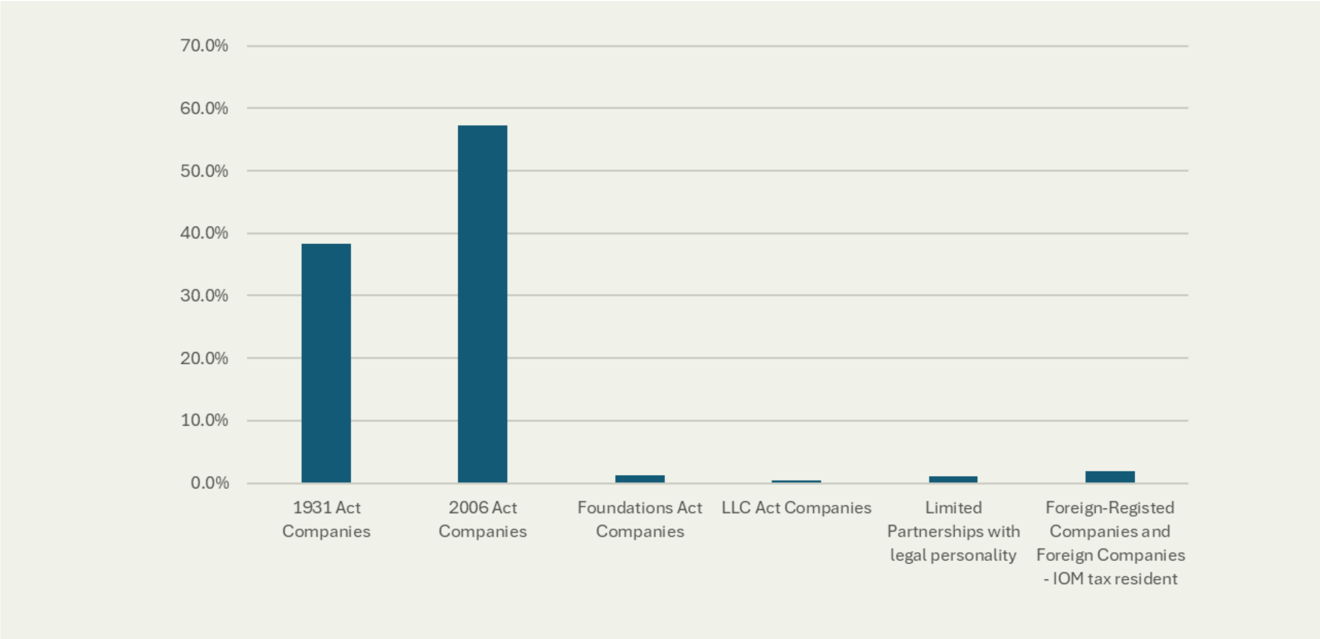
For Lists A (no casesB(i), and B(ii), **2.9%** of RBOs are in these jurisdictions[196]. After Monaco, the next largest jurisdictions are South Africa (**0.4%**), Kenya (**0.3%**), and Türkiye (**0.2%**). Therefore, the risk from higher-risk RBOs is **Low** for 1931 Act companies. ›

Figure 4-6a: Level of Overseas Registrable Beneficial Ownership by Entity Type



Source: Companies Registry and Income Tax Division

Figure 4-6b: Level of Overseas Registrable Beneficial Ownership as a Percentage of All Overseas Registrable Beneficial Ownership



Source: Companies Registry and Income Tax Division

Figure 4-7: 1931 Act Companies – Top 10 Overseas Registrable Beneficial Ownership Jurisdictions

Country	Percentage
UK	15.0%
Ireland	2.2%
UAE	1.6%
Monaco	1.6%
Israel	1.3%
Switzerland	1.1%
USA	1.0%
Malta	1.0%
Germany	0.8%
Guernsey	0.8%

Source: Companies Registry

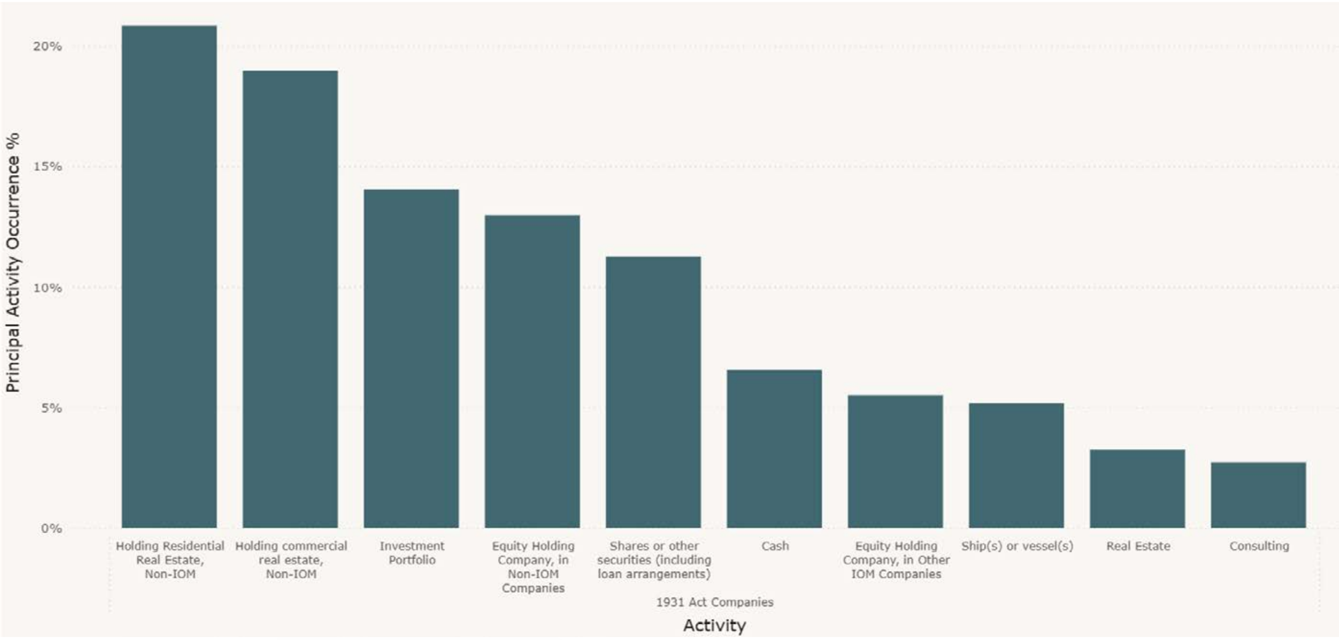
ACTIVITY

Local IOM trading companies would usually use 1931 Act companies. Unlike 2006 Act Ccompanies, these do not require a TCSP, which would carry additional cost. Therefore, the majority of 1931 Act companies with overseas RBOs or activity are managed by IOM TCSPs. From the TCSP 2025 LPA Return, an analysis was undertaken of the 1931 Act companies that are administered by TCSPs (only **27%** of the total number). The company is often part of a wider structure, with the TCSP 2025 LPA Return stating that **31.6%** of structures also contain an IOM law trust, **14.0%** contain a non-IOM law trust, and **25.0%** contain other legal persons or arrangements.

The TCSP-managed 1931 Act companies' principal activities by jurisdiction[197] was also analysed. The top 10 activities by percentage occurrence are in **Figure 4-8**. The top 10 jurisdictions by occurrence are in **Figure 4-9**.

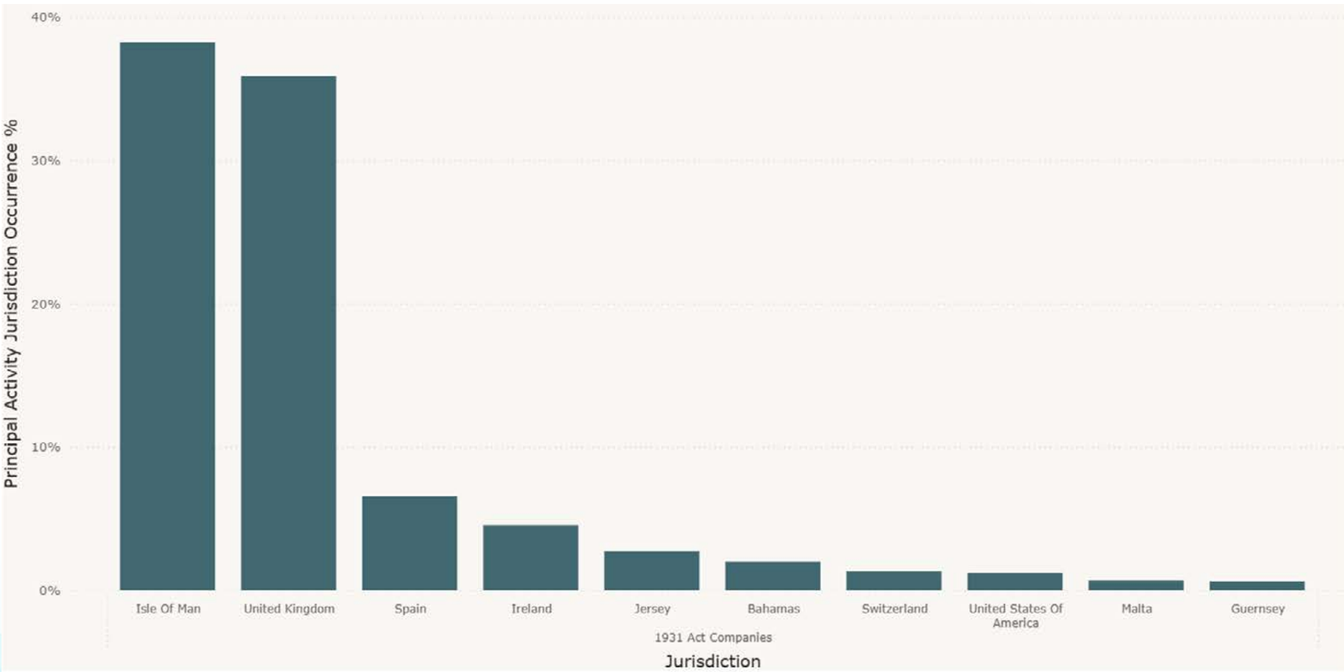
Activities such as holding non-IOM real estate (**20.8%**) and investment portfolios (**14%**) are common; these asset classes are potentially attractive for ML because they allow value storage and integration into the legitimate economy, especially when combined with overseas beneficial ownership. ›

Figure 4-8: Top 10 Activities by Occurrence as a Percentage for TCSP Managed/Administered 1931 Act Companies



Source: TCSP 2025 LPA Return

Figure 4-9: Top 10 Jurisdictions for TCSP Managed/ Administered 1931 Act Companies



Source: TCSP 2025 LPA Return

OPERATIONAL RED FLAGS FOR 1931 ACT COMPANIES

These red flags equally apply to the other legal person types. They build on the threats detailed in Chapter 2 and various FATF reports:

- rapid changes and activity patterns (sudden switches of directors/shareholders or jurisdictions);
- dormant entities that are reactivated for large or unusual transactions;
- equity holding with opaque upstream owners; nominee indicators;
- unexplained use of multi-jurisdictional splitting, or overly complex structures;
- lack of legitimate business substance (virtual offices, no real operations, minimal or no employees, or vague business descriptions);
- revenue inconsistent with stated activities;
- transactions lacking commercial rationale (circular flows, layering through multiple accounts or entities, immediate passthrough of funds, or payments to/from unrelated counterparties and charities without clear purpose);
- PEP exposure and concealment;
- inconsistent or unreliable records from the company; asset-focused arrangements (entities or trusts holding only high-value assets, such as real estate, art, or vessels, with little income activity, complex financing, or unexplained inbound/outbound loans).

4.1.3.1 PROTECTED CELL COMPANIES

Protected cell companies represent a specialised corporate structure under IOM legislation, enabling the statutory segregation of assets and liabilities within a single legal entity. This framework is particularly suited to the insurance and investment fund sectors, where PCCs are utilised to establish captive insurance arrangements and multi-cell investment platforms. While the structure offers significant operational and regulatory advantages, the number of PCCs incorporated in the IOM remains relatively modest (see **Figure 4-10**), a trend mirrored across the other Crown Dependencies.[198]

Figure 4-10: Number of 1931 Act and 2006 Act PCCs

1931 Act Companies	Total number of entities
Company - Protected Cell Company (Private Limited by Shares) - 1931 Act	36
Company - Protected Cell Company (Public Limited by Shares) - 1931 Act	6

2006 Act Companies	Total number of entities
Company - Protected Cell Company (Limited by Shares) - 2006 Act	71

Source: Companies Registry

PCCs are corporate entities established under either the Companies Act 1931 or the Companies Act 2006 and must be limited by shares. A PCC comprises a central "core" and an unlimited number of "cells," each of which maintains legally segregated assets and liabilities. Although the PCC is a single legal entity, the statutory framework ensures that creditors of one cell have no recourse to the assets of other cells or to the core, except where expressly permitted. Neither the core nor the cells possess separate legal personality; the legal protections apply to the company as a whole.

Each cell may issue its own class of shares, known as "cell shares," distinct from core shares, enabling tailored ownership structures. The articles of association define the rights and obligations attached to each class, including voting rights and participation in cell-specific activities. ›

Directors of a PCC are subject to statutory duties to preserve the segregation of assets and liabilities between the core and each cell. This includes maintaining separate accounting records and submitting individual tax returns for each cell to the IOM Income Tax Division. Cellular assets must be clearly identifiable and distinct from non-cellular assets to ensure transparency and regulatory compliance.

The FSA oversees the PCC framework under the Protected Cell Companies Act 2004 and associated regulations. These provisions facilitate both the incorporation of new PCCs and the conversion of existing companies, subject to appropriate constitutional documentation.

PCCs offer significant operational and financial benefits, allowing multiple participants to operate within a single corporate entity while maintaining distinct risk profiles and asset pools. This structure is particularly attractive for entities seeking cost-effective access to the captive insurance market, as shared overheads reduce the financial burden on individual cell owners.

The FSA provides guidance[199] on beneficial ownership for PCCs: *"Each cell has its own share of the PCC's overall share capital allowing a shareholder to be the sole owner of one cell whilst only having a small interest in the PCC as a whole. All those natural persons who hold core shares or cell shares, whether directly or indirectly through nominees, corporate or trust structures, will be beneficial owners of the PCC. Whether they are registrable beneficial owners will depend on whether their shareholding, whether core or cellular, amounts to more than 25% of the total issued share capital of the PCC as a whole."*

Whilst the IOM Beneficial Ownership Database will have the RBO details for the core entity, there is not a requirement for RBO details to be stored with the Companies Registry for the cells, although this information will be held by the TCSP.

EXAMPLES OF USE OF PCCS IN STRUCTURES

Example 1: Captive insurance companies

Companies set up to insure the risks of their parent or group often use PCCs to insure multiple clients or business units separately. The PCCs help by ensuring each cell can insure a different client or division with its own assets and liabilities. As a result, if one cell suffers a major loss, it does not affect the other cells or the core.

A PCC might have, for example:

cell A insuring a shipping company's fleet;
cell B insuring a tech firm's cyber risks; and
cell C insuring a family office's property portfolio.

Each cell is legally ring-fenced, even though they share the same legal entity.

Example 2: Segregation of investment funds

Fund managers use PCCs to launch multiple sub-funds under one umbrella, each with its own strategy, investor base, and risk profile. The PCCs help by ensuring each cell acts like a standalone fund but benefits from shared infrastructure and reduced costs. Investors in one cell are not exposed to the liabilities of another. Regulatory and tax reporting can be streamlined.

An IOM fund manager might operate, for example:

cell A, a growth equity fund;
cell B, a fixed-income fund; and
cell C, a crypto asset fund.

Each cell can have different fee structures, custodians, and investment mandates.

Example 3: Family office

Often, PCCs will be created as a result of specific legal or tax advice. An example would be for a family office which is incorporated as a PCC under the Companies Act 2006, limited by shares. This allows the family to manage multiple financial activities within one legal entity while maintaining statutory segregation of assets and liabilities.

Cell 1 – Investment portfolio:

- Assets: Equities, bonds, private equity, and alternative investments
- Management: Managed by external advisers or an internal investment committee
- Liabilities: Limited to investment-related obligations
  Shareholders: Family members or investment holding entities ›

Cell 2 – Real estate holdings:

- Assets: Residential and commercial properties across jurisdictions
- Purpose: Isolate property-related risks and income streams
- Shareholders: Specific family branches or trusts

Cell 3 – Philanthropy:

- Assets:Endowments, charitable funds
- Purpose: Manage donations, grants, and social impact initiatives
- Governance: May include external trustees or advisers

Cell 4 – Lifestyle and personal assets:

- Assets: Yachts, art collections, aircraft, and luxury vehicles
- Purpose: Segregate high-value personal assets from investment and operational risks
- Shareholders: Individual family members or lifestyle holding entities

Using a PCC for a family office offers a sophisticated and highly adaptable structure for managing diverse family assets and interests. The statutory ring-fencing of assets and liabilities ensures that financial risks are isolated within each cell, providing robust asset protection across investment portfolios, real estate holdings, philanthropic ventures, and lifestyle assets. Ownership and control can be tailored through core and cellular shares, allowing for privacy and strategic governance while maintaining compliance with beneficial ownership regulations. Each cell can be treated independently for tax and reporting purposes, enabling efficient tax planning and operational clarity.

Historically, PCCs were limited to the insurance and investment sectors, but this has now been expanded to cover more uses. The limited usage to date, ring-fencing of assets/asset classes, and the creation of dedicated members may make them attractive to more advanced ML cases.

4.1.3.2 INCORPORATED CELL COMPANIES

The Incorporated Cell Companies Act 2010, together with the Incorporated Cells Regulations 2011 and the Insurance (Incorporated Cell Companies) Regulations 2011, establishes the statutory framework for the formation and operation of ICCs in the IOM. These provisions apply specifically to entities engaged in, or intending to engage in, insurance business.An ICC is conceptually similar to a PCC in that it enables the creation of multiple cells within a single overarching structure. However, a key distinction is that each incorporated cell within an ICC is a separate legal entity capable of holding assets, incurring liabilities, and entering into contracts in its own name.

ICCs and their cells may be incorporated under either the Companies Acts 1931 or the Companies Act 2006, provided the constitutional documents permit such structuring. Despite this legal provision, there are currently no ICCs formed under either regime in the IOM.

4.1.4 Threats and mitigants

Between January 2020 and December 2024, 1,433 1931 Act companies were struck off by the Companies Registry for failing to meet statutory obligations under the Act.

LAW ENFORCEMENT DATA

LEAs analysed their data for incidence of 1931 Act companies appearing in investigations. The way in which data is captured across the LEAs did not always allow for readily extractable data showing legal entity types involved, and for some agencies, historic records were manually reviewed for the entity type. Within the SAR data, the FIU identified that a 1931 Act company was specifically recorded in **0.4%** of the overall SARs; this was **7%** for inward MLAs identified by the AGC.

PIMLIT have a number of investigations wherein 1931 Act companies are part of the structure. There have been no prosecutions or convictions by the Prosecution team specifically of these companies. ›

Overall, the LEA data shows a low incidence of 1931 Act companies implicated in ML/TF cases.

As referenced in Chapter 1.4, across a number of the agencies, the methodical tagging of entity types is incomplete in historic datasets; therefore, it is recommended that agencies look at how they can enhance this going forward.

CROSS-BORDER

Of the 1931 Act companies that are managed by TCSPs, for the country of principal activity, only **2.2%** are in List B countries. The largest number are for South Africa (**0.6%**), the BVI (**0.3%**), Kenya (**0.2%**), Nigeria (**0.2%**), and Monaco (**0.2%**). Therefore, the country risk exposure for 1931 Act companies is **Low**.

According to Companies Registry data, there were only **2.9%** of RBOs in higher-risk jurisdictions.

FOREIGN PEPS

Within the TCSP 2025 LPA Return, the sector advised of the domestic and foreign legal persons that had a foreign PEP with control. **22.1%** of these foreign PEPs were associated with 1931 Act companies, of which:

- **10.4%** exercise indirect control as a controller of an entity higher up the ownership structure;
- **8.6%** exercise direct control through an ownership interest; and
- **3.1%** are a significant person – i.e., a company director.

The foreign PEP country risk exposure has been captured across all TCSP customers, rather than for each specific LPA entity type. **Figure 4-11** shows the top 10 country risk, with the UK having the largest foreign PEP exposure, followed by Saudi Arabia and the UAE. The IOM PEP comparative figure was **2.8%.** ›

Figure 4-11: Foreign PEPs by Residency, 2024 for all TCSP Customers

Country of Residency of Foreign PEP	Percentage of Total TCSP Sector Foreign PEP Population
UK	16.2%
Saudi Arabia	9.6%
United Arab Emirates	7.2%
Niger	3.6%
Bahrain	3.4%
South Africa	3.2%
US	2.9%
Hong Kong, China	2.7%
Kuwait	2.5%
Lebanon	2.3%

Source: FSA AML/CFT 2024 Return

COMMERCIALLY EXPOSED PERSONS

As defined by the FSA[200]: "A CEP is an individual who is associated with a specific industry or activity which typically has a higher exposure to bribery and corruption, which, in turn, may increase the ML/TF risk posed to supervised entities where such individuals are affiliated to a customer. An individual would be regarded as a CEP due to their position as a senior executive of a commercial enterprise in an industry posing a higher risk of financial crime."

The CEP data has been collected only comparatively recently, and the TCSP sector and FSA are working together to better define the understanding and terminology, to help improve the quality of the reporting. Therefore, whilst the data was provided by the sector within the TCSP 2025 LPA Return, it has not been used in the analysis of each entity type.

1931 ACT COMPANIES WITH AN OVERSEAS REGISTRABLE BENEFICIAL OWNER NOT MANAGED BY A TCSP

TCSPs administer **27%** of 1931 Act companies, are regulated by the FSA for AML/CFT purposes, and have obligations to manage and help mitigate the risk of the client entity, including by submitting SARs, undertaking customer due diligence, and monitoring and screening the connection.

As detailed in **Chapter 4.1.3**, **28.25%** of RBOs for 1931 Act companies are based outside of the IOM. Analysis was undertaken to review how many of the **28.25%** did not have a TCSP as the Nominated Officer. **Figure 4-12** provides an overview of the top 10 jurisdictions of residence for TCSPs, ranked by the proportion for which the TCSPs' Nominated Officers were individuals. **10.91%** of overseas RBOs have an individual Nominated Officer rather than a TCSP. Potentially, this could carry a higher risk for the entity. To help manage and mitigate any risk, the Companies Registry apply verification checks for companies with a Nominated Officer who is an individual and of which the RBO is overseas. In addition, the Companies Registry were aware of additional mitigants where companies or individual Nominated Officers are registered with the FSA. ›

Figure 4-12: Top 10 Country of Residence of Registrable Beneficial Owner and if TCSP or Individual Acting as Nominated Officer

1931 ACT COMPANIES

Country of Residence of the Beneficial Owner	TCSP Nominated Officer	Individual Nominated Officer	Total
Isle of Man	8.57%	63.19%	71.75%
United Kingdom	5.64%	6.02%	11.66%
United Arab Emirates	0.68%	0.55%	1.24%
Monaco	0.78%	0.43%	1.21%
Germany	0.30%	0.33%	0.63%
Ireland	1.39%	0.29%	1.68%
Malta	0.51%	0.26%	0.77%
United States of America	0.56%	0.23%	0.80%
Liechtenstein	0.11%	0.21%	0.32%
Turkey	0.02%	0.21%	0.23%

Source: Companies Registry

Recognising that most (**73%**) 1931 Act companies are not administered by a TCSP, it is recommended that the authorities consider exploring whether additional information could be obtained for these entities to support future risk analysis. This would enable further analysis of potential threats related to common directors, multiple companies using the same Registered Office address, or any form of administration by another professional under an applicable exemption/exclusion to licensing.

4.1.5 Overall risk level for 1931 Act companies

SCALE

There are 15,143 1931 Act companies (as of 31st December 2024), making it the most-used legal entity type in the IOM.

CROSS-BORDER RISK EXPOSURE

Local IOM trading companies usually use 1931 Act companies. Therefore, the overall cross-border risk exposure is proportionally lower. The country of residence for **28.2%** of RBOs is overseas and **71.8%** of RBOs have the IOM as their country of residence. According to Companies Registry data, there were only **2.9%** of RBOs in higher-risk jurisdictions. Of those managed by the TCSP sector, the most common locations of business operations, using the principal activity data, are the IOM (**44.8%**) and UK (**30.8%**). **22.1%** of all foreign PEPs are linked to 1931 Act companies, with the main concentration in the UK, Saudi Arabia, and the UAE.

Overall, this creates cross-border exposure to ML risks, particularly where the ownership may be opaque.

EASE, SPEED, AND COSTS OF FORMATION AND REGISTRATION AND OTHER PRACTICAL MATTERS

The costs are largely similar across a range of legal entities. There are costs associated with the Companies Registry, depending upon the speed with which registration is required. If a TCSP is required, then there is likely to be associated costs in supporting the process. These costs are relatively consistent with those of the other Crown Dependency registries. Only the Nominated Officer must be resident on the IOM. The tax position is similar for many of the LPAs. There must be a minimum of two directors, and corporate directors are not permitted. Basic information on 1931 Act companies is taken and recorded by the Companies Registry. This information is available on a free/fee basis depending on the information required.

While speed is a convenience, it can be exploited for rapid setup of ML structures if other controls fail.

BENEFICIAL OWNERSHIP INFORMATION

Section 25 of the BOA gives Companies Registry the power to make enquiries to verify the accuracy of RBO information submitted to it, for inclusion on the Database. Companies Registry undertake the following verification checks on beneficial ownership information which is submitted:

- **100%** of non-TCSP submitted RBO; and
- **25%** (randomly selected) of TCSP-submitted RBO.

The competent authorities can electronically access the Beneficial Ownership Database where required.

ML/TF CASES AND TYPOLOGIES

Whilst the volume of SARs expressly referencing 1931 Act companies is low (**0.4%**), the number of inbound MLAs is higher (**7.0%**). PIMLIT investigations include 1931 Act companies. Given that they are the most frequently used LPA in the IOM, they are potentially impacted in the key typologies in the **Chapter 2.**

OVERALL

1931 Act companies represent the largest category of legal persons in the IOM, with over 15,000 entities as of December 2024. While primarily used for local trading, they are also employed in cross-border structures and asset-holding arrangements. Their prevalence and flexibility creates exposure to financial crime risks.

The drivers for risk are cross-border ownership, foreign PEP exposure, and potential complexity if layering increases opacity and complicates beneficial ownership verification. ›

The mitigants are that **71.8%** are locally focused, and there is strong TCSP oversight where they are engaged.

The overall risk rating for ML is **Medium** and the overall risk rating for TF is **Medium Low.**

4.2 2006 Act companies

4.2.1 Introduction

The Companies Act 2006 introduced a more simplified corporate vehicle into IOM law, with similarities to entities in other IFCs. Only those holding a Class 4 licence issued by the FSA can incorporate a 2006 Act company. TCSPs are regulated by the FSA for AML/CFT purposes and have obligations that manage and help mitigate the risk of the client entity, including by submitting SARs, undertaking customer due diligence, and monitoring and screening customers.

The Companies Registry has published a series of Practice Notes[201] to support those wanting to set up, and those running, 2006 Act companies.

For 2006 Act companies, the Nominated Officer (which is a TCSP in **98%** of occasions)[202] must be resident on the Island to comply with the requirements of the BOA. Every company must have at least one director, which may be a corporate director utilised by the FSA-licenced TCSP.

Similar to 1931 Act companies, once a 2006 Act company is incorporated, the company through its Nominated Officer must take steps to meet its obligations under the BOA and ensure that all RBO information is submitted to the IOM Beneficial Ownership Database within the required timeframe

REGISTERED AGENT

A Registered Agent is a licensed person or firm appointed by a company to handle its statutory compliance and filings. This role is mandatory for companies incorporated under the 2006 Act but is not required for companies under the 1931 Act. Only a Class 4 licence-holder can act as a Registered Agent.

The requirement for a Registered Agent is an ongoing obligation and failure to comply will lead to the company being struck off by the Companies Registry, as without a Registered Agent, the company is not able to file its annual return.

REGISTERED OFFICE

Similar to 1931 Act companies, the Registered Office address of a company must be a physical address in the Island to which all communications and notices may be addressed. However, it must be more than just a postal address.

EASE AND SPEED OF FORMATION AND REGISTRATION

The process and speed for a 2006 Act company is similar to that of a 1931 Act company.

4.2.2 Scale

2006 Act companies are the second-most common legal person in the IOM. At the end of December 2024, there were 9,831 companies registered with the Companies Registry. The majority were limited by shares (see **Figure 4-13**). ›

The requirement for a Registered Agent is an ongoing obligation and failure to comply will lead to the company being struck off by the Companies Registry, as without a Registered Agent, the company is not able to file its annual return.”

Figure 4-13: 2006 Act Companies – Detailed Breakdown by Type

2006 Act Companies	Total number of entities
Company - Limited by Shares - 2006 Act	9,082
Company - Limited by Guarantee - 2006 Act	39
Company - Limited by Shares and by Guarantee - 2006 Act	18
Company - Unlimited with Shares - 2006 Act	621
Company - Unlimited without Shares - 2006 Act	0
Company - Protected Cell Company (Limited by Shares) - 2006 Act	71
Company - Incorporated Cell Company (Limited by Shares) - 2006 Act	0
Total	**9,831**

Source: Companies Registry

As per **Figure 4-5**, the number of new 2006 Act companies registered with the Companies Registry has been consistent over the last 5 years.

4.2.3 Use of 2006 Act companies

REGISTRABLE BENEFICIAL OWNERSHIP

As detailed in **Chapter 3.2.7**, the Companies Registry receives information on RBO of all the companies to which the BOA applies, including 2006 Act companies. **Figure 4-6a** shows the level of overseas RBO by legal person type. **76.6%** of RBOs for 2006 Act companies are based outside of the IOM.

As shown in **Figure 4-14**, which provides the top 10 overseas locations of RBOs for 2006 Act companies, **20.8%** are based in the UK. The next largest jurisdiction by exposure is Ireland, with **13.5%**. The only jurisdiction in the top 10 for which additional countermeasures are currently[203] required (See **Appendix 7**) is Monaco (**2.9%**), which is on List B(i).

For Lists A (no cases), B(i), and B(ii), **9.2%** of RBOs are in these jurisdictions. After Monaco, the next largest jurisdictions are South Africa (**2.5%**), Kenya (**1.2%**), Nigeria (**0.9%**), and Türkiye (**0.3%**). Therefore, the risk from RBOs with exposure to higher-risk countries is higher than for 1931 Act companies, but still comparatively **Low**. ›

Figure 4-14: 2006 Act Companies – Top 10 Overseas Registrable Beneficial Ownership Jurisdictions

Country	Percentage
UK	20.8%
Ireland	13.5%
USA	3.8%
UAE	3.3%
Monaco	2.9%
South Africa	2.5%
Switzerland	2.4%
Portugal	2.0%
Malta	1.9%
Gibraltar	1.5%

Source: Companies Registry

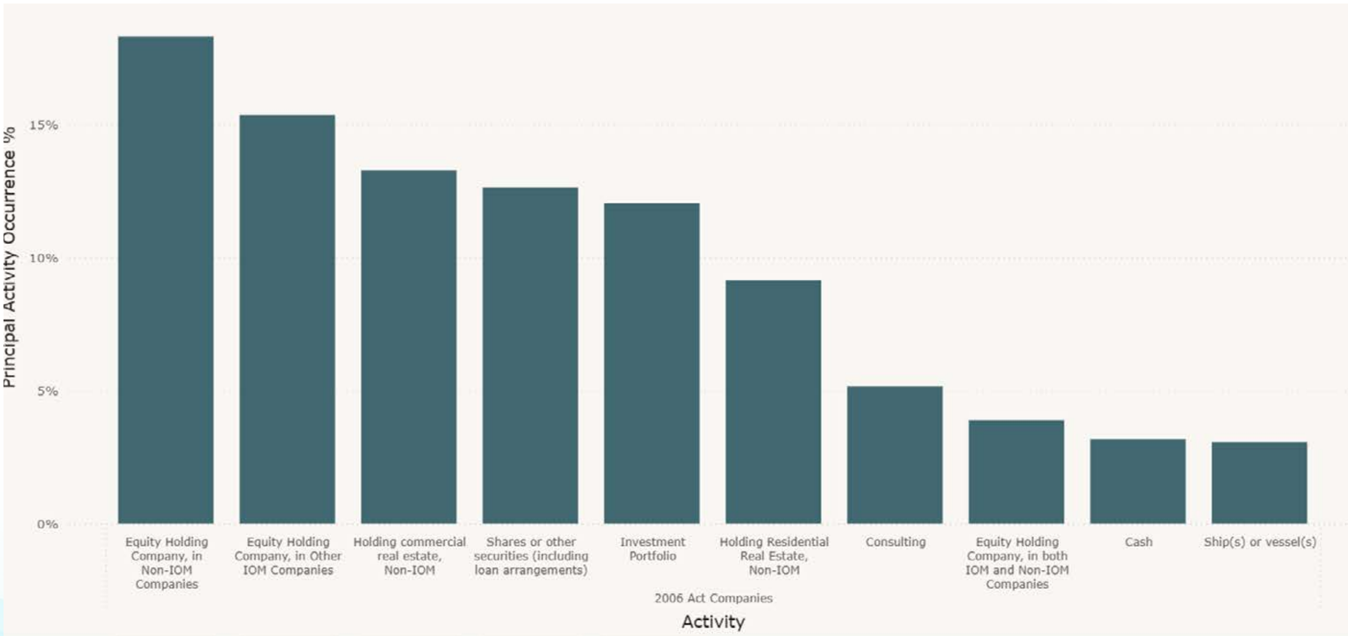
ACTIVITY

From the TCSP 2025 LPA Return, an analysis was undertaken of the 2006 Act companies that TSCPs manage/administer. The company is often part of a wider structure, with the TCSP 2025 LPA Return stating that **21.0%** of structures also contain an IOM law trust, **14.3%** contain a non-IOM law trust, and **23.5%** contain other legal persons or arrangements in the structure.

The TCSP-managed 2006 Act companies' principal activities by jurisdiction were also analysed. The top 10 activities by percentage occurrence are in **Figure 4-15**. The top 10 jurisdictions by occurrence are in **Figure 4-17**.

Common uses include non-IOM equity holding, real estate, and investment portfolios. These activities are typical for wealth structuring but can be exploited for layering and integration stages of ML. Family offices add complexity and multi-jurisdictional risk, even if intent to conceal is low. **Figure A5-2** in **Appendix 5** is a hypothetical example of a horizontally complex structure which uses 2006 Act companies in a structure. ›

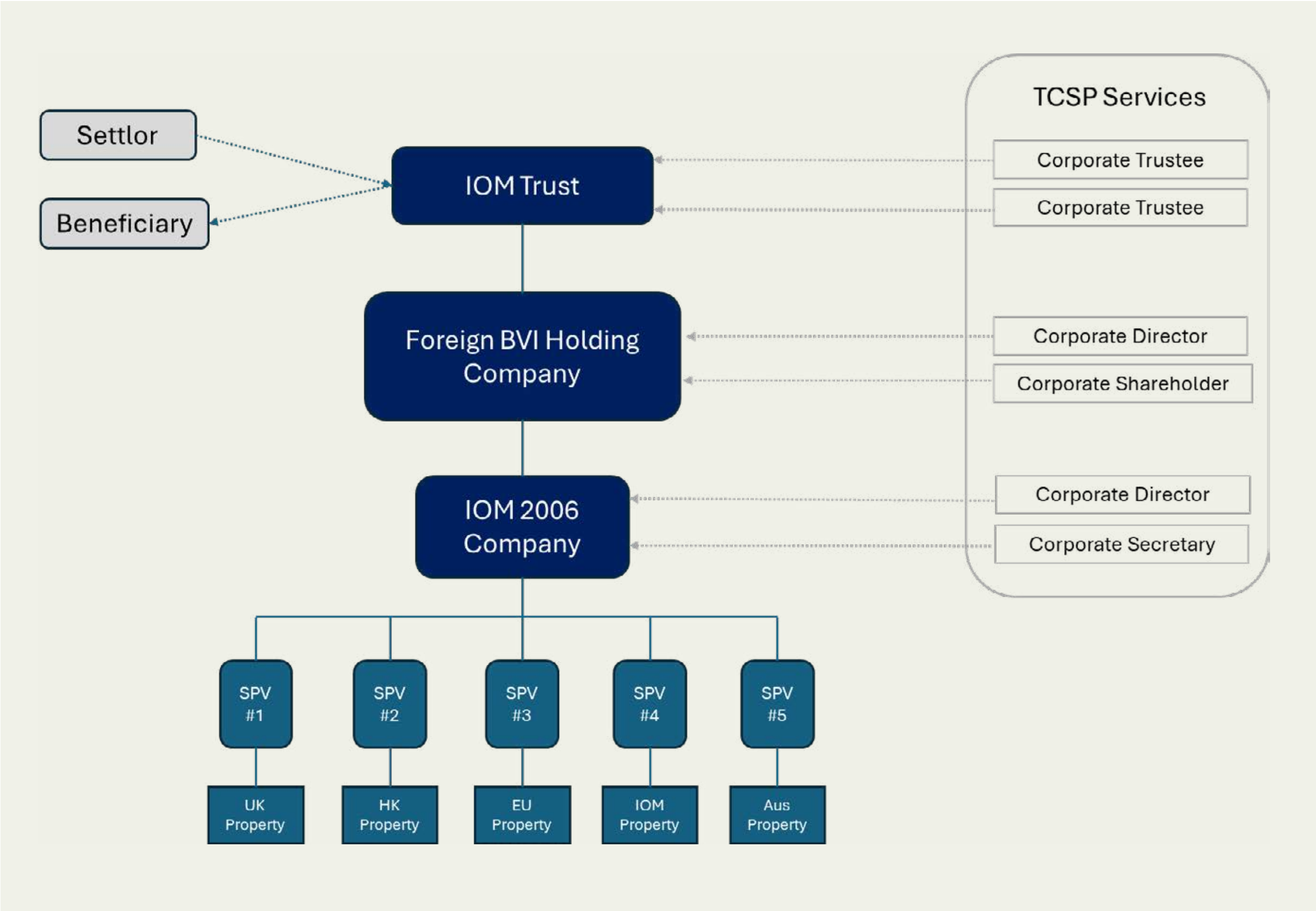
Figure 4-15: Top 10 Activities by Occurrence as a Percentage for TCSP Managed/Administered 2006 Act Companies



Source: TCSP 2025 LPA Return

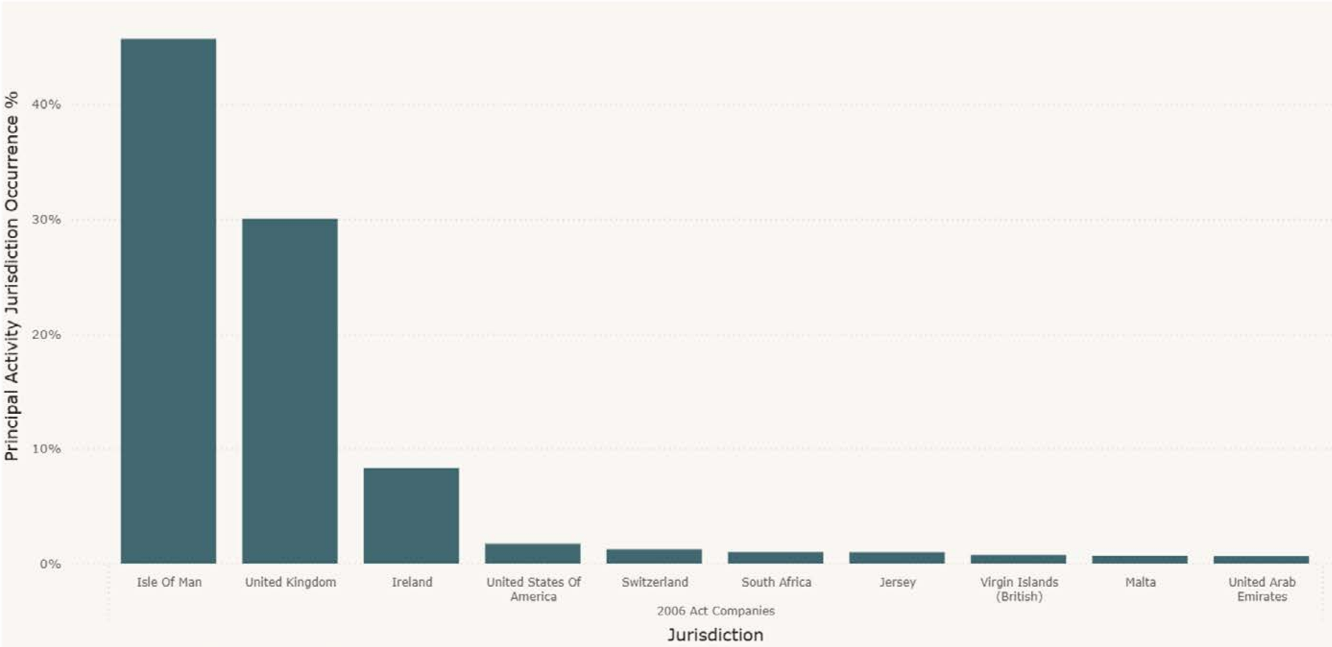
2006 Act companies are often used within a wider structure. **Figure 4-16** gives a hypothetical example of how a customer would place commercial or residential properties located in five different jurisdictions into SPVs, which are structured under a 2006 Act company and which are supported by an IOM TCSP with a Corporate Director and Corporate Secretary. The 2006 Act company has a BVI (foreign) holding company where the IOM TCSP provides services, and this sits under an IOM trust where the IOM TCSP offers services as a Corporate Trustee. ›

Figure 4-16: Example of Structure with a 2006 Act Company



The 2006 Act company has a BVI (foreign) holding company where the IOM TCSP provides services, and this sits under an IOM trust where the IOM TCSP offers services as a Corporate Trustee."

Figure 4-17: Top 10 Jurisdictions for TCSP Managed/Administered 2006 Act Companies



Source: TCSP 2025 LPA Return

Figure 4-18: Example of Use of Legal Persons and Arrangements for Family Offices

1. Introduction

Broadly defined, a family office supports a family to manage their financial and lifestyle affairs. They tend to be bespoke, as they have been established for a specific family and purpose. They can range from personal assistant/concierge type services to offices that manage a small number of properties/investment portfolios, to large international family office businesses supporting a wide range of needs. Family offices typically utilise a combination of LPAs to structure their operations.

2. Complexity and multi-jurisdictional requirements

In the IOM, family offices play a small but growing role in the financial services landscape, offering bespoke solutions across asset management, succession planning, philanthropy, and lifestyle services. The possible complexity inherent in their structures and the multi-jurisdictional nexus may present vulnerabilities from an AML/CFT perspective. However, the family is not usually seeking to hide or conceal ownership; often, the name of the family is contained within the company or business name. Complexity may arise from generational succession planning that has evolved over time, as well as the international nature of some families who require multi-jurisdictional tax planning. The complexity is also often due to the high net worth of the families being such that they have multiple and varied business interests that are often structured through SPVs for governance purposes and to ringfence risk.

›

3. ML/TF risk

Discussions with the sector highlighted that the risk as a result of structuring and ownership appears to be low, whilst the sector sees the risks being higher in the following areas:

- Philanthropic activities pose a risk, although the recently published NPO TF NRA noted that few charitable payments were sent overseas, with a majority being to the IOM or UK.
- Ultra-high-net-worth families are more likely to hold and use luxury assets for their own benefit.
- Where there is a third-party co-investment, this would typically be from personal or professional connections. This would likely prompt a family office to require a Class 3 licence from the FSA, depending on the activity conducted.

Ultra-high-net-worth families will be expected to seek compliance with all their financial activities, as their reputation is very important.

4. SARs

There is potentially a lack of knowledge on suspicious activity reporting – how to report and to whom – if the family office is not regulated, though it is assumed that there would be very few reportable instances.

5. Materiality

In the 2024 FSA AML/CFT annual return, the TCSPs report on the products and services they provide, which includes details of those to Family Offices:

- number of IOM-resident family office customers: **0.25%** of the customers supported by the TCSP sector;
- number of non-IOM resident family office customers: **0.25%** of the customers supported by the TCSP sector.

The number of family offices which have no TCSP connection is not currently known.

Overall, the number of family offices is low in the IOM, and they are designed to serve a single customer (one family); otherwise, they would likely fall within the regulated sector.

4.2.4 Threats and mitigants

LAW ENFORCEMENT DATA

LEAs analysed their data for incidence of 2006 Act companies appearing within investigations. Within the SAR data, the FIU identified that a 2006 Act company was recorded in **3.0%** of the overall SARs; this was **13.6%** for inward MLAs identified by the AGC.

PIMLIT have a number of investigations where 2006 Act companies are part of the structure. There have been no prosecutions or convictions by the Prosecution team specifically of these companies.

Between January 2020 and December 2024, 1,091 2006 Act companies were struck off by the Companies Registry. Low SAR incidence might suggest limited detection or low misuse, but higher MLA involvement signals potential attractiveness for cross-border laundering. Lack of convictions to date may indicate investigative challenges in bringing these cases to court.

Overall, the LEA data shows a medium incidence of 2006 Act companies implicated in ML/TF cases. ›

CROSS-BORDER

Of the 2006 Act companies that are managed by TCSPs, for the country of principal activity, only **2.8%** are in List B countries. The largest number are for South Africa (**0.8%**), the BVI (**0.7%**), Nigeria (**0.2%**), and Monaco (**0.2%**). Therefore, the country risk exposure from higher-risk jurisdictions for 2006 Act companies is **Low**.

According to Companies Registry data, **9.2%** of RBOs were in higher-risk jurisdictions.

FOREIGN PEPS

Within the TCSP 2025 LPA Return, the sector advised of the domestic and foreign legal persons that had a foreign PEP with control. **50.8%** of these foreign PEPs were associated with 2006 Act companies, of which:

- **29.9%** exercise indirect control as a controller of an entity higher up the ownership structure;
- **15.2%** exercise direct control through an ownership interest; and
- **5.7%** are a significant person – i.e., a company director.

Foreign PEP exposure elevates the potential corruption risk. Even indirect control can be leveraged for illicit flows, requiring EDD.

4.2.5 Overall risk level for 2006 Act companies

SCALE

There are 9,831 2006 Act companies (as of 31st December 2024), making it the second-most commonly used legal person in the IOM, after 1931 Act companies. High prevalence means even a small percentage of misuse can have a material impact on the IOM.

CROSS-BORDER RISK EXPOSURE

The country of residence for **76.6%** of RBOs is overseas. According to Companies Registry data, **9.2%** of RBOs were in higher-risk jurisdictions. Of those managed by the TCSP sector, the most common locations of business operations, using the principal activity data, are the IOM (**45.6%**) and UK (**30.0%**). High cross-border exposure increases vulnerability to foreign ML/TF typologies. While high-risk jurisdictions are a minority, the absolute numbers could still be meaningful given the scale of 2006 Act companies to the IOM.

EASE, SPEED, AND COSTS OF FORMATION AND REGISTRATION AND OTHER PRACTICAL MATTERS

The costs are largely similar across a range of legal entities. There are costs associated with the Companies Registry, depending upon the speed with which registration is required. Given a TCSP is required, there is likely to be associated costs in supporting the process. There must be a minimum of one director and corporate directors are permitted.

BENEFICIAL OWNERSHIP INFORMATION

Section 25 of the BOA give the Companies Registry the power to make enquiries to verify the accuracy of RBO information submitted to it for inclusion on the Database.

ML/TF CASES AND TYPOLOGIES

Whilst the volume of SARs expressly referencing 2006 Act companies is low (**3.0%**), the number of inbound MLAs is higher (**13.6%**). PIMLIT investigations often include 2006 Act companies. Given that they are the second-most frequently used legal person in the IOM, they are potentially impacted in the key typologies in the **Chapter 2.**

OVERALL

2006 Act companies require a TCSP with a Class 4 licence to act as their Registered Agent. These obligations help reduce the risk of anonymity and mitigate ML/TF risk compared to structures where no TCSP is engaged due to the AML/CFT framework applicable to the regulated sector. However, the reliance on TCSPs means risk is concentrated in their compliance effectiveness. If compliance by the TCSP weakens, systemic risk across the IOM increases.

The overall risk rating for ML is **Medium** and the overall risk rating for TF is **Medium Low**. ›

4.3 Foundations registered under the Foundations Act 2011

4.3.1 Introduction

Foundations were introduced into IOM law through the Foundations Act 2011, which came into force on 1 January 2012. An IOM foundation is a distinct legal entity with separate legal personality. Unlike companies, foundations do not have shareholders. Instead, they are established to pursue specific objects, which may be charitable, private, or commercial in nature.

Each foundation must appoint a Registered Agent, who is required to hold a Class 4 licence issued by the FSA under the Financial Services Act 2008. TCSPs are regulated by the FSA for AML/CFT purposes and have obligations that manage and help mitigate the risk of the client entity, including by submitting SARs, undertaking customer due diligence, and monitoring and screening the customer.

The Registered Agent is responsible for submitting the application for establishment to the Registrar of Foundations (the Companies Registry). Upon approval, the Registrar enters the foundation's details into the public Register of Foundations, which includes the foundation's name, objects, Council members, and Registered Agent. The Foundation Instrument, which sets out this information, is publicly accessible upon payment of a prescribed fee (or for no fee by IOM Government agencies and authorities).

Foundations must also lodge a copy of their Foundation Rules with the Registered Agent. These Rules govern the internal administration of the foundation, including procedures for appointing and removing Council members and the handling of assets. The Anti-Money Laundering and Other Financial Crime (Miscellaneous Amendments) Act 2018 introduced a requirement for the Foundation Rules (redacted regarding persons and assets) to be provided to the Companies Registry with an application for establishment; any subsequent amendments to the Instrument or Rules must also be notified to the Companies Registry. Any pre-existing established foundations when the amendment was introduced were required to file their redacted rules with their next annual return. Consequently, all foundations have a redacted copy of their rules on the register and available publicly.

Once established, a foundation operates through its Council, which is responsible for managing the foundation's assets and ensuring its objects are fulfilled. The Council must consist of at least one member, who may be a natural person or a corporate entity. Council members are subject to fiduciary duties and must act in good faith and with reasonable care. To act as a Council member by way of business is defined as business in the regulated sector and is subject to licensing by the FSA (where a relevant exclusion or exemption from licensing applies).

Foundations are required to submit an annual return to the Registrar and pay an annual fee. The annual return confirms continued compliance with statutory obligations and maintains the foundation's registration.

For foundations registered under the Foundations Act, the Nominated Officer (which is a TCSP in **99%** of cases)[204] must be resident on the Island to comply with the requirements of the BOA.

The FSA-issued Beneficial Ownership Act 2017 Guidance,[205] published in December 2024, states:

"Foundations have legal personality. Their objects may be to carry out a specified purpose or to benefit a person or class of persons. Members of the Council of the foundation "control" the operation of the foundation. The founder (and an enforcer, if one is appointed) may also exercise control by virtue of powers retained under the foundation instrument and foundation rules, similarly to the settlor and protector/enforcer of a trust.

When the objects of a foundation are a person or class of persons, it will be necessary to consider the rights of those parties as detailed in the establishing instrument and foundation rules. It is recognised that a beneficiary of a foundation may have no interest in the foundation assets unless a right is granted within the rules or by the persons › *empowered to grant such rights. Foundations therefore have some of the characteristics of a company and some of a trust."*

BUSINESS ADDRESS

The Foundations Act defines business address as follows:

"(a) in respect of a foundation, the business address of its registered agent or, if there is no such registered agent, its last registered agent

(b) in respect of the registered agent of a foundation, the business address of the registered agent in the Island as it appears in the register"

EASE AND SPEED OF FORMATION AND REGISTRATION

The ease and speed of formation and registration for foundations is similar to that of 1931 Act companies.

4.3.2 Scale

At the end of December 2024, there were 211 foundations registered with Companies Registry. This represents **0.53%** of all LPAs.

As per **Figure 4-5**, the number of new foundations registered under the Foundations Act with the Companies Registry has been consistent, in the range 11 to 27, over the last 5 years.

4.3.3 Use of Foundations registered under the Foundations Act 2011

An IOM foundation, established under the Foundations Act 2011, is a legal entity with perpetual existence and no shareholders. This structure enables the foundation to pursue its stated objects, as defined in its Foundation Instrument and governed by its Foundation Rules, over an indefinite period, subject to any limitations specified in those rules. This enduring nature makes the foundation particularly suitable for long-term initiatives, such as the preservation of family wealth, philanthropic endeavours, or the continuation of a founder's legacy.
IOM foundations may be used to hold shares in companies, either for the purpose of retaining profits to support future growth or for making distributions to designated beneficiaries. These activities must align with the foundation's objects and be administered by its Council, which acts in a fiduciary capacity. Upon successful registration, the foundation receives a Certificate of Establishment from the Registrar of Foundations. This certificate serves as formal evidence of the foundation's legal existence and can be presented to third parties, including financial institutions, to facilitate contractual and banking relationships. Unlike trusts, which do not have separate legal personality or a Government-issued certificate of existence, foundations offer a more transparent and recognisable structure for institutional dealings.

In certain cases, an IOM foundation may be structured as a SPV. For example, it may be used to secure capital through loan arrangements, with the foundation acting as the borrowing entity. This can provide operational and financial separation from the underlying company, particularly where the foundation holds shares in a trading subsidiary. Such arrangements may offer benefits in terms of risk isolation and balance sheet management, provided they comply with applicable legal and regulatory requirements.

REGISTRABLE BENEFICIAL OWNERSHIP

As detailed in **Chapter 3.2.7**, the Companies Registry receives information on RBO from all companies to which the BOA applies, including foundations registered under the Foundations Act. **Figure 4-6a** shows the level of overseas RBO by legal person type.

47.1% of RBOs for foundations registered under the Foundations Act are based outside of the IOM.

As shown in **Figure 4-19**, which provides the top 10 overseas locations of RBOs for foundations registered under the Foundations Act, **22.1%** are based in Ireland. The next largest jurisdiction by exposure is the UK, with **13.8%**.

For List A (no cases), List B(i), and B(ii), **3.5%** of RBOs are in these jurisdictions, although the materiality is very low. Therefore, the risk from higher-risk RBOs is **Low.** ›

Figure 4-19: Foundations registered under the Foundations Act – Top 10 Overseas Registrable Beneficial Ownership Jurisdictions

Country	Percentage
Ireland	22.1%
UK	13.8%
South Africa	1.5%
Nigeria	1.3%
Gibraltar	1.0%
Poland	0.8%
Portugal	0.8%
UAE	0.8%
Malta	0.5%
Switzerland	0.5%

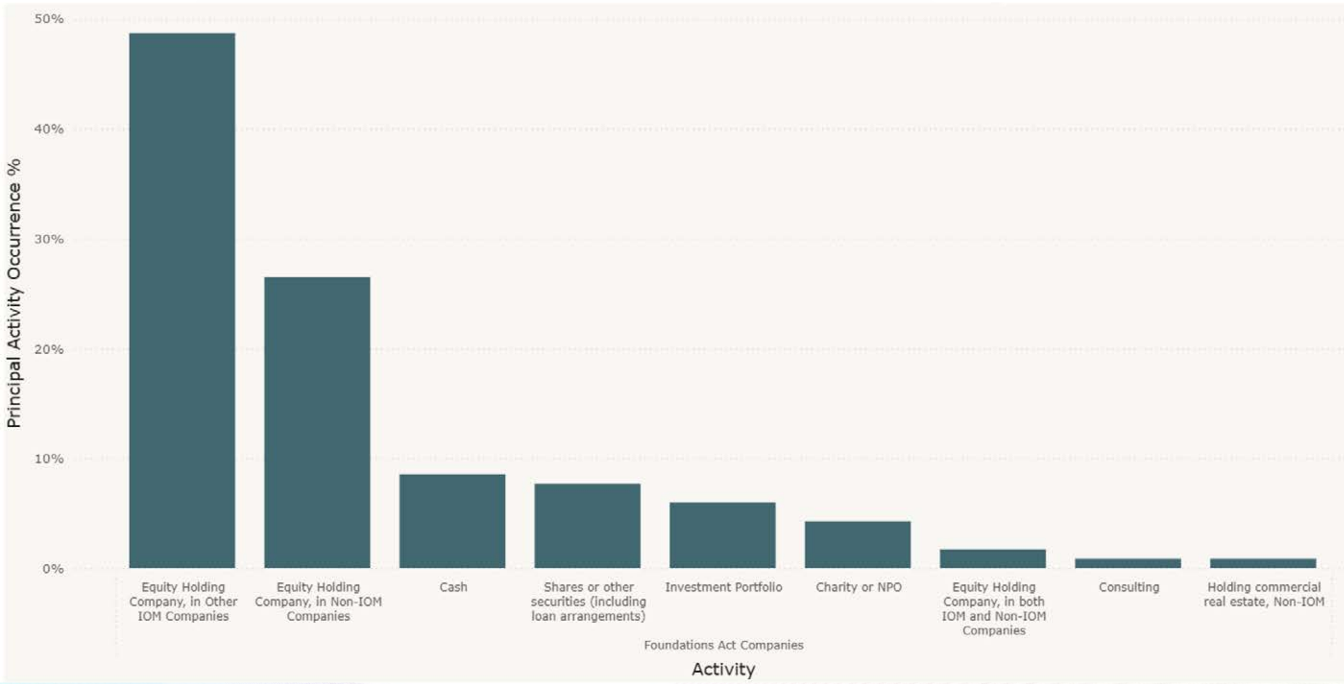
Source: Companies Registry

ACTIVITY

From the TCSP 2025 LPA Return, an analysis was undertaken of the foundations registered under the Foundations Act that TCSPs manage. The foundation is often part of a wider structure, with the TCSP data stating that **3.9%** of structures also contain an IOM law trust, **10.1%** contain a non-IOM law trust, and **50.4%** contain other legal persons or arrangements.

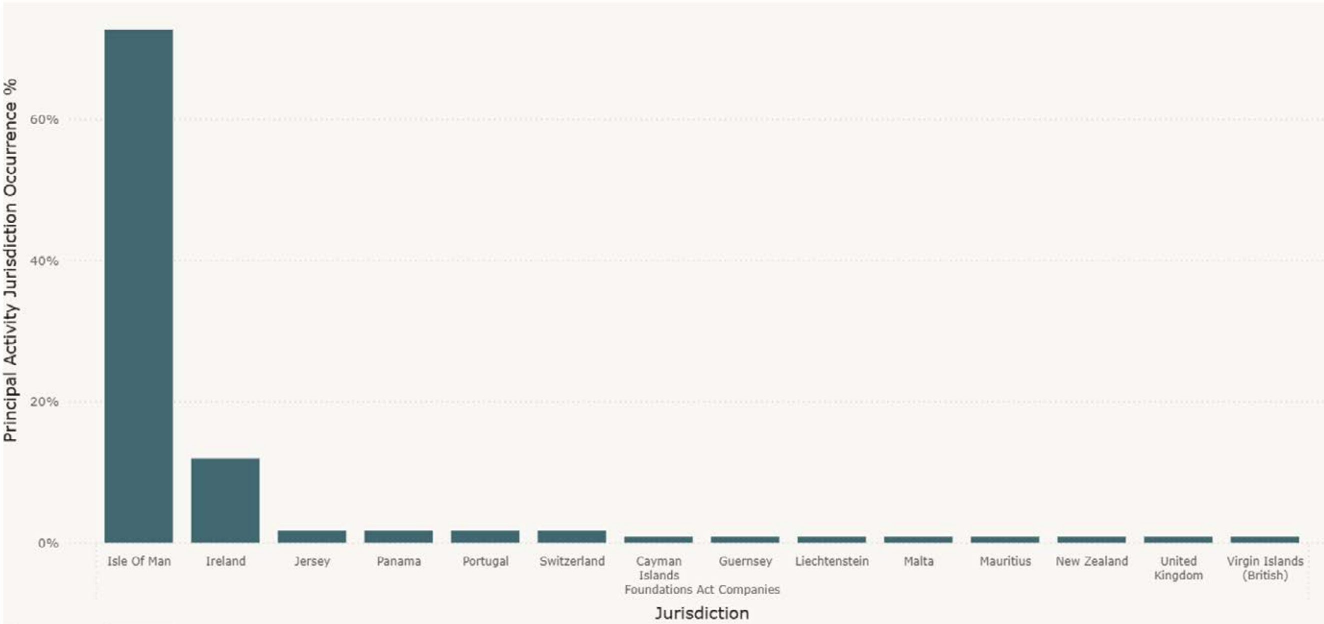
The TCSP-managed foundations' principal activity by jurisdiction was also analysed. The top 9 activities (there were only 9 in total) by percentage occurrence are in **Figure 4-20**. The top 14[206] jurisdictions by occurrence are in **Figure 4-21**.›

Figure 4-20: Top 9 Activities by Occurrence as a Percentage for TCSP Managed/Administered Foundations



Source: TCSP 2025 LPA Return

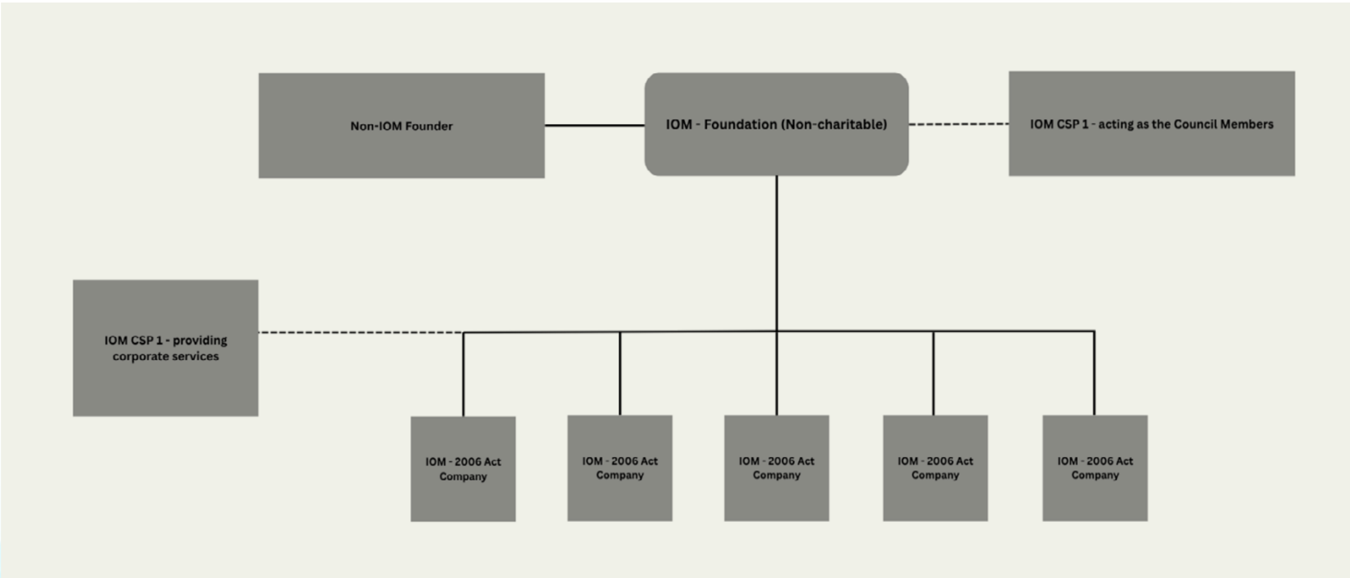
Figure 4-21: Top 14 Jurisdictions for TCSP Managed/ Administered Foundations



Source: TCSP 2025 LPA Return

Example of the use of an IOM Foundation:

Figure 4-22: 2006 Act Companies, Owned by an IOM Non-Charitable Foundation



This hypothetical example has been created to show how an IOM foundation could be used in a typical structure. Unlike a trust, which may be established for a similar purpose, an IOM foundation has separate legal personality and is therefore able to hold assets in its own capacity. However, like a trust, the distribution of value from a foundation may be on a discretionary or fixed basis. Foundations may typically or theoretically be used for asset management where family planning is the incentive.

Private individual (founder)

- **Role:** Typically, the founder is the end client who wishes to protect wealth. The founder arranges for the establishment of a foundation. They may not be the same individual who settles assets into the foundation – i.e., the dedicator.

- **Purpose:** the individual initiates the structure to separate personal ownership from the assets, reducing exposure to personal liability and enabling estate planning.

TCSP

- **Role:** The TCSP provides corporate services to each of the underlying 2006 Act companies, established for holding specific assets or for specific purposes – for example, entities engaged in commercial/trading activities. In addition, the corporate service provider provides Council Members to the foundation, which itself becomes the legal owner of the shares in the underlying 2006 Act companies.

- **Purpose:**
  - The TCSP acts as the foundation's governing body, providing administration services, fiduciary and management duties, and compliance with regulatory requirements.
  - The TCSP ensures governance and independence.
  - The limitation of liability enabled by the foundation's separate legal personality can be attractive for the holding of assets of a riskier nature – for example, underlying trading companies.

4.3.4 Threats and mitigants

LAW ENFORCEMENT DATA

LEAs analysed their data for incidence of foundations registered under the Foundations Act appearing.

Within the SAR data, the FIU identified that a foundation was recorded in **1.0%** of the overall SARs; this was **1.0%** for inward MLAs identified by the AGC.

PIMLIT have an extremely limited number of investigations where foundations registered under the Foundations Act are part of the structure. There have been no prosecutions or convictions by the Prosecution team specifically of foundations. Currently, the Companies Registry do not have the ability to strike off a foundation. Overall, the LEA data shows a low incidence of foundations registered under the Foundations Act implicated in ML/TF cases.

CROSS-BORDER

Of the foundations registered under the Foundations Act that are managed by TCSPs, for the country of principal activity, only **0.8%** are in List B countries; all of these reside in the BVI (**0.8%**). Therefore, the country risk exposure for foundations registered under the Foundations Act is **Low**. According to Companies Registry data, **3.5%** of RBOs were in higher-risk jurisdictions.

FOREIGN PEPS

Within the TCSP 2025 LPA Return, the sector advised that **0.23%** of total foreign PEPs are linked to foundations, of which:

- **0.15%** exercise indirect control as a controller of an entity higher up the ownership structure; and

- **0.08%** are a significant person – i.e., a company director. ›

4.3.5 Overall risk level for foundations registered under the Foundations Act 2011

SCALE

There are 211 foundations registered under the Foundations Act 2011 (as of 31st December 2024), accounting for **0.53%** of all LPAs in the IOM.

CROSS-BORDER RISK EXPOSURE

The countries of residence for **47.1%** of RBOs are overseas. According to Companies Registry data, **3.5%** of RBOs are in higher-risk jurisdictions. Of those managed by the TCSP sector, the most common locations of business operations, using the principal activity data, are the IOM (**72.7%**) and Ireland (**12.0%**).

Given the low materiality and limited cross-border activity, the risk from cross-border is viewed as **Low**.

EASE, SPEED, AND COSTS OF FORMATION AND REGISTRATION AND OTHER PRACTICAL MATTERS

The costs are largely similar across a range of legal entities. There are costs associated with the Companies Registry, depending upon the speed with which registration is required. Given a TCSP is required, then there are likely to be associated costs in supporting the process.

BENEFICIAL OWNERSHIP INFORMATION

Section 25 of the BOA gives the Companies Registry the power to make enquiries to verify the accuracy of RBO information submitted to it for inclusion on the Database.

ML/TF CASES AND TYPOLOGIES

The volume of SARs expressly referencing foundations registered under the Foundations Act 2011 is low (**1.0%**), and the number of inbound MLAs is similar (**1.0%**). PIMLIT's investigations rarely include foundations registered under the Foundations Act. Given the low number overall for the IOM, they are potentially less impacted in the key typologies in **Chapter 2.**

OVERALL

The combination of TCSP involvement, public registration, and AML/CFT obligations significantly reduces inherent risk. This suggests foundations are a lower-risk vehicle for ML/TF compared to other structures. The main vulnerabilities are cross-border beneficial ownership and potential complexity in multi-jurisdictional structures. However, these are mitigated by TCSP oversight and low typology incidence.

TCSPs are critical gatekeepers. Supervisory focus should remain on their compliance quality rather than on foundations themselves.

The overall risk rating for ML is **Medium Low** and the overall risk rating for TF is **Medium Low.** ›

4.4 Limited Liability Companies Act 1996 companies

4.4.1 Introduction

A limited liability company in the IOM is incorporated under the Limited Liability Companies Act 1996. It is recognised as a separate legal entity distinct from its members, manager, and Registered Agent. This legal separation provides the company with the capacity to enter into contracts, own property, and initiate or defend legal proceedings in its own name.
The liability of each member is limited to the amount of their capital contribution, offering protection against personal exposure to the company's debts beyond that amount. The management of an LLC is typically vested in its members, with decision-making authority allocated in proportion to their respective capital contributions, unless otherwise provided for in the company's Articles of Organisation (held on the public record) or Operating Agreement (a private document covering the internal regulation and control of the LLC).

From a taxation perspective, the profits of an IOM LLC are treated as the income of its members for the purposes of IOM income tax, rather than being taxed at the corporate level. This pass-through treatment aligns the LLC more closely with partnership structures in terms of tax transparency.
LLCs are permitted to engage in any lawful business activity, except for those specifically restricted or prescribed under IOM legislation. These restrictions do not prevent an LLC from holding shares or other interests in companies that operate in regulated sectors, provided such activities comply with applicable licensing or regulatory requirements.

REGISTERED AGENT

Each LLC must appoint a Registered Agent. The qualifications required to be held by the Registered Agent are detailed in Section 5(1) of the Limited Liability Companies Act 1996:[207]

- an advocate;
- a legal practitioner registered under the Legal Practitioners Registration Act 1986;
- qualification for appointment as an auditor of a company under **Section 14(1)(a)** of the Companies Act 1982;
- membership of the Chartered Institute of Management Accountants;
- membership of the Institute of Chartered Secretaries and Administrators;
- fellowship or associate membership of the Institute of Bankers; or
- a holder of a CSP licence or its nominee company, as such terms are defined in Section 2(1) and Paragraph 10A(2) of Schedule 2 respectively of the Corporate Service Providers Act 2000 and those persons described in Sections 3(3)(b), (c), and (d) of the Act.

For LLCs, the Nominated Officer (which is a TCSP in **51.8%** of occasions) must be resident on the Island to comply with the requirements of the BOA.

The FSA-issued Beneficial Ownership Act 2017 Guidance, [208] published in December 2024, states:

"These are broadly similar to 2006 Act Companies in terms of the way they function, with some differences in terminology, in that the "directors" of an LLC are referred to as managers, whilst the "shareholders" are referred to as members."

REGISTERED OFFICE

Similar to 1931 Act companies, the Registered Office address of a company must be a physical address in the Island to which all communications and notices may be addressed. However, it must be more than just a postal address. ›

EASE AND SPEED OF FORMATION AND REGISTRATION

The ease and speed of formation and registration for LLCs is similar to that of 1931 Act companies.

4.4.2 Scale

At the end of December 2024, there were 91 LLCs registered with the Companies Registry. This represents **0.23%** of all LPAs. As per **Figure 4-5**, the number of new LLCs registered with the Companies Registry has been consistent, in the range 1 to 9, over the last 5 years.

4.4.3 Use of Limited Liability Companies Act 1996 companies

LLCs are used in both domestic and international contexts due to their flexible structure, legal certainty, and tax treatment. Their separate legal personality and pass-through tax status make them attractive vehicles for a range of business activities. Common applications include:

- **Holding companies:** LLCs are frequently used to hold shares in operating companies, particularly in cross-border corporate structures. The IOM's **0%** corporate tax rate (subject to exceptions) and absence of capital gains and inheritance tax make it a favourable jurisdiction for managing equity participations and dividend flows.
- **Joint ventures:** The contractual flexibility of LLCs allows for tailored governance arrangements, making them suitable for joint ventures where multiple parties contribute capital and share profits according to agreed terms.
- **Asset protection:** LLCs may be used to hold high-value assets such as intellectual property, real estate, or investment portfolios.
- **Estate and succession planning:** LLCs can be incorporated as part of broader estate planning strategies, particularly where continuity of ownership and control is desired across generations.
- **SPVs:** LLCs can be used as SPVs for financing arrangements, securitisation, or other transactional purposes. Their legal personality and certificate of establishment make them suitable for dealings with institutional lenders and third parties

REGISTRABLE BENEFICIAL OWNERSHIP

As detailed in **Chapter 3.2.7**, the Companies Registry receives information on RBO of all the companies to which the BOA applies, including LLCs. **Figure 4-6a** shows the level of overseas RBO by legal person type. **44.7%** of RBOs for LLCs are based outside of the IOM.

As shown in **Figure 4-23**, which provides the top 5 overseas locations of RBOs for LLCs, **5.3%** are based in Cabo Verde. The next largest jurisdiction of exposure is the UK, with **4.4%**. Lebanon is the only jurisdictions in the top 5 for which additional countermeasures are required (See **Appendix 7**).

For Lists A (no cases), B(i), and B(ii), **6.1%** of RBOs are in these jurisdictions. Given the low materiality, the risk from higher-risk RBOs is **Low.** ›

> LLCs are used in both domestic and international contexts due to their flexible structure, legal certainty, and tax treatment. Their separate legal personality and pass-through tax status make them attractive vehicles for a range of business activities.."

Figure 4-23: LLCs – Top 5 Overseas Registrable Beneficial Ownership Jurisdictions

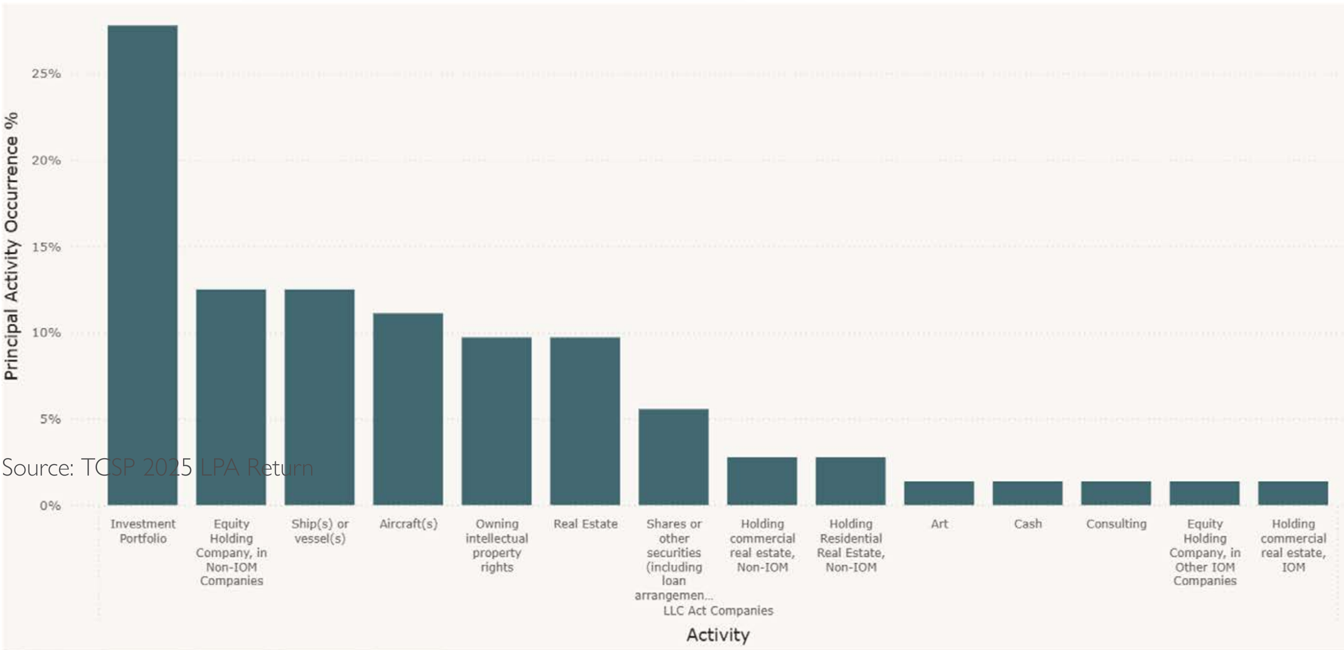
Country	Percentage
Cape Verde	5.3%
UK	4.4%
Lebanon	3.5%
Liechtenstein	3.5%
Switzerland	3.5%

Source: Companies Registry

ACTIVITY

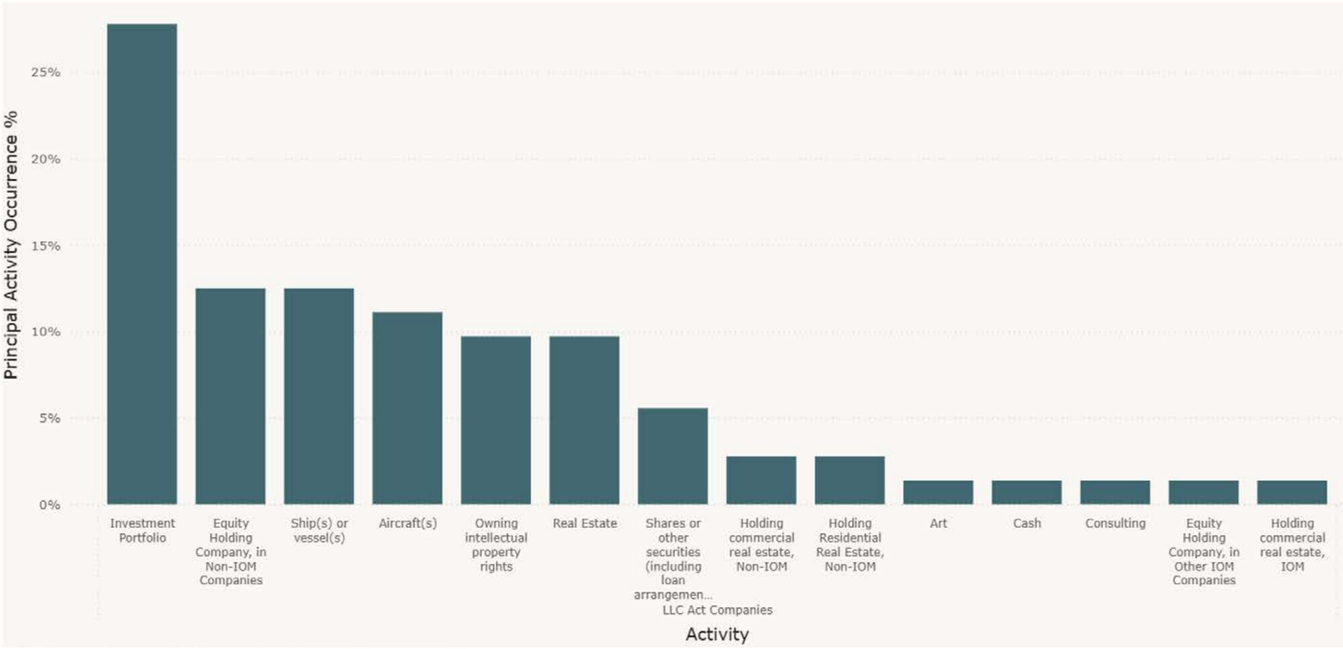
From the TCSP 2025 LPA Return, an analysis was undertaken of the LLCs that TCSPs manage. The company is often part of a wider structure, with the data stating that **28.6%** of structures also contain an IOM law trust, **12.2%** contain a non-IOM law trust, and **23.5%** contain other legal persons or arrangements. The TCSP-managed LLCs' principal activities by jurisdiction was also analysed. The top 14 activities in descending frequency (by percentage occurrence) are in **Figure 4-24**. The top 9 jurisdictions by occurrence are in **Figure 4-25**.›

Figure 4-24: Top 14 Activities by Occurrence as a Percentage for TCSP Managed/Administered LLCs



Source: TCSP 2025 LPA Return

Figure 4-25: Top 9 Jurisdictions for TCSP Managed/ Administered LLCs



Source: TCSP 2025 LPA Return

4.4.4 Threats and mitigants

LAW ENFORCEMENT DATA

LEAs analysed their data for incidence of LLCs appearing. Within the SAR data, the FIU identified that an LLC was recorded in **4%** of the overall SARs. There were no inward MLAs identified by ICART.

PIMLIT investigations do not directly reference LLCs. There have been no prosecutions or convictions by the Prosecution team specifically of these companies. Between January 2020 and December 2024, 24 LLCs were struck off by the Companies Registry. Overall, the LEA data shows a low incidence of LLCs implicated in ML/TF cases.

CROSS-BORDER

Of the LLCs that are managed by TCSPs, for the country of principal activity, none are in List B countries. Therefore, the country risk exposure for LLCs is **Low**. According to Companies Registry data, **6.1%** of RBOs were in higher-risk jurisdictions.

FOREIGN PEPS

Within the TCSP 2025 LPA Return, the sector advised of the domestic and foreign legal persons that had a foreign PEP with control. **1.0%** of these foreign PEPs were associated with LLCs, of which:

- **0.2%** exercise indirect control as a controller of an entity higher up the ownership structure; and
- **0.8%** exercise direct control through an ownership interest. ›

4.4.5 Overall risk level for LLCs

SCALE

There are 91 LLCs in the IOM (as of 31st December 2024), making it the least-used legal person in the IOM, apart from Industrial and Building Societies and credit unions.

CROSS-BORDER RISK EXPOSURE

The country of residence for **44.7%** of RBOs is overseas. The level of exposure to jurisdictions which are susceptible to the proceeds of crime/terrorist financing or secrecy is **Medium** across the legal person entity types. **6.1%** of LLC RBOs have a List B(i) or B(ii) country of residence.

The most common locations of business operations, using the principal activity data, are the IOM (**45.8%**), Cayman Islands (**18.1%)** and UK/US (**12.5%**).

EASE, SPEED, AND COSTS OF FORMATION AND REGISTRATION AND OTHER PRACTICAL MATTERS

The costs are largely similar across a range of legal entities. There are costs associated with the Companies Registry and the speed with which registration is required. These costs are relatively consistent with those of the other Crown Dependency Registries.

The person applying to form an LLC must be a resident in the IOM. An LLC is required to have a Registered Agent. The LLC (Registered Agents' Qualifications) Regulations 2003 specify who may act as the Registered Agent and that they must be on-Island. The tax position is fiscally transparent and therefore more like a partnership.

Basic information on LLCs is taken and recorded by the Companies Registry. This information is available on a free/fee basis depending on the information required.

BENEFICIAL OWNERSHIP INFORMATION

Section 25 of the BOA gives the Companies Registry the power to make enquiries to verify the accuracy of RBO information submitted to it for inclusion on the Database. The competent authorities can electronically access the BO database.

ML/TF CASES AND TYPOLOGIES

Whilst the volume of SARs expressly referencing LLCs is averaging **4%** over the last 5 years, this is comparatively high given the small number of LLCs. There were no MLAs that expressly referenced LLCs. PIMLIT's investigations do not directly reference LLCs.

Given the international exposure of the legal entity, they are potentially impacted in the key typologies in the **Chapter 2.**

OVERALL

Despite small numbers, LLCs show disproportionate SAR mentions (**4%**), suggesting they are occasionally used in higher-risk typologies. Nearly half of RBOs are overseas, with exposure to jurisdictions requiring enhanced due diligence (e.g., Lebanon). This increases vulnerability to international ML/TF schemes. Concentration in high-value movable assets (ships, aircraft) and investment portfolios creates potential for ML layering and asset flight. Over half of LLCs have TCSP involvement for Nominated Officer roles; therefore, reliance on TCSP compliance controls is critical.

The overall risk rating for ML is **Medium Low** and the overall risk rating for TF is **Medium Low.** ›

4.5 Limited partnerships with legal personality

4.5.1 Introduction

In the IOM, all partnerships are governed by the Partnership Act 1909. Limited partnerships are also governed by the Partnership Act 1909. They must, however, be registered as such, or they may be deemed to be general partnerships. Partners may be individuals or companies.

- A limited partnership is one which is registered under Part II of the Partnership Act 1909.
- The following applies to all limited partnerships (with and without separate legal personality)[209]:
- A limited partnership must be registered with the Companies Registry or it will be deemed to be a general partnership and the limitation of liability will be lost.
- A partnership must ordinarily consist of no more than twenty members. This is subject to certain exceptions, such as if it is carrying on the business of advocates, accountants, members of a stock exchange, or meets the criteria of a collective investment scheme.
- A limited partnership must have one or more general partners with unlimited liability (often an SPV) and one or more limited partners. A limited partner's liability is restricted to the amount of capital contributed by them.
- As with a general partnership, general partners have the authority to bind all the other partners in contracts with third parties in the ordinary course of the partnership's business.
- As a general rule, a limited partner may not withdraw their contribution during the life of the partnership and may not take part in the day-to-day management of the partnership.
- The Income Tax Act 1970 treats all partnerships (general, limited, and limited with separate legal personality) as partnerships. They are not subject to taxation as corporate taxpayers.

LEGAL PERSONALITY

A limited partnership has legal personality if the general partners so elect at the time the partnership is registered and a declaration signed by the general partner is delivered to the Companies Registry. An election to adopt legal personality is irrevocable. The name of a limited partnership with legal personality must end with "Incorporated" or "Inc."

REGISTERED AGENT

A Registered Agent is not required.

For limited partnerships with legal personality, the Nominated Officer (which is a TCSP in **96.2%** of occasions) must be resident on the Island to comply with the requirements of the BOA.

The FSA-issued Beneficial Ownership Act 2017 Guidance, [210] published in December 2024, states:

"In the case of limited partnerships, the partnership will have legal personality if the provisions set out in section 48B(1) of the Partnership Act 1909 are met. The limited partnership will then be caught by the provisions of the Act. In terms of ownership and control, a limited partnership has general and limited partners. The limited partners always have an ownership interest in the partnership, but generally have no control or voting rights, unless so permitted under the partnership agreement. The general partners always have controlling rights over the partnership.

The Act is, however, interested in ownership and control. A limited partner which owns more than ***25%*** *of the ownership interest in the partnership will be a RBO, despite having no control or voting rights. A general partner which controls over 25% will be a registrable beneficial owner, despite having no ownership rights."*

REGISTERED OFFICE

As with 1931 Act companies, the Registered Office address of a limited partnership must be a physical address in the Island to which all communications and notices may be addressed. It must be more than just a postal address.

EASE AND SPEED OF FORMATION AND REGISTRATION

The ease and speed of formation and registration for limited partnerships is similar to that of 1931 Act companies. ›

4.5.2 Scale

At the end of December 2024, there were 107 limited partnerships with legal personality registered with the Companies Registry. This represents **0.27%** of all LPAs.

As per **Figure 4-5,** the number of new limited partnerships with legal personality registered with the Companies Registry has been consistent, in the range of 6 to 18, over the last 5 years.

4.5.3 Use of limited partnerships with legal personality

Limited partnerships in the IOM may elect to have legal personality under the Limited Partnership (Legal Personality) Act 2011[211]. When this election is made at the time of registration, the limited partnership becomes a separate legal entity capable of contracting, holding property, and suing or being sued in its own name. This legal status provides enhanced structural flexibility and operational autonomy while retaining the core features of a partnership arrangement.

The legal personality of a limited partnership does not alter its tax treatment under IOM law. All partnerships, whether general, limited, or limited with legal personality, are treated as transparent for tax purposes. Profits and gains are taxed at the partner level, not at the entity level.

COMMON APPLICATIONS

Limited partnerships with legal personality are used in a variety of international and domestic contexts, particularly where a combination of legal autonomy, tax transparency, and flexible governance is required. Typical use cases include:

1. **Investment structures**
   Limited partnerships with legal personality are used in the formation of hedge funds, exempt funds, and private equity vehicles. Their ability to hold assets, enter into contracts, and maintain perpetual succession makes them suitable for pooling capital from multiple investors while maintaining limited liability for passive partners. For more information, see Chapter 8 on Collective Investment Schemes.

2. **Asset-holding vehicles**
   These partnerships are used to hold commercial or residential property, luxury assets, or intellectual property. The legal personality allows the limited partnership to own and manage assets directly and simplify transactions.

3. **Joint ventures and strategic partnerships**
   The limited partnership structure is well-suited to joint ventures, especially where one party assumes management responsibility (as general partner) and others contribute capital (as limited partners).

REGISTRABLE BENEFICIAL OWNERSHIP

As detailed in **Chapter 3.2.7**, the Companies Registry receives information on RBO of all companies to which the BOA applies, including limited partnerships with legal personality. **Figure 4-6a** shows the level of overseas RBO by legal person type.

92.3% of RBOs for limited partnerships with legal personality are based outside of the IOM.

As shown in **Figure 4-26,** which provides the top 5 overseas locations of RBOs for limited partnerships with legal personality, 48.7% are based in the UK. The next largest jurisdiction for exposure is Ireland, with **19.2%**.

For Lists A (no cases), B(i), and B(ii), **5.8%** of RBOs[212] are in these jurisdictions. Given the low materiality, the risk from higher-risk RBOs is **Low.›**

Figure 4-26: Limited Partnerships with Legal Personality – Top 5 Overseas Registrable Beneficial Ownership Jurisdictions

Country	Percentage
UK	48.7%
Ireland	19.2%
South Africa	4.5%
UAE	3.8%
Jersey	3.8%

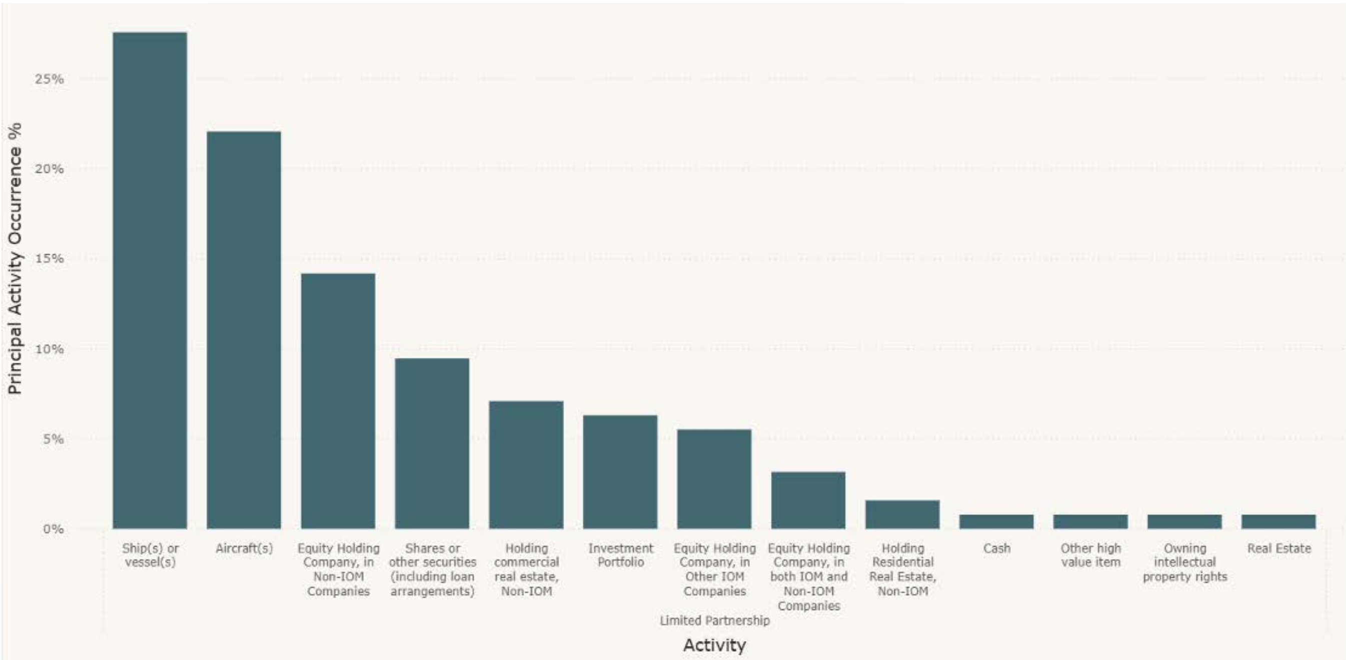
Source: Companies Registry

ACTIVITY

From the TCSP 2025 LPA Return, an analysis was undertaken of the limited partnerships with legal personality that TCSPs manage/administer. The company is often part of a wider structure, with the data stating that **15.1%** of structures also contain an IOM law trust, **12.2%** contain a non-IOM law trust, and **52.5%** contain other LPAs.

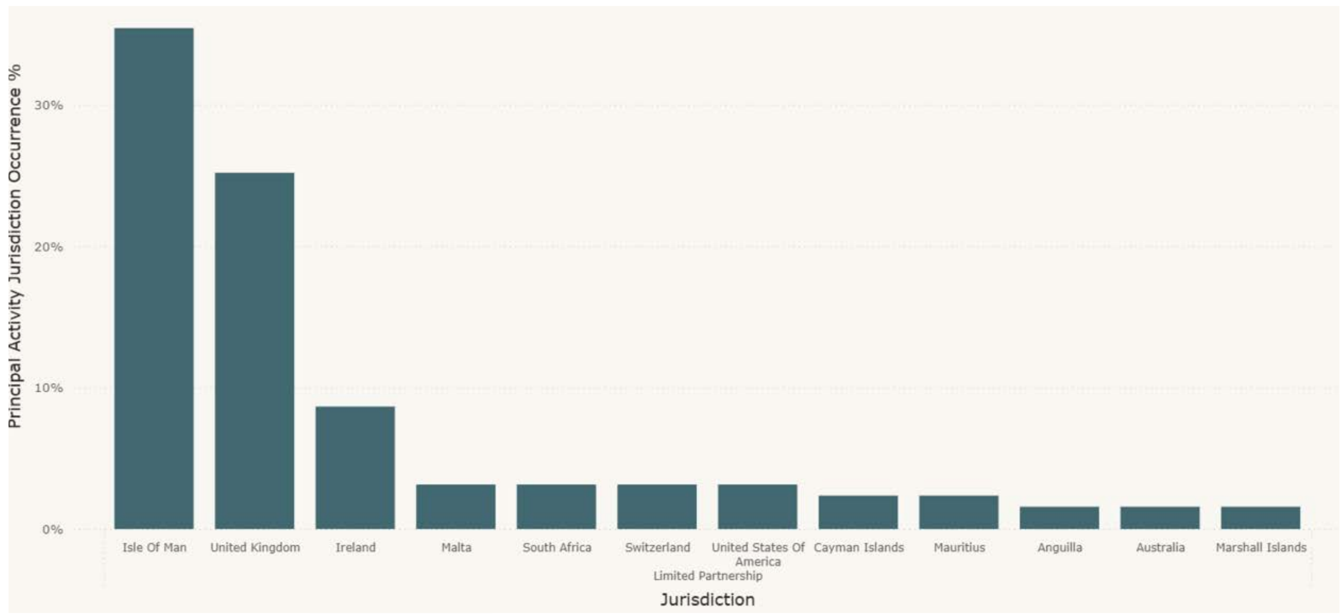
The principal activity by jurisdiction for TCSP-managed limited partnerships with legal personality was also analysed. The top 13 activities in descending frequency (by percentage occurrence) are in **Figure 4-27**. The top 12 jurisdictions by occurrence are in **Figure 4-28.** ›

Figure 4-27: Top 13 Activities by Occurrence as a Percentage for TCSP Managed/ Administered Limited Partnerships with Legal Personality



Source: TCSP 2025 LPA Return

Figure 4-28: Top 12 Jurisdictions for TCSP Managed/ Administered Limited Partnerships with Legal Personality



Source: TCSP 2025 LPA Return

4.5.4 Threats and mitigants

LAW ENFORCEMENT DATA

LEAs analysed their data for incidence of limited partnerships with legal personality appearing. Within the SAR data, the FIU identified that a partnership in any format was recorded in **1%** of the overall SARs. There were no inward MLAs identified by the AGC. PIMLIT investigations do not directly reference partnerships. There have been no prosecutions or convictions by the Prosecution team specifically of these companies. Between January 2020 and December 2024, 16 limited partnerships with legal personality were struck off by the Companies Registry.

Overall, the LEA data shows a low incidence of legal partnerships with legal personality implicated in ML/TF cases.

CROSS-BORDER

Of the legal partnerships with legal personality that are managed by TCSPs, for the country of principal activity, **3.6%**[213] are in List B countries. Therefore, the country risk exposure is **low**. According to Companies Registry data, **5.8%** of RBOs were in higher-risk jurisdictions.

FOREIGN PEPS

Within the TCSP 2025 LPA Return, the sector advised of the domestic and foreign legal persons that had a foreign PEP with control. **1.0%** of these foreign PEPs were associated with limited partnerships with legal personality, of which:

- **0.6%** exercise indirect control as a controller of an entity higher up the ownership structure;
- **0.2%** exercise direct control through an ownership interest; and
- **0.2%** are a significant person – i.e., a company director. ›

4.5.5 Overall risk level for limited partnerships with legal personality

SCALE

There were 107 limited partnerships with legal personality in the IOM (as of 31st December 2024), making it one of the least-used legal persons in the IOM.

CROSS-BORDER RISK EXPOSURE

The countries of residence for **92.3%** of RBOs are overseas. The level of exposure to jurisdictions which are susceptible to the proceeds of crime/terrorist financing or secrecy is **Medium** across the legal person entity types, with **5.8%** of RBOs having a B(i) or B(ii) country of residence.

The most common locations of business operations, using the principal activity data, are the IOM (**35.4%**) and the UK (**25.2%**).

EASE, SPEED, AND COSTS OF FORMATION AND REGISTRATION AND OTHER PRACTICAL MATTERS

The costs are largely similar across a range of legal entities. There are costs associated with the Companies Registry and the speed with which registration is required. These costs are relatively consistent with those of the other Crown Dependency Registries.

A Registered Agent is not required.

The Income Tax Act 1970 treats all partnerships (general, limited, and limited with separate legal personality) as partnerships. They are not subject to taxation as corporate taxpayers. Basic information is taken and recorded by the Companies Registry. This information is available on a free/fee basis depending on the information required.

BENEFICIAL OWNERSHIP INFORMATION

Section 25 of the BOA gives the Companies Registry the power to make enquiries to verify the accuracy of RBO information submitted to it for inclusion on the Database.
The competent authorities can electronically access the BO database.

ML/TF CASES AND TYPOLOGIES

The volume of SARs expressly referencing partnerships in any format is averaging **1%** over the last 5 years. There were no MLAs that expressly referenced partnerships. PIMLIT's investigations do not directly reference limited partnerships with legal personality. Given the international exposure of the legal entity, they are potentially impacted in the key typologies in **Chapter 2**.

OVERALL

Legal partnerships with legal personality are not common in the IOM; this low materiality is counterbalanced by the high international nature of the beneficial owners. This creates a slight disconnect between the very small footprint but a higher cross-border risk implication. This entity adds operational autonomy (owning assets, contracting) without altering tax transparency, which may be attractive for sophisticated structures like funds and joint ventures. Despite international exposure, ML/TF typologies show minimal direct involvement, and there is low LEA exposure to these entities in the cases they see. However, it is worth industry being aware of the combination of concentration in high-value assets (ships, aircraft) and foreign beneficial ownership.

The overall risk rating for ML is **Medium Low** and the overall risk rating for TF is **Medium Low.** ›

4.6 Industrial and Building Societies

4.6.1 Introduction

An Industrial and Building Society is a society for the purpose of carrying on any industries, business, or trades specified in or authorised by its rules, whether wholesale or retail, including the buying and selling of land, of which no member other than a society registered under the Industrial and Building Societies Act 1892[214] shall have or claim an interest in shares exceeding £5,000 or such other sum as may be specified in an order under Section 2 of the Industrial and Building Societies Act 1979[215] – provided always that no Industrial and Building Society shall be formed for or to carry on the business of banking.

BENEFICIAL OWNERSHIP DETAILS

Beneficial ownership details are not stored on the register as Industrial and Building Societies are not caught by the BOA. Therefore, a Nominated Officer is not required.

REGISTERED AGENT

A Registered Agent is not required.

REGISTERED OFFICE

Section 16(1)(a) of The Industrial and Building Societies Act 1892, states that:

"Every society shall - Have a Registered Office in the Isle of Man, to which all communications and notices may be addressed, and send to the Department notice, in writing, of the situation of such office, and of every change therein"

There are no residency requirements.

The Industrial and Building Societies Act 1892 is not a vehicle that is in common use. The Companies Registry holds the following:

- the application for registering as an Industrial Society;
- the Rules of the Society (per the requirements of the Schedules to the 1892 Act), which are sent on application to register;
- the Certificate of Incorporation;
- the allotted Society number;
- the Registered Office address (in the IOM);
- the Annual Return (s.16), the return being a set of audited accounts; and
- the Amended Rules (effective from the date of registration with Companies Registry).

4.6.2 Scale

At the end of December 2024, there were 6 Industrial and Building Societies, representing **0.01%** of the overall LPAs for the IOM. They are not material from a risk perspective. These are publicly listed on the Companies Registry website.[216]

4.6.3 Use of Industrial and Building Societies

2016 was the most recent incorporation under the Act, where the Manx Credit Union was created; prior to that was 1994. Subsequently, the Manx Credit Union was re-registered under the Credit Union Act 1993 in April 2019.

In law, the societies which can be registered under the Act are:

- industrial and provident societies; and
- building societies. ›

4.6.4 Overall risk level for Industrial and Building Societies

Given the small number and local geographic profile, Industrial and Building Societies carry the lowest risk of the entities considered.

The overall risk rating for ML is **Low** and the overall risk rating for TF is **Low**.

4.7 Credit unions

There is one regulated credit union on the Island: Manx Credit Union Limited (MCU). It was previously registered as an Industrial and Building Society and was re-registered under the Credit Union Act 1993 in April 2019. This entity sits on a single register and is not listed in the Companies Database, though a number of documents filed with the Companies Registry, including annual accounts, are publicly available on the website.[217]

The MCU promotes itself as providing savings and loans and is run solely for the benefit of its members. Members must be over 16 years of age and live on the IOM (noting provisions in place to deal with the situation when a member moves off Island). It is run by volunteers.

Credit union activity is included in schedule 4 of POCA; therefore, the sector is subject to the Code, and the Financial Services Act 2008 gives the FSA the power to regulate the sector and to oversee the MCU for AML/CFT purposes. A licence to carry on the Class 9 regulated activity of "operation of a credit union" permits an entity that is incorporated as a credit union under the Credit Unions Act 1993 to operate a credit union in the IOM (see **Figure 1-6**).

The Credit Unions Act 1993 provides tight restrictions on business. A member must be resident on the Island, may not have a shareholding of greater than £15,000, and the law allows a loan to be no more than £5,000 in excess of the paid-up shareholding. This restricts the business activity and consequential ML and TF risk.

Almost all credit union customers are IOM-based. They are natural persons.

OVERALL

Credit unions are not scored as a legal entity as only one exists on the IOM which is an actual supervised entity.

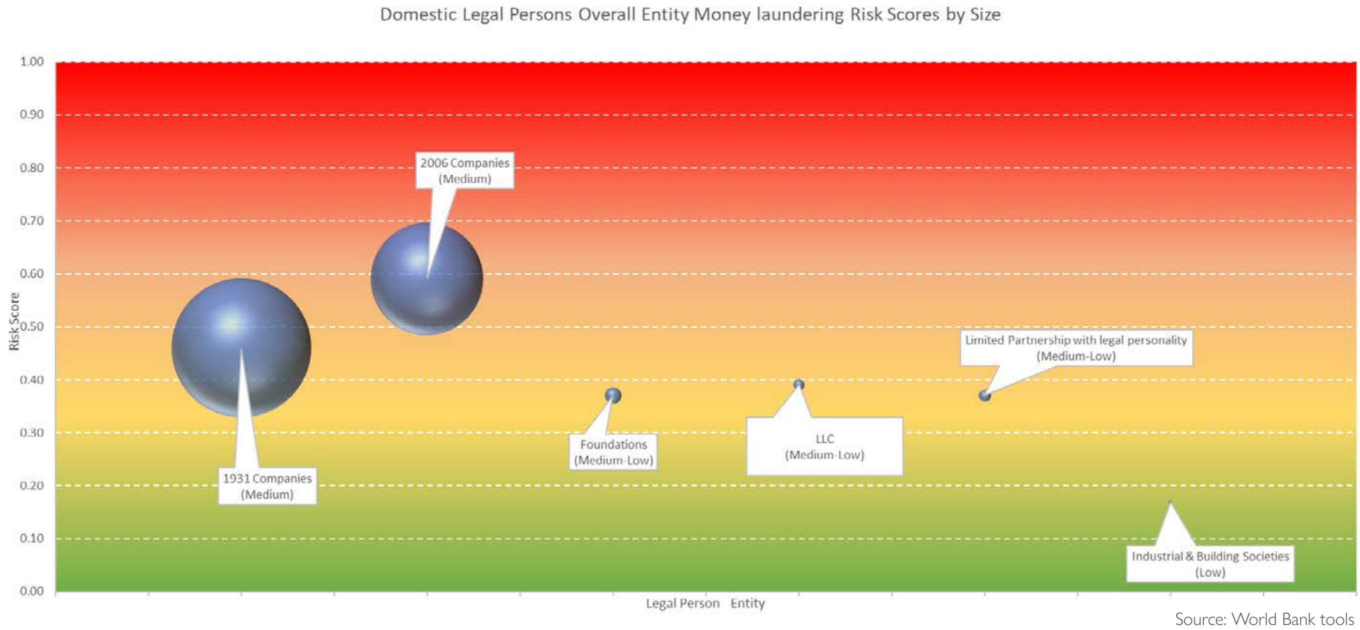
See the separate TF and ML NRAs. In the TF NRA, credit unions are scored as **Low**.

4.8 Summary: Domestic legal persons

The overall ML risk scores, as calculated using World Bank methodology, are shown in **Figure 4-29**.

2006 Act companies and 1931 Act companies score the highest, both at **Medium**. The other entities are **Medium Low** or **Low** and are far less material. **Figure 4-30** shows the summary position for ML and TF risk scores for domestic legal persons. ›

Figure 4-29: Overall Money Laundering Risk Score for Domestic Legal Persons



Source: World Bank tools

Figure 4-30: Overall ML and TF Ratings for Domestic Legal Persons

Legal Entity Type	Money Laundering Rating	Terrorist Financing Rating
1931	Medium	Medium Low
2006	Medium	Medium Low
Foundations	Medium Low	Medium Low
LLC	Medium Low	Medium Low
Limited Partnership With Legal Personality	Medium Low	Medium Low
Industrial Societies	Low	Low

Source: World Bank tools

CHAPTER 5

Foreign Legal Persons

5. Foreign legal persons

5.1 Introduction to foreign legal persons

Given the IOM's position as an IFC, the inclusion of foreign legal persons within structures and wider business relationships is comparatively common. The majority of foreign legal persons will be linked with a TCSP or other party that is subject to the AML/CFT framework. To ensure that it properly understands the risk associated with a foreign legal person, the TCSP will typically look to see any tax/professional advice that has been given to the prospective client before starting the relationship (see **Chapter 2.3.2.4**).

There are three types of foreign legal person associated with the IOM. These are covered in:

- 'foreign-registered' companies in **Chapter 5.2;**
- 'foreign companies – IOM tax resident' in **Chapter 5.3**; and
- 'foreign companies' that are neither of the above in **Chapter 5.4.**

If the IOM TCSP is providing officers (directors, secretary, Council members, etc.), those individuals from the TCSP would be subject to the laws of the jurisdiction of the entities' incorporation. Therefore, they would need to familiarise themselves accordingly with the obligations upon an officer in the laws of the incorporation jurisdiction.

In addition, the TCSP would want to become familiar with the relevant laws, ensure the entity is of good standing, and understand the obligations and variances (from IOM law) from a risk perspective.

FATF GUIDANCE – SUFFICIENT LINKS

In the Beneficial Ownership of Legal Persons document, FATF provides guidance[218] regarding foreign legal persons:
"Moreover, countries should identify and assess the ML/TF risks to which they are exposed in relation to foreign legal persons, which have sufficient links to the country, and take appropriate steps to manage and mitigate the risks they identify. Countries may determine what constitutes a sufficient link for a legal person not created in the country on the basis of risk, but indicatively such a sufficient link could, for instance, be said to exist when the legal person: [219]

a) Has a permanent establishment or branch or agency in the country;

b) Has significant business activity in the country. Significant business activity may be defined either in terms of a monetary threshold, or by such other parameters as may be suitable to the particular situation of the country.

c) Has significant, ongoing business relations with financial institutions or DNFBPs subject to AML/CFT regulation in the country. Significant here could be in relation to the size of the relevant market and/or the impact of the business activity in the relevant market or the areas/sectors in which a legal person operates;

d) Has significant real estate or other investment in the country, including any asset subject to registration, such as ownership of high value commercial or residential real estate, securities market investment or other assets. Significant here could be determined with reference to the average price of the real estate/corresponding asset market in the country, or the quantity of real estate held;

e) Employs staff, or is a tax resident (e.g., by reason of having its place of effective management or administration there) in the country."

The three foreign legal person types are considered in relation to categories (a) to (e) as described by FATF (see **Figure 5-1**). ›

Figure 5-1: Foreign Legal Persons Compared Against FATF Guidance

		Foreign-registered company A company incorporated outside the Isle of Man that carries on or establishes a place of business[220] or owns land on the Island must register under the Foreign Companies Act 2014.[221]	**Foreign companies – IOM tax resident** A company is considered Isle of Man tax-resident if its central management and control is exercised from the Island – typically through local directors making strategic decisions.	**Foreign companies** A foreign company is one that neither has a place of business nor exercises management and control in the Isle of Man.
(a)	Has a permanent establishment or branch or agency in the country	if carrying on business from an established place of business on the Island	but would also be a foreign-registered company if the company is carrying on business from an established place of business on the Island	×
(b)	Has significant business activity in the country. Significant business activity may be defined either in terms of a monetary threshold, or by such other parameters as may be suitable to the particular situation of the country.	if carrying on business from an established place of business on the Island	but would also be a foreign-registered company if the company is carrying on business from an established place of business on the Island	×
(c)	Has significant, ongoing business relations with financial institutions or DNFBPs subject to AML/CFT regulation in the country. "Significant" could be in relation to the size of the relevant market and/or the impact of the business activity in the relevant market or the areas/sectors in which a legal person operates.	May apply if the business is carrying on (or holding out as carrying on) business from an established place in the Island. It may also apply if the legal person elects to be registered under the Act.	if sufficient link due to the central management and control is exercised from the Island such as by an IOM TCSP	×
(d)	Has significant real estate or other investment in the country, including any asset subject to registration, such as ownership of high-value commercial or residential real estate, securities market investment, or other assets. "Significant" could be determined with reference to the average price of the real estate/corresponding asset market in the country, or the quantity of real estate held.	holds any land in the Island	but would also be a foreign-registered company if the company holds land in the Island	×
(e)	Employs staff, or is a tax resident (e.g., by reason of having its place of effective management or administration there) in the country	May apply if the business is carrying on (or holding out as carrying on) business from an established place in the Island. It may also apply if the legal person elects to be registered under the Act.	sufficient link due to the central management and control is exercised from the Island	×

Source: Companies Registry

Some foreign companies voluntarily add themselves to the Foreign-Registered Companies Register with the Companies Registry. ›

It is recommended that further analysis and possible consultation are undertaken on foreign legal persons which are administered by TCSPs in the IOM. Where central management and control is exercised in the IOM, such companies are considered to be tax-resident and may also qualify as having "sufficient links" for the purposes of FATF Recommendation 24. In the case of the latter, ITD will already hold similar information to that required under the Beneficial Ownership Act. This analysis could consider whether there is a "sufficient link" and, if so, how ITD and Recommendation 24 requirements might be aligned/streamlined to avoid double reporting. If further sufficient links elsewhere are identified from this analysis, these categories will also be analysed further.

For foreign-registered companies (see **Chapter 5.2**), the Companies Registry are considering further analysis and a possible consultation to see if some categories or all of the companies should be added to the BOA, noting that ITD will already hold similar information to that required under the BOA.

A summary of the number of entities, RBO details, and basic information held by the Companies Registry and ITD are in **Figure 5-2**, an extract from Appendix 1. The number of foreign companies (2,332) is significantly greater than that of foreign-registered companies (484) or "foreign companies – IOM tax resident" (847). Overall foreign legal persons represent **9.13%** of all LPAs.

The number of new entities registered each year is recorded in **Figure 5-3**. Foreign-registered companies are registered with the Companies Registry, and "foreign companies – IOM tax resident" are registered with ITD. The numbers have been consistently falling since 2020.

There are no central registrations of foreign companies with the Companies Registry or ITD, apart from with the TCSPs if services are provided; these numbers are recorded with the FSA annually via the AML/CFT return. ›

It is recommended that further analysis and possible consultation are undertaken on foreign legal persons which are administered by TCSPs in the IOM. Where central management and control is exercised in the IOM, such companies are considered to be tax-resident and may also qualify as having 'sufficient links' for the purposes of FATF Recommendation 24."

Figure 5-2: Summary of Foreign Legal Persons Beneficial Ownership and Basic Information Collated by Companies Registry and Income

Control	Detail	Foreign Legal Persons		
		Foreign-Registered Companies	Foreign Companies-IOM tax resident	Foreign Companies
Number of entities as at 31/12/2024		484	847	2332
Materiality: % of total		1.21%	2.11%	5.81%
	source for data on number of entities	*Company Registry*	*ITD*	*TCSP LPA return*
Beneficial Ownership Act 2017 Applies		×	×	×
IOM Income Tax Division Capture Unverified UBO Details		✔	✔	×
Registered Office	The registered office is the official address of a company in the Isle of Man	✔ ①	×	×
Registered Agent	A registered agent is a licensed person or firm appointed by a company to handle its statutory compliance and filings	×	×	×
Nominated Officer	For those to which the BOA 2017 applies, they must have a nominated officer (either a natural person resident in the island or a licensed TCSP).	×	×	×
	TCSP Nominated Officer			
	Individual Nominated Officer			
Basic Information held by Companies Registry	The name & number of the company	✔	×	×
	Proof of incorporation	×	×	×
	Legal form and status	×	×	×
	Registered office address	✔ ①	×	×
	Basic regulatory powers	×	×	×
	List of directors/ secretaries	×	×	×
Basic Information held by ITD	Name	✔	✔	×
	Address	✔	✔	×
	Date of Birth	✔	✔	×
	Jurisdiction of Tax Residence	✔	✔	×
Beneficial Ownership information collected and reported by ITD for CRS for each AccountHolder of IOM Entities that are Reporting Financial Institutions - this is not all entities (this includes many c7,500 but not all Trusts managed by TCSPs)	Name	✔	✔	×
	Address	✔	✔	×
	Jurisdiction(s) of tax residence	✔	✔	×
	Taxpayer Identification Number	✔	✔	×
	Date of Birth	✔	✔	×
	Place of Birth	✔	✔	×
	Account balance or value	✔	✔	×
	Income or proceeds paid or credited to the Trust	✔	✔	×
	IOM Beneficial Ownership Database	×	×	×
	Beneficial Ownership details with Income Tax Division	✔	✔	×
	TCSP - hold where they administer client	✔	✔	✔

›

① or jurisdiction of incorporation

Source: Companies Registry, ITD, TCSP 2025 LPA Return

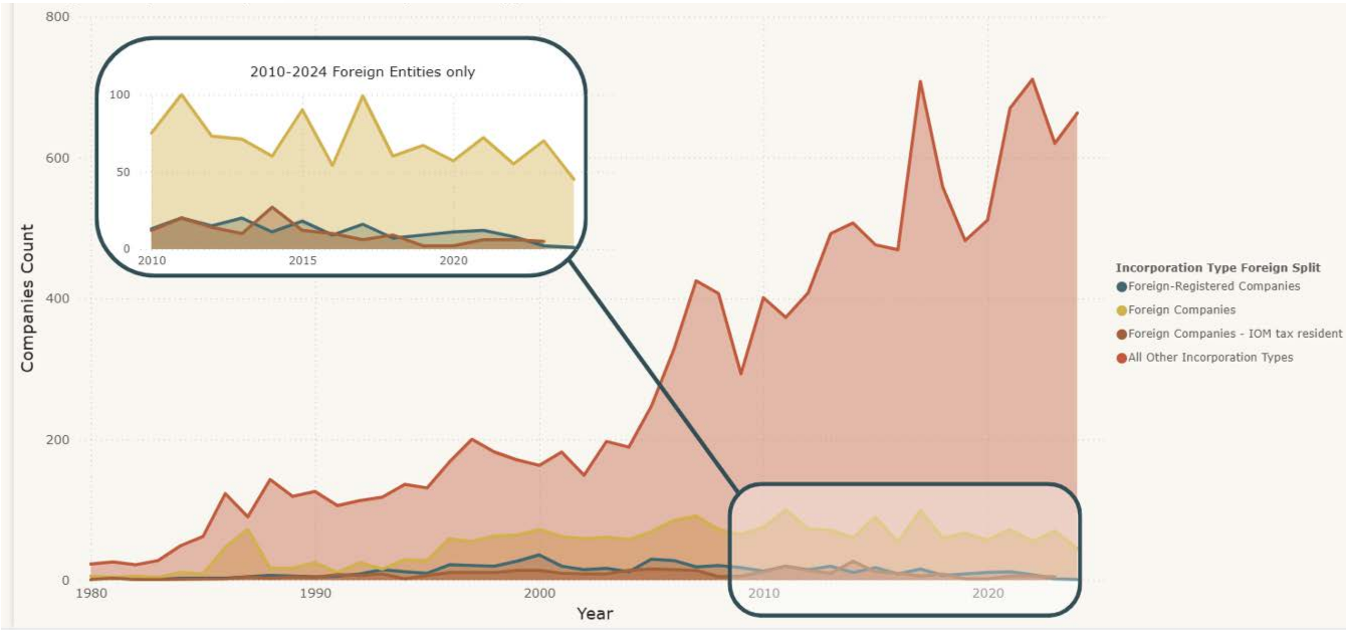
Figure 5-3: Number of New Foreign Legal Persons Registered with Companies Registry or ITD Each Year

Entity Type	2020	2021	2022	2023	2024
Foreign Registered Companies - Foreign Companies Act 2014	71	52	41	28	32
Foreign Companies – IOM tax resident by virtue of management & control	298	229	125	72	62

Source: Companies Registry and ITD

The overall number of foreign legal persons reported each year and with a TCSP relationship is reducing from a peak in 2011. The number of foreign-registered companies and "foreign companies – IOM tax resident" has also reduced in recent years (see **Figure 5-4**, which shows the comparison with overall incorporations as well as for foreign companies (see highlighted area of graph), to allow the variances to be more readily viewed). Whilst the overall number of reported entities has increased since 2020, the overall number of foreign legal persons has slowly reduced.

Figure 5-4: Foreign Companies Incorporation Count by Year and Type, 2000 to 2024

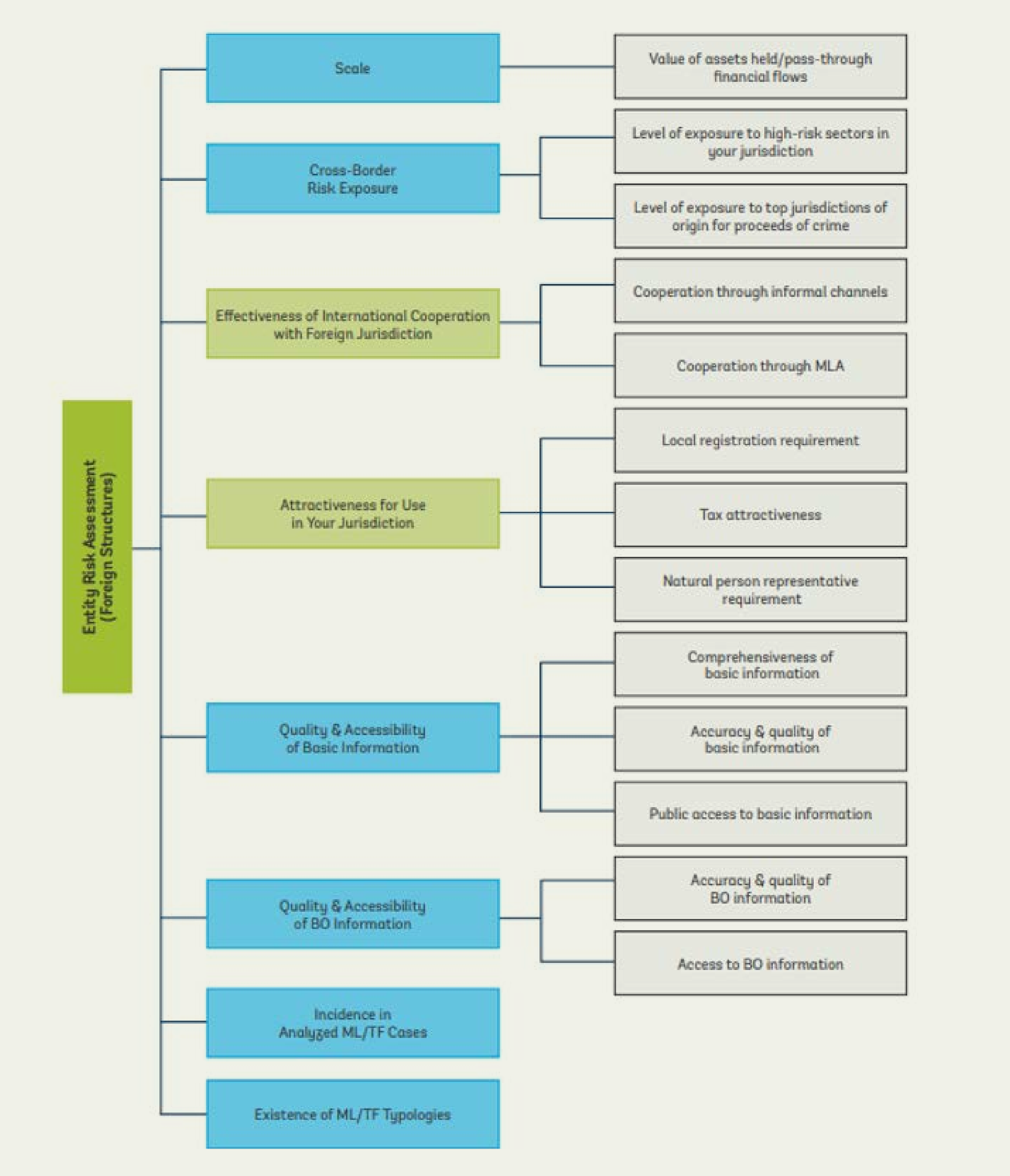


Source: TCSP 2025 LPA Return

WORLD BANK METHODOLOGY

As described in **Chapter 4**, the World Bank has written a methodology for assessing foreign legal persons. The full network diagram for the entity risk assessment for foreign legal persons is in **Figure 5-5**, which does differ from the methodology as displayed in **Figure 4-1**. ›

Figure 5-5: Network Diagram for Foreign Legal Persons



Source: World Bank

LAW ENFORCEMENT AGENCY DATA

LEA data is not segregated by foreign legal person type; therefore, the data is a combination of all three foreign legal person types.

FIU data is not sufficiently segregated in the database to identify foreign legal persons where SARs have been submitted. However, the FIU provided typologies and examples which could be conducted through foreign legal persons. These examples have been included in the Threats in **Chapter 2.**

The AGC Crown Office team recorded that **9.5%** of MLAs originating from incoming MLA requests concerned foreign legal persons, the second-highest number behind 2006 Act companies.

PIMLIT investigations do include foreign legal persons. Prosecution and convictions data does not provide sufficient detail of the underlying entity to identify specific foreign legal persons that are implicated in the cases.

5.1.1 Economic substance

Economic substance ensures that entities benefitting from a jurisdiction's tax regime actually conduct meaningful business in that jurisdiction, with real staff, offices, and decision-making, rather than existing only on paper.

The IOM's economic substance legislation, set out in Part 6A of the Income Tax Act 1970, was introduced to align with international standards on tax transparency and to address concerns raised by the European Union's Code of Conduct Group. The legislation applies to IOM tax-resident entities that carry on specific types of business activities, referred to as "relevant activities," and generate income during the relevant accounting period. These activities include banking, insurance, shipping, fund management (not including collective investment vehicles), finance and leasing, headquartering, distribution and service centres, operation of a holding company, holding intangible property (intellectual property), and pure equity holding companies.

Entities falling within scope are required to demonstrate that they have adequate economic substance in the IOM. This includes being directed and managed on the Island, maintaining an appropriate level of qualified employees, incurring adequate expenditure, and having sufficient physical presence. Furthermore, the entity must conduct its core income-generating activities in the IOM. Additional or modified requirements apply to certain business types, such as intellectual property and holding companies, to reflect their unique operational characteristics. To support consistent interpretation and application of the rules, the IOM Government issued joint guidance in collaboration with Jersey and Guernsey.[222] This guidance provides clarity on complex scenarios, including the treatment of partnerships and intellectual property structures. Oversight and enforcement of the legislation are carried out by the Assessor of Income Tax, who may impose penalties or report non-compliance to relevant international bodies where appropriate.

In June 2021, the scope of the legislation was expanded to include partnerships and limited liability companies, reinforcing the Island's commitment to maintaining a robust and internationally compliant framework.

5.1.2 Cross-border threats

The cross-border exposure, as measured by jurisdiction of principal activity, was reviewed for the combination of all foreign legal persons. There was exposure to 22 different List B jurisdictions and 74 different Other[223] List jurisdictions. There were no List A jurisdictions. List B jurisdictions accounted for **10.7%** overall (noting that South Africa only accounted for **0.4%**), which is largely driven by the BVI connections.

Figure 5-6 shows the jurisdictional exposure by principal activity for all jurisdictions and for the higher-risk List B jurisdictions. The UK (**23.2%**) is the largest, followed by the IOM (**16.3%**) and the US (**16.2%**). The BVI (**6.4%**) is the only List B jurisdiction in the overall top 12. ›

Figure 5-6: All Foreign Legal Persons - Top Jurisdictions by Principal Activity

All Jurisdictions	
Name	**%**
United Kingdom	23.2%
Isle of Man	16.3%
United States of America	16.2%
Spain	7.3%
Virgin Islands (British)	6.4%
Cayman Islands	6.2%
Portugal	2.1%
Jersey	2.0%
Switzerland	2.0%
Guernsey	1.1%

List B Jurisdictions	
Name	**%**
Virgin Islands (British)	6.4%
Egypt	0.5%
Nigeria	0.4%
Monaco	0.3%
Kenya	0.3%
Liberia	0.3%
South Africa	0.3%
Bulgaria	0.3%
Russian Federation	0.1%
Tanzania	0.1%
Turkey	0.1%
Ukraine	0.1%

Source: TCSP 2025 LPA Return

EXAMPLE OF THE IOM'S EXPOSURE TO OTHER JURISDICTIONS: SHIPPING

The BVI is commonly used for establishing companies that serve as SPVs, holding companies, or investment platforms, including those related to shipping vessels. The IOM maintains a globally recognised ship registry[214] and investors interested in shipping assets may utilise the BVI, approaching vessel managers to access investment opportunities. Typically, a vessel manager will engage a TCSP on behalf of a group of investors to incorporate SPVs that hold the vessels and, where necessary, additional holding companies for structuring and ownership purposes. Above the investment SPVs, there may be additional layers in the structure as is common in private equity, funds, or family offices. Employees of the IOM TCSP will typically fill statutory roles and employees of the vessel manager will have board representation in order to buy, sell, or lease vessels on behalf of the entity. The provision of statutory officers by the TCSP allows access to banking and financing by adding comfort for the banking institution. Equally, their appointment will help manage taxation issues of mind and management and, in the case of IOM entities, economic substance. The IOM TCSP provides Registered Office services to IOM entities and can coordinate equivalent services in other jurisdictions through local counterparts. The main investor entity might be based in any jurisdiction. An example structure chart is in **Figure A5-3** in **Appendix 5**.

The TCSP 2025 LPA Return provides further details on the jurisdictional coverage for ships or vessels that they manage and administer. Not all are foreign legal persons; some are also 2006 Act companies. For those that are foreign legal persons, jurisdictional exposure includes: the Cayman Islands (**1.8%** of the total number of foreign legal persons), BVI (**0.6%**), and Malta (**0.6%**).

EXAMPLE IN WHICH OVERSEAS COMPANIES AND TRUSTS ARE USED

See **Figure A5-4** in **Appendix 5** for a hypothetical structure in this example. Foreign legal persons from the UK and BVI are used in this structure, alongside a Jersey and Gibraltar trust. The structure supports a family-owned trading business which aims to protect future generations. ›

5.1.2.1 Review of NRA or MER for Top 5 overseas jurisdictions: the UK, US, Spain, the BVI, and Cayman Islands

A review was undertaken of the NRA or Mutual Evaluation Reports for the top 5 overseas jurisdictions (see **Figure 5-6**) to understand if any threats are imported into or exported from the IOM. Excluding the IOM (**17.3%**), these five jursidictions account for **57.1%** of foreign legal persons. There are a number of broad areas of note from the summaries in **Appendix 8**. Common threats and vulnerabilities across five jurisdictionAcross the UK, US, Spain, the BVI, and Cayman Islands, several recurring threats and vulnerabilities emerge in relation to cross-border money laundering, which the IOM may be importing via the foreign legal persons, though these will be primarily mitigated by there being an FSA-regulated TCSP involved:

- **Misuse of legal entities and complex structures**
  All five jurisdictions report significant exposure to the misuse of corporate structures, shell companies, and trusts for laundering foreign proceeds. The UK and US highlight opaque ownership and layering through multiple entities, while the BVI and Cayman Islands face heightened risks due to their roles as IFCs with large TCSP sectors. Spain also notes vulnerabilities linked to beneficial ownership transparency despite recent registry reforms. The complexity of structures, often legitimate for investment purposes, creates opportunities for criminals to obscure beneficial ownership and source of funds.

- **Professional enablers/gatekeepers and third-party laundering**
  Legal and accountancy professionals are repeatedly identified as key facilitators of ML. The UK and US emphasise complicit professionals and professional laundering networks operating transnationally. Spain reports similar concerns, particularly in luxury goods and real estate transactions. The BVI and Cayman Islands note supervisory gaps in monitoring TCSPs and other gatekeepers, which increases exposure to professional laundering schemes.

- **Real estate and high-value assets**
  Investment in real estate is a common laundering channel across the jurisdictions. The UK and US cite property purchases by foreign actors as a major risk, while Spain highlights its real estate market and luxury goods sector as attractive for ML. The BVI and Cayman Islands, though less focused on domestic property, face risks through structures that facilitate offshore investment flows.

- **Geographic and cross-border exposure**
  All jurisdictions face risks from foreign predicate crimes – corruption, fraud, tax evasion, and drug trafficking – flowing through their financial systems. The UK and US stress exposure to laundering networks from the Russian Federation and China, while Spain flags risks tied to migrant cash flows and sanctions evasion linked to the Russian Federation-Ukraine conflict. The BVI and Cayman Islands are particularly vulnerable due to their global connectivity and proximity to high-risk regions.

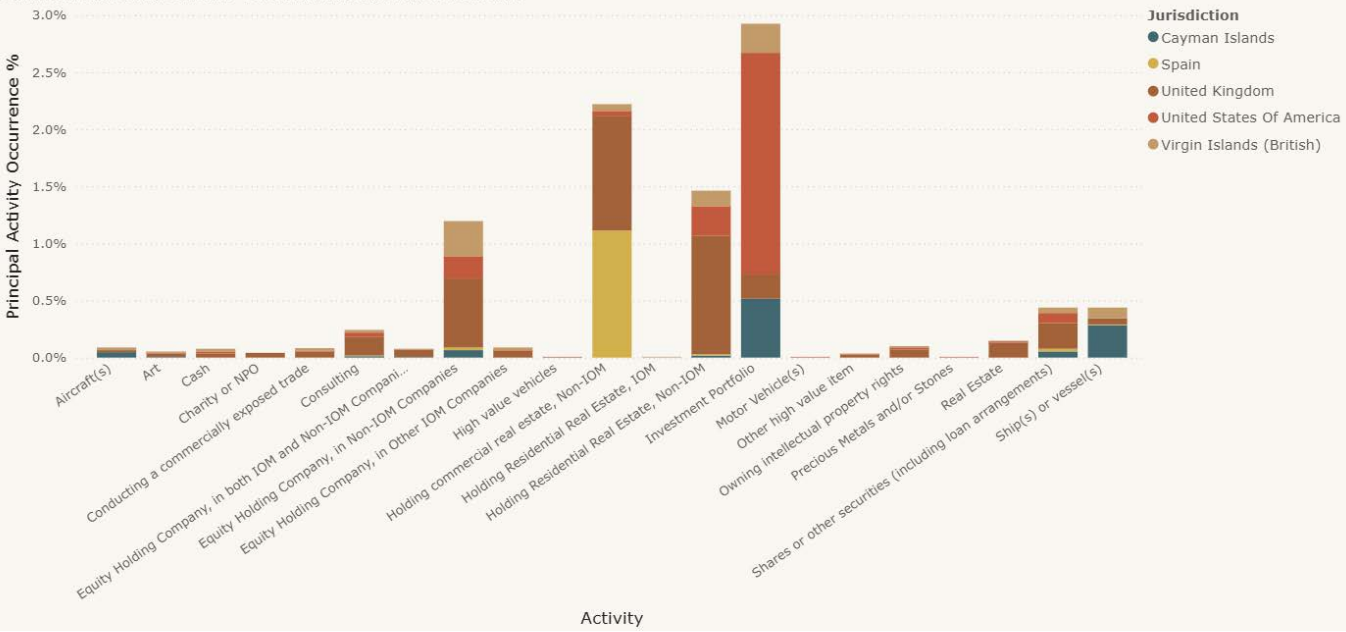
- **TCSPs**
  TCSPs are a critical vulnerability across the BVI and Cayman Islands, where they form a major part of the financial services industry. These providers facilitate company formation, trust administration, and complex structuring for international clients. The scale of global connectivity and high-value transactions handled by TCSPs makes them attractive for laundering foreign proceeds. Supervisory authorities in the BVI and Cayman Islands struggle with resource constraints and enforcement gaps, limiting their ability to monitor TCSP compliance effectively. The UK also notes risks from TCSPs involved in mass incorporations and layering activities, while Spain's exposure is lower but still relevant through cross-border structuring services.

- **Legal arrangements**
  Trusts and other legal arrangements present high inherent risks in the Cayman Islands and BVI due to potential opacity and global reach. The Cayman Islands rates its trust sector as high-risk, citing lack of data and complexity of structures used for investment purposes. The BVI faces similar challenges, with deficiencies in beneficial ownership transparency and reliance on TCSPs for compliance. The UK and US also report misuse of trusts for concealing beneficial ownership and laundering foreign proceeds, particularly in privacy-friendly jurisdictions. ›

In conclusion, the IOM imports vulnerabilities from these jurisdictions (as it does from the remaining jurisdictions) through foreign legal persons; however, these are largely controlled through the use of regulated TCSPs providing services to such entities.

The sum of the principal activities of all three foreign legal person types for the UK, US, Spain, the BVI, and Cayman Islands, as a percentage of the overall total for all legal persons in all jurisdictions, is demonstrated in **Figure 5-7**. The largest activity is Investment Portfolio (**2.92%**), followed by Holding Commercial Real Estate Non-IOM (**2.22%**) and Holding Residential Real Estate Non-IOM (**1.46%**).

Figure 5-7: Principal Activity by Foreign Legal Persons for Top 5 Jurisdictions: UK, USA, Spain, BVI and Cayman Islands, as a Percentage of the Overall Island's Legal Persons Total for all Jurisdictions



Source: TCSP 2025 LPA Return

5.1.3 Services offered by TCSPs

From the TCSP 2025 LPA Return, the sector provided details on all the foreign legal persons that they support, and an understanding of how these companies might be part of wider structures was provided (see **Figure 5-8**). "Foreign companies – IOM tax resident" had the highest percentage (**40.6%**) of structures that contain an IOM law trust, whilst foreign companies had the highest percentage (**43.3%**) of structures that contain a non-IOM law trust. Foreign companies also had the highest percentage (**35.8%**) of structures that contain another legal person or legal arrangement.

The TCSP sector provides a range of services to these companies. Registered Office and Registered Agent services are lower than the average across all companies, as would be expected (see **Figure 5-2**). There are no bearer shares recorded. ›

Figure 5-8: Structure and Services Provided by TCSPs to Foreign Legal Persons

	Structure			Services Provided by TCSP			
	Structure contains IOM law trusts	Structure contains non-IOM law trusts	Structure contains other LPAs	Registered Office	Registered Agent	Company Secretary	Bearer Shares
Foreign Companies	17.9%	43.3%	35.8%	9.3%	9.2%	36.9%	0.0%
Foreign-Registered companies	19.5%	26.0%	13.2%	10.7%	4.1%	54.5%	0.0%
Foreign Companies - IOM tax resident	40.6%	22.1%	19.3%	6.1%	3.9%	44.8%	0.0%

Source: TCSP 2025 LPA Return

Should a foreign company cease to be managed by a TCSP, the exemption under the Foreign Companies Act 2014, section 5 (3)(k)[225], ceases to apply:

"5 Foreign companies to which this Act applies
(3) A foreign company is not to be treated as carrying on business from an established place of business in the Island (or being held out as such) by reason only of the company –
(k) receiving services which –
(i) are provided by the holder of a licence issued under section 7 of the Financial Services Act 2008 whose licence permits the holder to carry on the regulated activity (within the meaning of section 3(1) of that Act) of providing corporate services7 (1) A foreign company to which this Act applies must make an application for registration under section 8 within one month of this Act applying to it"

5.1.4 Jurisdiction of bank accounts

The IOM does not have a central register of bank accounts.[226] An IOM LPA is not obliged to have an IOM bank account. Therefore, the TCSP sector provided information on location of bank accounts across the legal persons that they manage, where it was recorded on their systems.

Figure 5-9 shows this data for foreign legal persons as well as domestic legal persons, displaying percentages of the overall total of known bank account locations for all legal person types. Overall, the IOM represented **58.0%** of the reported bank account locations, with the UK being the next highest at **14.0%.** All the remaining locations were less than **5.4%.** List B only represented **0.9%** of the locations. ›

Where an LPA does not have an IOM bank account or they use the services of a payment service provider, the inflows/outflows of payments are not captured in the IOM Banking sector quarterly returns to the FSA.

For foreign-registered companies, the IOM had the largest percentage at **1.4%**, followed by Switzerland (**0.7%**), the US (**0.6%**), and the UK (**0.5%**).

For foreign companies, the IOM had the largest percentage at **4.6%**, followed by the US (**3.7%**), UK (**1.7%**), and Switzerland (**1.1%**).

For "Foreign companies – IOM tax resident," the IOM was also the largest jurisdiction (**1.4%**), followed by the UK, Switzerland, and Guernsey, all on **0.3%**. ›

Figure 5-9: Bank Account Locations Where Recorded With TCSP, Displayed as a Percentage of the Overall Number

Top 10 Jurisdictions	1931 Act	2006 Act	Foundations	Limited Partnerships with legal personality	LLC	Foreign Registered	Foreign Company	Foreign Company - IOM tax resident	**Overall Total**
	% of overall total	% of overall total	% of overall total	% of overall total	% of overall total	% of overall total	% of overall total	% of overall total	
IOM	16.9%	32.7%	0.2%	0.6%	0.3%	1.4%	4.6%	1.4%	58.0%
UK	3.3%	8.0%		0.1%	0.0%	0.5%	1.7%	0.3%	14.0%
Jersey	1.0%	1.8%		0.1%		0.2%	0.7%	0.1%	3.7%
Switzerland	0.9%	2.2%		0.1%	0.1%	0.7%	1.1%	0.3%	5.4%
Guernsey	0.4%	1.0%				0.2%	0.5%	0.3%	2.3%
Norway	0.4%								0.4%
Germany	0.3%	0.6%				0.1%			0.9%
Ireland	0.3%	1.5%					0.1%		1.9%
Singapore	0.3%	0.6%				0.3%	0.1%	0.1%	1.4%
UAE	0.2%								0.2%
USA		0.7%				0.6%	3.7%	0.1%	5.1%
Luxembourg		0.4%						0.1%	0.5%
France						0.1%			0.1%
Monaco						0.1%		0.0%	0.1%
Mauritius							0.1%		0.1%
Austria							0.1%		0.1%
Sri Lanka									0.0%
Total List B	**0.2%**	**0.3%**	**0.0%**	**0.0%**	**0.0%**	**0.1%**	**0.2%**	**0.0%**	**0.9%**
Overall Total	**25.4%**	**52.0%**	**0.3%**	**0.9%**	**0.5%**	**4.5%**	**13.6%**	**2.8%**	

Source: TCSP 2025 LPA Return

5.1.5 Summary

The FATF requires countries to assess ML/TF risks for foreign legal persons with "sufficient links" (e.g., permanent establishment, significant business activity, tax residency). Exposure (by jurisdiction of principal activity) is concentrated in the UK (**22.6%**), US (**14%**), and BVI (**7.5%**), with the BVI being the only List B jurisdiction in the top 10. TCSPs play a critical role in reducing risk through fiduciary oversight. Economic substance rules apply to IOM tax-resident entities, aligning with EU standards.

Regulatory focus should remain on the TCSP sector, as they provide the primary mitigation to the importing and exporting of risks. Cross-border risk is driven by complex structuring and the requirement for professional gatekeepers, especially in the BVI and Cayman Islands. These risks are reduced by enhanced due diligence and the international cooperation of authorities.

5.2 Foreign-registered companies

5.2.1 Introduction

Prior to the introduction of the Foreign Companies Act 2014, companies incorporated outside of the IOM carrying on business within the IOM were registered under Part XI (sections 312-321) of the Companies Act 1931. A company incorporated in a jurisdiction outside of the IOM and which establishes a place of business or that owns or rents land in the IOM must register as a foreign company under the Foreign Companies Act 2014. Registration documents must be delivered to the Companies Registry within one month of the establishment of the place of business or the acquisition of the land; a foreign company that fails to register, together with its officers, commits an offence. The interpretation placed upon what is meant by 'establishing a place of business' means, unless real estate is involved, that many companies which are administered in the IOM and incorporated abroad are not entered onto the Foreign-Registered Companies Register.

Some foreign companies voluntarily add themselves to the Foreign-Registered Companies Register with the Companies Registry.

A foreign-registered company must submit an annual return[227] to the Companies Registry, detailing the company's name and incorporation number, jurisdiction and date of incorporation, and business address in the Island in order to continue the registration.

5.2.2 Scale

484 foreign-registered companies are registered with the Companies Registry. This represents **1.21%** of the overall LPA number.

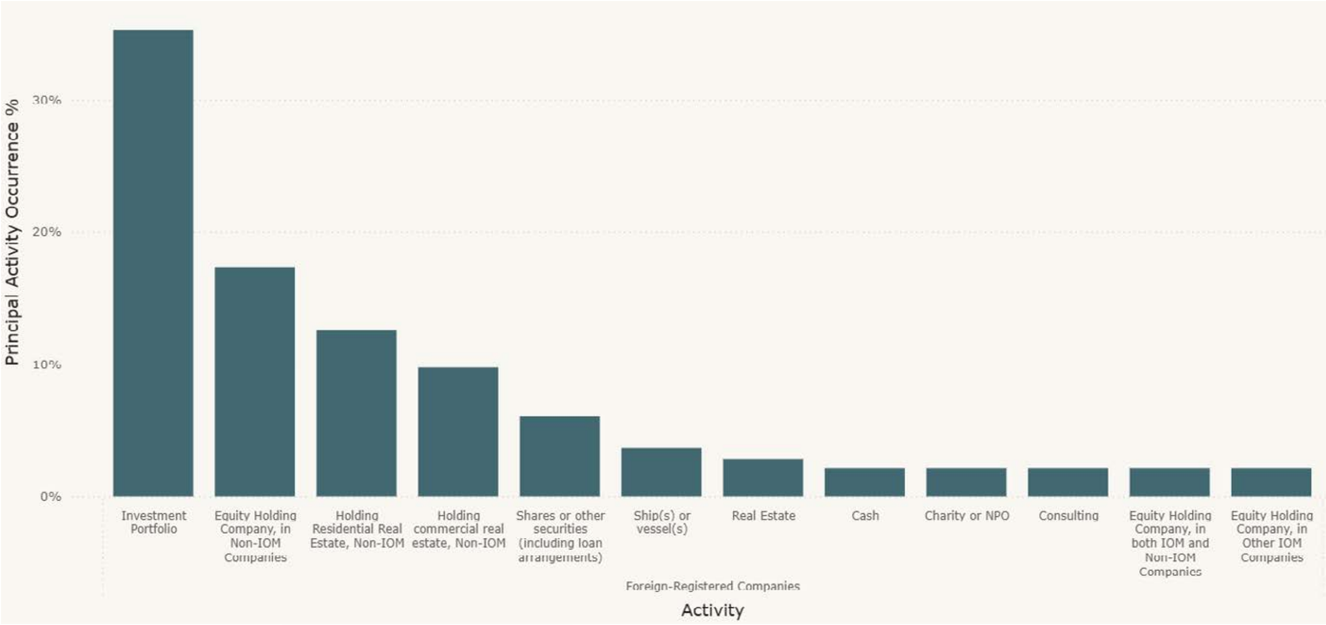
5.2.3 Use of foreign-registered Companies

Foreign-registered companies are often used when a company has a branch or office in the IOM but remains tax resident elsewhere. A UK high street store may become foreign-registered when they open a shop in the IOM.

The ITD gathers beneficial ownership information on foreign-registered companies and "Foreign companies – IOM tax resident." The combined data as of December 2024 shows that the country of residence is outside of the IOM for **56.4%** of the beneficial owners. **1.9%** reside in higher-risk B(i) and B(ii) countries.

Figure 5-10 shows the top 12 principal activities by occurrence as reported by the TCSP sector. The greatest activity by occurrence is for Investment Portfolios (**35.3%**). ›

Figure 5-10: Top 12 Principal Activities by Occurrence Displayed as a Percentage



Source: TCSP 2025 LPA Return

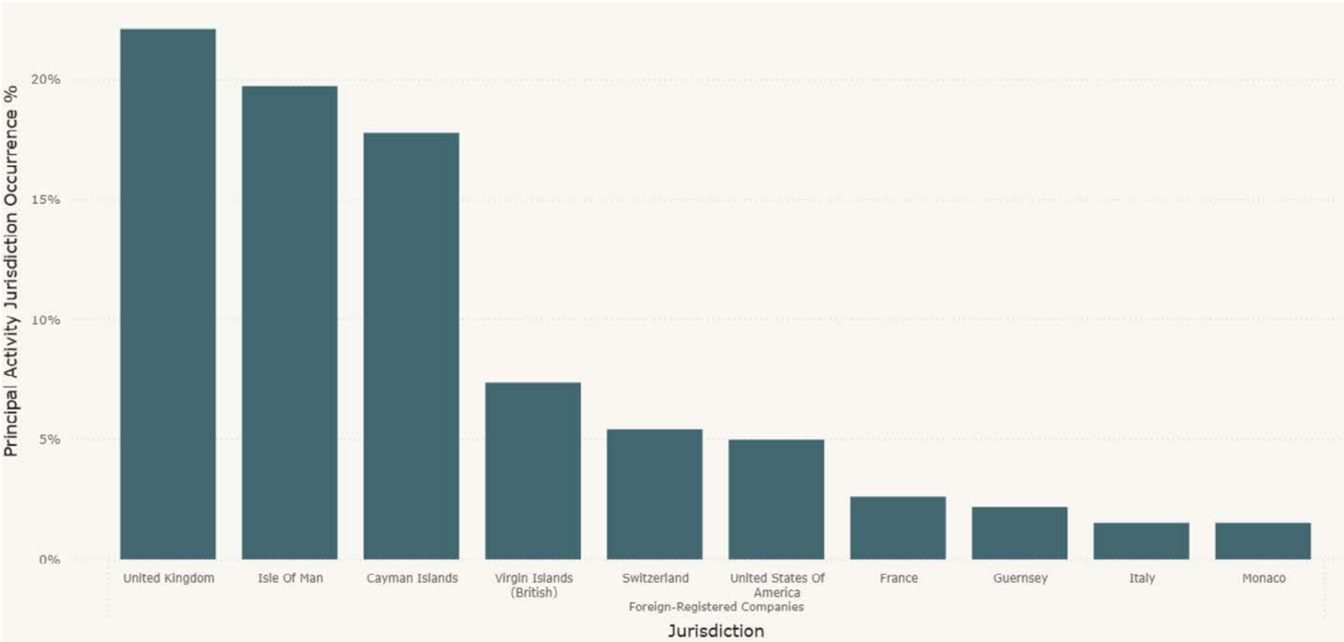
5.2.4 Threats and mitigants

2.6% of all foreign PEPs on the IOM with a TCSP connection are associated with foreign-registered companies.

Of these FPEPs:

- **0.9%** exercise indirect control as a controller of an entity higher up the ownership structure;
- **0.9%** exercise direct control through an ownership interest; and
- **0.8%** are a significant person – i.e., a company director. The jurisdictions of the principal activity were assessed to better understand the jurisdictional risk that foreign-registered companies potentially import into the IOM and that the IOM exports back to the jurisdiction (see **Figure 5-11**). The UK was the most popular jurisdiction for principal activity (**22.1%**). The IOM was second-highest for activity (**19.7%**), and the Cayman Islands was third-highest (**17.7%**) for activity. ›

Figure 5-11: Top 10 Jurisdictions for TCSP-Managed Foreign-Registered Companies



Source: TCSP 2025 LPA Return

5.2.5 Overall risk level for foreign-registered companies

SCALE

484 foreign-registered companies (as of 31st December 2024) are recorded with the Companies Registry. This represents **1.21%** of all LPAs and **13.2%** of foreign legal persons. The number of new registrations fell between 2020 (71) and 2024 (32).

CROSS-BORDER RISK EXPOSURE

Using the principal activity data from the TCSP sector, the level of exposure to jurisdictions which are susceptible to the proceeds of crime/terrorist financing is at a moderate level, with **12.6%** of foreign-registered companies having a B(i) or B(ii) country for principal activity.

Where the TCSPs have reported on the jurisdiction of bank account (Figure 5-9), these are either in the IOM (**1.4%**) or other jurisdictions where the IOM has significant experience, including Switzerland (**0.7%**), the UK (**0.5%**), or the US (**0.6%**).

EFFECTIVENESS OF INTERNATIONAL COOPERATION WITH FOREIGN JURISDICTIONS

In the recently published TF NRA, the national vulnerability for effectiveness of international cooperation was scored as **0.7**. The World Bank analysis for foreign companies looked at the cooperation through informal channels as well as cooperation through MLAs. ›

ATTRACTIVENESS FOR USE IN THE IOM

A company incorporated in a jurisdiction outside of the IOM and which establishes a place of business or that owns or rents land in the IOM must register as a foreign-registered company under the Foreign Companies Act 2014. The tax attractiveness is assessed as similar to other legal entity types, such as 1931 and 2006 Act companies.

BASIC AND BENEFICIAL OWNERSHIP INFORMATION

Foreign-registered companies are required to supply the Companies Registry with certain basic information. This information is available on a free/fee basis depending on the information required.

Foreign-registered companies are not captured by the BOA, and beneficial ownership data is therefore not held on the Beneficial Ownership Database by the Companies Registry. Consequently, Nominated Officers are not required. The ITD do hold basic information (see **Figure 5-2**) and beneficial ownership information is also collected and reported in respect of certain non-resident persons to the ITD under the Common Reporting Standard for account holders of IOM entities that are reporting financial institutions.

ML/TF CASES AND TYPOLOGIES AND INCIDENCE

The volume of SARs expressly referencing foreign-registered companies is not captured by the FIU.

The number of inbound MLAs is recorded for foreign legal persons overall (**9.5%**), though specific foreign-registered data is not available. PIMLIT's investigations do include foreign legal persons.

OVERALL

The gap in access to beneficial ownership information from the Companies Registry is a possible risk, mitigated by the TCSP holding the verified information. The declining numbers may suggest a reduced attractiveness or a smaller overall international requirement for cross-border activity.

The overall risk rating for ML is **Medium High** and for TF is **Medium Low.**

5.3 Foreign companies – IOM tax resident

5.3.1 Introduction

The residence of a company is a key factor in determining its tax treatment, liabilities, and reporting obligations under the Income Tax Act 1970 and related statutes. A key principle of the Income Tax Act 1970 is that income tax is payable in the IOM on:

- the worldwide income arising or accruing to any person residing in the IOM; and
- on income arising or accruing from sources in the IOM to any person not residing in the IOM.

The IOM applies a combination of both the place of incorporation and the place of central management and control of the company in determining the tax residence of a company.

A company incorporated outside the IOM is regarded as tax resident in the IOM when its central management and control is exercised in the Island. Determining the tax residence of a company by virtue of its central management and control is a principle rooted in case law.

When considering whether a company is tax resident by virtue of its central management and control, the Assessor of Income Tax will generally consider:

- whether the directors exercise the central management and control; and
- if so, where they exercise that central management and control; or
- if the directors do not exercise the central management and control, who does exercise it and where is this exercised.

Generally, if the Board of Directors on the IOM are giving effect to decisions taken outside the Island or are simply following the instructions of persons outside the Island, the central management and control of the company is not located on the IOM. ›

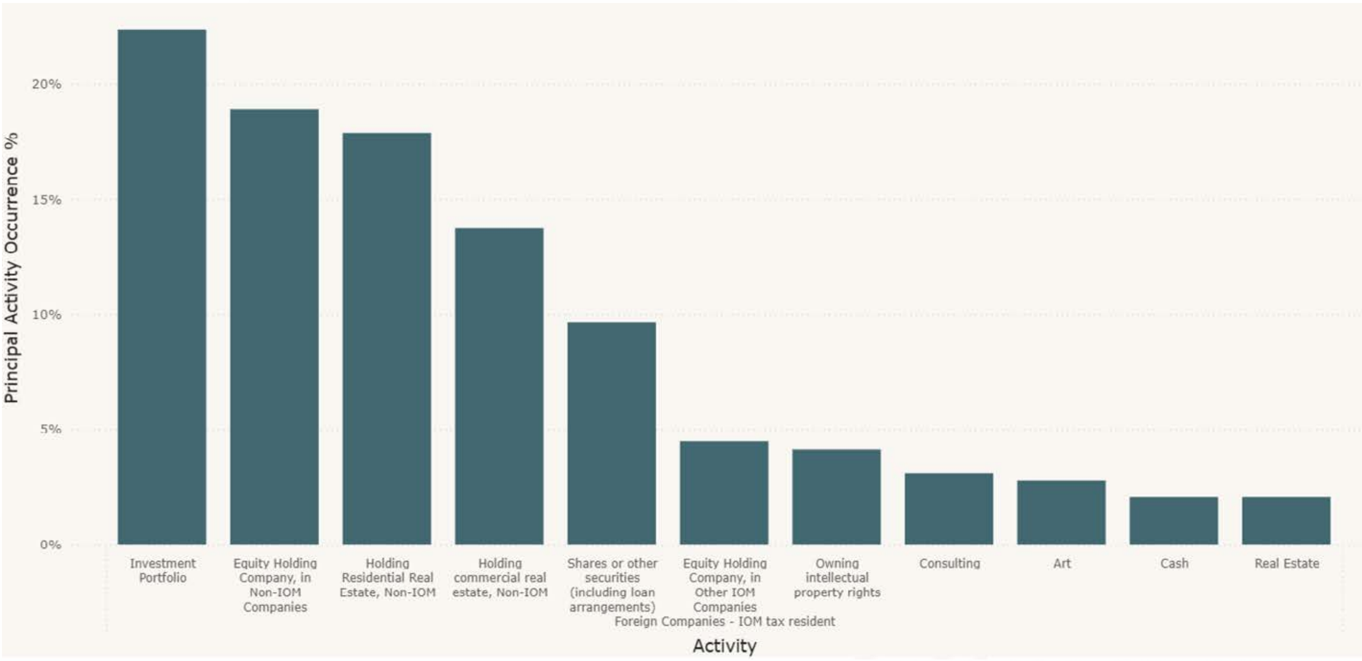
5.3.2 Scale

847 “Foreign companies – IOM tax resident” are registered with the Income Tax Division. This represents **2.11%** of the overall LPA number.

5.3.3 Use of foreign companies – IOM tax resident

It is comparatively common for holding companies or investment vehicles managed from the IOM to be registered as “Foreign companies – IOM tax resident.” An example would be a BVI company for which an IOM TCSP provides the Board members. In **Figure 4-16**, an example structure was provided where a BVI holding company was used to hold a number of properties. The principal activities by occurrence are in **Figure 5-12.** ›

Figure 5-12: Top 11 Principal Activities by Occurrence as a Percentage



Source: TCSP 2025 LPA Return

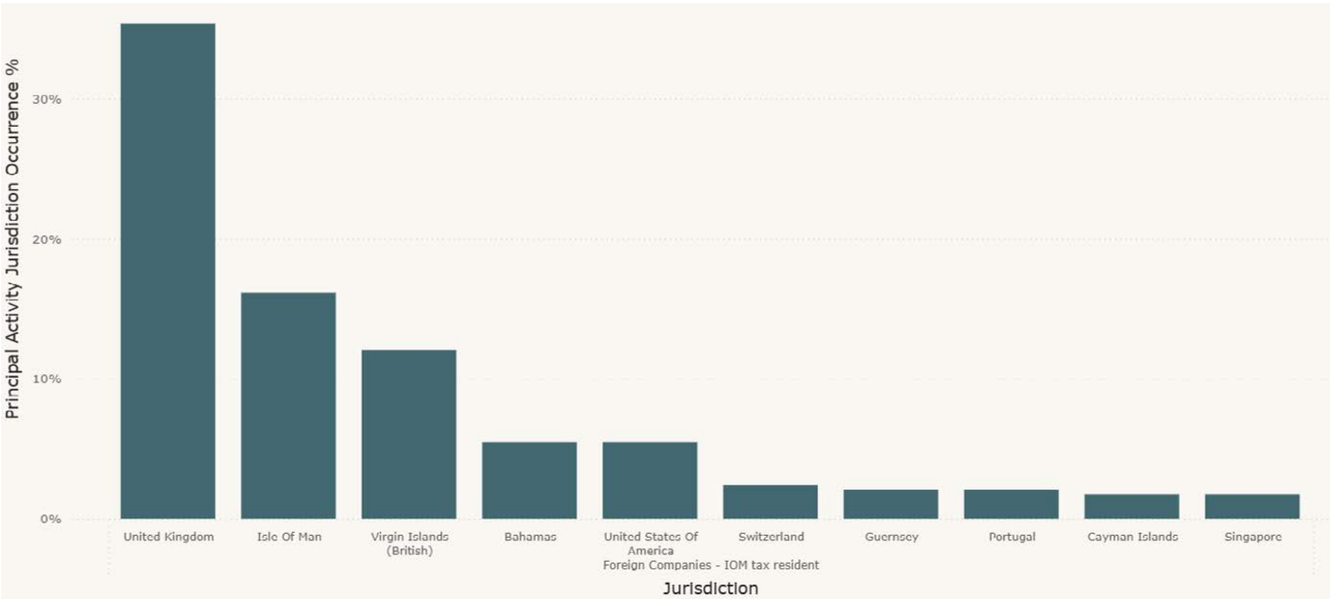
5.3.4 Threats and mitigants

3.3% of all foreign PEPs on the IOM with a TCSP connection are associated with "Foreign companies – IOM tax resident." Of these FPEPs:

- **1.9%** exercise indirect control as a controller of an entity higher up the ownership structure;
- **1.3%** exercise direct control through an ownership interest; and
- **0.1%** are a significant person – i.e., a company director.

The jurisdiction of the principal activity was assessed to better understand the jurisdictional risk that "Foreign companies – IOM tax resident" potentially import into the IOM and that the IOM exports back to the jurisdiction (see **Figure 5-13**). The UK was the most popular jurisdiction (**35.4%**) for principal activity. The IOM was second-highest for activity (**16.2%**) and the BVI was third-highest (**12.0%**).

Figure 5-13: Top 10 Jurisdictions for TCSP-Managed "Foreign Companies – IOM Tax Resident"



Source: TCSP 2025 LPA Return

5.3.5 Overall risk level for "Foreign companies – IOM tax resident"

SCALE

847 "Foreign companies – IOM tax resident" (as of 31st December 2024) are recorded with the ITD. This represents **2.11%** of all LPAs and **23.1%** of foreign legal persons. The number of new registrations fell between 2020 (298) and 2024 (62).

CROSS-BORDER RISK EXPOSURE

Using the principal activity data from the TCSP sector, the level of exposure to jurisdictions which are susceptible to the › proceeds of crime/terrorist financing is at a moderately high level of **18.2%**. Only the BVI, which is a List B(i) jurisdiction, appears in the top 10.

Where the TCSPs have reported on jurisdictions of bank accounts (**Figure 5-9**), these are in the IOM (**1.4%**) or other jurisdictions including Switzerland (**0.3%**), the UK (**0.3%**), or Guernsey (**0.3%**),

EFFECTIVENESS OF INTERNATIONAL COOPERATION WITH FOREIGN JURISDICTIONS

In the recently published TF NRA, the national vulnerability for effectiveness of international cooperation was scored as **0.7**. The World Bank analysis for foreign companies looked at the cooperation through informal channels as well as cooperation through MLAs.

ATTRACTIVENESS FOR USE IN THE IOM

The tax attractiveness is assessed as similar to other legal entity types, such as 1931 and 2006 Act companies.

BASIC AND BENEFICIAL OWNERSHIP INFORMATION

Foreign-registered companies are not captured by the BOA and beneficial ownership data is therefore not held on the Beneficial Ownership Database by the Companies Registry. Consequently, Nominated Officers are not required. The ITD does hold basic information (see **Figure 5-2**) and beneficial ownership information is also collected and reported in respect of certain non-resident persons to the ITD under the CRS for account holders of IOM entities that are reporting financial institutions.

ML/TF CASES, TYPOLOGIES, AND INCIDENCE

The volume of SARs expressly referencing "Foreign companies – IOM tax resident" is not captured by the FIU. The number of inbound MLAs is recorded for foreign legal persons overall (**9.5%**), though specific "Foreign companies – IOM tax resident" data is not available. PIMLIT's investigations do include foreign legal persons.

OVERALL

Tax residency does provide a degree of leverage for the authorities to obtain information if required; however, the TCSP will hold verified due diligence. There is moderate exposure to higher-risk jurisdictions, notably the BVI.

The overall risk rating for ML is **Medium High** and the TF risk rating is **Medium Low.**

5.4 Foreign companies

5.4.1 Introduction

This group captures all foreign companies that neither have a place of business nor exercise management and control in the IOM, but which have a relationship with an IOM TCSP. Where the foreign company administration is undertaken in the IOM, the TCSP holds data on the company and include it in the TCSP's data returns to the FSA.

There are no requirements to provide beneficial ownership information to the Companies Registry or ITD.

5.4.2 Scale

2,332 foreign companies were recorded by IOM TCSPs on the TCSP 2025 LPA return. This represents **5.81%** of overall legal persons and arrangements.

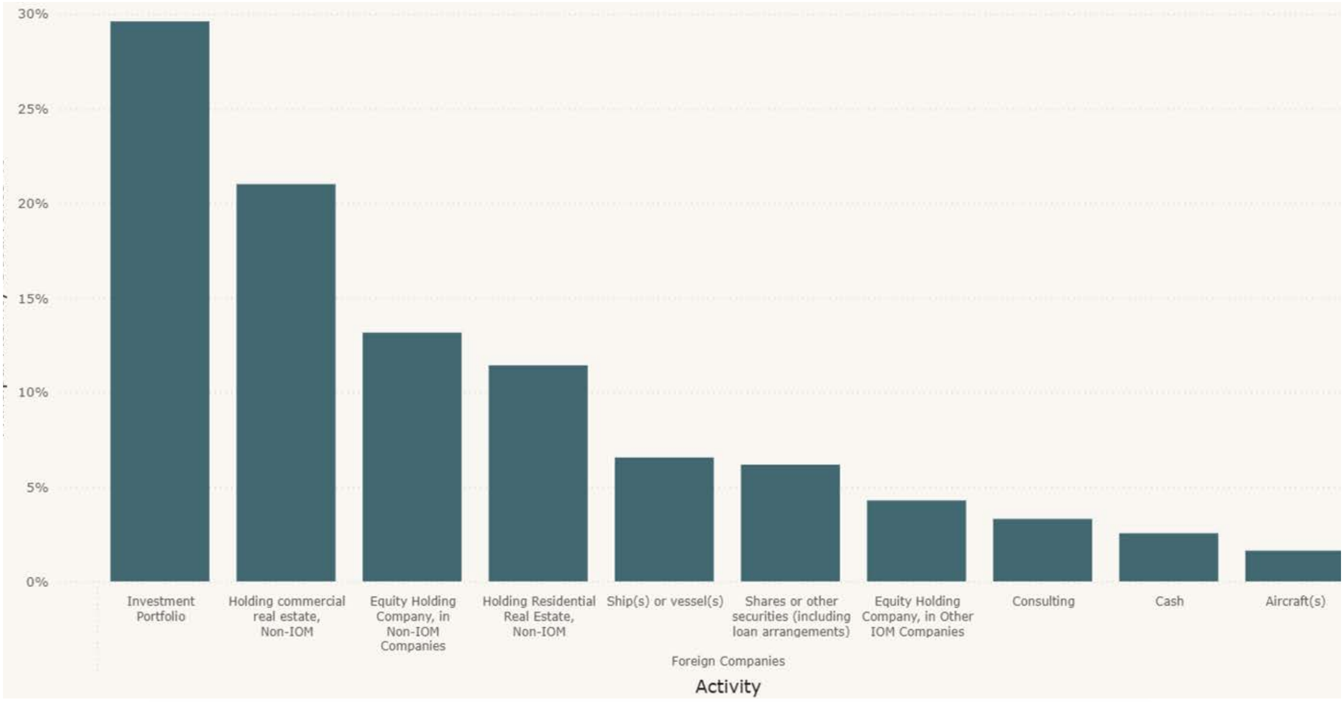
5.4.3 Use of foreign companies

Examples of foreign companies potentially include:

- A BVI company which owns property that may be located in another country (neither the BVI nor IOM), and which is administered in the IOM by a TCSP – this may be because the IOM has built up expertise in administration, combined with being a competitive location for this activity;
- a Spanish property holding company with non-Spanish resident directors, administered by an IOM TCSP; or
- fund structures (e.g., Cayman Island companies) that are administered in the IOM for general administration or accounting/valuation services. ›

Figure 5-14 provides the top 10 activities for foreign companies by occurrence. Investment Portfolios are the largest by occurrence (**29.6%**). Holding Company in Non-IOM Real Estate is the second-largest (**21.0%**).

Figure 5-14: Top 10 Principal Activities by Occurrence as a Percentage



Source: TCSP 2025 LPA Return

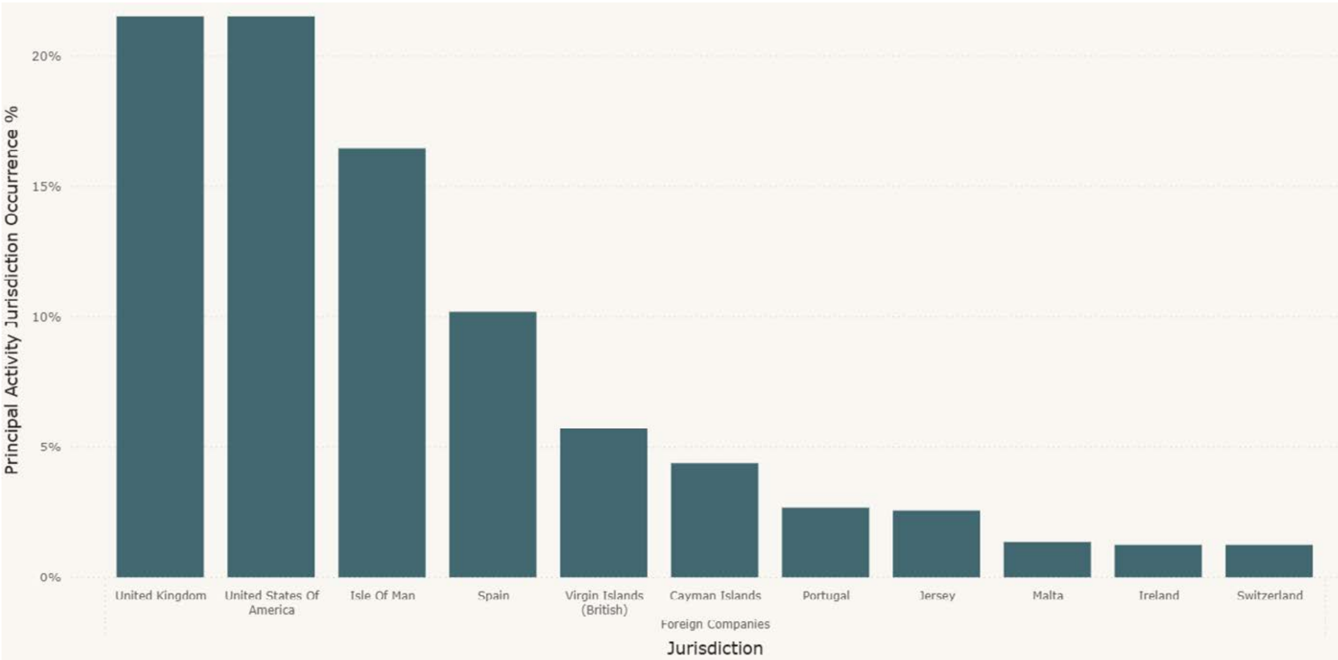
5.4.4 Threats and mitigants

19.0% of all foreign PEPs on the IOM with a TCSP connection are associated with foreign companies.
Of these FPEPs:

- **11.0%** exercise indirect control as a controller of an entity higher up the ownership structure;
- **7.5%** exercise direct control through an ownership interest; and
- **0.5%** are a significant person – i.e., a company director.

The jurisdiction of the principal activity was assessed to better understand the jurisdictional risk that foreign companies potentially import into the IOM and which the IOM exports back to the jurisdiction (see **Figure 5-15**). The USA and UK were the most frequently reported jurisdictions (**21.5%**) for principal activity, followed by the IOM (**16.5%**) and Spain (**10.2%**). ›

Figure 5-15: Top 11 Jurisdictions for TCSP-Managed Foreign Companies



Source: TCSP 2025 LPA Return

5.4.5 Overall risk level for foreign companies

SCALE

2,332 foreign companies (as of 31st December 2024) were recorded by the TCSP sector in the TCSP 2025 LPA Return. This represents **5.81%** of all LPAs and **63.7%** of foreign legal persons. The number of new registrations is not recorded by the Companies Registry, though they are collated by the FSA from the TCSP sector. **Figure 5-4** shows that the numbers are slowly reducing, but not as quickly as for the other two foreign legal person types.

CROSS-BORDER RISK EXPOSURE

Using the principal activity data from the TCSP sector, the level of exposure to jurisdictions which are susceptible to the proceeds of crime/terrorist financing is at a moderate level of **9.0%.** Only the BVI, which is a List B(i) jurisdiction, appears in the top 11.

Where the TCSPs have reported on jurisdictions of bank account (**Figure 5-9**), these are in the IOM (**4.6%** of a total of **13.6%**) or other jurisdictions including the USA (**3.7%**), UK (**1.7%**), and Switzerland (**1.1%**).

EFFECTIVENESS OF INTERNAT IONAL COOPERATION WITH FOREIGN JURISDICTIONS

In the recently published TF NRA, the national vulnerability for effectiveness of international cooperation was scored as **0.7.** The World Bank analysis for foreign companies looked at the cooperation through informal channels as well as cooperation through MLAs. ›

ATTRACTIVENESS FOR USE IN THE IOM

The tax attractiveness is not applicable as they are not liable for IOM tax.

BASIC AND BENEFICIAL OWNERSHIP INFORMATION

Foreign companies are not captured by the BOA, nor by ITD requirements. Beneficial ownership and due diligence data is held by the TCSPs.

ML/TF CASES, TYPOLOGIES, AND INCIDENCE

The volume of SARs expressly referencing foreign companies is not captured by the FIU.

The number of inbound MLAs is recorded for foreign legal persons overall (**9.5%**), though specific foreign companies data is not available.

PIMLIT's investigations do include foreign legal persons.

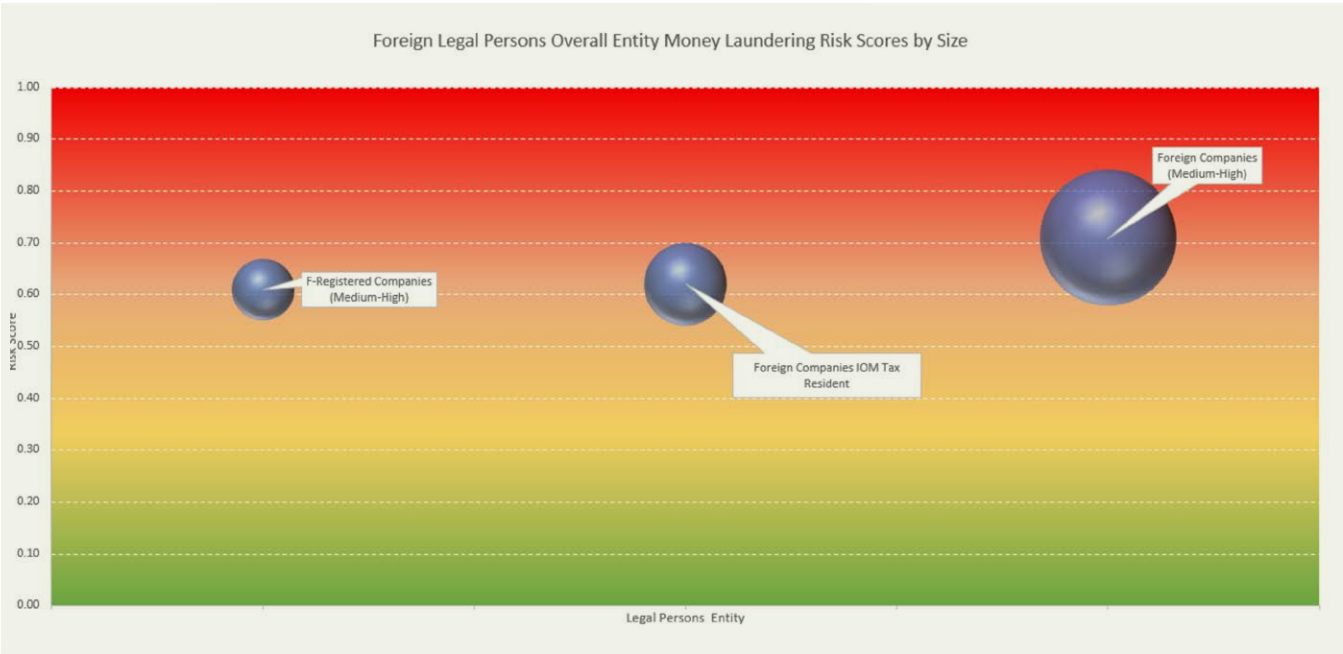
OVERALL

Foreign companies represent the largest population of foreign legal persons and are therefore the most significant group. There is reliance upon the TCSP sector for due diligence, with no central authority holding any information on these companies. Therefore, if TCSP oversight weakens, systemic risk across the IOM increases.

The overall risk rating for ML is **Medium High** and the TF risk rating is **Medium Low.** ›

5.5 Summary: Foreign legal persons

Figure 5-16: Overall ML Risk Score for Foreign Legal Persons



Source: World Bank Tools

Figure 5-17: Overall ML and TF Ratings for Foreign Legal Persons

Legal Entity Type	Rating	Rating
Foreign Registered	Medium High	Medium Low
Foreign Companies – IOM tax resident	Medium High	Medium Low
Foreign Companies	Medium High	Medium Low

Source: World Bank Tools

CHAPTER 6

Domestic and Foreign Legal Arrangements

6. Domestic and foreign legal arrangements

6.1 Introduction

Trusts separate the legal ownership of a variety of assets from the right to use and benefit from those assets. The formation of a trust involves the settlor transferring ownership of the asset(s) to a chosen trustee(s), who is then responsible for holding and managing those assets for the beneficiaries. The settlor outlines in the trust deed or declaration of trust – a legal document – the terms of the trust.

DEFINITIONS

In the FATF Glossary,[228] "trustee" and "trust" are defined:
"The terms trust and trustee should be understood as described in and consistent with Article 2 of the Hague Convention on the law applicable to trusts and their recognition [1].

Trustees may be professional (e.g. depending on the jurisdiction, a lawyer or trust company) if they are paid to act as a trustee in the course of their business, or a non-professional who is not in the business of being a trustee (e.g. a person acting on behalf of family).

[1] Article 2 of the Hague Convention reads as follows:
For the purposes of this Convention, the term "trust" refers to the legal relationships created – inter-vivos or on death - by a person, the settlor, when assets have been placed under the control of a trustee for the benefit of a beneficiary or for a specified purpose. A trust has the following characteristics -

a) the assets constitute a separate fund and are not a part of the trustee's own estate;

b) title to the trust assets stands in the name of the trustee or in the name of another person on behalf of the trustee;

c) the trustee has the power and the duty, in respect of which he is accountable, to manage, employ or dispose of the assets in accordance with the terms of the trust and the special duties imposed upon him by law. The reservation by the settlor of certain rights and powers, and the fact that the trustee may himself have rights as a beneficiary, are not necessarily inconsistent with the existence of a trust."

THE FATF GLOSSARY DEFINES AN "EXPRESS TRUST":

"Express trust refers to a trust clearly created by the settlor, usually in the form of a document e.g. a written deed of trust. They are to be contrasted with trusts which come into being through the operation of the law and which do not result from the clear intent or decision of a settlor to create a trust or similar legal arrangements (e.g. constructive trust)."

WHY MIGHT A TRUST BE ESTABLISHED?

The IOM's trust law is founded on common law principles closely aligned with English trust law and is supplemented by local legislation including the Trustee Act 1961[229] and the Trusts Act 1995. A trust established under IOM law does not constitute a separate legal entity; rather, all trust-related activities are undertaken by the trustees, who hold legal title to the trust assets and act in accordance with the terms of the trust instrument.

The FSA regulates individuals and entities that provide trustee and related services in the course of business. Such providers are required to hold a Class 5 licence issued under the Financial Services Act 2008 (see **Chapter 1.3**). ›

The IOM does not impose capital gains tax, inheritance tax, gift tax, or estate tax. However, trustees who are resident in the IOM, or where the trust is administered in the IOM, may be subject to income tax and are required to file tax returns accordingly. Furthermore, undistributed income of an IOM trust may be subject to income tax where the beneficiaries are resident in the IOM.

The FATF publication "Beneficial Ownership and Transparency of Legal Arrangements," published in March 2024[230], details some of the reasons why a trust might be set up:

"12. Generally, trusts are categorised as trusts for persons (beneficiaries), or purposes (charitable or non-charitable) and have been used in some instances where otherwise available legal forms presented impediments or failed to accommodate specific economic endeavours. The reasons for the establishment or use of a trust may typically include:

- Asset protection (i.e., preserving assets from perceived future external risks, such as claims by creditors or risk of bankruptcy)
- Asset management (such as facilitating business continuity)
- Affording privacy (i.e., providing a layer of privacy, this may be considered important for cases such as the security and safety of high-profile individuals)
- Overcoming legal obstacles (such as requirements for residency)
- Tax planning, and optimisation (i.e., in some countries, trusts may be taxed at a different rate compared to companies or beneficiaries)
- Estate planning and succession (such as the death of a settlor, wasteful actions of the beneficiary and providing for a vulnerable beneficiary)
- Holding of an investment commercial vehicle (such as pension funds)."

LEGISLATION

Schedule 4 to the Proceeds of Crime Act 2008 applies to persons engaging in regulated activity as defined by the Financial Services Act 2008, whether an exemption is in place or not. This means that the AML/CFT Code 2019 applies in full to any person providing trustee and trust administration services to express trusts or similar arrangements by way of business. For any trusts not caught under Schedule 4 to POCA, the AML/CFT (Unregulated Trustees) Code 2018[231] applies. This applies to any "unregulated trustee" which is either resident or foreign and is not already bound by the AML/CFT 2019 Code, such as those trustees (or similar) who are excluded from the Financial Services Act 2008 and trustees not acting by way of business.

The statutory basis for legal arrangements can be found in Article 11 of the Recognition of Trusts Act 1988[232], which states that: "a trust created in accordance with the law specified (by the settlor) shall be recognised as a trust." This means that a trust (i.e., anything with the defined characteristics of a trust regardless of what it is called) created under the laws of any jurisdiction is recognised as a trust in the IOM. This in turn means that a person providing services to any trust in or from the Island is undertaking regulated activity and so is bound by the AML/CFT Code 2019 or the AML/CFT (Unregulated Trustees) Code 2018 as appropriate.

The Recognition of Trusts Act 1988 gives effect to the Hague Convention on the recognition of Trusts.[233] Article 2 of the Recognition of Trusts Act 1988 defines the characteristics of a trust for the purposes of that Act. This means that any trust or legal arrangement, regardless of type, form, or nomenclature used, is defined as a trust in the IOM, and so providing services to it is a regulated activity unless excluded, in which case the AML/CFT (Unregulated Trustees) Code applies. The FATF definition therefore aligns with the definition of a legal arrangement in the Island.

There is no statute which gives legal basis to the formation of a trust in the same way as for legal persons. There is also no express legal basis for a contract, will, or other legal arrangement; rather, the basis for trust is established in case law in the IOM and in England and Wales. The process for settling a trust is well established in common law, as it is across all common law jurisdictions, and is very well-known. To settle a trust, an › individual needs only to seek advice from a professional adviser such as a legal adviser or a professional trustee, who will draft the necessary legal agreements (the trust deed) to settle a trust.

Case law from England and Wales is not binding on the Island's Court; however, it is highly persuasive and the Courts will typically follow precedent unless IOM statute or its own precedent conflicts.

BASIC INFORMATION AND BENEFICIAL OWNERSHIP INFORMATION

Paragraph 12(3) of the AML/CFT Code states that a relevant person must, in the case of a legal arrangement, identify and take reasonable steps to verify the identity of the beneficial owner.

"(a) in the case of an express trust, by identifying -

- (i) the trustees or any other controlling party;
- (ii) any known beneficiaries;
- (iii) any class of beneficiaries and, in respect of a class of beneficiaries where it is not reasonably practicable to identify each beneficiary details sufficient to identify and describe the class of persons who are beneficiaries;
- (iv) the protector (if any);
- (v) the enforcer (if any);
- (vi) the settlor, or other person by whom the legal arrangement is made or on whose instructions the legal arrangement is formed; and
- (vii) any other natural person exercising ultimate effective control over the trust traced through any number of persons or arrangements of any description; and

(b) in the case of other types of legal arrangement by identifying any natural persons in equivalent or similar positions to those mentioned in head (a), traced through any number of persons or arrangements of any description."

Paragraph 5 of the AML/CFT (Unregulated Trustees) Code 2018 states:

"(1) An unregulated trustee must obtain and hold adequate, accurate and current information on the identity of -

(a) the settlor;
(b) any co-trustee;
(c) the protector (if any);
(d) the beneficiaries;
(e) and any other natural person exercising ultimate effective control over the trust.

(2) In respect of a class of beneficiaries where it is not reasonably practicable to identify each beneficiary, details sufficient to identify and describe the class of persons who are beneficiaries."

The AML/CFT (Unregulated Trustees) Code 2018 defines an "unregulated trustee" as:

" a trustee of an express trust that is governed by or otherwise subject to the law of the Island, who:

(a) is either resident in the Island or a foreign trustee;
(b) is not and is not required to be the holder of a licence issued under section 7 of the Financial Services Act 2008 which permits the holder to carry on the regulated activity (within the meaning of section 3(1) of that Act) of providing trust services; and
(c) who is not required to comply with the 2019 Code."

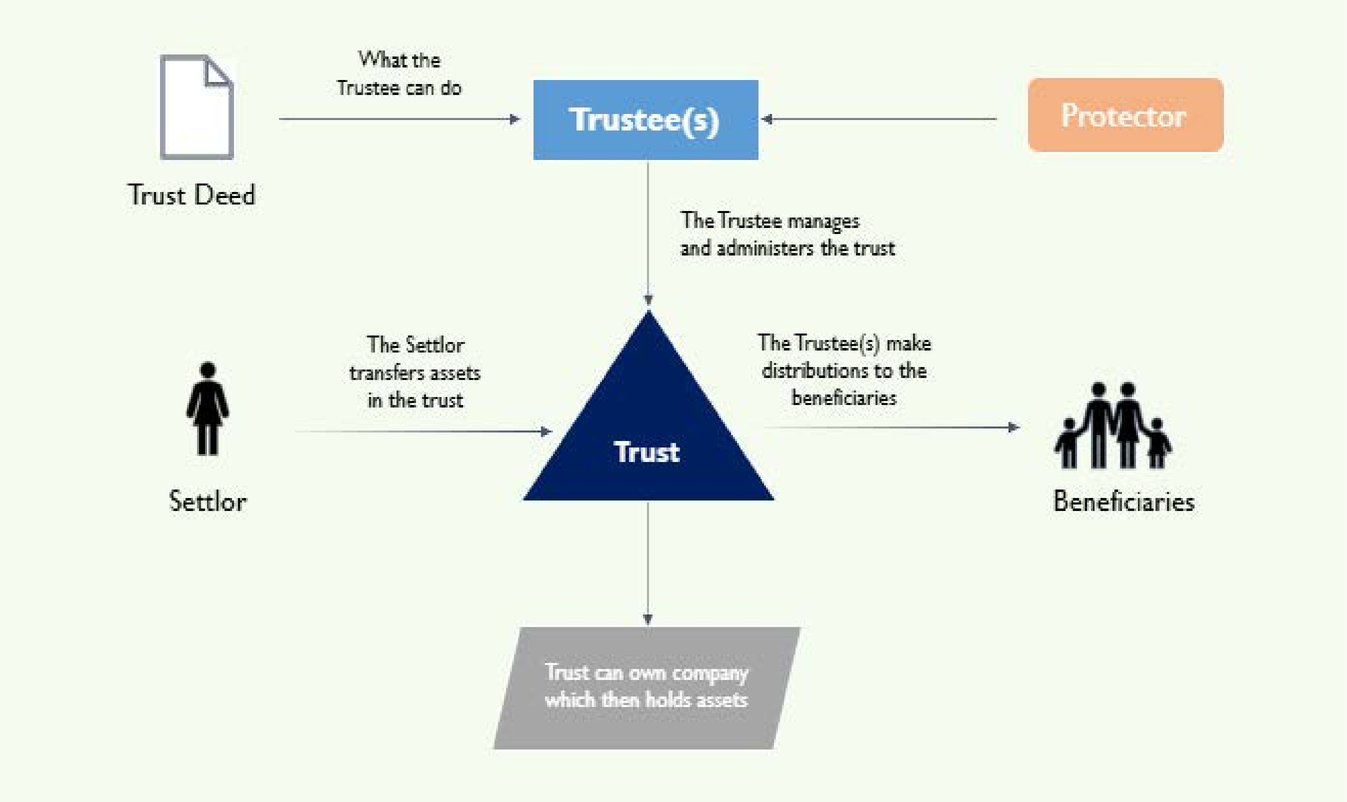
Consequently, the beneficial ownership requirements extend to all legal persons and arrangements[234] to identify and take reasonable measures to verify the identification of the ultimate beneficial owner(s).

Paragraph 41(6) of the AML/CFT Code 2019 and Paragraph 8(1) of the AML/CFT (Unregulated Trustees) Code 2018 requires that a trustee must disclose its status when entering into a business relationship or carrying out an occasional transaction with a DNFBP or FI.

Paragraphs 41(2), (3), and (4) of the AML/CFT Code 2019 and paragraphs 9(2) and (3) of the AML/CFT (Unregulated Trustees) Code 2018 states that a trustee may disclose any information it holds to competent authorities, DNFBPs, and FIs.

A simplified version of a trust structure is in **Figure 6-1**. ›

Figure 6-1: Trust Structure Showing Key Roles



The FATF Glossary[235] defines "legal arrangements" as "…express trusts and other similar legal arrangements. Examples of other similar arrangements (for AML/CFT purposes) may include but are not limited to fiducie, certain types of Treuhand, fideicomiso and Waqf." No such legal arrangements were identified in the IOM.[236]

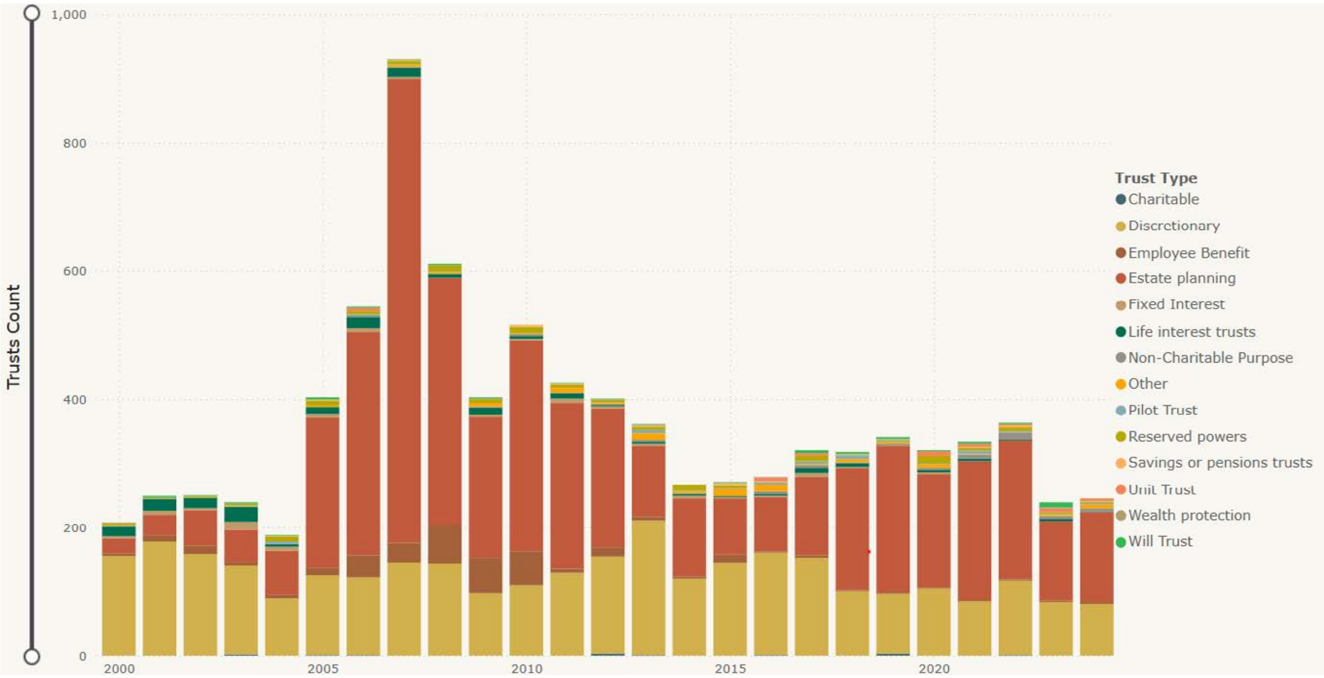
6.2 Scale

As reported by the TCSP sector in the FSA 2024 AML/CFT return, there were **10,596** trusts managed/administered by the sector.

From the TCSP 2025 LPA Return, it was advised that there was a:

- corporate trustee in **99%** of occasions;
- sole trustee in **95.9%** of occasions;
- natural person as a co-trustee in **2.0%** of occasions;
- legal person as a co-trustee in **2.1%** of occasions;
- revocable trust in **4.8%** of occasions;
- formal PTC arrangement in **3.2%** of occasions;
- trust containing an orphan structure in **1.0%** of occasions; and
- a trust holding shares in a PTC in **0.6%** of occasions. ›

Figure 6-2: Count of Number of Trusts by Date of Establishment and Trust Type



Source: TCSP 2025 LPA Return

In addition to the trusts managed and administered by the TCSP sector, advocates may act as trustees where the activity is incidental to the primary service being provided. These tend to be will trusts for those beneficiaries with physical or mental capacity issues. From the FSA AML/CFT 2024 Return, the Legal Professionals sector reported that they had established 23 trusts in 2024.

6.3 Use of trusts

Trusts are used for a wide variety of purposes and in a range of structures. Examples will include:

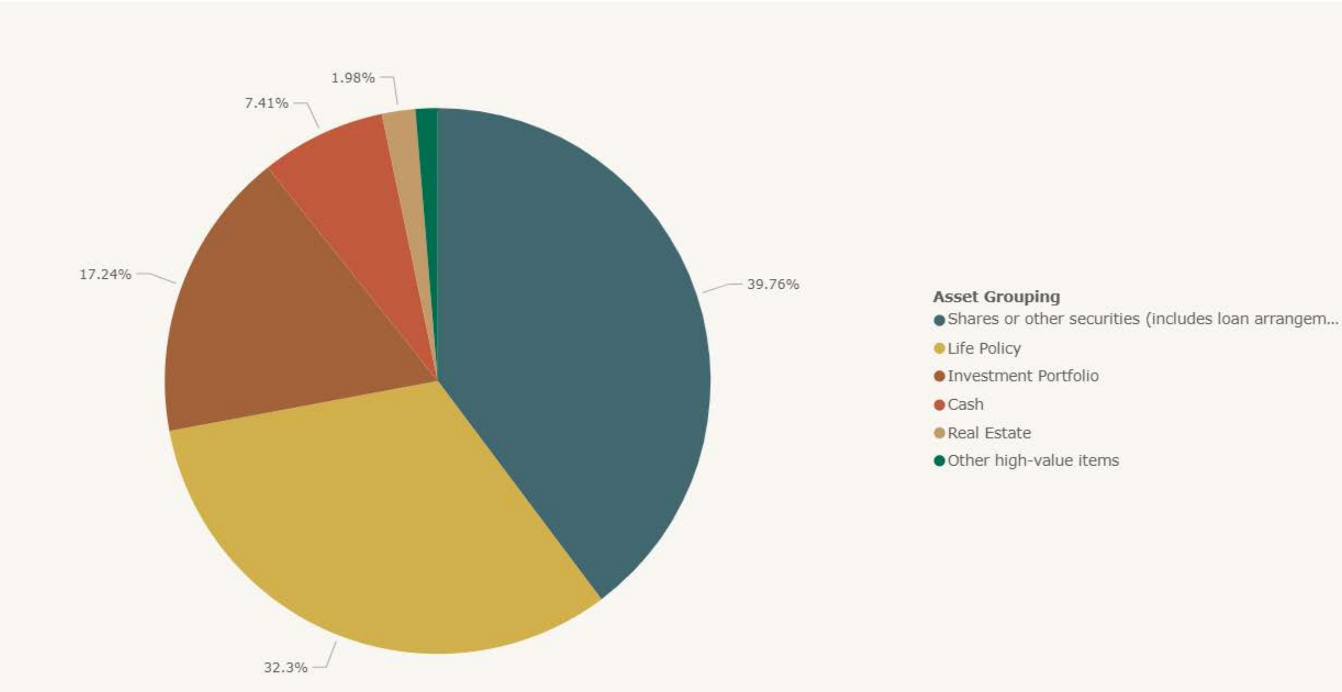
- In the Insurance and Pensions sectors, life insurance wrappers and pension schemes often use trust structures for tax and succession planning.The legal sector will use them for vulnerable clients and for structuring cross-border transactions using IOM entities.
- The iGaming sector may use trusts to hold intellectual property or manage royalty flows to beneficiaries.
- For ships and aircraft, trusts may be used in leasing agreements or to hold assets.
- Trust can be used for charitable purposes, family wealth structuring, and business succession.

Figure A5-1 in **Appendix 5** gives a typical (though hypothetical) example of how a Trust may be used in a structure sitting above a 1931 Act company holding company. **Figure 6-3** shows the type of assets held within the trusts as reported by the TCSP sector, the largest being shares or other securities (including › loan arrangements) (**39.8%**), followed by life policies (**32.3%**). **Figure 6-4** shows the trust asset location for the top 12 jurisdictions, noting that in some cases, more than one jurisdiction applies. The IOM was the location with the largest proportion of assets (**52.1%**) (which was expected as a trust often sits at the top of a structure), followed by the US, UK, and Ireland, which are substantially lower at **8%**, **7.7%**, and **7.5%** respectively.

An analysis of the jurisdictions associated with life policy assets showed that **91.1%** of all life policies were located in the IOM, and **6.7%** in Ireland.

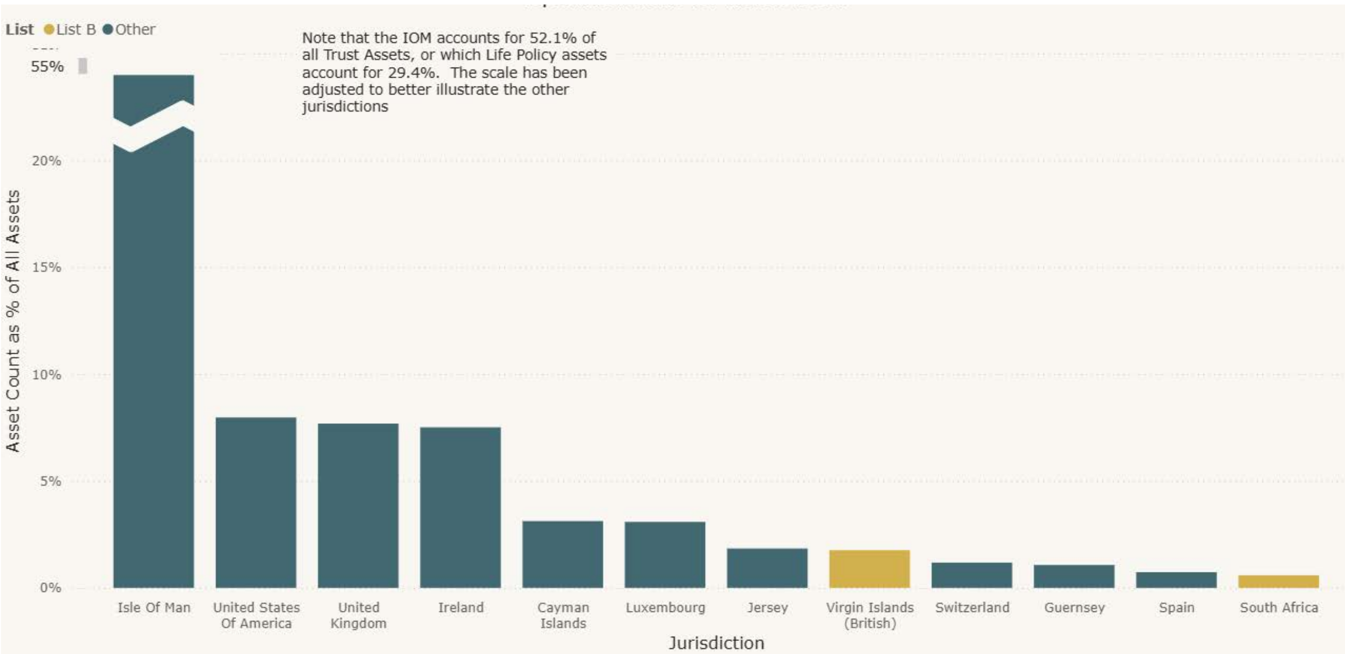
The exposure of trust assets to higher-risk jurisdictions (no list A exposure; all are List B) is comparatively low at **3.3%**, with the BVI representing **1.8%** and South Africa **0.6%**. ›

Figure 6-3: Count of Asset Types in Trusts Displayed as a Percentage



Source: TCSP 2025 LPA Return

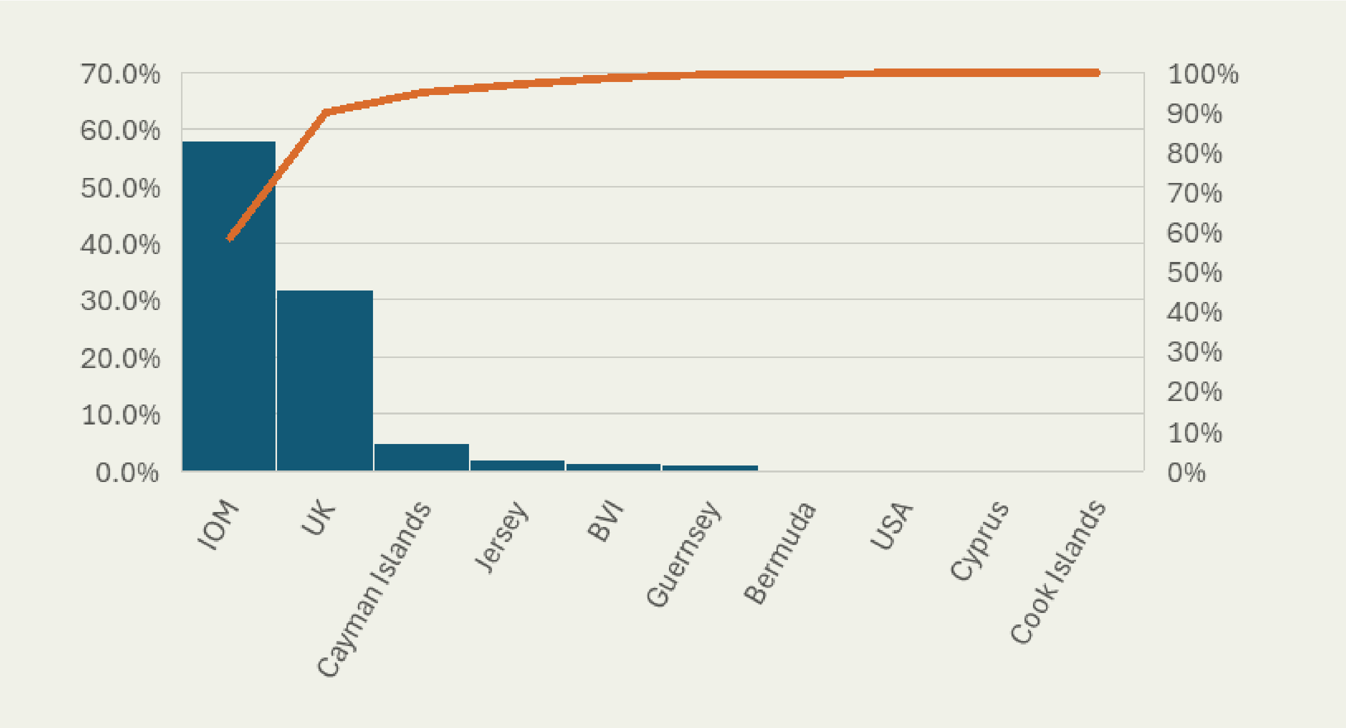
Figure 6-4: Trust Asset Location by Occurrence for Top 12 Jurisdictions



Source: TCSP 2025 LPA Return

The trusts managed and administered by the TCSP sector are a mixture of domestic and foreign trusts. The IOM (**58.0%**) and the UK (**31.7%**) account for **89.7%** of the governing jurisdictions of the trusts (see **Figure 6-5**). ›

Figure 6-5: Governing Jurisdiction for Trusts



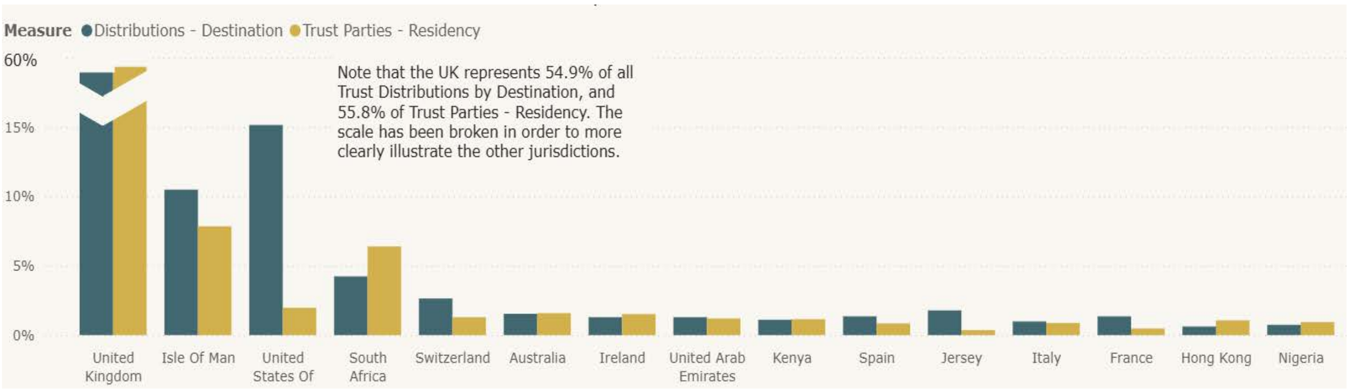
Source: TCSP 2025 LPA Return

From the TCSP 2025 LPA Return, data was provided on the destination of distributions from the trusts. The UK (**54.9%**) was the highest on the list, with the US **(15.1%**) followed by the IOM (**10.5%**). Distributions to higher-risk jurisdictions were largest for South Africa (**4.2%**, although recently removed from List B) and Kenya (**1.1%**).

The residency of the different parties to the trust was also reviewed, with the UK (**55.8%**) the largest, and the IOM (**7.8%**) and South Africa (**6.4%**) as the next jurisdictions. List B exposure, in addition to South Africa, was next largest for Kenya (**1.1%**). There was one List A trust party residence connection.

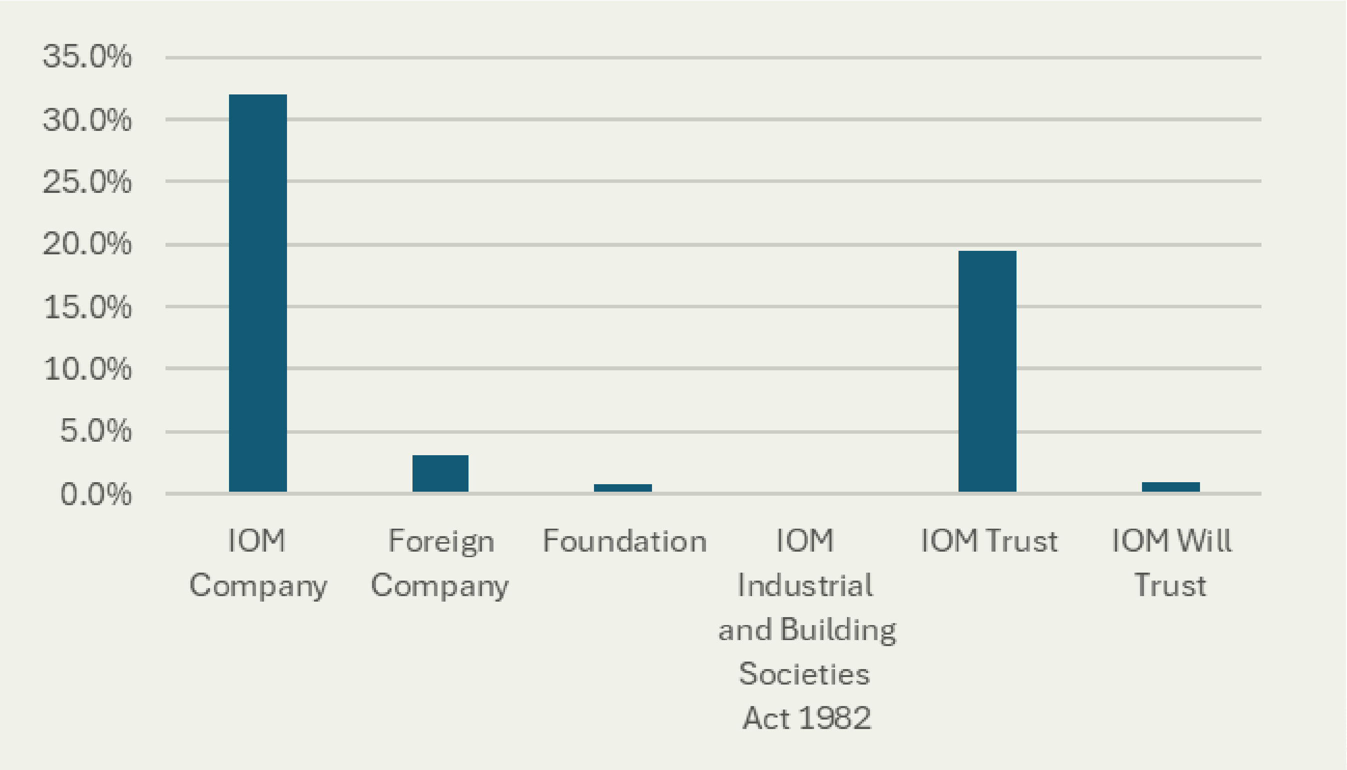
Overall, the country exposure for trusts to higher-risk jurisdictions is now limited following the recent removal (following receipt of industry data) of South Africa from List B. ›

Figure 6-6: Trusts, Distribution Destination, and Trust Parties Residency



Trusts can also be used as charitable trusts, which can be set up for an interest to be directed at a particular charitable purpose, rather than specific people as beneficiaries. They may exist as long as the charitable purpose also exists. From the NPO TF NRA, IOM trusts account for **20%** of legal entity types for charities on the IOM. ›

Figure 6-7: Charities Use of Different Legal Entity Types



Source: AGC

BENEFICIAL OWNERSHIP

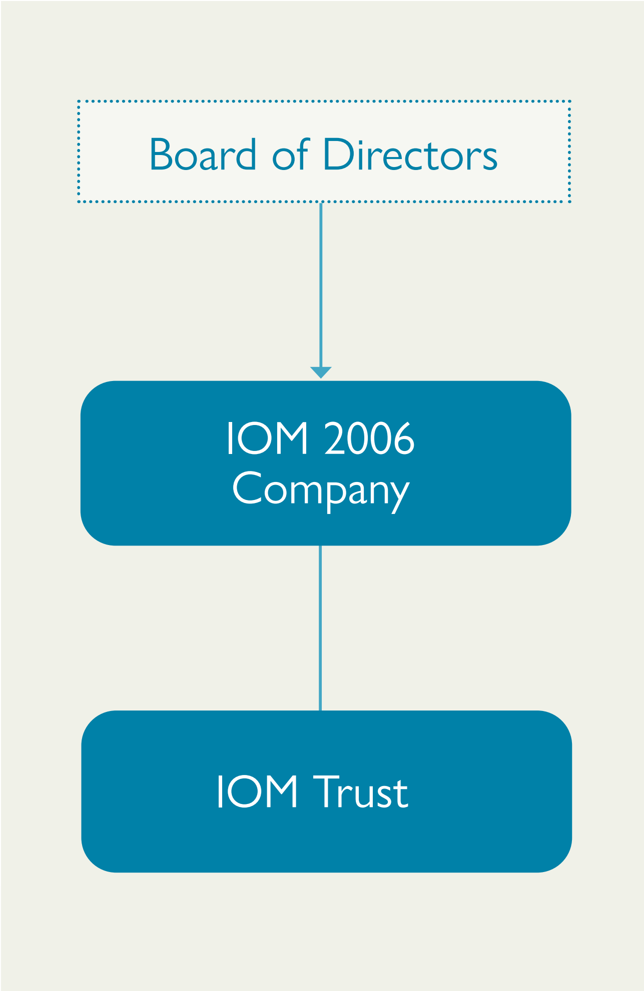
The FATF publication "Beneficial Ownership and Transparency of Legal Arrangements," published in March 2024[237], states:

"22. Trusts may include a range of parties, including: (i) the settlor(s); (ii) the trustee(s); (iii) the protector(s) (if any); (iv) each beneficiary, or where applicable, the class(es) of beneficiaries and objects of a power; and (v) any other natural person(s exercising ultimate effective control over the arrangement.

23. Countries should require trustees to obtain and hold adequate, accurate, and up-to-date beneficial ownership information of all the parties to the trust listed above …."

The IOM does not have a central register of trusts. However, basic and beneficial ownership information may be sourced by competent authorities from service providers including TCSPs, advisers, accountants, lawyers, and other FIs.

As explained in **Chapter 3.3.9.4**, under the Financial Services Act 2008, Insurance Act 2008, Designated Businesses (Registration and Oversight) Act 2015, and the Financial Intelligence Unit Act, competent authorities have the power to obtain information from a wide range of persons (natural and legal).



PRIVATE TRUST COMPANIES

Private trust companies are specialised entities typically structured as companies. They are formed with the specific purpose of acting as trustees for one or more trusts, usually serving a single family or a closely-related group. Some clients do not wish to transfer ownership of their assets into a trust, with the trustees then making all the decisions. This loss of control does not work for all potential settlors. They prefer to create a company, such as an IOM 2006 Act company, as a corporate trustee. The settlor, their family, and other advisers then go onto the Board of the 2006 Act company and act as the corporate trustee. The TCSP will not necessarily be a trustee, but they must be the administrator. The Board of Directors has a fiduciary responsibility.

PTCs are utilised by high-net-worth individuals and families who seek enhanced control over trust assets and governance. They offer significant flexibility, allowing families to influence trust decisions, which is particularly beneficial when managing complex or sensitive assets such as family businesses or high-risk investments. PTCs also support privacy and succession planning, enabling discreet wealth management and smoother intergenerational transitions. Their governance structures can be tailored to align with family values and long-term objectives. In many cases, PTCs are integrated into broader wealth management strategies.

PTCs are not commonly used by the public but serve as a comparatively niche solution for ultra-high-net-worth families. In the IOM, the TCSP 2025 LPA Return showed that **3.2%** of trusts had a formal PTC arrangement; in addition, **0.6%** of trusts held shares in a PTC. Globally, PTCs are more prevalent in jurisdictions like the Cayman Islands, Bermuda, and Jersey. The FSA has issued sector-specific guidance notes[238] on PTCs. The requirements of the AML/CFT Code apply to any activities that are exempted from the Financial Services Act 2008. This includes PTCs which are acting by way of business › and availing themselves of the regulatory exemption for PTCs. (Single Family Offices who are not acting by way of business are not caught by Schedule 4 to POCA and therefore do not have to comply with the AML/CFT Code; however, they must comply with the AML/CFT (Unregulated Trustees) Code 2018.)

PTCs must be administered by a licensed TCSP and are therefore customers of TCSPs, to which the requirements of the Code must be applied, making them subject to review for compliance with the AML/CFT Code 2019 by the FSA through its supervisory activities. TCSPs are required to report the names and number of trustee appointments for each PTC it administers in the Annual Fiduciaries Return to the FSA.

TRUSTS WITHIN STRUCTURES

The TCSP 2025 LPA Return detailed the use of trusts in structures with a legal person. **23.5%** of structures containing a legal person also had an IOM trust, and **18.9%** had a non-IOM trust. Often, the trust is at the top of the structure.

The trust might be at the top as a tax deferral mechanism to allow investments to grow gross of tax. The gross proceeds are reinvested, allowing the compounding effects to enhance growth, before tax is ultimately paid in the required jurisdiction(s).

Trusts might also be used to aid succession planning for family wealth. There may be situations wherein the children are too young/not ready to be entrusted with wealth or assets are put in trust for a spouse. The trust allows a third party to manage the family estate, guided by a letter of wishes, which can be quite specific.

There are also occasions wherein a wealthy individual does not have the time/inclination/expertise to manage their money and they wish to have a third party manage their money for them.

6.4 Threats and mitigants

LAW ENFORCEMENT DATA

LEAs analysed their data for incidence of trusts appearing in investigations. As for legal persons, the way data is captured across the LEAs did not always allow for readily extractable data showing the legal entity type. Within the SAR data, the FIU identified that **14%** of the overall SARs made reference to a trust being part of the structure; this was **5.5%** for inward MLAs identified by the AGC.

Many of PIMLIT's investigations have a trust as part of the structure that they are reviewing. There have been no specific prosecutions or convictions of trusts, but trusts have been involved in prosecution and conviction cases. Overall, the LEA data shows a medium incidence of trusts implicated in ML cases; there have been no TF cases.

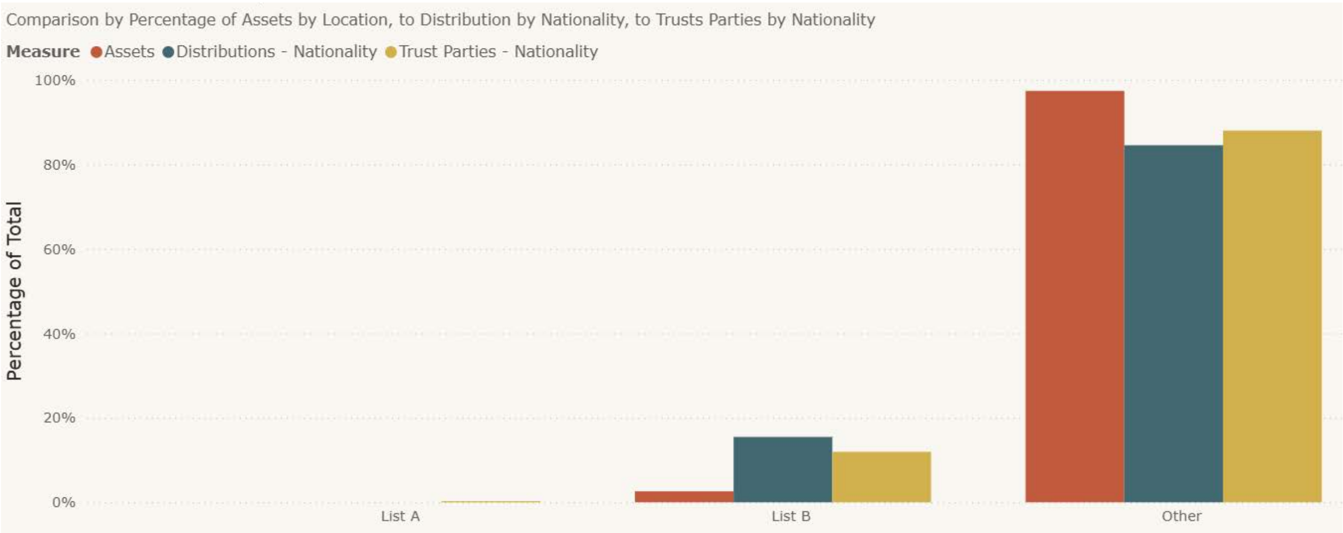
CROSS-BORDER

A comparison was undertaken of the jurisdiction of the asset, compared with the nationality of the distribution. This was then compared with the nationality of the trust parties, by higher-risk Lists A and B.

It is observed that, whilst a very small percentage (**2.6%**) of the underlying assets are located in higher-risk jurisdictions, a greater percentage of the distribution by nationality (**15.5%**) and trust parties by nationality (**12.0%**) are from higher-risk jurisdictions. This correlates to the usage of trusts in the IOM being partly used by those in higher-risk jurisdictions, where the features of a trust structure in the IOM are compelling to them. ›

Many of PIMLIT's investigations have a trust as part of the structure that they are reviewing. There have been no specific prosecutions or convictions of trusts, but trusts have been involved in prosecution and conviction cases.."

Figure 6-8: Comparison of Location of Asset, Distribution by Nationality, and Trust Parties by Nationality



Source: TCSP 2025 LPA Return

NON-TCSP TRUSTEES

Acting as a trustee by way of business is a regulated activity as defined by the Financial Services Act 2008 and therefore the operation of many will sit within the TCSP sector (see **Chapter 6.1**).

Certain parties may be permitted to act as trustee by way of business utilising the applicable exemption(s) provided in the Financial Services (Exemptions) Regulations 2011 – for example, 'deminimis activities.' These parties must be a specified person (as defined) and are still obliged to comply with the AML/CFT Code. The FSA still has supervisory powers over any party utilising an exemption; however, they would not fall into the FSA's routine supervisory plan for AML/CFT compliance unless they are otherwise registered with the FSA as a DNFBP. This approach has been deemed acceptable on the Island following a risk assessment of exemptions and exclusions available within the framework. This particular exemption was assessed as presenting a lower risk of ML/TF. However, an action is recommended to continue to monitor those specified persons utilising such exemptions not subject to routine supervision by the FSA.

Trustees who are not acting by way of business (i.e., not utilising an exemption or not as part of a TCSP service) are subject to the AML/CFT (Unregulated Trustees) Code 2018 in relation to trusts governed by or otherwise subject to the law of the Island.

REVOCABLE TRUSTS

A revocable trust is a trust that may, under the law of any country, be revoked by the settlor (in whole or in part) to provide for the withdrawal of some or all of the assets in the trust or for the transfer of part or all of the assets in the trust to a third party at any point; terminated by the settlor at any point; or that is set up to terminate automatically at a specific date.

The Tax Justice Network report "Trusts: Weapons of Mass Injustice?", published February 2017,[239] states:

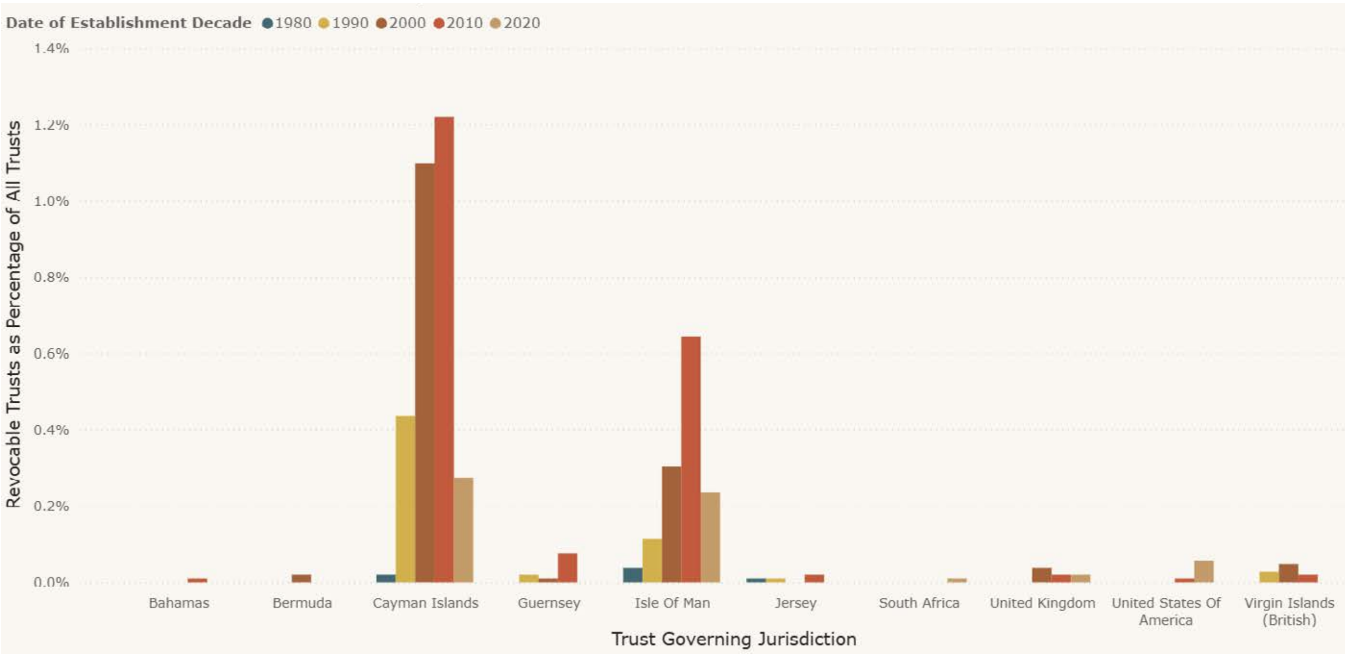
"A revocable trust can be revoked and the money returned to the settlor. This is abusive because the settlor's 'giving away' of the assets is the essence of the trust, creating a barrier between the settlor and the assets. If the settlor can get the assets back later, then that 'giving away' was a fiction."

From the TCSP 2025 LPA Return, **4.78%** of trusts were revocable. Figure 6-9 shows the number that have been established in the past by date (displayed as decades) and › jurisdiction of governance. The largest number were in the 2000s and 2010s, with the Cayman Islands being the largest (**3.04%**) jurisdiction for governance.

Figure 6-10 shows the residency of the settlor of the revocable trust. The largest concentrations of settlors are in Venezuela (**0.45%**), the UK (**0.39%**), Brazil (**0.27%**), the Philippines (**0.22%**), and Mexico (**0.21%**).

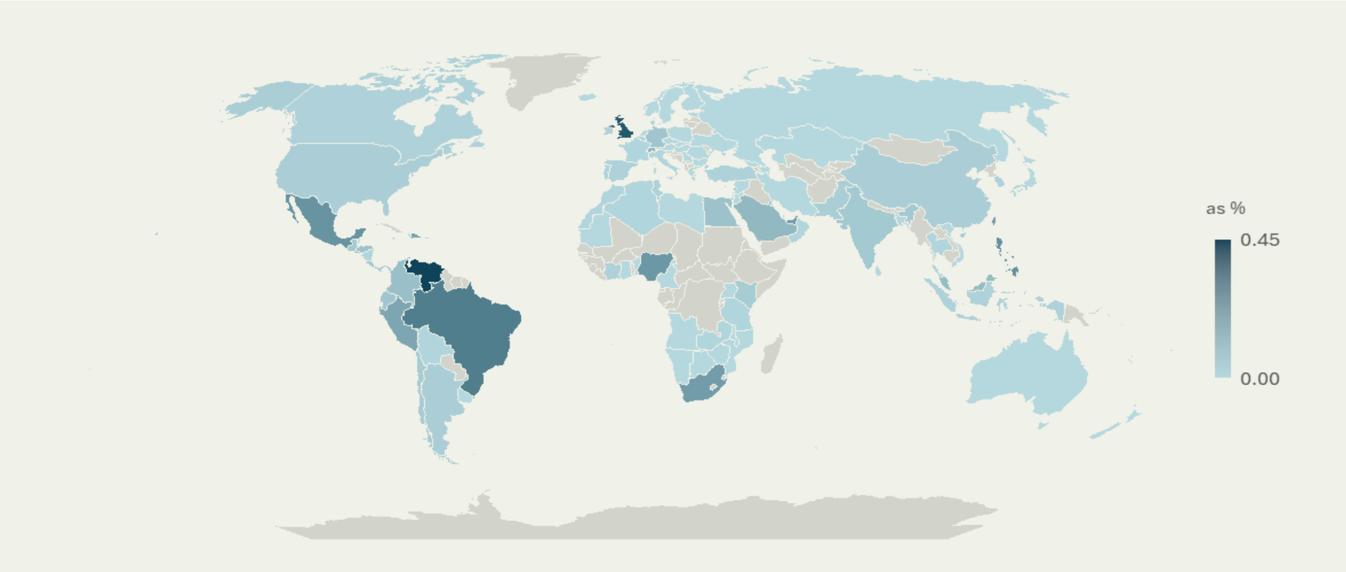
The FSA-issued guidance highlights other risk factors specific to the TCSP sector. Revocable trusts could exhibit some of these risk factors. ›

Figure 6-9: Revocable Trusts – When Established and Jurisdiction of Governance



Source: TCSP 2025 LPA Return

Figure 6-10: Residency of the Settlor of the Revocable Trust



Source: TCSP 2025 LPA Return

ZOMBIE TRUSTS

"Zombie trusts" are so-called because they are legally alive but practically dead. These trusts still exist on paper, hold assets, and have obligations, but they have lost their managers or authorised signatories, often due to mass resignations triggered by sanctions or legal risks. This has become an emerging threat in some jurisdictions, although it is not a known issue in the IOM.

DISCRETIONARY TRUSTS

The UK ML/TF NRA highlights the possible risks from discretionary trusts:

"3.123 Some Jersey trusts have featured in complex corporate networks, covering several jurisdictions and associated predicate crimes including suspected fraud and corruption. Approximately half of Jersey trusts (50.8%) are discretionary trusts. Discretionary trusts are likely to be favoured by criminals as they afford greater autonomy to the trustee, thereby further distancing the settlor from the assets."

Approximately **41%** of IOM trusts reported in the TCSP 2025 LPA Return are discretionary, and these discretionary trusts hold **78.5%** of total trust assets reported. There is no data readily available from LEAs to identify what type of trust appears in the SARs/MLAs/investigations/prosecutions. However, given the high percentage of discretionary trusts in the IOM, the assumption is that there will be these in the LEA cases. Discretionary trusts are used in the Island for the reasons outlined in **section 6.3** above, and this approach is understood on the IOM.

MULTIPLE LAYERS

The FATF Guidance on Beneficial Ownership and Transparency of Legal Arrangements, published March 2024[240], reviews the understanding and assessment of the risks associated with trusts and similar arrangements:

"Moreover, ML/TF risks associated with trusts sometimes derive from the multiple layers and distance that can be created between the beneficiary and the other parties to the legal arrangements, as well as the multi-jurisdictional elements that increase challenges for identification, overall collection and verification of information, and international co-operation (e.g., when the place of administration, location of the trust asset, and residences of the trustee/ settlor and/or beneficiary are in separate jurisdictions)"

The threats from multiple layers across legal persons and legal arrangements are considered in **Chapter 2** ›

6.5 Overall risk level for trusts

SCALE

Numbering 10,596 on the Island, trusts are the second largest category of LPAs, after 1931 Act companies and greater than 2006 Act companies.

CROSS-BORDER RISK EXPOSURE

73.0% of trust assets are located in the IOM. Of the total trust assets, **44.5%** are IOM life policies. The IOM, UK, and Ireland account for **87.5%** of all assets. The IOM and UK also account for **89.7%** of the governing jurisdiction of trusts.

List B exposure is focused on the nationality and residency of the trust parties and the distribution from trusts.

EASE, SPEED, AND COSTS OF FORMATION AND REGISTRATION AND OTHER PRACTICAL MATTERS

Trusts are not registered with the Companies Registry, so the primary fees are for setting up (and servicing) the trust with professional advisers and TCSPs.

BENEFICIAL OWNERSHIP INFORMATION

The IOM does not have a central register for trusts. However, the TCSP will have details on a range of partes, including: (i) the settlor(s); (ii) the trustee(s); (iii) the protector(s) (if any); (iv) each known beneficiary – or, where applicable, the class(es) of beneficiaries and objects of a power; and (v) any other natural person(s) exercising ultimate effective control over the arrangement.

ML/TF CASES AND TYPOLOGIES

The volume of SARs referencing a trust is **14%**; the number of MLAs is lower at **5.5%.** Many of PIMLIT's investigations have a trust in the overall structure. Given that trusts are the second most frequently used legal person or arrangement, they are potentially impacted by the typologies described in **Chapter 2**.

OVERALL

The overall risk rating for ML is **Medium High** and the overall risk rating for TF is **Medium**.

6.6 Summary: Domestic and foreign legal arrangements

Domestic and foreign legal arrangements were not split out in the data requested from the TCSP sector and therefore have been presented combined in this risk assessment. Consideration could be given to seeking greater granularity in any possible future requests.

The overall risk score is in **Figure 6-11.›**

Figure 6-11: Overall ML Risk Score for Legal Arrangements

Source: World Bank Tools

Figure 6-12: Overall ML and TF Ratings for Legal Arrangements

Legal Entity Type	Money Laundering Rating	Terrorist Financing Rating
Trusts	Medium High	Medium Low

Source: World Bank Tools

CHAPTER 7

Limited Partnerships Without Legal Personality and General Partnerships

7. Limited partnerships without legal personality and general partnerships

INTRODUCTION

Limited partnerships without legal personality are governed by the Partnership Act 1909. The partnership cannot own assets or incur liabilities in its own name and assets/liabilities are held directly by the partners. Notwithstanding the registration requirements with the Companies Registry, the partnership is not a separate legal entity.

General partnerships are also governed by the Partnership Act 1909 and involve two or more individuals conducting business together with a view to profit. They are not separate legal entities, and partners share liability and management responsibilities.

Figure 7-1 is an extract from **Appendix 1** showing the position for both arrangements which have been included for completeness, although neither are separate legal entities and therefore data was not collated from the TCSPs regarding these partnerships.

Limited partnerships must be registered as such, or they may be deemed to be general partnerships. Partners may be individuals or companies. A partnership must ordinarily consist of no more than twenty members. This is subject to certain exceptions, such as if it is carrying on business of advocates, accountants, members of a stock exchange, or meets the criteria of a collective investment scheme. A limited partnership must have one or more general partners with unlimited liability (often a SPV) and one or more limited partners. A limited partner's liability is restricted to the amount of capital contributed by them. As with a general partnership, general partners have authority to bind all the other partners in contracts with third parties in the ordinary course of the partnership's business. As a general rule, a limited partner may not withdraw their contribution during the life of the partnership and may not take part in the day-to-day management of the partnership.

They are sometimes used in the IOM by the Funds sector – although this is a comparatively small sector compared to other jurisdictions, such as Jersey, which has much larger limited partnership numbers and a larger Funds industry.

As of December 2024, there were 89 limited partnerships without legal personality and 404 general partnerships. The Assessor of Income Tax has a record of all general partnerships that have registered with them in accordance with various reporting provisions in the Income Tax Act 1970, in particular Section 62D. Partnerships required to register as general partnerships could be formed under IOM law or under the laws of another jurisdiction.

IOM limited partnerships are registered automatically with the ITD via an interface with the Companies Registry and their partner data is publicly available for a fee. All general partnerships and limited partnerships are required to file a tax return for each tax year. The tax return requests details of the partners, partnership income, and partner profit shares for the applicable tax year, plus other relevant data such as taxable payments made to others, the controlling partner, and information relevant for economic substance.

Apart from flexibility, many of the benefits of limited partnerships relate to the structure's separation between management and ownership. This gives the entity the ability to raise capital without giving up control. Uses of this feature include:

- investments, such as hedge funds, exempt funds, or even direct trading into securities and other assets;
- commercial and residential property;
- luxury/depreciating assets; or
- operational and tax transparency (paying personal rates of taxation rather than corporate rates). ›

Figure 7-1: Partnerships' Beneficial Ownership Information and Basic Information

Control	Detail	Partnerships	
		Limited Partnerships without Legal Personality	General Partnerships
Number of entities as at 31/12/2024		89	404
Materiality: % of total		0.22%	1.01%
	source for data on number of entities	*Company Registry*	*ITD*
Beneficial Ownership Act 2017 Applies		✗	✗
IOM Income Tax Division Capture Unverified UBO Details		✗	✓
Registered Office	The registered office is the official address of a company in the Isle of Man	✓	✗
Registered Agent	A registered agent is a licensed person or firm appointed by a company to handle its statutory compliance and filings	✗	✗
Nominated Officer	For those to which the BOA 2017 applies, they must have a nominated officer (either a natural person resident in the island or a licensed TCSP).	✗	✗
Basic Information held by Companies Registry	The name & number of the company	Name	✗
	Proof of incorporation	✓	✗
	Legal form and status	✓	✗
	Registered office address	✓	✗
	Basic regulatory powers	✗	✗
	List of directors/ sectretaries	Partners ✓	✗
Basic Information held by ITD	Name	✓	✓
	Address	✓	✓
	Date of Birth	✗	✗
	Jurisdiction of Tax Residence	TIN for some	TIN for some
Beneficial Ownership information collected and reported by ITD for CRS for each AccountHolder of IOM Entities that are Reporting Financial Institutions - this is <u>not all entities</u> (this includes many c7,500 <u>but not all</u> Trusts managed by TCSPs)	Name	✓	✓
	Address	✓	✓
	Jurisdiction(s) of tax residence	✓	✓
	Taxpayer Identification Number	✓	✓
	Date of Birth	✓	✓
	Place of Birth	✓	✓
	Account balance or value	✓	✓
	Income or proceeds paid or credited to the Trust	✓	✓
	IOM Beneficial Ownership Database	✗	✗
	Beneficial Ownership details with Income Tax Division	partial	✓
	TCSP - hold where they administer client	held for clients	held for clients

Source: Companies Registry and ITD

CHAPTER 8

Collective Investment Schemes

8. Collective investment schemes

Collective investment schemes are defined in the Collective Investment Schemes Act 2008[241] as:

"arrangements with respect to property of any description, including money, the purpose or effect of which is to enable persons taking part in the arrangements (whether by becoming or being owners of the property or any part of it or otherwise) to participate in or receive profits or income arising from the acquisition, holding, management or disposal of the property or sums paid out of those profits or income."

A CIS is specified as a 'business in the regulated sector' under Schedule 4 to the Proceeds of Crime Act 2008 and is subject to the requirements of the AML/CFT Code (as a 'relevant person'). The governing body is responsible for a scheme's compliance with all relevant provisions of the AML/CFT Code. In practice, however, such activity is often delegated to the scheme's appointed manager/administrator. Despite any such delegation, the governing body is ultimately responsible for the scheme's compliance with the AML/CFT Code.

CIS arrangements must be set up so that the participants in the scheme do not have day-to-day control over the management of the property. They use a variety of LPAs both within the IOM and overseas. The schemes are subject to the AML/CFT framework either in the IOM or their home jurisdictions. Whilst there are a number of IOM funds, most are private arrangements (i.e., exempt schemes).

Figure 8-1 shows how the 175 CISs were distributed as of 31st December 2024, by legal entity type as well as jurisdiction of regulation. Those that are regulated outside of the IOM (primarily in the BVI or Cayman Islands) are administered in the IOM.

As per **Figure 1-6**, there were 30 Class 3 services to CIS licences issued by the FSA, which includes a number of TCSP firms. ›

Figure 8-1: Jurisdictional Exposure by Legal Entity Type for Collective Investment Schemes, as of 31st December 2024

Legal Entity Type	Country							
	BVI	Cayman	IOM	Ireland	Jersey	UK	USA	Total
Limited Partnership	5	18			6	1	1	31
Limited Partnership with legal personality			6					6
Limited Partnership without legal personality			18					18
Ltd Company	5	22	18					45
PCC		1	4					5
Plc			17	2		2		21
Unit Trust		3	45		1			49
Total	10	44	108	2	7	3	1	175

Source: FSA

Section 5(2)(e) of the BOA exempts CISs from the Act and the Companies Registry does not hold RBO details:
"This Act does not apply to –

- a legal entity which is a collective investment scheme within the meaning of section 1 of the Collective Investment Scheme Act 2008 which is –
- an authorised scheme;
- an international scheme; or
- an exempt scheme, within the meaning of that Act."

A number of CISs have multiple investors; therefore, there would not be an individual that would meet the RBO requirement in the BOA. **Figure 8-2** shows the scheme types by jurisdiction. In the IOM, there are 75 exempt schemes (as defined in Schedule 3 to the Collective Schemes Act), which are private arrangements that have fewer than 50 investors and prohibit the public from subscribing. 59 [242] of these 75 exempt schemes have 4 or fewer unit holders and would therefore potentially need to provide RBO details to the Companies Registry if the Beneficial Ownership Act applied. An analysis of these 59 exempt schemes shows that:

- their legal entity types are:
  - limited partnership: 16;
  - limited company: 3;
  - unit trust: 40; and
- unit holders reside in:
  - the IOM: **31.5%**;
  - the UK: **28.9%**;
  - the European Community: **10.1%**;
  - the rest of the world: **29.5%**.

Managers, administrators, trustees, fiduciary custodians, or custodians that provide services in or from the IOM to exempt or exempt-type schemes are required to be licensed under the Financial Services Act 2008 to conduct Class 3 regulated activity. One fund functionary will typically hold due diligence, usually the administrator/manager, though other functionaries may have the right of review, per any requirements.

Figure 8-2: Scheme Types by Jurisdiction

Scheme Type	Country							
	BVI	Cayman	IOM	Ireland	Jersey	UK	USA	Total
Authorised			1				1	1
Closed Experienced Investor Funds			1					1
Exempt Scheme			75					75
Qualifying Experienced Investor Funds			1					1
Qualifying Funds			3					3
Regulated			4					4
Specialist Funds			8					8
Closed Ended Investment Cos	1	1	15			2		19
Overseas- Exempt Type Scheme	7	3			6	1		17
Overseas Funds	2	40		2	1		1	46
Total	10	44	108	2	7	3	1	175

Source: FSA

The risk from CISs being exempted from the Beneficial Ownership Act is deemed to be **Low**. The impacted schemes will be exempt schemes and the competent authorities can obtain beneficial ownership information from the Class 3 licensee if information is required for intelligence or investigation purposes. This position can be reviewed in the future if there is any subsequent evidence of these schemes being used for illegal activity. ›

CHAPTER 9

The Impact of Artificial Intelligence on Legal Persons and Arrangements

9. The impact of Artificial Intelligence on Legal Persons and Arrangements

9.1 Introduction

The development of artificial intelligence is reshaping the financial crime landscape. For jurisdictions with a large cross-border client base and a sophisticated TCSP sector, AI represents an opportunity to strengthen detection, but also results in a set of new and fastmoving threats. International bodies, including the FATF,[243] the Egmont Group,[244] and Europol,[245] note that data-driven analytics, machine learning, and collaborative analysis can materially improve the effectiveness of AML/CFT, while simultaneously recognising that criminals are using generative AI (GenAI) and synthetic media (deepfakes) to defeat onboarding, identity verification, and ongoing monitoring controls.

The IOM's risk profile is characterised by a predominance of non-resident customers, exposure to foreign predicate offences, and the frequent use of multi-jurisdictional structures administered by professional intermediaries. AI-enabled obfuscation therefore compounds risks already identified in this NRA, particularly where structures are complex and span several jurisdictions.

9.2 AI-driven risks for LPAs

SYNTHETIC IDENTITIES AND DOCUMENT MANIPULATION

Deepfake media and synthetic content can be used to create, alter, or mimic identification documents and pass remote "know your customer" and liveness checks during company formation or onboarding with TCSPs and FIs. The US Financial Crimes Enforcement Network[246] has flagged rising deepfake-enabled fraud targeting FIs, including altered IDs and synthetic audio/video used to circumvent authentication. Open-source research shows a marked uptick in deep-fake attempts against CDD processes.

AUTOMATED OBFUSCATION OF OWNERSHIP AND CONTROL

AI can rapidly generate or recommend layered ownership chains across multiple jurisdictions (including the use of foreign legal persons), exploit nominee arrangements, and adapt structures dynamically to frustrate beneficial ownership tracing. This risk interacts with the known vulnerabilities of complex, multi-jurisdictional structures already highlighted in this NRA.

AI-ASSISTED TRADE-BASED AND INVOICE FRAUD

Generative models can fabricate highly realistic invoices, bills of lading, and corporate communications to support sham › transactions or circular flows through LPA structures, increasing the risk of trade-based money laundering linked to IOM-administered structures. Europol reports that GenAI lowers the barrier to falsifying documentation used in fraud and laundering schemes.

REALTIME EVASION OF MONITORING AND SANCTIONS SCREENING

AI can test, learn from, and adapt to transaction monitoring thresholds and sanctions screening, enabling rapid layering through complex structures. The FATF's digitalisation work underscores the dual nature of advanced analytics which can be powerful for both defenders and adversaries.

9.3 Emerging typologies relevant to the IOM

AI-ASSISTED SHELL NETWORKS

Multiple companies can be created across jurisdictions including the IOM, with synthetic directors/beneficiaries and staged transactions to simulate commercial purpose, followed by rapid dissolution once funds exit. This builds directly on typologies already observed regarding foreign ownership/control and multi-jurisdictional splitting.

DEEPFAKE-ENABLED ONBOARDING

Criminals use faceswap tools and virtual cameras to bypass liveness checks with TCSPs or banks in order to obtain services for a newly-formed company. The FATF document "Horizon Scan: Artificial Intelligence and Deepfakes"[247] states:
"Artificial intelligence and deepfake technologies are reshaping the financial crime landscape, introducing both unprecedented risks and new opportunities for detection and prevention. As these tools become more accessible and sophisticated, they challenge existing AML/CFT/CPF frameworks, particularly in areas like customer due diligence, identity verification, and transaction monitoring. The FATF's horizon scan on this topic underscores the need for enhanced vigilance and continuous innovation.
To stay ahead of evolving threats, stakeholders must not only strengthen safeguards but also harness AI responsibly to reinforce the integrity of the global financial system."

AI-CURATED NOMINEE ECOSYSTEMS

AI can assist with automated identification of jurisdictions with weaker enforcement, coordinated use of foreign legal persons and non-professional trustees, and algorithmic rotation of "fronts" (e.g., nominee shareholders), complicating BO tracing.

AI-AMPLIFIED SANCTIONS EVASION

AI can assist with dynamic restructuring of ownership/control in response to sanctions updates, coupled with AI-generated paperwork to disguise asset provenance or control (e.g., aircraft, yachts, or high-value property held within IOM-related structures).

THE USE OF AI FOR NARRATIVE LAUNDERING

AI can be used to publish articles, blog posts, even entire websites just to have one post or article within it that is picked up by search tools, with the intention of cleaning a false narrative. This is sometimes referred to as "narrative layering," and while the practice is nothing new, AI amplifies the threat. This could be used to fabricate a company's commercial rationale, trading history, or beneficial owner background and create supporting 'open-source' evidence that appears during due diligence checks. The risk can be mitigated by the staff in firms having an awareness of the threat.

9.4 Opportunities for AI to strengthen mitigation

Supervisors, FIUs, and supervised entities can use machine learning to prioritise higher-risk structures, detect anomalous beneficial ownership patterns, and identify cross-firm typologies. Egmont states[248]:

"Technology has immense potential to increase the efficiency of AML/CFT workflows and the effectiveness of AML/CFT efforts.
In recent years, operational agencies across the FATF Global Network and the Egmont Group, regardless of their development and size, have been incorporating different digital tools to assist their operational efforts. These tools range from automation to the use of large datasets, big data, and advanced analytics like AI and machine learning." ›

Sector guidance and alerts provide practical red flags (e.g., artefacts in video streams, abnormal capture metadata, recurring device fingerprints) that can be embedded into onboarding and periodic review.

Various tools can flag unusual control paths (e.g., circular ownership, rapid director turnover) across the IOM's beneficial ownership datasets and TCSP records, complementing existing FSA inspections and Companies Registry assurance activities. This directly supports the IOM's multi-pronged beneficial ownership approach and the focus on complex structures in this NRA.

Given the UK's cross-cutting focus on AI in its 2025 NRA[249], regulated firms operating cross-border should maintain inventories of AI use, test controls for bias/robustness, and ensure explainability in compliance functions. The UK NRA states:

"As set out in the AI Opportunities Action Plan the capabilities of AI are developing at an extraordinary pace and offer remarkable opportunities across both the public and private sector for the UK. This applies to the prevention of money laundering and terrorist financing. Unfortunately, as with many other useful forms of technology, AI can also be abused for criminal purposes. Whilst criminals will continue to use proven methods they also seek to adapt to new opportunities."

9.5 Assessment of threats, vulnerabilities, and impact

- **Threat:**
  AI accelerates external, cross-border ML threats by enabling scalable identity and document fraud, faster layering, and adaptive evasion. This aligns with the NRA's finding that ML threat is primarily external and linked to foreign predicate offences. There are also threats that a regulated firm may face from: staff using AI tools to shortcut CDD narratives, with quality and reliability issues; third-party providers using AI models with inaccurate/questionable training data; and staff over-trusting AI.

- **Vulnerabilities:**
  - Formation and onboarding: Remote processes and non-face-to-face relationships can be exploited by deepfakes/synthetic identities, especially where only single-vendor liveness checks are used or where limited service offerings (Registered Office/Registered Agent only) are provided.
  - Complex structures: AI can intensify opacity (horizontal structures, foreign shells, nominee layering), heightening the challenge of establishing beneficial ownership and control across borders.
  - Data and skills: Uneven adoption of deepfake detection, limited access to shared risk indicators, and skills gaps in TCSPs/competent authorities/regulators reduce early detection. International guidance stresses capability building and secure information sharing.
  - Pace of change: AI is advancing faster than control environments.

- **Impact:**
  If not mitigated, AI-enabled abuse could increase the share of LPAs in SARs and MLA requests relative to their customer base proportion and raise remediation costs across the TCSP sector (CDD refresh, beneficial ownership discrepancy handling, and sanctions screening). This could also elevate reputational risk given the IOM's status as an IFC.

9.6 Possible actions

The FIU could issue typologies and red flag indicators for deepfake/synthetic identity, AI-assisted nominee misuse, and AI-enabled trade documentation fraud.

Across the IOM, consideration could be given to uplifting knowledge in the skills and tools (such as adversarial[250] testing) required to detect and prevent criminal activity using AI. This would be aimed at both agencies and industry.

Industry should consider how their BRA assesses AI-enabled threats and controls, linking to the Customer Risk Assessment and Technology Risk Assessment. ■

CHAPTER 10

Appendices

Appendices

Appendix 1: Summary of legal entity, beneficial ownership, and basic information

Figure A1-1: Requirements Collated by the Companies Registry and Income Tax Division

Control	Detail	Domestic Legal Persons							Foreign Legal Persons			Legal Arrangements	Partnerships	
		1931 Act Companies	2006 Act Companies	Foundations Act 2011	LLC Act Companies	Limited Partnerships with Legal Personality	Industrial & Building Societies	Credit Union	Foreign-Registered Companies	Foreign Companies-IOM tax resident	Foreign Companies	Trusts	Limited Partnerships without Legal Personality	General Partnerships
Number of entities as at 31/12/2024		15143	9831	211	91	107	6	1	484	847	2332	10596	89	404
Materiality: % of total		37.72%	24.49%	0.53%	0.23%	0.27%	0.01%	0.00%	1.21%	2.11%	5.81%	26.40%	0.22%	1.01%
	source for data on number of entities	Company Registry	Company Registry	Company Registry	Company Registry	Company Registry	Company Registry	Company Registry	Company Registry	ITD	TCSP LPA return	2024 AML/CFT Return	Company Registry	ITD
Beneficial Ownership Act 2017 Applies		✓	✓	✓	✓	✓	✗	✗	✗	✗	✗	✗	✗	✗
IOM Income Tax Division Capture Unverified UBO Details		✗	✗	✗	✗	✗	✗	✗	✓	✓	✗	✗	✗	✓
Registered Office	The registered office is the official address of a company in the Isle of Man	✓	✓	✓	✓	✓	✓	✓	✓	✗	✗	✗	✓	✗
Registered Agent	A registered agent is a licensed person or firm appointed by a company to handle its statutory compliance and filings	✗	✓ TCSP	✓ TCSP	✓ Advocate or other	✗	✗	✗	✗	✗	✗	✗	✗	✗
Nominated Officer	For those to which the BOA 2017 applies, they must have a nominated officer (either a natural person resident in the island or a licensed TCSP).	✓	✓	✓	✓	✓	✗	✗	✗	✗	✗	✗	✗	✗
	TCSP Nominated Officer	25.90%	98.00%	99.00%	51.80%	96.20%								
	Individual Nominated Officer	74.10%	2.00%	1.00%	48.20%	3.80%								
Basic Information held by Companies Registry	The name & number of the company	✓	✓	✓	✓	✓	✓	✓	✓	✗	✗	✗	Name	✗
	Proof of incorporation	✓	✓	✓	✓	✓	✓	✓	✗	✗	✗	✗	✓	✗
	Legal form and status	✓	✓	✓	✓	✓	Rules ✓	✓	✗	✗	✗	✗	✓	✗
	Registered office address	✓	✓	✓	✓	✓	✓	✓	✓	✗	✗	✗	✓	✗
	Basic regulatory powers	✓	✓	✓	✓	✗	Rules ✓	✓	✗	✗	✗	✗	✗	✗
	List of directors/ secretaries	✓	✓	✓	✓	✓	Members ✓	✓	✗	✗	✗	✗	Partners ✓	✗
Basic Information held by ITD	Name	some	some	some	some	some	some	some	✓	✓	✗	some	✓	✓
	Address	some	some	some	some	some	some	some	✓	✓	✗	some	✓	✓
	Date of Birth	some	some	some	some	some	some	some	✓	✓	✗	some	✗	✗
	Jurisdiction of Tax Residence	some	some	some	some	some	some	some	✓	✓	✗	some	TIN for some	TIN for some
Beneficial Ownership information collected and reported by ITD for CRS for each AccountHolder of IOM Entities that are Reporting Financial Institutions - this is <u>not all entities</u> (this includes many c7,500 <u>but not all</u> Trusts managed by TCSPs)	Name	✓	✓	✓	✓	✓	✓	✓	✓	✓	✗	✓	✓	✓
	Address	✓	✓	✓	✓	✓	✓	✓	✓	✓	✗	✓	✓	✓
	Jurisdiction(s) of tax residence	✓	✓	✓	✓	✓	✓	✓	✓	✓	✗	✓	✓	✓
	Taxpayer Identification Number	✓	✓	✓	✓	✓	✓	✓	✓	✓	✗	✓	✓	✓
	Date of Birth	✓	✓	✓	✓	✓	✓	✓	✓	✓	✗	✓	✓	✓
	Place of Birth	✓	✓	✓	✓	✓	✓	✓	✓	✓	✗	✓	✓	✓
	Account balance or value	✓	✓	✓	✓	✓	✓	✓	✓	✓	✗	✓	✓	✓
	Income or proceeds paid or credited to the Trust	✓	✓	✓	✓	✓	✓	✓	✓	✓	✗	✓	✓	✓
	IOM Beneficial Ownership Database	✓	✓	✓	✓	✓	✗	✗	✗	✗	✗	✗	✗	✗
	Beneficial Ownership details with Income Tax Division	partial	partial	partial	partial	partial	partial	partial	✓	✓	✗	partial	partial	✓
	TCSP - hold where they administer client	held for clients	✓	✓	held for clients	✓	held for clients	held for clients	✓	✓	✓	✓	held for clients	held for clients

or jurisdiction of incorporation

Appendix 2: Summarised registrable beneficial ownership process

Figure A2-1: RBO Process Where the Nominated Officer is a TCSP

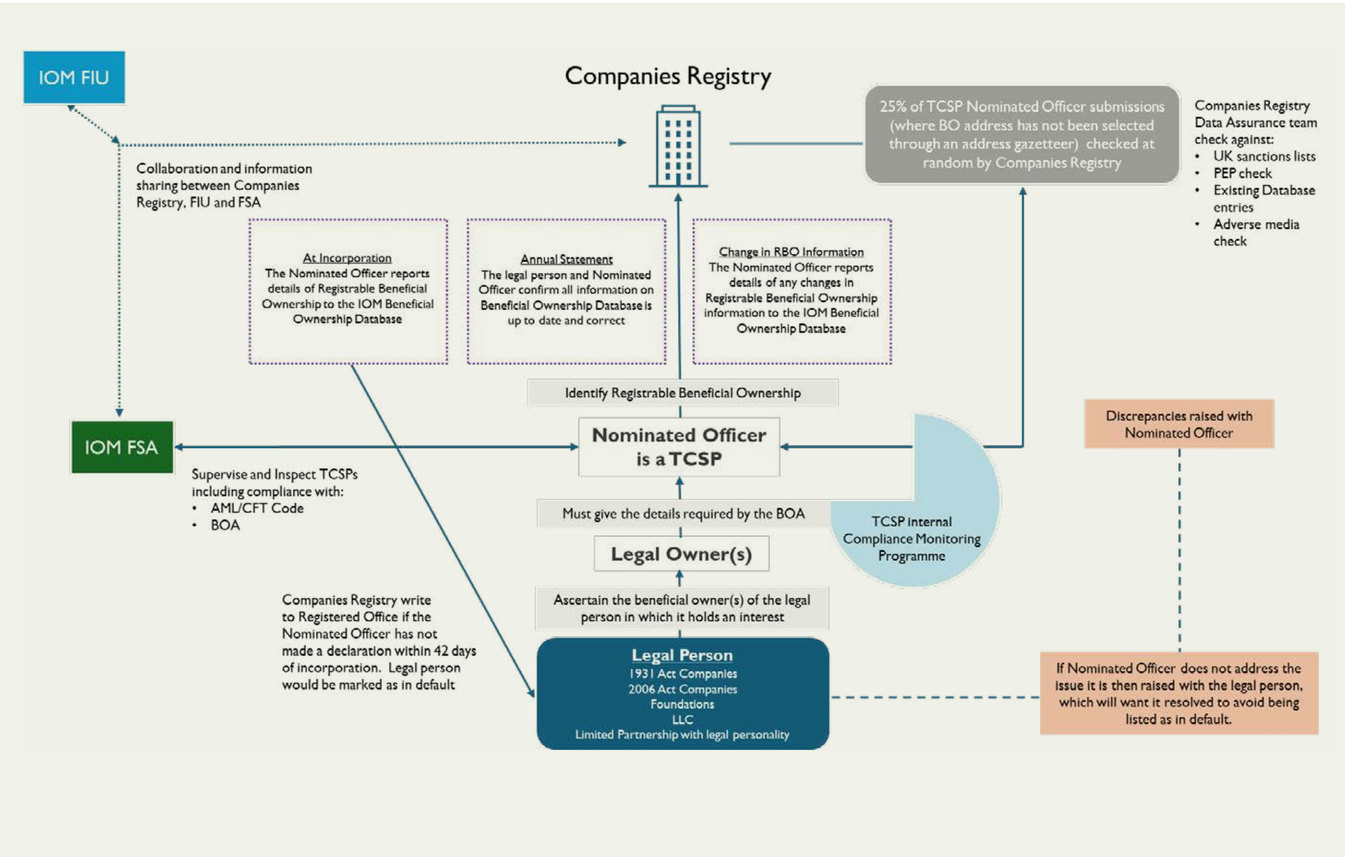
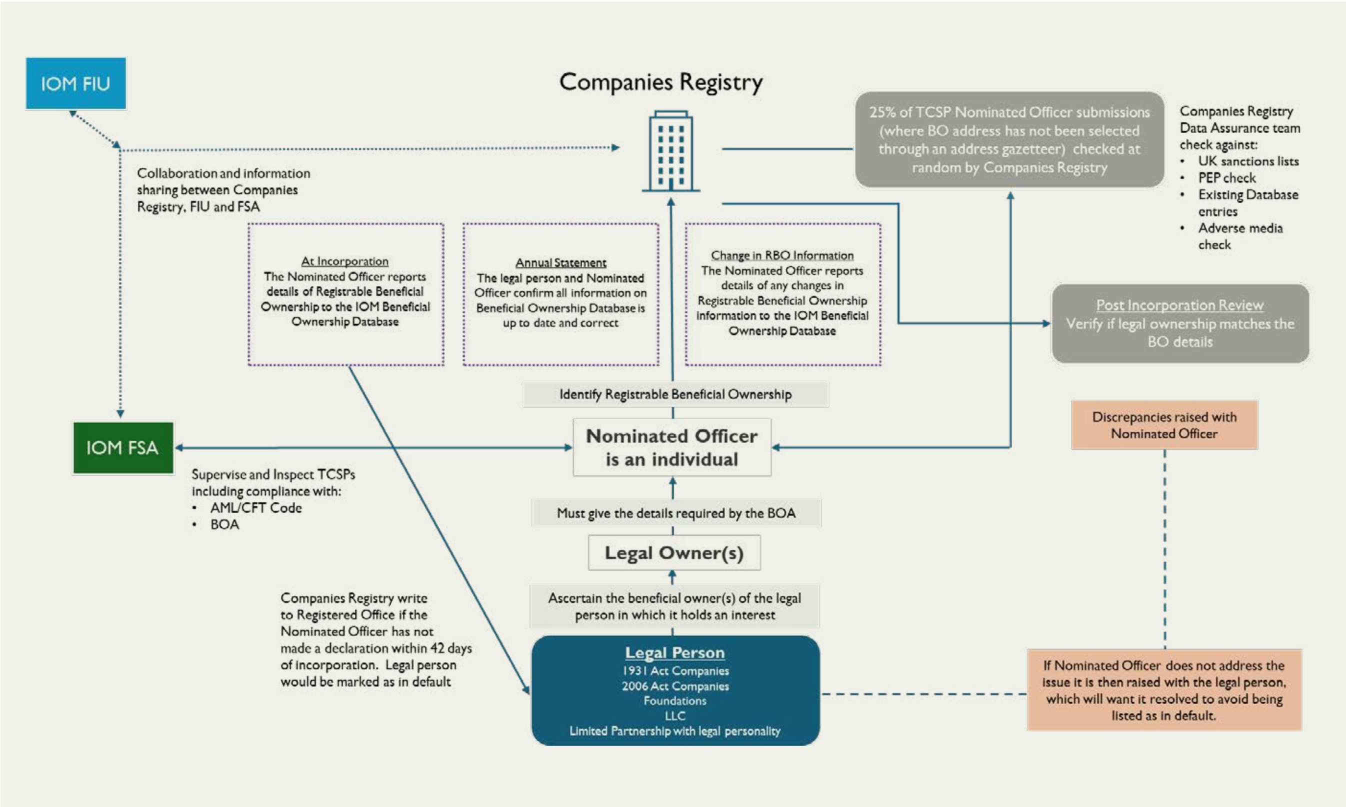


Figure A2-2: RBO Process Where the Nominated Officer is an Individual



Appendix 3: Relevant key legislation

PRIMARY LEGISLATION (ACTS OF TYNWALD)

These create or amend the core AML/CFT legal framework and institutional powers.

Act	Key Changes/ Purpose	Date
Beneficial Ownership Act 2017	Established a central Beneficial Ownership Database for corporate/ legal entities. Amended by the Beneficial Ownership (Amendment) Act 2021, which included the recommendations of the Committee of Experts on the Evaluation of Anti-Money Laundering Measures and Financing of Terrorism by separating the requirement to submit an annual statement of compliance from the requirement to submit an annual return under other specified Acts.	21 June 2017 Received Royal Assent on 15 June 2021
Anti-Money Laundering and Other Financial Crime (Miscellaneous Amendments) Act 2018	Amended core financial crime laws (Companies, Foundations, Partnerships, Criminal Justice, Financial Services) to improve AML/CFT regulation	21 June 2018
Companies (Amendment) Act 2021	Amends the Companies Act 1931 and the Companies Act 2006 in accordance with recommendations specified in the Fifth Round Mutual Evaluation Report of the Committee of Experts on the Evaluation of Anti-Money Laundering Measures and the Financing of Terrorism	15 June 2021

SECONDARY LEGISLATION (ORDERS, RULES, CODES, ETC.)

These provide operational rules, technical details, and enforcement mechanisms.

Title	Key Changes/ Purpose	Date
Anti-Money Laundering and Countering the Financing of Terrorism (Unregulated Trustees) Code 2018	Contains provisions to prevent money laundering and the financing of terrorism by unregulated trustees (whether domestic or foreign) and contains an offence provision	14 September 2018
Anti-Money Laundering and Countering the Financing of Terrorism (Civil Penalties) Regulations 2019	Specifies the circumstances in which the Isle of Man Financial Services Authority may impose a civil penalty on a relevant person for contravention of the AML/ CFT Code 2019, and the amount of penalty that may be imposed	19 June 2019
Beneficial Ownership (Civil Penalties) Regulations 2022	Specifies the circumstances wherein the authority may impose a civil penalty on a relevant person for contravening the Beneficial Ownership Act 2017 in lieu of criminal proceedings.	31 July 2022
Beneficial Ownership (Obliged Entities Access) Order 2024	Amends Section 26 to add obliged entities to the list of persons or bodies who may access the IOM database of beneficial ownership, and inserts a definition of obliged entities (namely, a person or body carrying out a business or activity to which either the Anti-Money Laundering & Countering the Financing of Terrorism Code 2019 or the Gambling (Anti-Money Laundering & Countering the Financing of Terrorism) Code 2019 applies).	11 December 2024

Appendix 4: Agencies and industry bodies engaged

AGENCIES

AML/CFT/CPF Policy Office
Attorney General's Chambers
Prosecution
Central Registry
Customs and Immigration Division (Treasury)
Financial Intelligence Unit
Financial Services Authority
Gambling Supervision Commission
Income Tax Division (Treasury)
PIMLIT (Isle of Man Constabulary)
Isle of Man Financial Crime Partnership

INDUSTRY BODIES

Association of Corporate Service Providers
IOM Bankers Association
IOM Law Society
Finance IOM
A number of firms from the Accountancy and Tax sector
A number of firms from the TCSP sector

Appendix 5: Hypothetical structures

Figure A5-1 and **A5-2** are hypothetical examples of structures to show how a typical 'vertical' and 'horizontal' structure might appear. It also explains the role that the TCSP has in the structure.

VERTICAL STRUCTURE

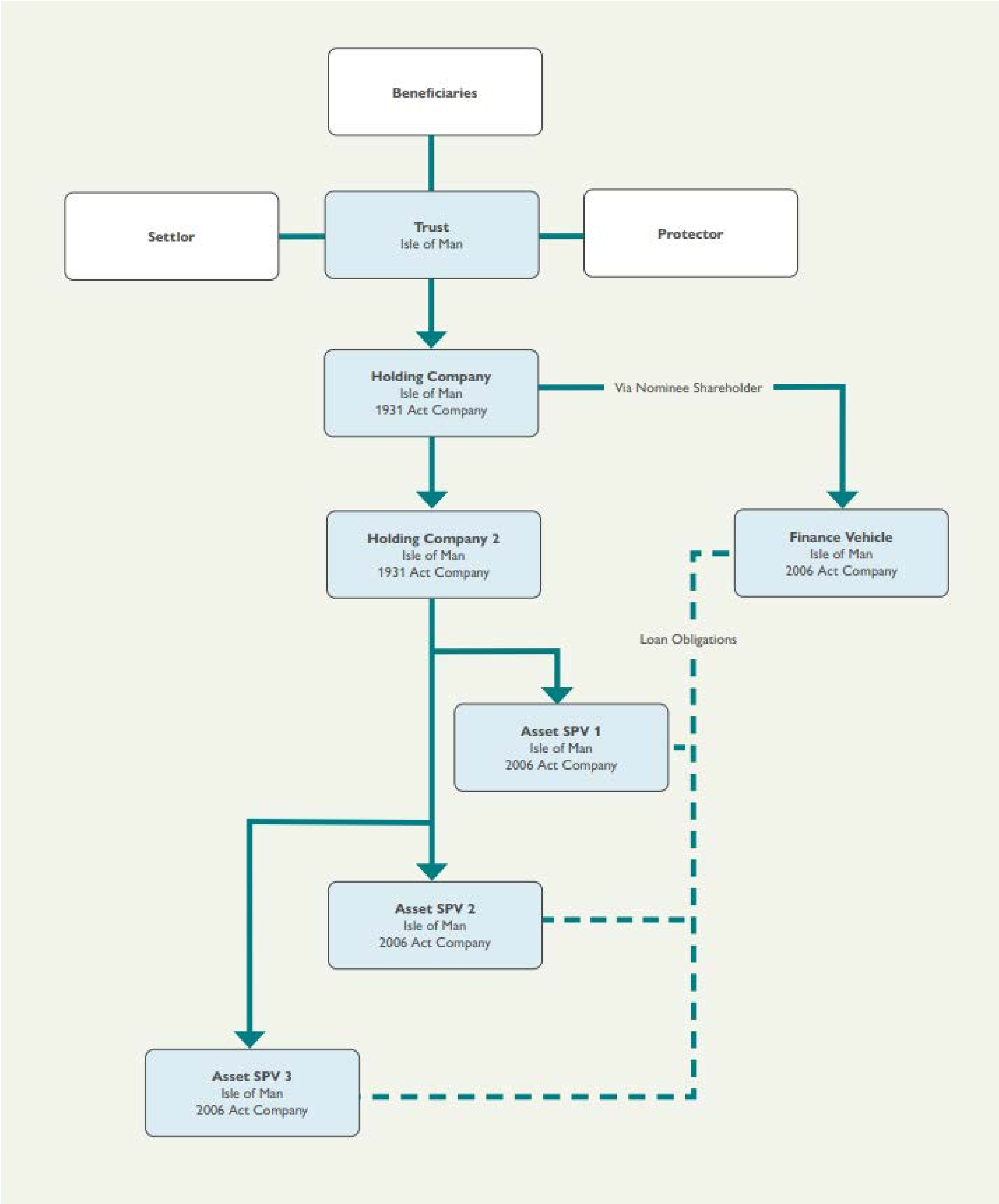
This entire hypothetical structure could be administered by a single IOM TCSP, including the provision of directors, company secretary, Registered Agent, Registered Office, Nominated Officer, trustee services, and associated administrative and accounting support as required by each entity. While the structure might initially appear complex, it represents a common arrangement for a simple investment structure or small family office.

Individual asset SPVs may each hold a discrete asset or asset class (for example, an investment portfolio or residential or commercial property). The use of separate SPVs has the effect of isolating liabilities and containing claims to individual assets or asset groups.

The finance vehicle provides capital to the asset SPVs by way of intra-group loans, resulting in an external creditor position over the underlying assets. Where nominee shareholders are used in respect of the finance vehicle, this relationship may not be readily identifiable from public records, reducing external visibility of private intra-group financing arrangements.

The overlaying trust structure separates the underlying assets from the natural persons connected to the structure, with ownership and control exercised through fiduciary arrangements rather than direct legal ownership. ›

Figure A5-1: Vertical Structure



HORIZONTAL STRUCTURE

This is a simplified, hypothetical example of a multi-jurisdictional trading group. Holding Company A is the primary holding company of the group:

- The voting shares are held by a Panama foundation, the Council of which ultimately exercises control over the structure and is populated by senior executives of the group.
- The economic shares are held by a Jersey trust, which represents the point at which profits generated by the group are distributed to beneficiaries.
- The separation of voting and economic rights allows the benefits of a trust structure to be retained without transferring control of the group to the trustees.

In this example, an IOM TCSP provides services to the entities shown in blue. In discharging its AML/CFT obligations, the TCSP would identify the ownership and control structure vertically, including control exercised through the Council of the Panama foundation and the economically beneficial interests of the trust beneficiaries. The TCSP would also hold information in respect of the assets owned by the IOM entities and the revenue generated by those assets. The area shown in green therefore represents the control, benefit, assets, and fund flows that would typically fall within the TCSP's visibility.

There is no general AML/CFT requirement for the TCSP to identify or monitor parallel entities outside its direct client relationships. As a result, the TCSP may have limited or no visibility of the areas shown in red, other than information voluntarily disclosed by the client or contained within a high-level group structure chart. This represents a potential risk for such entities trading in higher-risk jurisdictions or operating in commercially exposed sectors whilst maintaining financial relationships with the IOM entities (for example, through intellectual property arrangements, asset leasing, or intra-group financing). While source of funds and source of wealth controls act as a mitigating factor, the horizontal movement of funds and assets across the wider group are not monitored as thoroughly as vertical ones, which may present additional ML/TF risk outside the immediate visibility of any single TCSP.

As there is no general regulatory requirement to identify or monitor horizontal elements of a wider group structure, a TCSP may have limited grounds on which to require a client to provide detailed information on parallel entities, even where potential risk indicators are identified. ›

Figure A5-2: Horizontal Structure

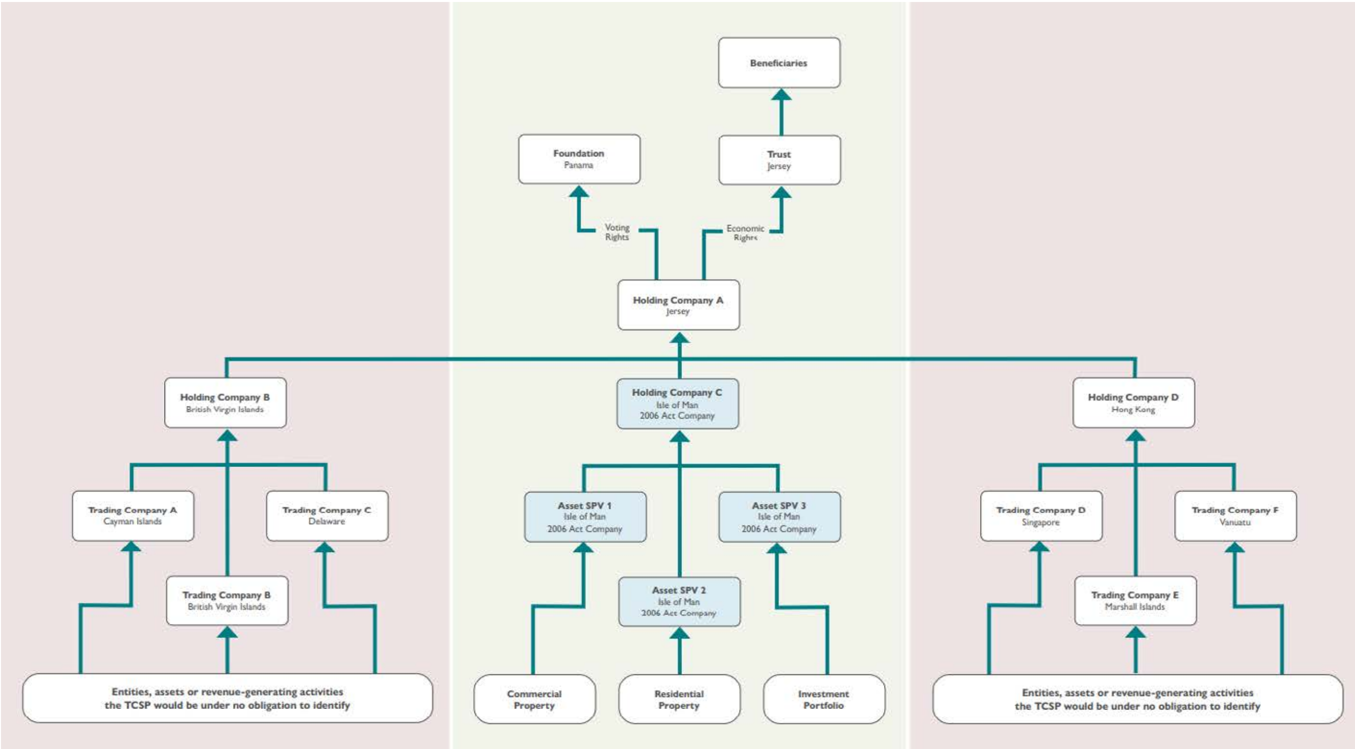


Figure A5-3: Shipping Structure

See explanation in **Chapter 5.1.2.**

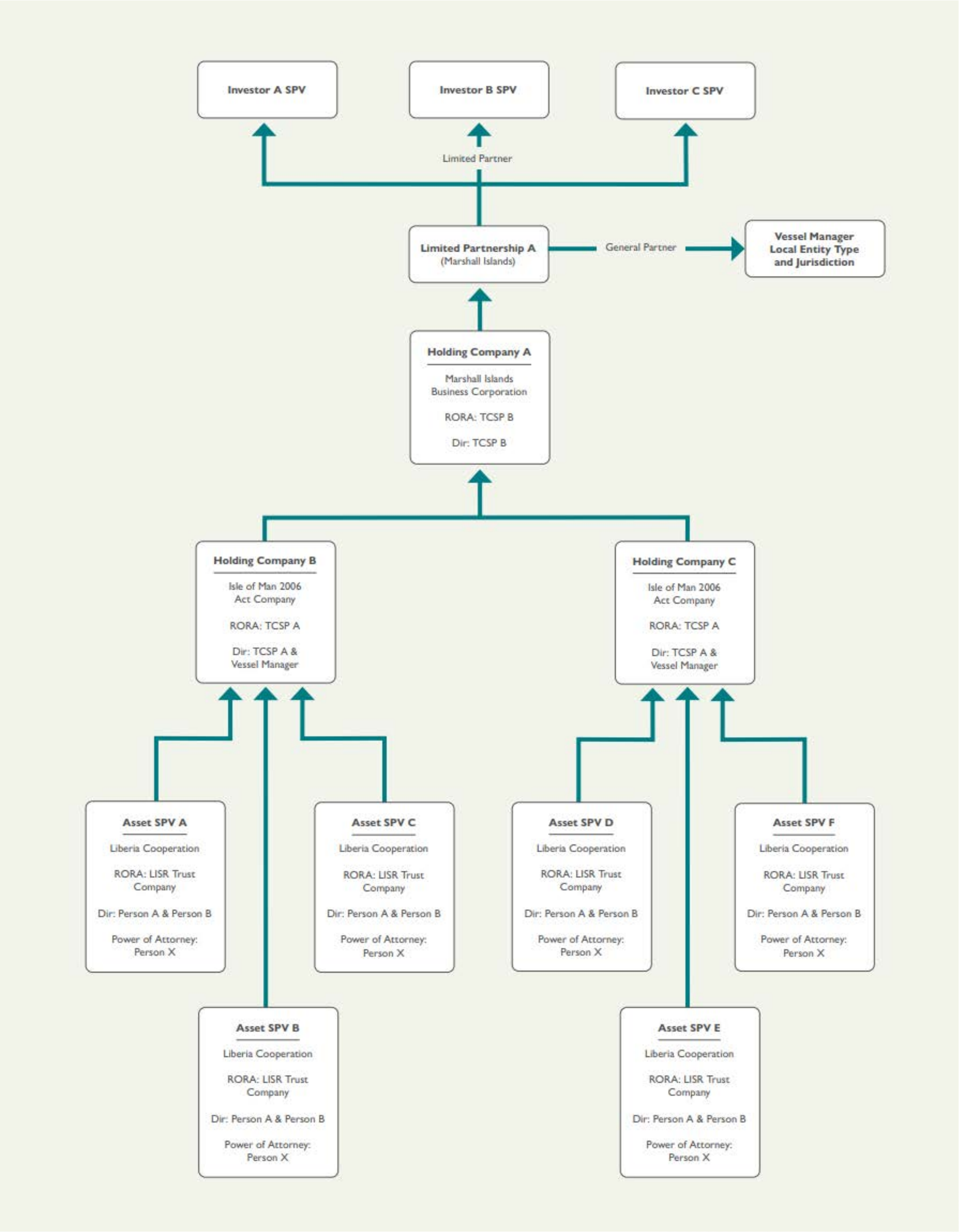
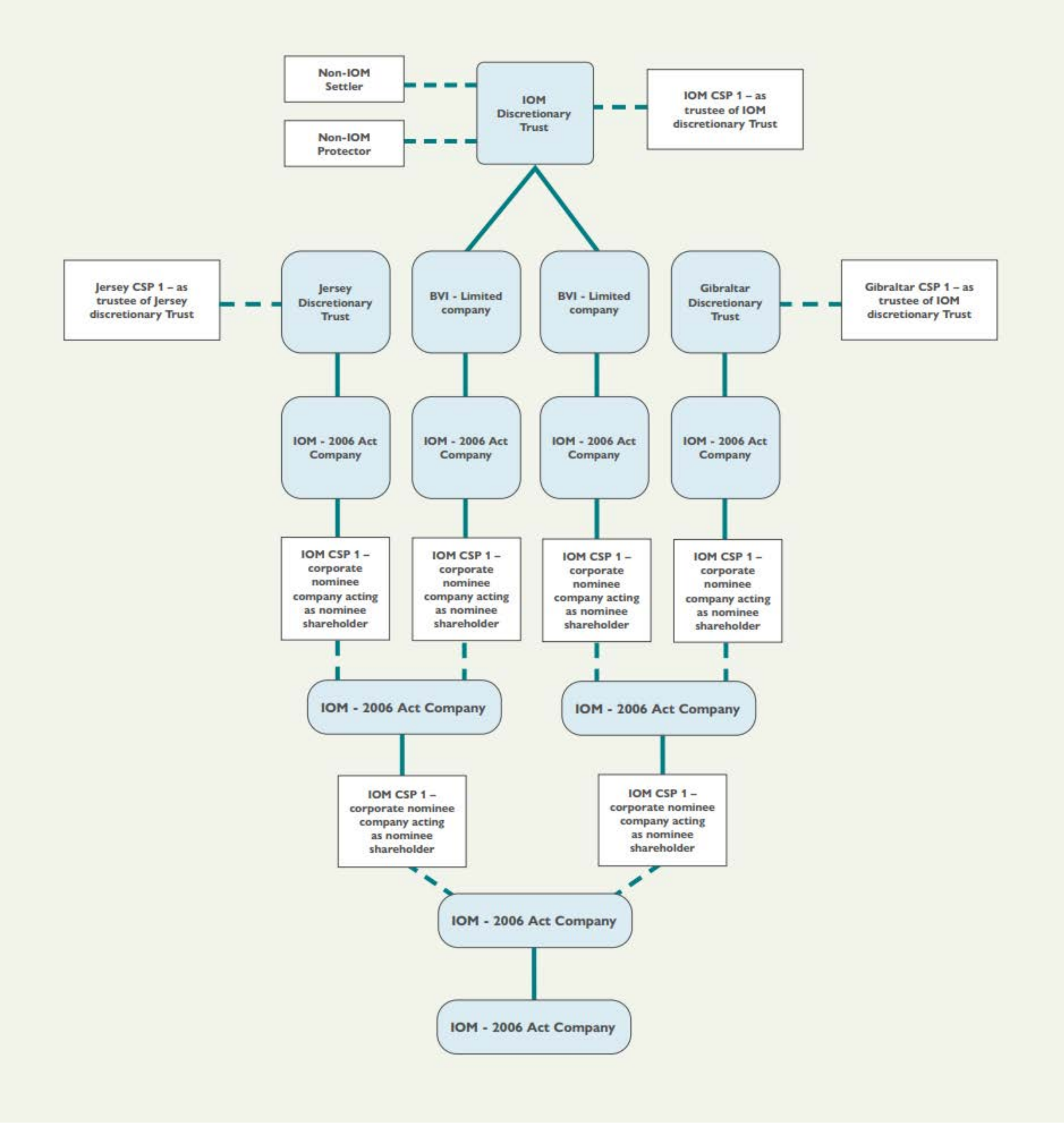


Figure A5-4: 2006 Act Companies with IOM and Foreign Discretionary Trusts



PURPOSE OF STRUCTURE

The underlying 2006 Act company is a successful family-owned trading business. The family wishes to protect the wealth of the family for future generations. The initial 2006 Act company is set up with an IOM TCSP to hold the shares of the UK trading company due to the Island's corporate tax regime. Two distinct subsidiaries of the TCSP act as corporate nominee shareholder for the interests of each of the two branches of the family. There are nominee agreements/declarations of trust in place between each of the corporate nominee and two further 2006 Act companies. Here, the shareholding divides again, utilising a further layer of corporate nominee shareholders on behalf of additional 2006 Act companies. The two branches of the family each establish a discretionary trust in a jurisdiction of their choice in order to serve the needs of their immediate family members. Meanwhile, one half of each of the two family branches' interest is funnelled into two BVI holding companies before feeding into an overarching family trust established for the benefit of the wider family and future generations. The family trust makes use of a protector, a close family friend. The IOM TCSP who services the 2006 Act companies throughout the structure acts as trustee to the family trust. ■

Appendix 6: Equity holding companies and subsidiaries

The companies reported by the TCSP sector in the LPA Return detailed the principal activity. Where that activity was defined as an equity holding company, further spreadsheets were completed.

- Equity holding companies were categorised as one of:
- equity holding company in other IOM companies;
- equity holding company in non-IOM companies; or
- equity holding company in both IOM and Non-IOM companies.

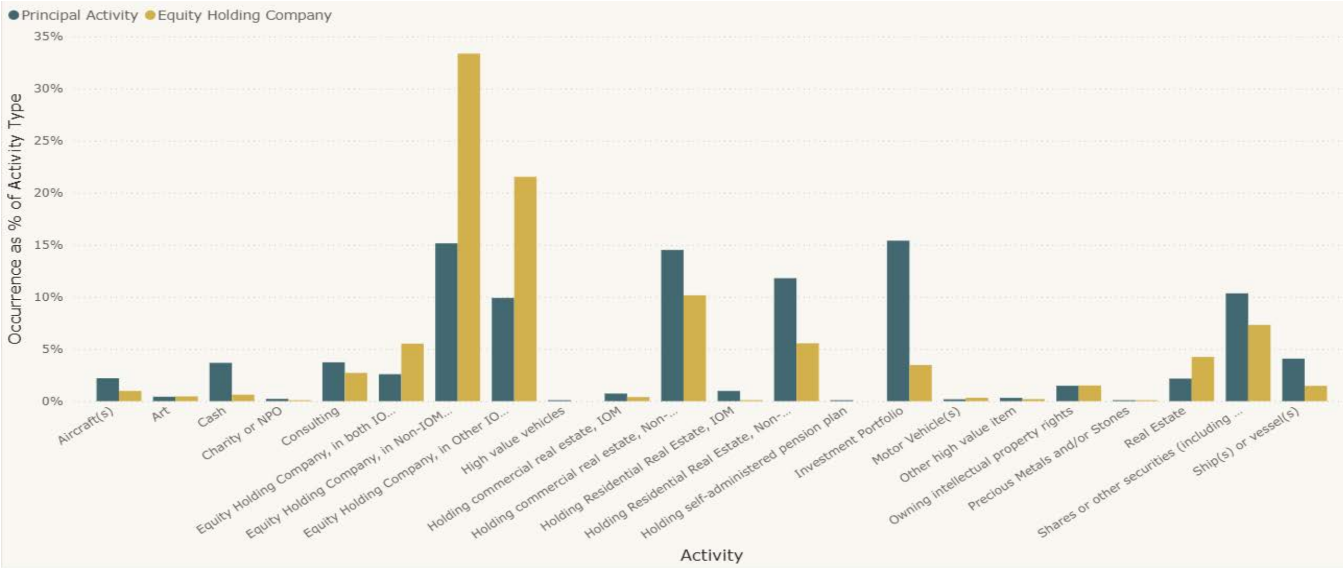
Analysis was undertaken to understand the activity of those equity holding companies and to compare it with the principal activities of the company that was being reported. **Figure A6-1** shows the comparison by percentage and demonstrates that the mix of activities and the relative proportion are broadly similar, with two variances in equity holding company activity:

- a higher proportion of activity classified as equity holding company in non-IOM companies (**33.4%** vs **15.2%**); and
- a higher proportion of activity classified as equity holding in other IOM companies (**21.5%** vs **9.9%**).

In structures with a number of levels, the equity holding company may itself hold another equity holding company. As can be seen in example structures elsewhere in this document, it would require the question being asked on an iterative basis until the final activity and jurisdiction is identified. The TCSP LPA Return only asked for one further level of equity holding companies, as well as subsidiaries. In the future, if a smaller subset of structures was requested, further detail on all levels of the structure could be requested.

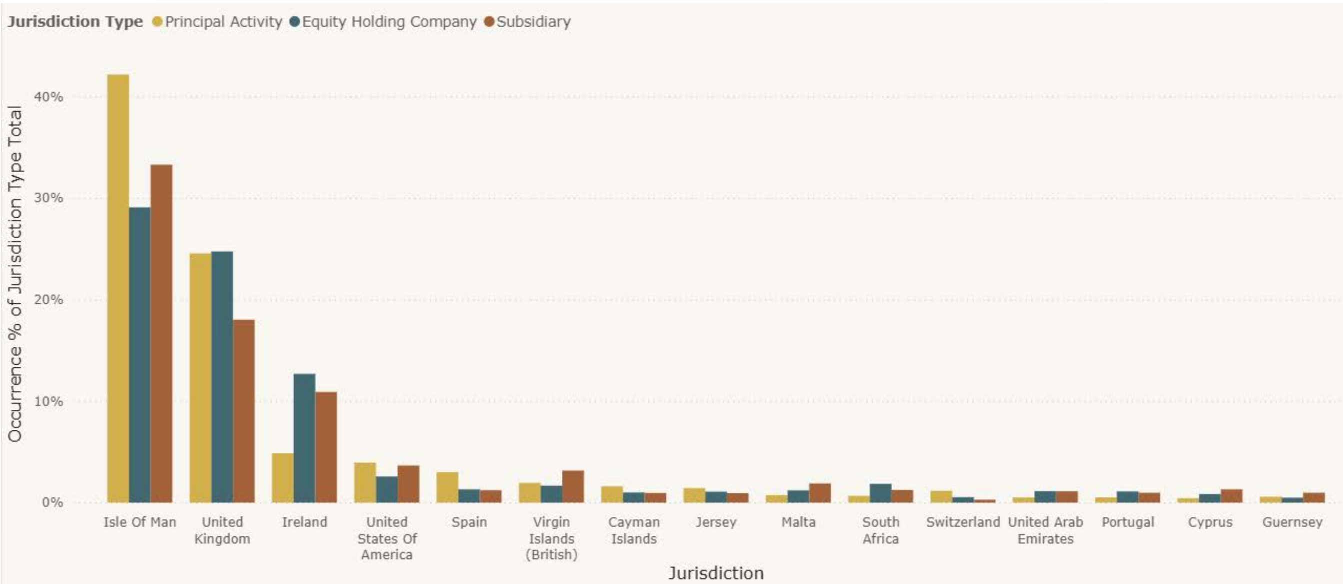
Given the broad similarity in the activities of the company and the equity holding company, throughout this NRA, the data at the company level has been taken as a good approximation of the activity. Figures have not been included for this analysis for each legal entity type, though the underlying data is held by the TCSP and FSA, and analysis shows this broad approximation holds true across entity types. ›

Figure A6-1: Comparison of Activity for Legal Persons and Equity Holding Companies



The TCSP sector provided jurisdictional data for the company, the jurisdiction of the activity for the equity holding company, and also the jurisdiction for any subsidiaries. These are compared in **Figure A6-2**. They show a similar spread, with the IOM, UK, and Ireland accounting for the greatest percentages, followed by the US, Spain, and the BVI – all jurisdictions which this NRA consistently references and analyses. ›

Figure A6-2: Comparison of Jurisdiction of Activity for Legal Persons Principal Activity, Subsidiaries, and Equity Holding Companies



Sources: TCSP 2025 LPA Return

Appendix 7: Jurisdictions for Which Counter-measures are Required and Those That May Pose a Higher Risk

Throughout this document, consideration is given to the exposure that licensed entities and their customers may have to jurisdictions that are considered likely to be exposed to a greater level of money laundering and terrorist financing threat. The lists are published by the Department of Home Affairs and updated whenever changes occur. Industry is accustomed to updating their own systems and relevant procedures and controls using these lists.

The Island has identified countries by the risk they pose:

- **"List A"** is a list specifying jurisdictions upon which the FATF has made a call on its members and other jurisdictions to apply countermeasures to protect the international financial system from the ongoing and substantial risks of ML/TF emanating from the jurisdiction. List A currently comprises 3 jurisdictions.

- **"List B"** is a list specifying jurisdictions with strategic AML/CFT deficiencies or those whom it is considered may pose a higher risk of ML/TF. List B is made up of two lists:

  - **List B(i)** consists of countries that FATF has identified as having strategic AML/CFT deficiencies for which they have developed an action plan with the FATF. It also identifies a number of jurisdictions as not having made sufficient progress on their action plans agreed with the FATF.

  - **List B(ii)** specifies additional jurisdictions that have also been identified as those that may pose a higher risk of ML or TF by the IOM Government. The list is prepared in accordance with an established methodology, using data gathered from various commercial intelligence sources that cover ML, TF, crime, transparency, and bribery/corruption risk.

The June 2025 (published 3rd July 2025) lists were used for this document.

NON-HIGHER-RISK JURISDICTIONS:

- **"List C"** is a list specifying countries which are considered to have an AML/CFT regime of approximately equivalent standard to that of the IOM

- **"List D"** covers disclosures within a "Group" list

- Lists C and D are referred to as "other" in some figures. ■

Appendix 8: Summary analysis of key cross-border jurisdictions

The most recent FATF and regional assessment bodies ratings for Immediate Outcome 5 (IO5) (legal persons and arrangements), Recommendation 24 (transparency and beneficial ownership of legal persons), and Recommendation 25 (transparency and beneficial ownership of legal arrangements) were reviewed. These were based on the latest reports, including any follow-up reports (FUR) (see **Figure A8-1**).

Figure A8-1: Consolidated FATF Assessment Ratings (2014– 2025) for IO5, R24, and R25 for the BVI, Cayman Islands, Spain, the UK, and the US

Jurisdiction	Report Type	Report Date	Assessment body/bodies	IO5	R.24	R.25
British Virgin Islands	MER	Feb '24	CFATF	ME	PC	LC
Cayman Islands	MER + FUR(s)	Oct '21	CFATF	ME	LC	LC
Spain	MER + FUR(s) + FUAR	Dec '19	FATF	SE	LC	LC
United Kingdom	MER + FUR(s)	June '22	FATF	SE	LC	C
United States	MER + FUR(s)	March '24	FATF	LE	LC	PC

Source: FATF[251]

KEY:

SE	Substantial level of effectiveness: The Immediate Outcome is achieved to a large extent. Moderate improvements needed.
ME	Moderate level of effectiveness: The Immediate Outcome is achieved to some extent. Major improvements needed.
LE	Low level of effectiveness: The Immediate Outcome is not achieved or achieved to a negligible extent. Fundamental improvements needed.
C	Compliant
LC	Largely compliant: There are only minor shortcomings.
PC	Partially compliant: There are moderate shortcomings.

UK: SUMMARY OF CROSS-BORDER ML RISK COMMENTS UK NRA 2025[252]

Strategic overview

- The same openness that makes the UK attractive for trade and investment can be exploited by criminals and terrorists who try to move and hide illicit money through the UK's financial system.

- Criminals exploit UK corporate structures and professional services to move and conceal proceeds of UK and foreign predicate crimes like corruption, fraud, and tax evasion.

Corporate structures and legal arrangements

- Whilst a TCSP is not necessary for the illicit use of corporate entities and legal arrangements, TCSP services c an be used in mass company incorporations and to assist layering and obscuring beneficial ownership, which can be appealing to criminals.

- Reforms under the Economic Crime and Corporate Transparency Act 2023 aim to introduce the phased introduction of identity verification, after which all new and existing registered company directors, people with significant control, and those who file on behalf of companies will need to verify their identity.

- The risk of money laundering through UK companies remains high. As noted by the National Crime Agency, this can occur through UK-based regional OCGs using front companies and cash-intensive businesses, as well as through high-end cross-border criminals using UK companies in complex structures to launder tens of millions of pounds.

Professional enablers/gatekeepers

- When a criminal generates illicit proceeds, they need to decide how to launder the funds so they can spend the proceeds and continue their criminality. Some criminals will choose to 'self-launder,' but depending on the scale, form of the funds, and seriousness with which the criminal wishes to conceal the funds, self-laundering is not always preferable. The skills and expertise of professional services can be valuable for criminal purposes in addition to legitimate endeavours. Criminals will frequently 'outsource' laundering to 'full-time' third parties, who are rarely involved in the proceeds-generating illegal activities. Instead, they provide expertise to disguise the nature, source, location, ownership, control, origin, movement, and/or destination of funds to avoid detection.

- Legal and accountancy professionals are highlighted as key enablers of cross-border ML, especially in setting up opaque structures and facilitating property purchases by foreign actors.

- The 2024 Cross-System Professional Enablers Strategy[253] targets these vulnerabilities.

Crypto assets and informal transfer systems

- The risk of money laundering through crypto assets has increased significantly since 2020, with crypto assets increasingly appearing in money laundering intelligence over this period. Crypto assets are increasingly used for laundering all forms of proceeds of crime. In addition, there have been increasing levels of crypto assets obtained through illicit means such as cybercrime, ransomware, and crypto asset thefts, which are then laundered. Whilst bitcoin remains an attractive crypto asset for illicit finance and serious and organised crime (SOC), stablecoins such as Tether are now most commonly used to launder money. This is due to the assets' price stability, fast transaction speed, and wide adoption.

- In 2023, the scope of the wire transfer information-sharing regime was extended to crypto assets (the 'travel rule') for both domestic and cross-border transfers.

- Informal Value Transfer Tystems (IVTSs), including hawala networks, have a long history and have emerged in many different parts of the world, generally serving as an alternative for communities where traditional banking systems do not exist or are difficult to access. IVTSs are often linked to and used by particular ethnic, national, or geographic communities and their diaspora members, who utilise IVTSs to send remittances to their home country.

- IVTSs are used by criminals for money laundering and terrorist financing because of the perception by criminals that less stringent checks are applied by the IVTS providers. ›

Alternatively, criminals can establish their own IVTS networks, ensuring total control of the overall process. IVTSs traditionally rely on trusted networks, which make them appear less vulnerable to detection by law enforcement than other means of laundering.

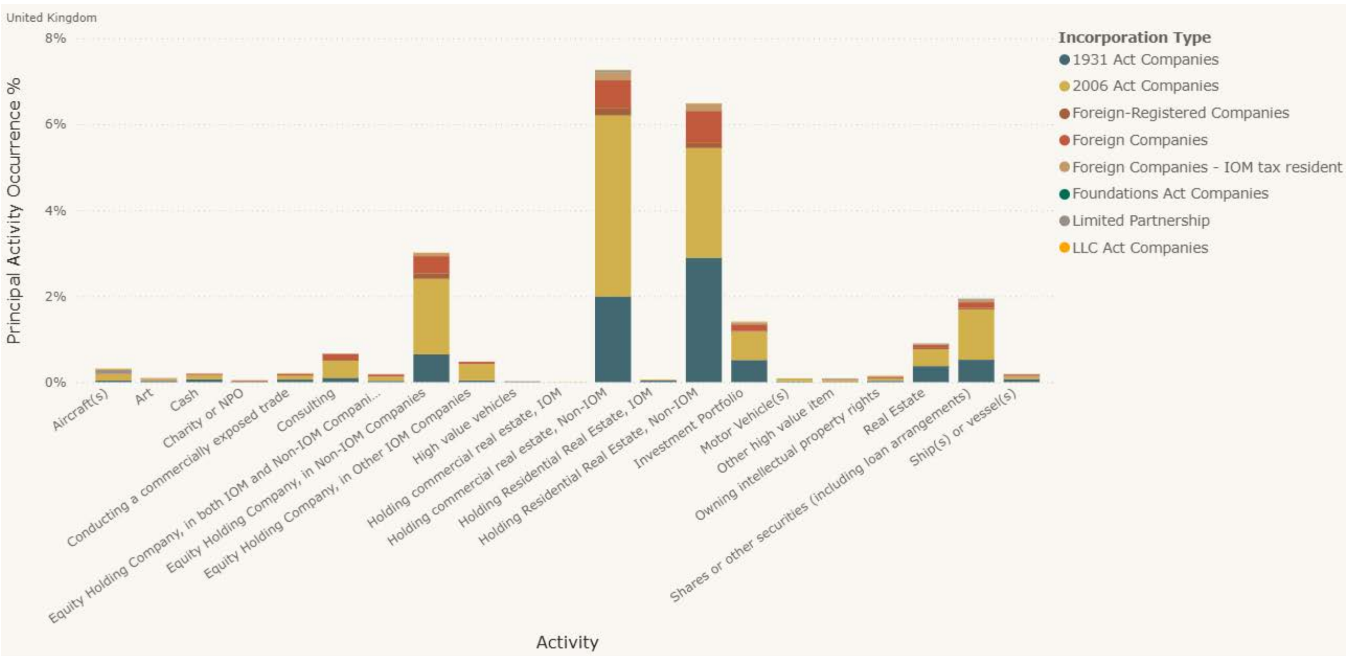
Intelligence and international cooperation

- The UK has deepened partnerships with financial centres exposed to similar risks, including the UAE, to improve cross-border intelligence sharing and enforcement.
- The SARs Reform Programme and NECC Fusion Cell pilot aim to enhance data analytics and cross-sector collaboration.

Sectoral vulnerabilities

- Wholesale banking, wealth management, and estate agency businesses are flagged for their exposure to foreign clients and cross-border transactions.
- Overseas entities investing in UK property remain a key channel for laundering foreign proceeds.

Figure A8-2: Principal Activity by Legal Person Type for the UK



Source: TCSP 2025 LPA Return

US: SUMMARY OF CROSS-BORDER ML RISK COMMENTS USA NRA 2024[254]

Strategic context

- The US remains a prime destination for laundering foreign illicit proceeds due to the dollar's global role and the scale of its financial system.
- Foreign corruption, drug trafficking, cybercrime, and professional laundering networks are key cross-border threats.

Foreign predicate crimes and laundering channels

- Foreign corruption proceeds are laundered through US real estate, shell companies, and trusts.
- Actors originating from or linked to the Russian Federation, ›

especially oligarchs, involved in money laundering and sanctions evasion activity maintain vast global networks of shell companies, bank accounts, trusts, and other means of hiding and moving funds abroad, including in the United States. Notably, these vast networks intentionally span multiple jurisdictions and enable these bad actors to maintain control, obfuscate their ill-gotten gains, and assist the Kremlin in its illicit financial activities abroad.

- Chinese money laundering organisations (CMLOs) are now dominant actors in laundering proceeds from drug trafficking and fraud, both domestically and internationally.

- Law enforcement has reported that CMLOs have become more prevalent and are now one of the key actors laundering money professionally in the United States and around the globe.

Legal entities and beneficial ownership

- Illicit actors deliberately misuse legal entities to facilitate money laundering schemes, fraud, sanctions evasion, tax evasion, and drug trafficking, among other types of offences. These actors rely on the anonymity and perceived legitimacy afforded to legal entities, including limited liability companies and other corporate structures, to disguise illicit financial activity and criminal beneficial owners. Recent cases highlight the misuse of legal entities as a significant, ongoing vulnerability in the US financial system; for example, illicit actors have used complex schemes involving shell companies to commit COVID-19 relief fraud and to procure dual-use US technology to advance the Russian Federation's aggression in Ukraine. These schemes often feature layers of corporate entities, trusts, and nominee arrangements and can involve both domestic and foreign natural or legal persons.

- In reviewing the risks associated with trusts used to launder funds in the United States, it is important to distinguish between the risks of US trusts and foreign trusts with a US nexus. While law enforcement does see criminal actor abuse of trusts – particularly for those trusts settled in what LEAs call "notorious privacy states" like South Dakota, Wyoming, Delaware, Alaska, and Nevada – the risk is higher for those trusts settled outside of the United States (or settled overseas and then converted into US trusts).

Virtual assets and decentralised finance

- The decentralised finance (DeFi) risk assessment identified that illicit actors, including ransomware cybercriminals, thieves, scammers, and cyber-actors from the Democratic People's Republic of Korea, are using DeFi services for transferring and laundering their illicit proceeds. To accomplish this, illicit actors are exploiting vulnerabilities in US and foreign AML/CFT regulatory, supervisory, and enforcement regimes, as well as the technology underpinning DeFi services.

- Criminals commonly use obfuscation tools and methods to introduce challenges for investigators attempting to trace illicit funds. These tools include mixers and mixing-enabled wallets, as well as anonymity-enhancing cryptocurrencies, which reduce the transparency of virtual financial flows through anonymising features.

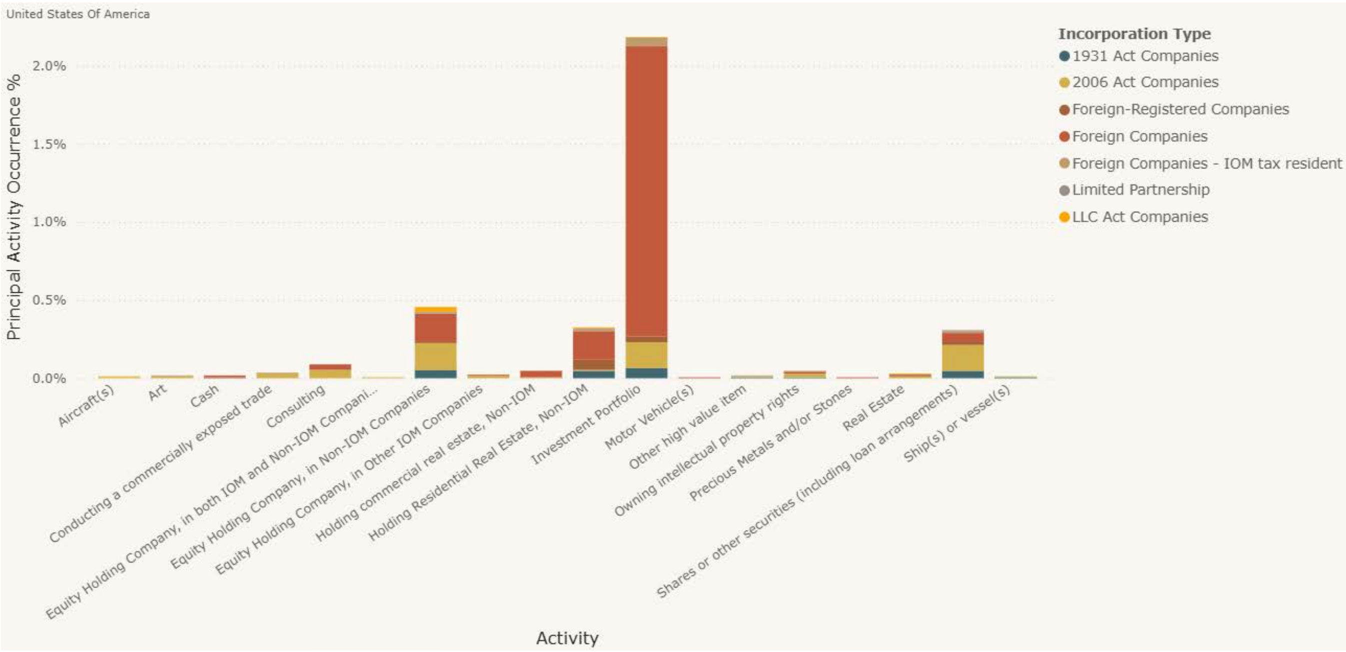
Professional laundering networks

- Professional money laundering encompasses individuals, organisations, and networks involved in third-party laundering for a fee or commission. Although typically associated with laundering narcotics proceeds, many money laundering organisations do not discriminate among sources of the dirty money, laundering the proceeds from a variety of crimes, sometimes concurrently.

- Professional money launderers, including money mule networks, operate transnationally to move funds from foreign fraud and drug trafficking operations.

- Money laundering can be perpetrated by complicit insiders who abuse their positions of trust and access across professions and corporate structures to engage or facilitate illicit financial activity. Criminals continue to seek out complicit professionals, including those in the financial services sector. This is an acute problem because such complicit financial services professionals may undermine an institution's AML/CFT compliance programme. ›

Figure A8-3: Principal Activity by Legal Person Type for the USA



Source: TCSP 2025 LPA

SPAIN: SUMMARY OF CCROSS-BORDER ML RISK COMMENTS – SPAIN NRA ADDENDUM 2024[255]

Strategic Ccontext

The vulnerabilities detected in Spain that promote the risks associated with these threats are configured as factors associated with the population: geographical factors arising from the identification of areas with increased exposure to ML risks; high use of cash; or the increase in the presence of technological innovations in the Spanish economy.

The ML threats identified in Spain because of national cooperation between authorities are in line with those set out in the previous version of the NRA: organised crime, drug trafficking, and economic and financial crimes associated with fraud and corruption. Even though organised crime groups with activity in Spain have decreased, the interconnection between different international organisations has grown, in the same way that the combination of different underlying crimes associated with fraud, drug trafficking, or trafficking in human beings has grown.

Third-party laundering and foreign crimes

It is evident that financial transactions are inherently interconnected within the current globalised system. The investigations carried out by the different national authorities demonstrate the existence of organised crime groups that are interconnected in multiple countries, providing the ML in Spain (as in other countries) with funds derived from criminal activities committed abroad, regardless of whether the commission of the previous crime is related to Spain. Within this framework, the police have detected operations with national and international connections linked to the sale of luxury goods, works of art and the Spanish real estate market. The sale of luxury goods is a particularly attractive activity for ML since, due to their characteristics, luxury goods not only accumulate a lot of value, but also do not lose it over time, which allows criminal organisations to recover the initial investment after its sale and even obtain greater profits.

The Spanish real estate market is an attraction for organised crime given the economic characteristics and the tourist industry of Spain. ›

Geographic vulnerabilities

The first element of geographical vulnerabilities stems from operations with jurisdictions that have strategic deficiencies in their systems to combat ML/TF. For this reason, the FATF and the European Commission regularly draw up and update the lists of risk countries that should in any case be considered by Spanish institutions when applying their ML/TF preventive measures. Specific concerns are raised about activities in the Gibraltar area: "According to the National Security Report 2022, an area especially vulnerable to be used by criminal groups for drug trafficking and smuggling, having a high exposure to the risk of ML/TF and with great vulnerability to the execution of crimes and infractions of this type both by land, as well as by sea or air"

Legal persons and arrangements

The Beneficial Ownership Central Register was launched on 19th September 2023. It is a single central registry throughout the national territory.

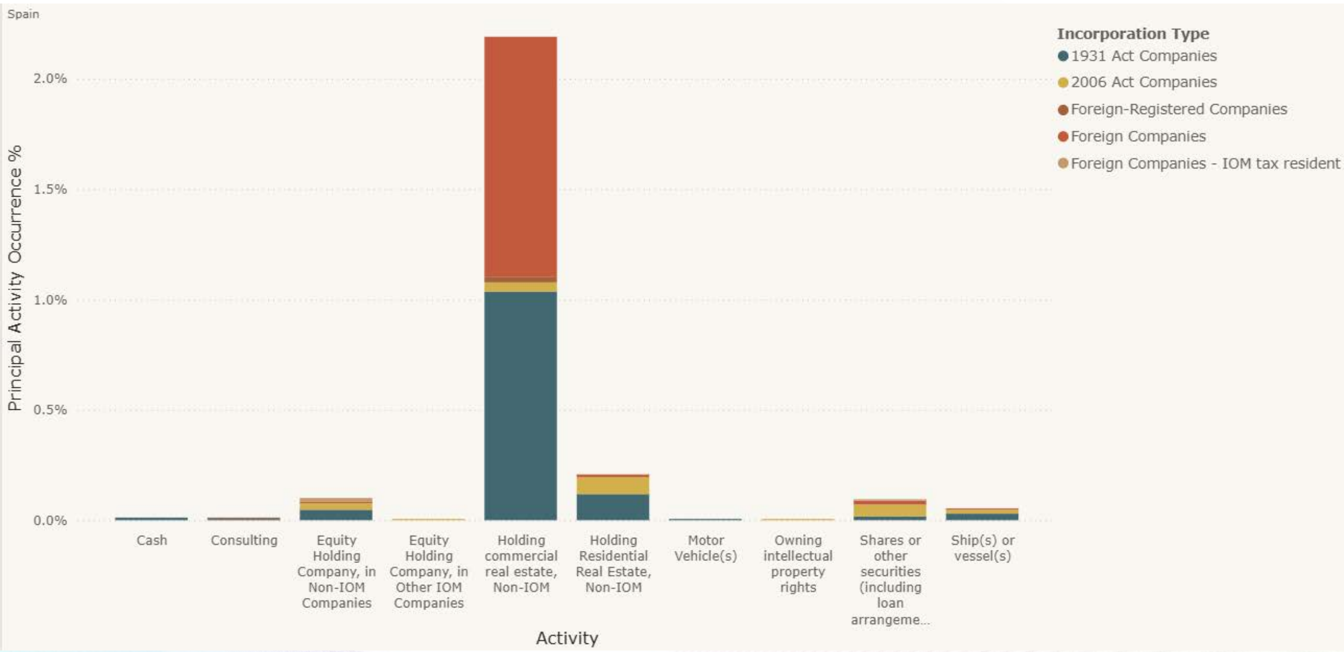
As for those convicted of drug trafficking by the National High Court in 2022, the data shows that, of the sentences handed down by the Criminal Chamber of the National Court, 64 Spanish citizens, 59 foreigners, and one legal person have been convicted.

An excessive flow of transactions with certain countries or the existence of many customers with certain nationalities may be reasons for using a certain type of entity for ML/TF operations. There is an absence of adequate information or procedures enabling the authorities to have a precise knowledge of the beneficial owners of customers who are legal persons, as well as lack of culture in preventative matters in relation to those entities that become new obliged entities.

Sectoral exposure

Cross-border activity in Europe has also increased its risk, considering the war between the Russian Federation and Ukraine in terms of cash movements of the migrant population, the diversion of weapons used in the conflict for criminal purposes, the trade in defense and dual-use material, and the use of clandestine channels for monetary flows to evade sanctions. In relation to investments in real estate, it is necessary to consider the laundering risks posed by the citizenship-for-investment ("golden passport") and residence-by-investment ("golden visa") schemes that grant citizenship or residence to third-country nationals in exchange for mainly financial considerations. In Spain, golden passports are not contemplated, but golden visas are. ›

Figure A8-4: Principal Activity by Legal Person Type for Spain



Source: TCSP 2025 LPA Return

BRITISH VIRGIN ISLANDS: SUMMARY OF CROSS-BORDER ML RISK COMMENTS BVI MUTUAL EVALUATION REPORT (2024)[256]

Jurisdictional context

- The BVI is a major international financial centre with a significant corporate services sector – particularly in TCSPs, which cater primarily to foreign clients.

- The BVI's corporate and financial services sector and the companies incorporated in the BVI face a high threat from proceeds-generating predicate offences committed overseas, involving the use of British Virgin Islands Business Companies (BVIBCs). BVI legal persons and arrangements, including corporate vehicles and professional facilitators, are exposed to misuse from abroad (e.g., the laundering of proceeds of foreign predicates using BVI companies). Potential abuse can arise from criminal activity such as foreign corruption, international fraud, tax evasion, and ML.

- The VI's corporate services sector is vulnerable to exposure to illicit transactions, particularly involving trust and corporate service providers (CSPs) and the companies they administer, as these entities and their ownership structures can be used to facilitate the conduct of ML/TF and foreign illicit activities.

Risk understanding and mitigation gaps

- The findings of the 2022 ML NRA acknowledge the BVI's role as an international business incorporation and financial centre, and related risks. Proceeds from crimes committed abroad in particular are found to enter the financial services sector through the use of the products and services offered by the various FIs, especially TCSPs. LEAs and supervisory authorities have insufficient capacities to mitigate these risks, specifically with regards to resources, training, data maintenance, and established policies and procedures. The TCSP sector and legal persons and arrangements, as well as VASPs and emerging products (gaming/betting and domestic cannabis production for medicinal purposes), are rated as high-risk, while the banking sector is identified as **Medium Low** risk. For DNFBPs, legal practitioners were rated as **Medium High** risk for ML, while all other sub-sectors received a **Medium Low** rating.

- The relevant authorities and key reporting institutions broadly view the illicit activities of the foreign beneficial owners as having an insufficient nexus with the territory and do not consider that BVI entities are directly involved in such activities. This understanding of the risks that BVI entities play in the layering and integrating phase of ML and TF activities abroad has cascading negative effects on the overall effectiveness of the AML/CFT system

Investigations and prosecutions

- Geographically, the BVI is a transit point for illicit drugs, human trafficking, and cash smuggling into the United States. Porous borders, heavily trafficked waters, and proximity to the US Virgin Islands and Latin America expose the BVI to illicit activities, which are not matched with current intelligence, investigatory, and prosecutorial capacities.

- The authorities have not initiated any (i) large-scale ML investigations, (ii) cross-border investigations, (iii) investigations with respect to the potential criminal activities of BVIBCs reportedly involved in foreign predicates, or (iv) investigations relating to third-party laundering.

Intelligence and cooperation

- Very few disseminations were made in 2018 and 2019. The highest number of disseminations were made in 2020.

- However, the scarce outgoing requests for MLA and other forms of international cooperation concerning ML is not consistent with the overall **Medium High** ML risk of the country, particularly with respect to the risks posed by international activity carried out by the BVI's corporate and financial sector.

- Efforts to investigate and detect proceeds from foreign predicate offenses and those facilitated by legal persons and legal arrangements created in the BVI (including TCSPs responsible for establishing them) are not reflective of the heightened threat level. There have been no ML convictions arising from financial intelligence received from the Financial Investigation Agency's (FIA) Analysis and Investigation Unit. ›

The supervisory authorities (the BVI Financial Services Commission (BVI FSC) and the FIA's Supervision & Enforcement Unit) were not able to demonstrate that their activities are consistent with the identified risks. The assessment team viewed the FSC's supervisory activities and resources as being insufficient to cover the elevated risks assessed from the TCSP sector.

Beneficial ownership and transparency

- The application of the recently amended beneficial ownership requirements by all sectors, including the TCSP and investment business sectors, is itself an improvement, but generally remains too focused on determining ownership. Accordingly, a fully adequate understanding of the concept of control over a legal person and arrangement is yet to be demonstrated. Considering the BVI's profile as an international business incorporation and financial centre, serious deficiencies in the implementation of CDD requirements, including beneficial ownership requirements and EDD measures by the BVI's TCSP and investment business sectors, have a major negative impact on the BVI's overall level of compliance with preventative measures.

- The BVI's system for holding adequate, accurate, and up-to-date basic and beneficial ownership information for legal persons and arrangements is dependent on information collected by TCSPs providing Registered Agent services. Therefore, the overall effectiveness of this system is impacted by shortcomings in the effective implementation of CDD and other preventative measures taken by the Registered Agents, and the ability of supervisors to effectively supervise TCSPs and other gatekeepers.

Supervisory weaknesses

- Shortcomings in anti-money laundering/combatting the financing of terrorism supervision, regulation of FIs and designated non-financial businesses and professions, and a lack of law enforcement resources represent a significant ML/TF vulnerability. In view of the international dimension of crimes affecting the BVI, the authorities have initiated measures to improve data collection and analytical systems to support the systematic identification of ML threats and the detection and investigation of domestic and foreign predicate crimes. However, there have not been significant results that reflect these efforts.

- A lack of sufficient resources is highlighted

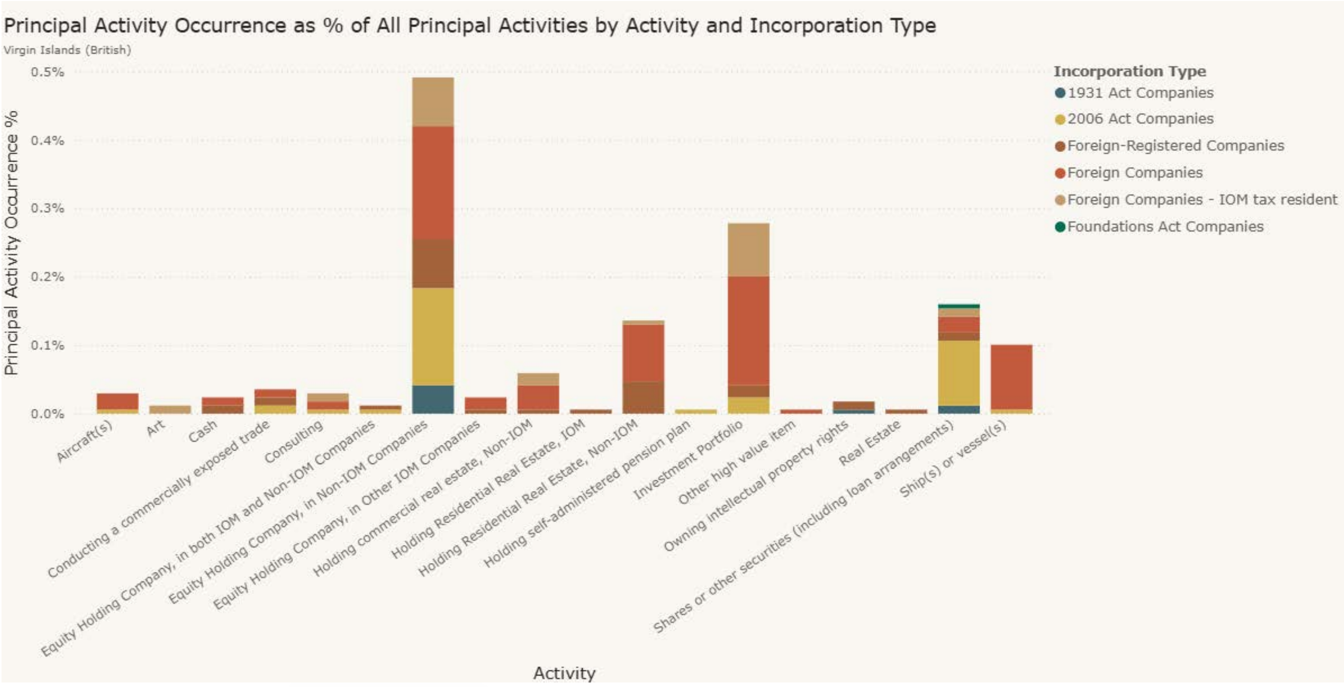
- The FSC has a wide range of enforcement actions available for breaches of any financial services legislation. It uses them to a limited extent, and while an increased use is demonstrated in recent years, the penalties imposed are not considered effective, proportionate, and dissuasive.

Trusts

- BVI trusts account for **1.4%** of the trusts managed by TCSPs in the IOM. The BVI Risk Assessment of LPAs in the 2022 ML NRA rated trusts as **Medium High** and VI Special Trusts Act (VISTA) trusts as **Medium Low**.

- Legal arrangements (express trusts, trusts established under the VISTA) are not required to be registered, but some information is collected from TCSPs offering professional trustee services through annual returns. Notwithstanding, challenges remain in ensuring adequate, accurate, and up-to-date information is held on trusts and their beneficial owners, and it is not clear to what extent the information collected on trusts is being factored into the authorities' risk-based supervision of TCSPs. ›

Figure A8-5: Principal Activity by Legal Person Type for the BVI



Source: TCSP 2025 LPA Return

CAYMAN ISLANDS: SUMMARY OF CROSS-BORDER ML RISK COMMENTS – CAYMAN ISLANDS NRA 2021[257]

Strategic exposure

- The Cayman Islands is a major IFC with significant cross-border financial flows.

- The TCSP sector is also material to the jurisdiction. As an IFC, the Cayman Islands is also a conduit for direct investment inflows and outflows through CSPs, which amounted to USD $876.1 billion and $890.6 billion respectively in 2019. At the end of 2020, TCSPs in the Cayman Islands shared in the management of approximately USD $694 billion across the various financial sectors.

- This scale of global connectivity exposes the jurisdiction to foreign predicate crimes, including corruption, tax evasion, and fraud.

Legal persons and arrangements

- Survey data from the Legal sector highlighted that both international and domestic supervised firms perceived high risk in this area, in particular the use of complex structures and potential for the obscurity of ownership.

- When looking at the structure of Cayman Islands legal persons and arrangements, complexity does not equate to criminality. For example, there is a necessary level of complexity to every hedge fund to allow different types of investors into the collective vehicle. This is legitimate and necessary. However, complexity can be abused by criminals to obscure ultimate ownership and source of funds. Structures that have been developed for legitimate ends may therefore be used for criminal purposes.

- Nominee shareholders are permitted under Cayman Islands law and may include natural persons, exempted companies, or non-resident persons. Where a person acts as a nominee for profit or gain (even for a nominal sum), they are required to be licensed under the Cayman Islands Monetary Authority and › are subject to the Cayman Islands' AML/CFT/CPF framework. The primary services provided by the nominee (trust) licence-holders are share trustee, director, or secretarial services to clients of their parent company.

- Nominee directors are not permitted by law in the Cayman Islands, as directors must have unfettered discretion and act in the best interests of the company. While there is no specific legal provision on this issue, a Grand Court decision clarified that such arrangements are not legal based on the interpretation of the Companies Act.

TCSPs

- The TCSP sector is also material to the jurisdiction.

- The TCSP sector makes up a material part of the Cayman Islands' financial services industry. TCSPs provide services such as facilitating the formation and administration of companies and trusts. The companies and trusts for which TCSPs act serve a variety of functions, such as wealth management, succession planning, asset protection, asset financing, general business administration, and investment management.

- Factors such as a mixed local and international customer base, the complexity of some client structures, and the high value and international nature of financial transactions facilitated through their clients make TCSPs vulnerable to the risk of facilitating ML, TF, and PF.

Geographic risk analysis

- The Cayman Islands is not a major producer of narcotics, nor is it located on any major international trans-shipment or smuggling routes for cocaine or other illicit drugs. Yet, as a truly global, accessible, and diverse IFC, coupled with its geographic proximity to major drug-producing countries in Latin America, the Cayman Islands may be attractive to large, organised cartels as a conduit for channeling the proceeds of drugs sales on the European and North American markets. This exposes the Cayman Islands to the layering or integration stages of laundering proceeds from international drug trafficking.

- Funds flow analysis confirms significant inbound and outbound transactions with higher-risk territories.

Foreign predicate offences

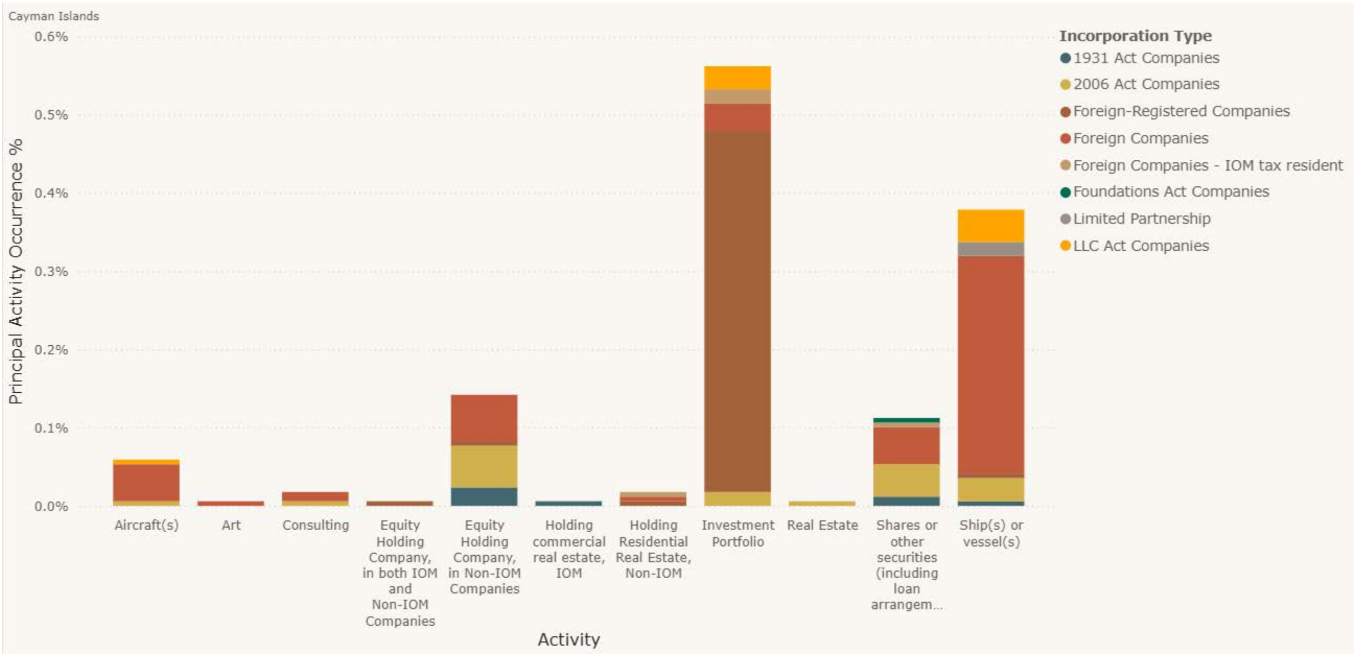
- As an IFC, the Cayman Islands is exposed to significant threats from foreign proceeds of crime. This is primarily because the majority of the Cayman Islands' customer base is non-resident both by number and value, funds held in or managed from the Islands are generated predominantly outside the jurisdiction, and the domestic corporate and investment vehicles are easily accessible globally. The existence of a large number of locally-incorporated corporate entities with only very limited ties to the jurisdiction further contributes to the threat of exposure to foreign proceeds of crime, as funds can be routed through foreign bank accounts held by such legal entities. Accordingly, the greatest money laundering threat for the Cayman Islands results from proceeds-generating predicate offences committed abroad, with the resulting proceeds flowing into or through the Islands' financial or non-financial institutions, or businesses or legal entities.

Trusts

- Cayman Islands trusts account for **5.0%** of the Ttrusts managed by IOM TCSPs. The Cayman Islands 2021 NRA stated: "The trusts sector was rated high risk on all the relevant risk factors, given the lack of data about the number of trusts established under Cayman Islands law, the potential for misuse of these instruments, and the wide geographic base of settlors and beneficiaries. Mitigating measures for the trust sector need to be improved."

- The provision of trust services by TCSPs will vary from low to high risk, based on factors such as the source of assets for and intended purpose of the trust. Each trust would be assessed by the TCSP accordingly. Trusts such as those created by parents for the benefit of their children or those created for vulnerable individuals are considered to have lower inherent risks as they are not generally complex in nature and the source of funds and beneficiaries for whom the funds will be applied is clear. Trusts used for financing or investment purposes, such as unit trusts or asset financing transactions, are generally considered a higher risk as their source of funds are typically more complex and diverse (e.g., due to multiple investors) and present increased capacity to move funds. ›

Figure A8-6: Principal Activity by Legal Person Type for the Cayman Islands



Source: TCSP 2025 LPA Return

Appendix 9: Summary analysis of key threats, vulnerabilities, and risks for LPAs as identified by Jersey, Guernsey, and Gibraltar

Jurisdiction	Key threats, vulnerabilities, and overall risk profile
Jersey (2023)[258]	• High national ML threat due to Jersey's role as a full service IFC • Abuse of LPAs (especially trusts and TCSP-administered non-Jersey companies) for ML- Medium vulnerability overall: while Jersey has strong regulation and a reputable registry, the complexity and popularity of certain entity types increases exposure. • Risk higher for entities with cross-border links and those administered by TCSPs- Supports 11 types of entities with a range of different characteristics • ML risk: High threat (the measure of whether persons will try to launder the proceeds of crime through Jersey administered LPAs); however, the national ML vulnerability is assessed as Medium (the measure which identifies how easy it is for a threat to succeed). • Overall, this outcome is as expected given that Jersey is an IFC with a long history of regulating the provision of TCSPs and the high international standing of its Registry. • Least risky: domestically-focused entities and those with small numbers (e.g., fidéicommis, incorporated associations)- The greatest risk is associated with the entity types which are most popular. Trusts administered by TCSPs are assessed as high-risk, whilst TCSP-administered non-Jersey companies are assessed as medium-high risk. • TF risk: Lower, with limited exposure for Jersey companies and TCSP-administered trusts

Jurisdiction	Key threats, vulnerabilities, and overall risk profile
Guernsey (2024)[259]	• Greatest ML/TF risks from LPAs related to its cross-border business involving the holding or management of assets • TF risk linked to foreign activity, though much less likely than ML. • Complexity in detecting links to high-risk jurisdictions because Guernsey is often far down transaction chains • Reliance on Guernsey Financial Services Commission licensees for AML/CFT compliance; residual risks remain despite strong supervision. • ML risk: highest for cross-border asset management structures, lower for domestic-focused entities. • TF risk: Low overall, greatest for foreign terrorist activity using cross-border legal persons • Where LPAs have links with foreign jurisdictions, in the vast majority of cases, those are jurisdictions with AML/CFT/CFP regimes that are equivalent to the AML/CFT/CFP regimes in the Bailiwick, and links to other jurisdictions are low. Specifically, links to jurisdictions that present a high risk of ML/TF range from very low to negligible or non-existent. • It is, however, recognised that the absence of any identified link to a jurisdiction of concern does not mean that these links do not exist. This is particularly the case where the Bailiwick link is to another financial centre that is acting as an entrepot, whose own links to other jurisdictions will not always be obvious. • Ultimately, the risk rating attributed by a firm will also encompass other factors which may raise or reduce the overall risk of an LPA. • The vast proportion of LPAs with a cross-border link are administered by a Guernsey Financial Services Commission licensee who is supervised for its compliance with the AML/CFT/CFP framework.

Jurisdiction	Key threats, vulnerabilities, and overall risk profile
Gibraltar (2025)[260]	• The establishment of LPAs enables individuals to construct intricate ownership structures that involve multiple tiers of entities spanning various jurisdictions. • Nominee shareholding services can serve as indicators of potential issues, but they can also function as risk mitigation tools. In the context of nominee shareholding services, they introduce an extra layer of obscurity concerning beneficial ownership; however, they also grant the TCSP more authority over the legal entity or arrangement. • The TCSP sector faces broad ML threats due to its role in establishing and managing entities. • Low SAR reporting raises concern; some deficiencies identified in supervision. • Generally, providing only secretarial services and Registered Office facilities has always been viewed to present a lower risk; however, the jurisdiction takes the approach that these services can also present a higher risk on the basis that the TCSP may not have full oversight or control over the legal entity or arrangement, its transactions, or activities. • In addition, any tax advice provided to the client is requested by the TCSP to ensure the legal entity or arrangement is not being set up for the purposes of tax evasion. • ML risk: high, driven by layering through complex structures and offshore accounts • TF risk: possible, but mitigated by strong controls and the fact that most clients are from low- to medium-low-risk jurisdictions. • The supervisory authorities are working closely with the sector to raise awareness in respect of typologies and red flags associated with the use of LPAs and strengthening AML/CFT/CPF controls. • There is a particular risk associated with the use of TCSPs by PEPs. • Layering through Complex Structures: Money launderers have the ability to use TCSPs to create intricate ownership structures involving multiple layers of companies and jurisdictions. This complexity makes it difficult to trace the source of funds as they are moved through various legal entities, banks, and accounts. • Companies that have been in existence for some time but not used for any purposes may also be particularly attractive for ML as the company structure gives some legitimacy to the time that an operation has been in existence for a longer period and is often targeted for this specific purpose. Names may then be changed, as would shareholding structures under the appointed nominees. As part of the Gibraltar Financial Services Commission's supervision, it reviews dormant companies and questions the purpose of these. • TF Threat and Vulnerability: The threat of terrorist financing is a possibility through the use of corporate structures; however, in the case of Gibraltar-based TCSPs, the sectoral data analysed by the Gibraltar Financial Services Commission demonstrates that 80% of the sector's customers reside or are registered in Low to Medium Low risk jurisdictions, which mitigates this risk substantially.

Appendix 10: Glossary and abbreviations

Key Agency/term/acronym	Meaning
ACSP	Association of Corporate Service Providers
AG	Attorney General
AGC	Attorney General's Chambers
AI	Artificial Intelligence
AML	Anti-Money Laundering
AML/CFT Code	Anti-Money Laundering and Countering the Financing of Terrorism Code 2019
AML/CFT Handbook	Anti-Money Laundering and Countering the Financing of Terrorism Handbook December 2023
ANRI	Attractiveness for Non-Resident Incorporation
API	Application Program Interface
ATCA	Anti-Terrorism and Crime Act 2003
BEPS	OECD's Base Erosion and Profit Shifting
BOA	Beneficial Ownership Act 2017
BRA	Business Risk Assessment
BVI and VI	British Virgin Islands, Virgin Islands (British)
BVIBCs	British Virgin Islands Business Companies
CbCR	Country-by-Country Reporting
CD	Crown Dependencies – Isle of Man, Jersey and Guernsey
CDD	Customer Due Diligence
CEP	Commercially Exposed Person
CFT	Combatting/ Countering the Financing of Terrorism
C&I	Customs & Immigration Division
CMLO	Chinese Money Laundering Organisations
CMP	Compliance Monitoring Plan
CPF	Counter Proliferation Financing
CIS	Collective Investment Schemes
CODA	Company Officers (Disqualification) Act 2009
CoRA	Company Risk Assessment
Covid-19	An acute disease in humans caused by a coronavirus. It was originally identified in China in 2019 and became pandemic in 2020.
CRS	Common Reporting Standards
CSP	Corporate Service Provider
DAQL	Data Assurance Quality Lead
DeFi	Decentralised Finance
DfE	Department for Enterprise
DNFBPs	Designated Non-Financial Businesses and Professions

DPRK	Democratic People's Republic of Korea
DTuT	Domestic Top-up Tax
ECU	Police Economic Crime Unit
EDD	Enhanced Due Diligence
EDMP	Enforcement Decision-Making Process
EFIPPP	Europol Financial Intelligence Public Private Partnership
Egmont Group	Egmont Group of Financial Intelligence Units
EoN	Exchange of Notes
EU	European Union
Europol	European Union Agency for Law Enforcement Cooperation
FATCA	Foreign Account Tax Compliance Act
FATF	Financial Action Task Force
FCA	UK Financial Conduct Authority
FCP	Financial Crime Partnership
FCSB	Financial Crime Strategic Board
FCARU	Financial Crime and Asset Recovery Unit
FIs	Financial Institutions
FIA-AIU	BVI Financial Investigation Agency – Analysis & Investigations Unit
FinCEN	USA Financial Crimes Enforcement Network
FIN-NET	Financial Crime Information Network, is an organisation that operates under the umbrella of the FCA and allows the sharing of information between law enforcement and regulators on specific individuals and entities.
FinTech	Financial Technology
FIU	Financial Intelligence Unit
FIU Act	Financial Intelligence Unit Act 2016
FSA/ Authority	Isle of Man Financial Services Authority
FSC	BVI Financial Services Commission
FUR	Follow Up Report
GBP	Great British Pound £
GenAI	Generative Artificial Intelligence
GIFCS	Group of International Financial Centre Supervisors
GSC	Gambling Supervision Commission
Hong Kong SAR	Hong Kong Special Administrative Region
IACCC	International Anti-Corruption Coordination Centre
ICART	International Co-operation and Asset Recovery Team
ICC	Incorporated Cell Companies
ID	Identification Document
ID&V	Identification Document and Verification
IFC	International Finance Centre
IMF	International Monetary Fund
INR	Interpretative Note to a (FATF) Recommendation
IO	Immediate Outcome from FATF
IOM	Isle of Man
IOMC	Isle of Man Constabulary
IOMFCP	Isle of Man Financial Crime Partnership

Ireland	Republic of Ireland
Island	Isle of Man and the Island are used interchangeably
ITD	Income Tax Division
IVTS	Informal Value Transfer Systems
JMLIT	Joint Money Laundering Intelligence Taskforce (UK)
KC	King's Counsel
KPIs	Key Performance Indicators
LEAs	Law Enforcement Agencies
LLCs	Limited Liability Companies under the Limited Liability Companies Act 1996
LPAs	Legal Persons and Arrangements
Manx	Relating to the Isle of Man
MCU	Manx Credit Union Limited
MER	Mutual Evaluation Report
MHK	Member of the House of Keys
ML	Money Laundering
MLA	Mutual Legal Assistance
MLRA	Money Laundering Risk Assessment
National Financial Crime Strategy	Isle of Man Financial Crime Strategy 2024 – 2026
NCA	UK National Crime Agency
NECC	UK National Economic Crime Centre
NRA	National Risk Assessment
OCCRP	Organised Crime and Corruption Reporting Project
OCG	Organised Crime Group
OECD	Organisation for Economic Co-operation and Development
PCC	Protected Cell Company
PEP	Politically Exposed Person
PF	Proliferation Financing
PIMLIT	Proactive International Money Laundering Investigation Team
PLC	Public Limited Company
POCA	Proceeds of Crime Act 2008
PPP	Public Private Partnership
PSCs	People with Significant Control
PTC	Private Trust Companies
R	Recommendation from FATF
RBO	Registrable Beneficial Ownership
Regulated sector	Has the meaning given in Schedule 4 to the Proceeds of Crime Act 2008
Relevant Person	Persons carrying on business in the regulated sector are referred to as "relevant persons" or "supervised entities"
SAR	Suspicious Activity Report
Saudi	Kingdom of Saudi Arabia
SOC	Serious and Organised Crime
SPV	Special Purpose Vehicles
STRIX AML	Software which enables the regulators to receive, risk assess and analyse data from the regulated sector
TCSP	Trust and Corporate Service Provider

TF	Terrorist Financing
Themis	The FIU's online reporting mechanism, which is the single point of contact for supervised entities in relation to: Reporting under the Proceeds of Crime or Terrorism Legislation; Reporting under Section 24 of the FIU Act; Reporting Sanction Breaches. Themis is also the tool the FIU use for communicating advisory notices and other pieces of information.
TIEAs	Tax Information Exchange Agreements
TRA	Technology Risk Assessment
TSP	Trust Service Provider
Tynwald	IOM Parliament
UAE	United Arab Emirates
UBO	Ultimate Beneficial Owner
UHNW	Ultra-High Net Worth
UK	United Kingdom
UNODC	United Nations Office on Drugs and Crime
USA or U.S.	United States of America
USVI	US Virgin Islands
VA	Virtual Asset
VASP	Virtual Asset Service Provider
VAT	Value Added Tax
VISTA	Virgin Islands Special Trusts Act
WB	World Bank

Endnotes

1 https://islandplan.im/
2 https://www.gov.im/media/1383501/financial-crime-strategy-2024-2026-uploaded-230424_compressed.pdf
3 Throughout this document the Isle of Man and the Island are used interchangeably
4 https://www.longfinance.net/media/documents/GFCI_38_Report_2025.09.25_v1.0.pdf
5 https://www.gov.im/media/1383501/financial-crime-strategy-2024-2026-uploaded-230424_compressed.pdf
6 https://www.gov.im/media/1389539/a-profile-of-the-isle-of-man-2025-_compressed-210525.pdf
7 https://counteringfinancialcrime.im/
8 https://www.gov.im/media/1383501/financial-crime-strategy-2024-2026-uploaded-230424_compressed.pdf
9 https://counteringfinancialcrime.im/media/xw4c1j05/iom-terrorist-financial-risk-assessment-2025.pdf (page 207)
10 https://www.acsp.co.im/
11 The total of all legal persons and legal arrangements, see Appendix 1
12 If the Nominated Officer uses the address gazetteer when making the submission, then it will be auto-approved (see Chapter 3.3.5)
13 An Obliged Entity is a legal entity that operates business or activity to which the: AML/CFT Code 2019 applies; or Gambling (AML/CFT) Code 2019 applies
14 Includes those with and without legal personality
15 Should the Foreign Company cease to be administered by a TCSP, then the exemption in the Foreign Companies Act 2014 ceases to apply. See Chapter 5.1.3.
16 https://counteringfinancialcrime.im/
17 Once added to the National Action Plan, owners and target dates/ milestones will also be assigned
18 https://www.fiu.im/media/1245/online-gambling-typology-2025.pdf
19 FIU, FSA, Police and 7 TCSP representatives
20 Those operating under the de-minimis exemption would typically be supervised for Code compliance because they must be a "specified person" - a lawyer or accountant. Lawyers and accountants are registered under the DBRO if they are undertaking activities specified in Schedule 4 to POCA.
21 Predominantly 1931 Act companies
22 https://www.fatf-gafi.org/en/publications/Fatfrecommendations/Guidance-Beneficial-Ownership-Legal-Persons.html
23 https://www.gov.im/categories/business-and-industries/companies-registry/file-an-annual-return/
24 https://www.longfinance.net/media/documents/GFCI_38_Report_2025.09.25_v1.0.pdf
25 https://www.gov.im/media/1383501/financial-crime-strategy-2024-2026-uploaded-230424_compressed.pdf
26 https://www.gov.im/media/1389539/a-profile-of-the-isle-of-man-2025-_compressed-210525.pdf
27 See 2026 ML NRA
28 Defined by the FSA: refers to indicators that can be used to assist in the detection of ML/FT; presence of a red flag is not necessarily a basis for suspicion of ML/FT but could prompt further monitoring and examination (https://www.iomfsa.im/media/2904/guidance-glossary-november-2021.pdf)
29 Registrable beneficial owner is defined in the Beneficial Ownership Act 2017 as: "registrable beneficial owner" means a beneficial owner who owns or controls more than 25% of the beneficial ownership of a legal entity to which this Act applies and "registrable beneficial ownership" is to be construed accordingly.
30 Manx means relating to the IOM
31 Where services to the trust are provided from the IOM
32 https://www.iomfsa.im/regulated-sectors/trust-and-corporate-service-providers-tcsps/
33 https://www.gov.im/about-the-government/departments/cabinet-office/statistics-isle-of-man/national-income/ (page 3)
34 The FATF Report: Horizontal Review of Gatekeepers' Technical Compliance Related to Corruption, July 2024 (https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/HRGTC.pdf.coredownload.inline.pdf) states: "These professions – law, accountancy, trust and corporate services, and real estate – are often referred to as "gatekeepers". Individuals and firms in these sectors are an entry point to the financial system, and they can and should act as a line of defence against the infiltration of dirty money into the legitimate economy and should never cross the line into conspiring with clients to commit offences."
35 https://counteringfinancialcrime.im/
36 https://www.iomfsa.im/statistics-site/summary-of-registrations-and-licences/
37 https://counteringfinancialcrime.im/
38 https://www.gov.im/media/1383501/financial-crime-strategy-2024-2026-uploaded-230424_compressed.pdf
39 https://www.fatf-gafi.org/content/dam/fatf-gafi/guidance/Guidance-Beneficial-Ownership-Legal-Persons.pdf.coredownload.pdf
40 https://www.fatf-gafi.org/content/dam/fatf-gafi/recommendations/Guidance-Beneficial-Ownership-Transparency-Legal-Arrangements.pdf.coredownload.inline.pdf
41 https://www.fatf-gafi.org/content/dam/fatf-gafi/publications/Money%20Laundering%20National%20Risk%20Assessment%20Toolkit.pdf.coredownload.pdf
42 3 minor modifications were made to the World Bank tool for the TF analysis of entities (Step 3) to better align with the findings from the published IOM TF NRA
43 https://counteringfinancialcrime.im/media/xw4c1j05/iom-terrorist-financial-risk-assessment-2025.pdf (page 207)
44 https://www.fatf-gafi.org/en/publications/Fatfgeneral/outcomes-FATF-plenary-october-2025.html
45 https://www.gov.im/about-the-government/departments/home-affairs/executive-office/anti-money-laundering-legislation-and-countering-the-financing-of-terrorism-amlcft/
46 On a 'best endeavours' basis
47 https://counteringfinancialcrime.im/
48 https://www.fiu.im/media/1245/online-gambling-typology-2025.pdf
49 Organised Crime Gangs
50 https://www.fatf-gafi.org/en/publications/Methodsandtrends/comprehensive-update-terrorist-financing-risks-2025.html
51 https://counteringfinancialcrime.im/
52 A drop in SAR levels can be observed in 2024, this is due to a single reporting entity in the gaming sector receiving updated legal advice and ceasing dual-reporting to the IOM under certain circumstances where the decision to report was being based solely on the physical location of staff and offices on the IOM, not suspicious activity with an IOM nexus. Therefore, the 2024 percentage figure is anticipated to be a more reflective percentage where any subject is an LPA going forward.
53 The FIU's online reporting mechanism, which is the single point of contact for supervised entities in relation to: Reporting under the Proceeds of Crime or Terrorism Legislation; Reporting under Section 24 of the FIU Act; Reporting Sanction Breaches. Themis is also the tool the FIU use for communicating advisory notices, requests and other pieces of information.
54 https://www.fiu.im/media/1251/environmental-crime-typology-december-2025.pdf
55 https://www.theguardian.com/uk/2009/nov/12/trevor-baines-jailed-laundering-scam#:~:text=Baines%2C%20who%20was%20put%20at,the%20sentence%20was%20read%20out
56 https://www.judgments.im/content/J1812.htm
57 https://www.three.fm/news/isle-of-man-news/guilty-pleas-from-accountant-who-duped-companies/
58 https://www.judgments.im/content/J1903.htm

59 https://www.judgments.im/content/J2512.htm
60 https://www.judgments.im/content/J2576.htm
61 https://www.bbc.co.uk/news/world-europe-isle-of-man-46301425
62 https://www.iomtoday.co.im/news/999/convincing-conman-jailed-for-ponzi-scam-231925
63 https://www.judgments.im/content/J2811.htm
64 https://www.judgments.im/content/J2855.htm
65 https://www.iomtoday.co.im/news/courts/fraudster-tried-to-get-a-licence-to-produce-medicinal-cannabis-543380
66 https://www.bbc.co.uk/news/world-europe-isle-of-man-65139298
67 https://www.judgments.im/content/2DS24_012-02Dec24.pdf
68 https://www.bbc.co.uk/news/articles/cn7my2y02peo
69 https://www.manxradio.com/news/isle-of-man-news/fraudster-jailed-after-unlawfully-selling-property/
70 Immigration fraudster who faked job offers jailed - BBC News
71 https://www.iomfsa.im/media/1432/discretionarycpguidance.pdf
72 https://www.iomfsa.im/media/2598/anti-money-laundering-and-countering-the-financing-of-terrorism-civil-penalties-regulations-2019.pdf
73 https://www.iomfsa.im/media/2633/civil-penalties-guidance.pdf
74 The FSA also has the power to compel certain persons to attend an interview. The answers given cannot be used as evidence in a criminal case but nonetheless this services as a powerful investigation tool.
75 https://www.iomfsa.im/enforcement/enforcement-action/
76 https://www.isleofmangsc.com/gambling/enforcement/prohibited-persons/
77 https://legislation.gov.im/cms/legislation/current.html
78 https://www.oecd.org/en/publications/2001/11/behind-the-corporate-veil_g1ghgb3e.html
79 https://star.worldbank.org/publications/puppet-masters
80 https://www.fatf-gafi.org/en/publications/Methodsandtrends/Concealment-beneficial-ownership.html
81 https://www.transparency.org/en/publications/loophole-masters
82 https://www.transparency.org/en/publications/risks-of-illicit-financial-flows-in-africa
83 https://www.gov.uk/government/publications/companies-house-strategic-intelligence-assessment
84 https://www.transparency.org/en/publications/opacity-in-real-estate-ownership-index-2025
85 https://taxjustice.net/reports/asset-beneficial-ownership-enforcing-wealth-tax-other-positive-spillover-effects/
86 https://www.gov.uk/government/publications/national-risk-assessment-of-money-laundering-and-terrorist-financing-2025
87 As the Island's largest market for trade and financial services the UK NRA 2025 has been given particular consideration
88 https://www.icij.org/search/?q=%22Isle+of+Man%22
89 https://fiu.im/media/1163/bribery-and-corruption-review-2020-21.pdf
90 https://www.gov.im/media/1367979/isle-of-man-national-risk-assessment-2020-updated-140120.pdf
91 https://www.iomfsa.im/media/2987/sector-guidance-tcsps-march-2022.pdf (page 6)
92 https://taxjustice.net/reports/complex-ownership-structures-addressing-the-risks-for-beneficial-ownership-transparency/
93 UK National Crime Agency
94 https://www.fiu.im/media/1245/online-gambling-typology-2025.pdf
95 https://www.gov.im/media/1367979/isle-of-man-national-risk-assessment-2020-updated-140120.pdf (page 15)
96 https://www.iompolice.im/media/1863/final-annual-report-24-25-compressed.pdf (page 8)
97 https://assets.publishing.service.gov.uk/media/6877be59760bf6cedaf5bd4f/National_Risk_Assessment_of_Money_Laundering_and_Terrorist_Financing_2025_FINAL.pdf (paragraph 3.109/110 and 112)
98 https://counteringfinancialcrime.im/media/m0op4jir/national-risk-appetite-statement-for-egaming-may-2025.pdf
99 https://www.gov.im/news/2025/oct/30/department-of-home-affairs-welcomes-conviction-in-major-immigration-fraud-case/
100 https://counteringfinancialcrime.im/
101 https://counteringfinancialcrime.im/
102 South Africa was removed from list of jurisdictions under increased monitoring at the FATF Plenary in October 2025
103 This captured the data under three headings:
Equity holding company in other IOM companies;
Equity holding company in Non-IOM companies; or
Equity holding company in both IOM and Non-IOM companies
104 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/ML%20and%20TF%20through%20the%20Real%20Estate%20Sector.pdf
105 Paragraph 3.90
106 Paragraph 5.235
107 https://www.iomfsa.im/media/1582/directorshipsguidancemar2015.pdf
108 TCSP may appoint a number of senior employees into these roles, to ensure sufficient coverage from the firm when the 'lead' is absent from the office. Therefore the ultimate number will appear 'inflated'.
109 This data is for all Registered Office addresses, not just TCSP addresses
110 FIU, FSA, Police and 7 TCSP representatives
111 https://www.lawsociety.org.uk/topics/anti-money-laundering/professional-enablers
112 Professional Enablers are defined in the UK 2025 ML/TF NRA (paragraph 3.128) as: "an individual or organisation that is providing professional services that enables criminality. Their behaviour is deliberate, reckless, improper, dishonest and/or negligent through a failure to meet their professional and regulatory obligations". Professional enablers can come from a range of sectors but are most likely to involve skilled professionals such as accountants, lawyers and Trust and Company Service Providers
113 UK Companies House differs significantly from the IOM Companies Registry which is much smaller and very closely linked with the FSA
114 https://www.gov.im/media/1377163/2022-gd-0055.pdf
115 Complexity in corporate ownership structures itself is not a risk factor for involvement in ML or other illicit activities. Many businesses structure their holdings in complex corporate chains for a variety of legitimate purposes including geographic reach, financial strategy, and tax strategy. However, complex corporate structures can pose challenges for identification of beneficial ownership. Anomalous complex structures here means that they do not appear to serve any legitimate business purpose but are primarily designed to conceal true ownership. (See also van der Does de Willebois et al. 2011)
116 https://www.iomfsa.im/fsa-news/2021/nov/public-statement-concerning-the-regulatory-investigation-of-the-isle-of-man-financial-services-authority-in-respect-of-bridgewater-iom-limited-and-the-associated-outcomes/
117 See FATF report Misuse of Citizenship and Residency by Investment Programmes published in November 2023 https://www.fatf-gafi.org/en/publications/Methodsandtrends/misuse-CBI-RBI-programmes.html and also analysed in the IOM ML NRA
118 https://www.gov.im/about-the-government/departments/cabinet-office/statistics-isle-of-man/national-income/
119 At the time of writing this includes property development, residential and commercial rental or property letting, contract car parking, landfill, mining & quarrying and petroleum extraction activities or rights.
120 https://www.financeisleofman.com/

121 https://www.gov.im/immigration
122 https://islandplan.im/media/4f2fkqzs/island-plan-2025-26.pdf (page 11)
123 https://www.gov.im/media/1389539/a-profile-of-the-isle-of-man-2025-_compressed-210525.pdf
124 https://www.tynwald.org.im/learn/system-of-governance
125 https://www.gov.im/media/622193/section7part1.pdf
126 https://www.gov.im/about-the-government/departments/cabinet-office/external-relations/
127 https://www.gov.im/news/2025/dec/08/isle-of-man-credit-rating-reaffirmed-by-moodys/
128 https://www.iomtoday.co.im/news/the-first-bribery-trial-ever-to-be-held-in-the-isle-of-man-has-been-aborted-762344
https://www.iomtoday.co.im/news/isle-of-mans-first-bribery-trial-comes-to-an-end-as-accountant-cleared-812099
129 The Beneficial Ownership Act definition: RBO means a beneficial owner who owns or controls more than 25% of the beneficial ownership of a legal entity to which this Act applies and RBO is to be construed accordingly
130 A confirmation statement under section 20(5)(b) of the BOA must also be made by Nominated Officers in instances where there is no RBO
131 https://www.iomfsa.im/media/3512/20250915-registered-office-guidance.pdf
132 https://www.iomfsa.im/media/3383/beneficial-ownership-act-guidance.pdf
133 https://www.gov.im/media/1356973/april2016-beneficial-ownership-exchange-of-notes.pdf
134 https://im.linkedin.com/company/isle-of-man-financial-services-authority
135 https://www.iomfsa.im/about/webinars/
136 https://www.gov.im/media/1385057/isle-of-man-tax-strategy-2024-2026_compressed.pdf
137 https://www.gov.im/categories/tax-vat-and-your-money/income-tax-and-national-insurance/pillar-2-global-minimum-tax/
138 https://www.gov.im/categories/tax-vat-and-your-money/income-tax-and-national-insurance/reporting-tax-evasion/
139 https://www.gov.im/categories/business-and-industries/companies-registry/file-an-annual-return/
140 https://www.iomfsa.im/media/3234/2019-0202_2.pdf
141 https://www.tynwald.org.im/spfile?file=/business/opqp/sittings/20182021/2019-SD-0219.pdf
142 https://www.iomfsa.im/media/3403/february-2025-handbook-clean.pdf
143 https://www.iomfsa.im/media/3223/gifcs-evaluation-report-isle-of-man.pdf
144 Training is not always within the scope of an inspection
145 https://www.iomfsa.im/fsa-news/2025/jun/guide-to-commercially-exposed-persons-ceps/
146 This is limited to certain professionals under an applicable exclusion or exemption.
If a lawyer or accountant is undertaking the work under an exclusion, then they are not subject to the Code. However, if they are providing other services, to which the incorporation is incidental, which are designated business activities, then they are captured by the Code.
147 https://www.iomfsa.im/amlcft/supervisory-methodology/#:~:text=Inspections%20Methodology:,conclusions%20arising%20from%20an%20inspection.
148 Noting there could be a combination of actions taken depending on the circumstances
149 Noting there could be a combination of actions taken depending on the circumstances
150 If a corporate structure has multiple layers, the FSA will review the beneficial ownership of each overlying layer in the structure when reviewing the beneficial ownership of the entity selected within the sample. However, these overlying entities are not included within these figures.
151 Companies Registry provide a monthly report to the FSA regarding BOA failings and steps that Companies Registry has taken
152 Predominantly 1931 Act companies
153 https://www.iomfsa.im/media/3180/tcsp-thematic-report-phase-1.pdf
154 https://www.iomfsa.im/media/2653/dmp-final.pdf
155 https://www.iomfsa.im/enforcement/enforcement-action/
156 https://www.iomfsa.im/about/webinars/
157 https://www.iomfsa.im/publications
158 https://www.youtube.com/@isleofmanfinancialservices5781
159 https://www.gov.im/news/2023/dec/13/crown-dependencies-publish-commitment-to-increase-accessibility-to-company-beneficial-ownership-information/#:~:text=Dependencies%20publish...-,Crown%20Dependencies%20publish%20commitment%20to%20increase%20accessibility%20to%20company%20beneficial,developments%20in%20response%20to%20this.
160 If the Nominated Officer uses the address gazetteer when making the submission, then it will be auto-approved
161 https://www.gov.im/media/1356973/april2016-beneficial-ownership-exchange-of-notes.pdf
162 https://www.gov.uk/government/publications/statutory-review-of-the-exchange-of-notes-arrangements/statutory-review-of-the-implementation-of-the-exchange-of-notes-on-beneficial-ownership-between-the-united-kingdom-crown-dependencies-and-overseas-te#:~:text=the%20above%20Recommendations.-,Conclusion,and%20misunderstandings%20have%20been%20resolved.
163 https://www.gov.im/categories/tax-vat-and-your-money/income-tax-and-national-insurance/international-agreements/tax-information-exchange-agreements/
164 EOIR is a system whereby the competent authority in a partner jurisdiction ('the Requesting Party') sends a request for information to the competent authority in another partner jurisdiction ('the Requested Party') that is foreseeably relevant to the administration and enforcement of the domestic tax laws of the Requesting Party. A request may be in connection with a single taxpayer or a group or taxpayers, who may be identified by name or otherwise.
165 https://www.gov.im/categories/tax-vat-and-your-money/income-tax-and-national-insurance/international-agreements/fatca-and-common-reporting-standard/
166 https://www.gov.im/categories/tax-vat-and-your-money/income-tax-and-national-insurance/international-agreements/
167 https://legislation.gov.im/cms/legislation/current.html
168 https://www.iomfsa.im/media/3383/beneficial-ownership-act-guidance.pdf
169 https://www.iomfsa.im/beneficial-ownership/overview/
170 The FSA distinguishes between non-material issues with Database submissions and the more significant matters which are contraventions of the Beneficial Ownership Act.
171 ITD receives this information for tax purposes under the Income Tax Acts and it is not BOA-verified data
172 https://www.iomfsa.im/media/3234/2019-0202_2.pdf
173 https://legislation.gov.im/cms/legislation/acts-of-tynwald-as-enacted/12-primary-2011.html?download=144:companies-prohibition-of-bearer-shares-act-2011
174 https://www.fatf-gafi.org/content/dam/fatf-gafi/recommendations/FATF%20Recommendations%202012.pdf.coredownload.inline.pdf (page 100)
175 Nominee director (also known as a "resident director") is an individual or legal entity that routinely exercises the functions of the director in a company on behalf of and subject to the direct or indirect instructions of the nominator. A Nominee Director is never the beneficial owner of a legal person.
176 Nominee shareholder is someone who "exercises the associated voting rights according to the instructions of the nominator and/or receives dividends on behalf of the nominator." (Nominator is an individual (or group of individuals) or legal person that issues instructions (directly or indirectly) to a nominee to act on their behalf in the capacity of a director or shareholder, also sometimes referred to as a "shadow director" or "silent partner".)
177 The TCSP entity would be licensed for Class 4 (Corporate Services) activity under the Regulated Activities Order 2011, the specific activity in relation to this service is "acting as a director" - this is then undertaken by a corporate director or a director on client companies who would be a controlled function holder of the TCSP. There is not a regulated activity, or an option, to act as a nominee director – it does not exist.
178 https://www.iomfsa.im/media/1699/guidanceontheresponsibilitiesand.pdf
179 The FSA provides further information to Professional Officers https://www.iomfsa.im/regulated-sectors/professional-officers/
180 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/2009/2009-0004/2009-0004_6.pdf
181 Section 21(1) definitions: "director" includes any person occupying the position of director, by whatever name called

182 https://www.iomfsa.im/media/2464/regulatoryguidancefitnessandpropriety.pdf
183 https://www.iomfsa.im/media/1582/directorshipsguidancemar2015.pdf
184 https://www.iomfsa.im/media/1470/financialservicesrulebook20131.pdf Section 6.65, page 114
185 https://www.iomfsa.im/media/2376/financialservicesact2008.pdf
186 https://legislation.gov.im/cms/
187 https://www.iomfsa.im/media/3147/aml-pep-thematic-report-05-05-2023.pdf
188 https://www.iomfsa.im/media/1542/rulebreaches814.pdf
189 https://www.gov.im/categories/business-and-industries/companies-registry/registries/choosing-a-company-or-business-name/
190 https://star.worldbank.org/publications/legal-persons-and-arrangements-money-laundering-risk-assessment-tool
191 https://www.gov.im/categories/business-and-industries/companies-registry/registries/1931-act-companies/
192 https://www.gov.im/categories/business-and-industries/companies-registry/practice-notes/1931-act-companies/
193 If a company is formed by a TCSP licenceholders, then the formation is at the end of a robust process, in compliance with the AML/CFT Code.
194 A shelf company may also be considered as a shell company up until the point that the purchaser starts up any operational activity
195 https://www.gov.im/about-the-government/departments/home-affairs/executive-office/anti-money-laundering-legislation-and-countering-the-financing-of-terrorism-amlcft/
196 2.5% once South Africa is removed
197 Jurisdiction of principal activity defined in the TCSP 2025 LPA Return request as: The principal activity/ies undertaken by the company:
Where the company is physically present and undertaking activities, for example mining activity.
The jurisdiction in which the company's customers are based – customers are considered to be the persons to whom the company provides goods and services.
The jurisdictions in which the company purchases significant supplies to be able to undertake its principal activities - those entities and individuals providing the materials, customers and goods to enable the company to undertake its primary activities.
198 Jersey 2023 LPA NRA identified 57 PCCs
Guernsey 2024 LPA NRA identified 406 PCCs
199 https://www.iomfsa.im/media/3383/beneficial-ownership-act-guidance.pdf (section 4.3)
200 https://www.iomfsa.im/media/3455/guide-to-commercially-exposed-persons-ceps.pdf
201 https://www.gov.im/categories/business-and-industries/companies-registry/practice-notes/2006-companies/
202 The data for the 2006 Act Companies where a TCSP was not the Nominated Officer was analysed. The Country of Residence of the Beneficial Owner was the IOM or UK in 83% of the occasions. Malta was the only other notable jurisdiction , representing 6.4%.
203 South Africa has been removed from List B(i) October 2025, see Chapter 1.4 (limitations)
204 There are 4 instances where there is an Individual as the Nominated Officer. In all instances the Country of Residence of the Beneficial Owner is the IOM
205 https://www.iomfsa.im/media/3383/beneficial-ownership-act-guidance.pdf (page 21)
206 8 jurisdictions have the same values, so all included in Figure 4-21
207 https://www.legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/1996/1996-0019/1996-0019.pdf
208 https://www.iomfsa.im/media/3383/beneficial-ownership-act-guidance.pdf (page 21)
209 Limited Partnerships without Legal Personality and General Partnerships are covered in Chapter 7
210 https://www.iomfsa.im/media/3383/beneficial-ownership-act-guidance.pdf (page 21)
211 https://legislation.gov.im/cms/legislation/acts-of-tynwald-as-enacted/12-primary-2011.html?download=152:limited-partnership-legal-personality-act-2011
212 Reduces to 1.3% if South Africa is excluded
213 South Africa represents 2.9%
214 https://www.gov.im/media/1348670/industrialandbuildingsocietiesact1892.pdf
215 https://www.gov.im/media/1348671/industrialandbuildingsocietiesact1979.pdf
216 https://www.gov.im/media/1390271/industrial_register-250925.pdf
217 https://www.gov.im/categories/business-and-industries/companies-registry/credit-unions/
218 https://www.fatf-gafi.org/content/dam/fatf-gafi/guidance/Guidance-Beneficial-Ownership-Legal-Persons.pdf.coredownload.pdf
219 The FATF document includes footnote 21: See Footnote 49 to Interpretive Note to Recommendation 24, "Countries may determine what is considered a sufficient link on the basis of risk. Examples of sufficiency tests may include, but are not limited to, when a company has permanent establishment/branch/agency, has significant business activity or has significant and ongoing business relations with financial institutions or DNFBPs, subject to AML/CFT regulation, has significant real estate/other local investment, employs staff, or is a tax resident, in the country".
220 This provision includes legal persons that merely hold out as carrying on business from an established place in the Island.
221 In addition to foreign companies that must register under the Act, any foreign company may elect to be registered under the Act.
222 https://www.gov.im/media/1367560/updated-economic-substance-guidance.pdf
223 List C & List D
224 https://www.iomshipregistry.com/
225 https://legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/2014/2014-0003/2014-0003_3.pdf
226 The 5th AML Directive (Directive (EU) 2018/843) included an amendment to introduce the setting up of central bank account registries or retrieval systems in all Member States
https://finance.ec.europa.eu/financial-crime/anti-money-laundering-and-countering-financing-terrorism-eu-level_en
227 https://www.gov.im/media/1348191/form_arf.pdf
228 https://www.fatf-gafi.org/en/pages/fatf-glossary.html#accordion-a13085a728-item-2634e09013
229 https://legislation.gov.im/cms/
230 https://www.fatf-gafi.org/content/dam/fatf-gafi/recommendations/Guidance-Beneficial-Ownership-Transparency-Legal-Arrangements.pdf.coredownload.inline.pdf
231 https://www.tynwald.org.im/links/secondary-legislation
232 https://legislation.gov.im/cms/legislation/current.html
233 https://www.hcch.net/en/instruments/conventions/full-text/?cid=59
234 Legal arrangements where there is a nexus to the IOM
235 https://www.fatf-gafi.org/en/pages/fatf-glossary.html#accordion-a13085a728-item-214e7f680f
236 Although the AML/CFT Code 2019 and the Gambling (AML/CFT) Code 2019 references these in its definition of legal arrangements
237 https://www.fatf-gafi.org/content/dam/fatf-gafi/recommendations/Guidance-Beneficial-Ownership-Transparency-Legal-Arrangements.pdf.coredownload.inline.pdf
238 https://www.iomfsa.im/media/2769/ptc-guidance.pdf
239 https://www.taxjustice.net/wp-content/uploads/2017/02/Trusts-Weapons-of-Mass-Injustice-Final-131117.pdf
240 https://www.fatf-gafi.org/en/publications.html
241 https://www.iomfsa.im/media/2377/collectiveinvestmentschemesact2008.pdf
242 As at 31 December 2024
243 https://www.fatf-gafi.org/en/topics/digitalisation.html
244 https://egmontgroup.org/news/publication-of-the-joint-eg-fatf-digital-transformation-report/
245 https://www.europol.europa.eu/publications-events/publications
246 https://www.fincen.gov/system/files/shared/FinCEN-Alert-DeepFakes-Alert508FINAL.pdf
247 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/Horizon%20Scan%20AI%20and%20Deepfakes.pdf.coredownload.inline.pdf

248 https://egmontgroup.org/news/publication-of-the-joint-eg-fatf-digital-transformation-report/
249 https://assets.publishing.service.gov.uk/media/6877be59760bf6cedaf5bd4f/National_Risk_Assessment_of_Money_Laundering_and_Terrorist_Financing_2025_FINAL.pdf
250 Is a method for systematically evaluating a model with the intent of learning how it behaves when provided with malicious or inadvertently harmful input
251 https://www.fatf-gafi.org/en/publications/Mutualevaluations/Assessment-ratings.html
252 https://assets.publishing.service.gov.uk/media/6877be59760bf6cedaf5bd4f/National_Risk_Assessment_of_Money_Laundering_and_Terrorist_Financing_2025_FINAL.pdf
253 https://www.nationalcrimeagency.gov.uk/who-we-are/publications/724-cross-system-professional-enablers-strategy/file
254 https://home.treasury.gov/news/press-releases/jy2080
255 https://www.tesoro.es/sites/default/files/publicaciones/Public%20version%20National%20Risk%20Assessment%20Addendum%202024.pdf
256 https://www.fatf-gafi.org/en/publications/Mutualevaluations/bvi-mer-2024.html
257 https://amlu.gov.ky/wp-content/uploads/2022/03/2021-NRA.pdf
258 https://www.gov.je/Industry/Finance/FinancialCrime/NationalRiskAssesmnents/pages/legalpersonsarrangements.aspx
259 https://www.gov.gg/CHttpHandler.ashx?id=177179&p=0
260 https://www.gibraltar.gov.gi/uploads/Financial-Crime/2025NRA%20v1.1.pdf